

INTERMEDIATE LEVEL

Paper FA2

Maintaining Financial Records

STUDY TEXT

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INTRODUCTION

This is the new edition of the FIA study text for Paper FA 2 – *Maintaining Financial Records* reviewed and approved by the ACCA.

Tailored to fully cover the syllabus, this textbook has been written specifically for FIA students. Clear and comprehensive style, numerous examples and highlighted key terms help you to acquire the information easily. Plenty of activities and self-test questions enable you to practise what you have learnt.

At the end of most of the chapters you will find exam style and practice questions. These will give you a very good idea of the way you will be tested.

SYLLABUS AND STUDY GUIDE

Position of the paper in the overall syllabus

Within the Foundations in Accountancy syllabus there is an initial qualification of the Introductory Certificate in Financial and Management Accounting.

Completion of paper FA 2 *Maintaining Financial Records* along with MA 2 *Managing Costs and Finances* and *Foundations in Professionalism* will achieve the Intermediate Certificate in Financial and Management Accounting.

FA 2 *Maintaining Financial Records* introduces the fundamental principles of accounting and develops the knowledge and understanding required to maintain accounting records. You will learn to produce accounting records, extract a trial balance and make necessary adjustments to produce an extended trial balance and basic financial statements. The syllabus covers accounting for the business transactions of sole traders and partnerships.

Detailed syllabus

A Generally accepted accounting principles and concepts Chapters 4, 5 1 The key accounting principles and characteristics 2 Maintaining Financial Records 3 The regulatory framework	E Preparing a trial balance and errors Chapter 3 1 Trial balance 2 Correction of errors
B The principles and process of basic bookkeeping Chapters 1, 2, 3, 4 1 The elements of financial statements 2 The books of prime entry and flow of accounting information in the production of financial statements	F Reconciliation Chapters 8, 9 1 Control account reconciliations 2 Bank reconciliation
C The preparation of journals and ledger accounts Chapters 1, 2 1 Preparation of journals from the books of prime entry 2 Preparation of ledger accounts	G The trial balance and the extended trial balance Chapters 14, 15, 17 1 Preparation of the trial balance/extended trial balance 2 Preparation of the final accounts including incomplete records.
D Recording transactions and events Chapters 1, 2, 6, 7, 10, 11, 12, 13 1 Sales and purchases 2 Cash and bank 3 Inventory 4 Tangible non-current assets and depreciation 5 Accruals and prepayments 6 Receivables, payables and provisions 7 Capital and finance costs	H Partnerships Chapter 16 1 Partnership agreement 2 Partnership accounting records 3 Partnership financial statements and change in partnership

Study Guide

A **GENERALLY ACCEPTED ACCOUNTING PRINCIPLES AND CONCEPTS** Chapters 5

1 **The key accounting principles and characteristics**

- (a) Explain the accounting principles of accounting.
 - (i) Going concern
 - (ii) Accruals
 - (iii) Consistency
 - (iv) Double entry
 - (v) Business entity
 - (vi) Materiality
 - (vii) Historical cost
- (b) Explain the qualitative accounting characteristics relating to
 - (i) Relevance
 - (ii) Faithful representation
 - (iii) Comparability
 - (iv) Verifiability
 - (v) Timeliness
 - (vi) Understandability

2 **Maintaining Financial Records**

- (a) Explain the importance of maintaining financial records for internal and external use.
- (b) Describe the type of accounting records that a business should maintain and the main uses of each.

3 **The regulatory framework**

- (a) Describe the main requirements of accounting standards in relation to syllabus area D.

B **THE PRINCIPLES AND PROCESS OF BASIC BOOKKEEPING** Chapters 1, 2, 3, 4

1 **The elements of financial statements**

- (b) Explain the meaning of the accounting equation.
- (c) Describe the meaning of assets, liabilities and capital in an accounting context.
- (d) Describe the components of a set of final accounts for a sole trader.

2 **The books of prime entry and the flow of accounting information in the production of financial statements**

- (e) Explain the purpose and use of books of prime entry and ledger accounts.

- (b) Identify reasons for closing off accounts and producing a trial balance.
- (c) Explain the process of preparing a set of final accounts from a trial balance.

C **THE PREPARATION OF JOURNALS AND LEDGER ACCOUNTS** Chapters 1, 2

1 **Preparation of journals from the books of prime entry**

- (a) Explain and illustrate the dual aspect convention.
- (b) Prepare journals to record transactions in an appropriate format.

2 **Preparation of ledger accounts**

- (a) Explain the purpose and use of ledger accounts.
- (b) Post journals and other entries into the appropriate ledger account.
- (c) Balance the ledger accounts carrying down and bringing down balances as appropriate.

D **RECORDING TRANSACTIONS AND EVENTS** Chapters 1, 2, 6, 7, 10, 11, 12, 13

1 **Sales and purchases**

- (a) Record sale and purchase transactions in ledger accounts.
- (b) Record sales and purchase returns.
- (c) Account for trade and settlement discounts.
- (d) Identify sources of information on sales tax and explain the relationship between the organization and the relevant government agency.
- (e) Explain the general principles of the operation of a sales tax including:
 - (i) requirements for registration
 - (ii) main information to be included on business documentation
 - (iii) types of taxable supplies and their classification for sales tax
 - (iv) accounting and payment of sales tax
 - (v) penalties for late returns or late payment of sales tax
- (f) Explain the different methods of accounting and reporting for sales tax.
- (g) Identify and obtain sales tax data from the accounting system.
- (h) Calculate sales tax on inputs and outputs.
- (i) Record the consequent accounting entries and calculate the sales tax due to/ from the business.

- (j) Compute the main components of a sales tax return.
 - (k) Communicate effectively with the relevant tax authority about sales tax matters including potential adjustments, errors or omissions.
 - (l) Calculate the cash flow impact on the business of the payment of sales tax and the potential impact on the business of any changes in legislation for sales tax.
- 2 Cash and bank**
- (a) Record cash and bank transactions in ledger accounts.
 - (b) Report cash and bank balances in the final accounts
- 3 Inventory**
- (a) Recognise the need for adjustments for inventory in preparing financial statements.
 - (b) Record opening and closing inventory.
 - (c) Identify and apply the alternative methods of valuing inventory.
 - (d) Explain and apply the IASB requirements for valuing inventories.
 - (e) Recognise which costs should be included in valuing inventories.
 - (f) Explain the use of continuous and period end inventory records.
 - (g) Calculate the value of closing inventory using FIFO (first in, first out) and AVCO (average cost) both periodic weighted average and continuous weighted average.
 - (h) Identify the impact of inventory valuation methods on profit, assets and capital including:
 - (i) periodic weighted average
 - (ii) continuous weighted average
 - (iii) FIFO
 - (i) Report inventory in the final accounts.
- 4 Tangible non-current assets and depreciation**
- (a) Define non-current assets.
 - (b) Recognise the difference between current and non-current assets.
 - (c) Explain the difference between capital and revenue items.
 - (d) Classify expenditure as capital or revenue expenditure.
 - (e) Explain the impact of misclassification of capital expenditure as revenue expenditure and vice versa on the statement of profit or loss and the statement of financial position
- (f) Prepare journal and ledger entries to record the acquisition and disposal of non-current assets (including part exchange).
 - (g) Calculate and record profits or losses on disposal of non-current assets in the statement of profit or loss including part exchange and scrapping of assets.
 - (h) Explain the purpose of depreciation.
 - (i) Calculate the charge for depreciation using straight line and reducing balance methods.
 - (j) Identify the circumstances where different methods of depreciation would be appropriate.
 - (k) Illustrate how depreciation expense and accumulated depreciation are recorded in ledger accounts.
 - (l) Explain the purpose and function of an asset register.
 - (m) Prepare the non-current asset register accounting for all or part of the following:
 - (i) acquisition including authorisation
 - (ii) part exchange and cash non-current asset purchases
 - (iii) depreciation
 - (n) Identify and resolve any discrepancies relating to the accounting records for non-current assets.
 - (o) Report non-current assets and depreciation in the final accounts.
- 5 Accruals and prepayments**
- (a) Apply the matching concept to accruals and prepayments.
 - (b) Identify and calculate the adjustments needed for accruals and prepayments when preparing financial statements.
 - (c) Illustrate the process of adjusting for accruals and prepayments when preparing financial statements.
 - (d) Prepare the journal entries and ledger entries for the creation of an accrual or prepayment.
 - (e) Identify the impact on profit, net assets and capital of accruals and prepayments.
 - (f) Report accruals and prepayments in the final accounts.
- 6 Receivables, payables and provisions**
- (a) Explain and identify examples of receivables and payables.
 - (b) Prepare the bookkeeping entries to write off an irrecoverable debt.
 - (c) Record an irrecoverable debt recovered.

	(d) Identify the impact of irrecoverable debts on the statement of profit or loss and on the statement of financial position. (e) Calculate the movement in the allowance for receivables and the closing balance (f) Prepare the bookkeeping entries to create and adjust an allowance for receivables. (g) Illustrate how to include movements in the allowance for receivables in the statement of profit or loss and how the closing balance of the allowance should be reported in the statement of financial position. (h) Account for contras between trade receivables and payables. (i) Explain the nature of provisions and liabilities. (j) Distinguish between a provision and liability. (k) Account for provisions and liabilities. (l) Report provisions and liabilities in the final accounts.	(d) Prepare correcting journal entries. (e) Record correcting entries in the ledgers. (f) Demonstrate how the final accounts are affected by the correction of errors.
7	Capital and finance costs	
	(a) Distinguish between capital injected by the business owner(s) and third parties for an unincorporated business. (b) Manipulate the accounting equation including the impact or changes in capital. (c) Prepare the capital ledger account for an unincorporated business.	
E	PREPARING A TRIAL BALANCE AND ERRORS Chapters 3	F
1	Trial balance	1
	(a) Explain the purpose of the trial balance. (b) Distinguish between errors which will be detected by extracting a trial balance and those which will not. (c) Calculate and explain the impact of errors on the statement of profit or loss and the statement of financial position. (d) Identify the limitations of the trial balance. (e) Prepare the initial trial balance.	RECONCILIATION Chapters 8, 9
2	Correction of errors	2
	(a) Explain the purpose of, and reasons for, creating a suspense account. (b) Identify different types of bookkeeping error including those that result in suspense accounts. (c) Identify and explain the action required to correct errors including clearing any suspense accounts.	Control account reconciliations (a) Explain the purpose of reconciliation of the receivables and payables ledger control accounts. (b) Identify errors in the ledger control accounts and list of balances. (c) Make correcting entries in the ledger control accounts. (d) Prepare a reconciliation between the list of balances and the corrected ledger control accounts. (e) Identify the control account balances to be reporting in the final accounts. (f) Prepare a reconciliation between a supplier's statement and the supplier's account in the payables ledger. Bank reconciliation (a) Explain the purpose of reconciliation of the bank ledger control account and the corresponding bank statement. (b) Identify errors and omissions in the bank ledger control account and bank statement. (c) Identify timing differences. (d) Make the correcting entries in the bank ledger account. (e) Prepare the reconciliation between the bank statement balance and the corrected bank ledger account. (f) Identify the bank balance to be reported in the final accounts.

G THE TRIAL BALANCE AND THE EXTENDED TRIAL BALANCE

Chapters 14, 15, 17

1 Preparation of the trial balance/ extended trial balance

- (a) Explain the process of extending the trial balance.
- (b) Record the correction of errors on the extended trial balance.
- (c) Explain and record post trial balance adjustments on the extended trial balance:
 - (i) accruals and prepayments
 - (ii) depreciation
 - (iii) provisions
 - (iv) closing inventory
 - (v) allowance for receivables
 - (vi) irrecoverable debts
 - (vii) non-current asset transactions
- (d) Extend and complete the extended trial balance including calculating the final reported profit or loss.
- (e) Prepare the opening trial balance for the next accounting period.

2 Preparation of the final accounts including incomplete records

- (a) Explain the process of preparing a set of final accounts from a trial balance.
- (b) Explain the format and purpose of the statement of profit or loss and statement of financial position for a sole trader.
- (c) Prepare the final accounts for a sole trader from:
 - (i) the extended trial balance; or
 - (ii) directly from ledger accounts; or
 - (iii) trial balance
- (d) Describe the circumstances which lead to incomplete records.
- (e) Describe the methods of constructing accounts from incomplete records.
- (f) Prepare the final accounts or elements therefore using incomplete records techniques such as:
 - (i) mark ups and margins
 - (ii) ledger accounts to derive missing figures
 - (iii) manipulation of the accounting equation

H PARTNERSHIPS

Chapter 16

1 Partnership agreement

- (a) Define a partnership.
- (b) Explain the purpose and content of a partnership agreement.
- (c) Explain, calculate and account for appropriations of profit:
 - (i) salaries of partners
 - (ii) interest on drawings
 - (iii) interest on capital
 - (iv) share of residual profit (the amount of profit available to be shared between the partners in the profit and loss sharing ratio, after all other appropriations have been made.)

2 Partnership accounting records

- (a) Explain the difference between partners' capital and current accounts.
- (b) Prepare the partners' capital and current accounts.

3 Partnership financial statements and change in partnership

- (a) Prepare the final accounts for a partnership
- (b) Explain and account for the admission of a new partner including the treatment of any goodwill arising.

Note: Candidates will not be expected to calculate the value of goodwill.

THE EXAMINATION

Format of the paper-based examination

	<i>Number of marks</i>
50 compulsory questions (2 marks each)	100
Total time allowed: 2 hours	

Format of the computer-based examination

	<i>Number of marks</i>
50 compulsory questions (2 marks each)	100
Total time allowed: 2 hours	

Paper-based examination

- Spend the first few minutes of the examination reading through the questions.
- Unless you know exactly how to answer the question, spend some time **planning your answer**. Stick to the question and tailor your answer to what you are asked.
- Set out all workings clearly and neatly. Don't write out the question.
- If you do not understand what a question is asking, **state your assumptions**. Even if you do not answer precisely in the way the examiner hoped, you should be given some credit, if your assumptions are reasonable.
- **If you get stuck** with a question, leave space in your answer book and return to it later.
- Remember that before you finish, you must **fill in the required information** on the front of your answer booklet and on your Candidate Registration Sheet (CRS).

Computer-based examination

- You can take a CBE **at any time during the year** – you do not need to wait for June and December exam sessions.
- Be sure you understand how to use the software before you start the exam. If in doubt, ask the assessment centre staff to explain it to you. Questions are displayed on the screen and answers are entered using keyboard and mouse.
- Don't panic if you realise you've answered a question incorrectly – you can always go back and change your answer.
- At the end of the examination, you are given a certificate showing the result you have achieved.

Answering the questions

Multiple-choice questions: Read the questions carefully and work through any calculations required. If you don't know the answer, eliminate those options you know are incorrect and see if the answer becomes more obvious. Remember that only one answer to a multiple-choice question can be right!

Objective test questions might ask for numerical answers, but could also involve paragraphs of text which require you to fill in a number of missing blanks, or for you to write a definition of a word or phrase, or to enter a formula. Others may give a definition followed by a list of possible key words relating to that description.

Computations: It is essential to include all your workings in your answers. Many computational questions require the use of a standard format: statement of profit or loss and statements of financial position for example. Be sure you know these formats thoroughly before the examination and use the layouts that you see in the answers given in this book and in model answers. If you are asked to comment or make recommendations on a computation, you must do so. There are important marks to be gained here. Even if your computation contains mistakes, you may still gain marks if your reasoning is correct.

STUDY SKILLS AND REVISION GUIDANCE

Preparing to study

Set your objectives

Before starting to study decide what you want to achieve – the type of pass you wish to obtain.

This will decide the level of commitment and time you need to dedicate to your studies.

Devise a study plan

Determine when you will study.

Split these times into study sessions.

Put the sessions onto a study plan making sure you cover the course, course assignments and revision.

Stick to your plan!

Effective study techniques

Use the **SQR3** method

Survey the chapter – look at the headings and read the introduction, summary and objectives. Get an overview of what the text deals with.

Question – during the survey, ask yourself the questions that you hope the chapter will answer for you.

Read through the chapter thoroughly, answering the questions and meeting the objectives. Attempt the exercises and activities, and work through all the examples.

Recall – at the end of the chapter, try to recall the main ideas of the chapter without referring to the text. Do this a few minutes after the reading stage.

Use the **MURDER** method

Mood – set the right mood.

Understand – issues covered and make note of any uncertain bits.

Recall – stop and put what you have learned into your own words.

Digest – go back and reconsider the information.

Expand – read relevant articles and newspapers.

Review – go over the material you covered to consolidate the knowledge.

While studying...

Summarise the key points of the chapter.

Make linear notes – a list of headings, divided up with subheadings listing the key points. Use different colours to highlight key points and keep topic areas together.

Try mind-maps – put the main heading in the centre of the paper and encircle it. Then draw short lines radiating from this to the main sub-headings, which again have circles around them. Continue the process from the sub-headings to sub-sub-headings, etc.

Revision

The best approach to revision is to **revise the course as you work through it**.

Also try to leave **four to six weeks before the exam for final revision**.

Make sure you **cover the whole syllabus**.

Pay special attention to **those areas where your knowledge is weak**.

If you are stuck on a topic find somebody (a tutor) to explain it to you.

Read around the subject – read good newspapers and professional journals, especially ACCA's *Student Accountant* – this can give you an advantage in the exam.

Read through the text and your notes again. Maybe put key revision points onto index cards to look at when you have a few minutes to spare.

Practise exam standard questions under timed conditions. Attempt all the different styles of questions you may be asked to answer in your exam.

Review any assignments you have completed and look at where you lost marks – put more work into those areas where you were weak.

Ensure you **know the structure of the exam** – how many questions and of what type they are.

Chapter 1

RECORDING TRANSACTIONS

This chapter looks at how transactions are recorded in the accounting system. It describes the accounting equation, on which the principle of double-entry book-keeping is based. It then explains in broad outline the nature of double entry book-keeping and balances on accounts. Finally, it looks at credit transactions and sales tax.

The content of this chapter should be largely familiar to you through studying paper FA1 or equivalent studies. It is vital that you work through this chapter and the next carefully and that you understand the principles of double-entry bookkeeping. The rest of the text will build on this basic knowledge and understanding.

This chapter covers syllabus areas A2, B1, C2, D1, D7.

CONTENTS

- 1 The nature of business transactions and accounting
- 2 The accounting equation
- 3 The basis of double entry bookkeeping
- 4 Assets, liabilities, revenue and expenses
- 5 Preparing ledger accounts
- 6 The general ledger
- 7 Credit transactions in the general ledger
- 8 Elements of sales tax
- 9 Accounting for sales tax
- 10 Sales tax administration

LEARNING OUTCOMES

- At the end of this chapter, you should be able to:
 - understand the nature of business transactions, including the need to maintain confidentiality
 - explain the basis of double entry bookkeeping
 - explain and illustrate the dual aspect convention
 - apply the accounting equation (and derivatives thereof)
 - distinguish between assets, liabilities, revenue and expenses
 - prepare journal entries to record transactions
 - prepare ledger accounts.
 - account for sales tax on transactions.
-

1 THE NATURE OF BUSINESS TRANSACTIONS AND ACCOUNTING

1.1 THE BUSINESS ENTITY

A business is always assumed to be completely separate from its owners. The owner's private income and expenditure, assets and liabilities are not recorded in the business's books. This concept is known as **business entity**.

A business enters into transactions with other businesses and with individuals, including its owners. It provides goods or services to others in exchange for money. In order to do this it normally needs to obtain items in exchange for money. For example, a retailer needs to buy goods which can then be sold.

A business exists to make a profit for its owners.

Accountants often refer to an organisation that prepares accounts as an **entity**.

Definition An **entity** is any organisation that prepares accounts as a separate entity from its owners.

An entity may be a sole trader, a partnership, a limited company, or a non profit making organisation. Only sole traders and partnerships fall within the scope of this paper.

1.2 ACCOUNTING

Accounting **records** a business's transactions with other entities. For example, sales to customers on credit must be recorded so that statements of account can be sent to the customers and the money due collected.

For a transaction to be recorded:

- there must be evidence that the transaction has taken place; and
- it must be possible to measure the effect of the transaction in terms of money.

Accounting only records the **financial results** of business transactions.

Accounting also **summarises** a business' transactions to provide information about the performance and position of a business to interested parties.

Two statements are produced for each period:

- The **statement of profit or loss (SPL)** shows the profit or loss made by the business for the period; this measures the financial **performance** of the entity.
- The **statement of financial position (SFP)** shows all the assets and liabilities of the business at the end of the period; this shows the financial **position** of the entity.

Internal users of financial records will include employees who have bookkeeping and accounting responsibilities, as well as business owners. Employees will normally require specific information regarding individual transactions, such as recording and checking petty cash transactions or individual sales or purchases transactions.

Business owners will also be interested in this information if they are actively involved in the business. For example, business owners may need to identify individual transactions to deal with queries from customers or suppliers to confirm that payments have been made to suppliers or amounts have been received from customers.

Business owners are also interested in summarised accounting information to understand how the business is performing, such as a statement of profit or loss for the accounting period to date. Business owners may then use this information as a basis for making business management decisions.

External users of accounting information may include external providers of finance to the business such as a bank, or regulatory bodies who may be interested to confirm that sales tax has been properly accounted for. Normally, only summarised information of direct interest is made available to external parties, rather than specific details of individual transactions, unless there is a legal requirement to do so.

1.3 CONFIDENTIALITY

The purpose of accounting is to provide useful information about the performance and position of a business. This is used in two main ways:

- by the owners, so that they can manage the business
- by other people and organisations, so that they can make decisions about their dealings with the business (for example, whether to lend it money).

In some countries limited companies are required by law to publish their accounts each year. Other types of business do not have to make their accounts available to the public. The owners and tax authorities may be the only people entitled to see the accounts.

In addition, the accounting records probably contain information that the owner and other people involved with the business might not wish to make public.

For example, if a competitor obtained information about a business's sales and purchases, it could use this to 'poach' customers by offering cheaper prices or better terms. This could be extremely harmful to the business.

Accounting records also contain sensitive information about the people involved with the business. Salaries are one obvious example. The affairs of small businesses are often very closely linked to the private lives of their owners.

For these reasons it is very important to maintain confidentiality when recording transactions and preparing final accounts.

2 THE ACCOUNTING EQUATION

2.1 INTRODUCTION

The owner's interest in a business is the owner's **capital**.

Capital is made up of:

- all the money put into the business by its owner (capital introduced)
- plus all the profits made by the business
- less all the losses made by the business
- less all the money taken out of the business by the owner (known as drawings).

The profits belong to the owner, and the owner is also liable for any losses.

This capital, together with any liabilities of the business (amounts that the business **owes**, e.g. to the bank, to suppliers) funds the assets of the business. Assets are amounts that the business **owns**. Examples of assets include cash, machines and amounts owed to the business by customers.

This gives us the following accounting equation:

	Assets	=	Capital + Liabilities
Or	Capital	=	Assets – Liabilities

Every transaction that occurs within a business has two equal and opposite effects on the accounting equation. This is often known as the **duality** concept.

Another way of expressing this idea is to say that every transaction affects the accounts in two equal and opposite ways.

It is important to understand the distinction between capital and liabilities. **Capital** is the amount invested by the owner in the business and, hence, what the business 'owes' to the proprietor. The proprietor is also entitled to all of the profit made by the business, which is added to his or her capital account. **Liabilities** are amounts owed by the business to external third parties, such as suppliers or a bank if the business has a bank overdraft or loan account outstanding. External third parties, such as suppliers, are not entitled to a share of the business profits (or participate in its management) only to settlement of the liability due to them.

2.2 EXAMPLE

Situation

Day 1 Jo Green invests \$5,000 of her own money setting up a garden design business. The business will be called Lynx Landscaping.

This situation has two effects - assets (bank) increases by \$5,000 and capital increases by \$5,000. The business has \$5,000 more cash than it had before and the owner is owed \$5,000 from the business. The accounting equation would look like:

$$\text{Assets (bank) } \$5,000 = \text{Capital } \$5,000$$

Day 2 The business pays cash for inventory (goods for resale) costing \$2,000. The capital remains the same, but there are now two assets.

The purchase of inventory results in two effects – assets (bank) decreases by \$2,000 and the asset (inventory) increases by \$2,000. We have more inventory than we had before but less money. The accounting equation would look like:

$$\text{Assets (bank } \$3,000 \text{ and inventory } \$2,000) \$5,000 = \text{Capital } \$5,000$$

3 THE BASIS OF DOUBLE ENTRY BOOKKEEPING

3.1 THE SITUATION

We will continue with the previous illustration by following a small business through its first week of trading.

Situation

Jo Green invests \$5,000 of her own money setting up a garden design business. The business will be called *Lynx Landscaping*.

3.2 SETTING UP A BUSINESS

Day 1 Jo Green (the owner) pays \$5,000 of her own money into a business bank account to start the business off. The \$5,000 that she has paid out becomes the business's capital, the \$5,000 in the business bank account represents the business's one and only asset.

$$\text{Capital } \$5,000 = \text{Asset (bank) } \$5,000$$

3.3 BUYING ASSETS FOR CASH

Day 2 The business pays cash for inventory (goods for resale) costing \$2,000. The capital remains the same, but there are now two assets.

$$\text{Capital } \$5,000 = \text{Assets } \$3,000 \text{ (bank) } + \$2,000 \text{ (inventory)}$$

3.4 BORROWING MONEY

Day 3 So far all the business's finance has come from the owner in the form of capital. In the next step the business will borrow \$4,000 from a bank to buy a van costing \$4,000. The capital remains the same, but the business now has three assets and a liability.

Capital \$5,000 = Assets \$9,000 – Liabilities \$4,000 (loan)

The assets are \$3,000 (bank) + \$2,000 (inventory) + \$4,000 (van)

3.5 TRADING AT A PROFIT

Day 4 So far the capital of the business has remained unchanged. This means that the business has made neither a profit nor a loss. As soon as the business starts to trade, it will generate profits (or losses). These will increase (or decrease) the capital of the business.

We will now assume that the business sells the entire inventory for \$3,500 cash, generating a profit of \$1,500.

Also, the business will pay out \$480 cash in sundry expenses, reducing its profit to \$1,020. The sundry expenses could be for casual labour, equipment hire, consumables and so on.

Capital + Profit \$6,020 = Assets \$10,020 – Liabilities \$4,000 (loan)

The Capital is \$5,000 (capital introduced) + \$1,020 (profit).

The assets are Bank \$3,000, Cash of \$3,020 (3,500 – 480) + \$4,000 (van)

3.6 DRAWINGS

Day 5 Owners must obviously take some money out of the business in order to pay their daily living expenses and so on. All money taken out of a business by its owner is referred to as drawings. This will decrease the amount of capital belonging to the owner. (Any other asset taken out of the business, such as inventory, will also be classified as drawings.) We will end this example with Jo Green drawing \$350 out of her business bank account.

Capital + Profit – Drawings \$5,670 = Assets \$9,670 – Liabilities \$4,000

The Capital is \$6,020 (as before) – \$350 (drawings).

The assets are \$10,020 (as before) – \$350 paid out of the bank as drawings.

3.7 A NOTE ON DOUBLE ENTRY BOOKKEEPING

It is important to note that not all business transactions involve cash at bank. This will be discussed in, for example, section 7 and in chapter 10 which covers accruals and prepayments.

4 ASSETS, LIABILITIES, REVENUE AND EXPENSES

4.1 RECORDING AND REPORTING

So far in your studies you have concentrated on recording transactions in ledger accounts. This is a vital process because it provides a record of who owes money to the business, who the business owes money to, and how much money the company has on hand and at the bank.

For this paper you will learn how this information is analysed, summarised and reported in the form of a statement of profit or loss and a statement of financial position.

4.2 THE STATEMENT OF FINANCIAL POSITION

The statement of financial position reports on the *financial position* of a business at a particular date. It records the *assets*, *liabilities* and *capital* of the business. If the business is in a strong financial position then its assets will exceed its liabilities and it will have net assets. The reported net assets will equal the owner's capital.

Assets

Definition An **asset** is a resource controlled by the entity as a result of past events and from which economic benefits are expected to flow to the entity (an inflow of cash or other assets).

This definition is found in the Framework for the Preparation and Presentation of Financial Statements (the Framework). This is one of the examinable documents for this paper. While you are not required to have a detailed knowledge of the content of the Framework, it is useful to be able to explain what the definition means.

The key issues are:

- The entity has control of the resource.
- This has arisen due to a past event or transaction.
- Economic benefits are expected to become available to the entity as a result of its control of the resource.

There are two kinds of asset, current assets and non-current assets.

Current assets are assets that will be sold or consumed within the business's operating cycle. Normally this means that the assets will be converted into cash within 12 months.

For example, inventory is a current asset. When it is sold it will generate cash, either immediately (if it is a cash sale) or within 30 days or so (if it is a credit sale). Trade receivables are also current assets, because they will be paid in cash within the normal credit period. Money in a bank current account can be withdrawn on demand, and cash is already cash. Therefore inventory, trade receivables, bank accounts and cash are all normally classified as current assets.

Non-current assets are assets that are **not** current assets. Non-current assets are items such as property or machinery that will be used by a business over several accounting periods.

Assets appear as debit balances in the statement of financial position.

Liabilities

Definition A **liability** is a present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.

This definition is found in the Framework for the Preparation and Presentation of Financial Statements (the Framework). This is one of the examinable documents for this paper. While you are not required to have a detailed knowledge of the content of the Framework, it is useful to be able to explain what the definition means. The key issues are:

The entity has a present obligation.

- This has arisen due to a past event or transaction.
- An outflow is expected of economic benefits.

The amount owed by a business to its owner is classified as capital, not a liability.

Liabilities are classified according to when they have to be settled.

Current liabilities are liabilities that must be settled within 12 months. These include trade payables (the amounts owed to suppliers) and bank overdrafts.

Non-current liabilities are liabilities that do not need to be settled for at least one year. Typically this will only include the amount of long-term loans which will be repayable after one year. (The amount due for repayment within the next year will be included in current liabilities.)

Liabilities appear as credit balances in the statement of financial position.

Capital

Capital represents the owner's net investment in the business. Capital equals the amount of money invested in a business, plus all profits to date, less all losses to date and less all drawings to date.

Capital appears as a credit balance in the statement of financial position.

Drawings

Drawings are any amounts taken out of the business by the owner for their own personal use. Drawings can include money taken out of the business, goods taken for personal use or personal expenses paid by the business.

Drawings will reduce the capital balance reported in the statement of financial position.

4.3 THE STATEMENT OF PROFIT OR LOSS

The statement of profit or loss reports on the financial performance of a business over a period of time. In financial accounting the statement of profit or loss normally covers a period of 12 months, although shorter or longer periods are allowed in certain circumstances. Management accounts are often prepared monthly or quarterly as well as annually.

The statement of profit or loss reports revenue and expenses for the period. The profit for the period is calculated by deducting the expenses for the period from the revenue and other income. The profit belongs to the owner of the business.

Revenue

Revenue normally consists of sales (less sales returns).

Sales are the proceeds from the sale of goods and services. It is reported net of sales tax. (Sales Tax is covered in sections 8, 9 and 10 of this chapter.)

Sales, and any other income, are reported as credit entries in the statement of profit or loss.

Expenses

Expenses are the costs incurred by the business in the course of trading. In a sole trader's accounts expenses are normally analysed as follows:

Cost of sales: The cost of goods sold. This will consist of the purchase price of inventory plus carriage inwards (the cost of transporting goods to the business) less any returns made to suppliers.

Overheads or expenses: All administration, selling and distribution costs, including the cost of delivering goods to customers.

Finance costs: Interest paid on loans and overdrafts.

Expenses are debits in the statement of profit or loss. They are reported net of sales tax.

4.4 EXPANDING THE ACCOUNTING EQUATION

The two simplest forms of the accounting equation are:

$\text{Capital} = \text{Assets} - \text{Liabilities}$

$\text{Assets} = \text{Capital} + \text{Liabilities}$

The accounting equation can also be stated as follows:

$\text{Capital} = \text{Opening net assets} + \text{Profit} - \text{Drawings}$

$\text{Assets} - \text{Liabilities} = \text{Capital introduced} + \text{Revenue} - \text{Expenses} - \text{Drawings}$

From the last two it follows that:

- if a business makes a profit its capital and net assets increase
- if a business makes a loss its capital and net assets decrease.

5 PREPARING LEDGER ACCOUNTS

5.1 LEDGER ACCOUNTS

A business must record all transactions as soon as they occur. This not only informs management of what is going on in the business, but helps them to control the business and plan for the future. Therefore, a simple and reliable system of recording the effects of all transactions is essential for all enterprises, public or private.

The double entry system recognises that every transaction affects two items. For example when the van was bought using a loan for \$4,000 in the example in Section 3 above, assets were increased by \$4,000 (the van) and so were liabilities (the loan).

5.2 DEBITS AND CREDITS, ASSETS AND LIABILITIES

The ways in which debits increase assets (and decrease liabilities) and so on are noted below. You should be able to remember these from your previous studies.

Debit entries record

- increases in assets
- expenses
- drawings
- decreases in liabilities.

Credit entries record

- increases in capital
- increases in liabilities
- sales and other income
- decreases in assets.

If we look at the illustration for Jo Green (section 2.2) the transactions for the first two days we would be recorded as follows:

Day 1 Jo Green invests \$5,000 of her own money setting up a garden design business. The business will be called Lynx Landscaping.

The asset of bank increases = debit \$5,000 to bank account and the capital increases = credit \$5,000 to the capital account

Day 2 The business pays cash for inventory (goods for resale) costing \$2,000. The capital remains the same, but there are now two assets.

The asset of bank decreases = credit \$2,000 to the bank account and the asset of inventory increases = debit \$2,000 to inventory.

In both days we can see for each transaction we have the duality concept – one debit and one credit transaction. Not all transactions will result in only one debit and one credit entry; however, it is vital that the value of the debit entries equal the value of the credit entries.

5.3 EXAMPLE

The illustration below shows how the transactions in the Jo Green example will have been recorded in the ledger accounts of the business.

Part A presents this information in the form of *journal entries*. The journal entries note whether the account being debited (or credited) will feed through to the statement of profit or loss (SPL) or into the statement of financial position (SFP).

If journal entries are required in an exam, the generally accepted form of presentation as shown on page 38 should be used. The presentation used here is intended to explain how the journal entry is derived from the related transaction.

Part B shows the entries in the ledger accounts themselves.

Part A Journal entries					
Date	Transaction	Account		<i>Dr</i>	<i>Cr</i>
				\$	\$
Day 1	\$5,000 Capital introduced	Bank	SFP	5,000	
		Capital	SFP		5,000
Day 2	Purchase of inventory	Purchases	SPL	2,000	
		Bank	SFP		2,000
Day 3	Loan received	Bank	SFP	4,000	
		Loan	SFP		4,000
	Van purchased	Non-current assets	SFP	4,000	
		Bank	SFP		4,000
Day 4	Goods sold for \$3,500 cash	Cash in hand	SFP	3,500	
		Sales	SPL		3,500
	Expenses of \$480 paid in cash	Expenses	SPL	480	
		Cash in hand	SFP		480
Day 5	Jo Green takes \$350 in drawings	Capital (or Drawings)	SFP	350	
		Bank	SFP		350

When inventory is purchased it is normally debited to purchases, which is an expense in the statement of profit or loss. Unsold inventory is adjusted for at the end of each accounting period. This is studied in a later chapter.

The receipt of the loan from the bank and the purchase of the van have been recorded as two separate transactions.

Most businesses record drawings in a separate account. This makes it easier to see how much cash has been put into the business as capital and taken out as drawings. At the end of each year the balances on the capital and drawings account are netted off.

Part B Ledger accounts

Capital (SFP)

\$		\$	
		Day 1	Bank
			5,000

Bank (SFP)

\$		\$	
Day 1	New capital	Day 2	Purchases
	5,000		2,000
Day 3	Loan	Day 3	Van
	4,000		4,000
		Day 5	Drawings
			350

Purchases (SPL)

\$		\$	
Day 2	Purchases		
	2,000		

Loan (SFP)				
		\$		\$
	Day 3		Bank	4,000
Motor van (SFP)				
		\$		\$
Day 3	Bank	4,000		
Sales (SPL)				
		\$		\$
	Day 4		Cash in hand	3,500
Cash in Hand (SFP)				
		\$		\$
Day 4	Sales	3,500	Day 4	Expenses
				480
Expenses (SPL)				
		\$		\$
Day 4	Cash in Hand	480		
Drawings (SFP)				
		\$		\$
Day 5	Bank	350		

5.4 BALANCING THE LEDGER ACCOUNTS

This example only covers five days of trade. In real life businesses record thousands of transactions every day for a whole year. At the end of the year (or at the end of each accounting period) the accounts need to be balanced off. This tells management what the closing balance is for statement of financial position items (such as cash or payables) and what the totals are for statement of profit or loss items (such as sales or purchases). We will now balance off the bank account from the Jo Green example.

Bank (SFP)				
		\$		\$
Day 1	New capital	5,000	Day 2	Purchases
Day 3	Loan	4,000	Day 3	Non-current assets
			Day 5	Drawings
				350
Step 1	Sub-total	9,000	Step 1	Sub-total
			Step 2	Balance carried down
				2,650
Step 3	Total	9,000	Step 3	Total
				9,000
Step 4	Balance brought forward	2,650		

- Step 1** Calculate sub-totals for both sides of the account.
- Step 2** The difference between the two sub-totals is the closing balance. Add the difference onto the side with the smaller sub-total. For statement of financial position items, the closing balance is sometimes referred to as the balance carried down.
- Step 3** Both sides now add-up to the same total.
- Step 4** For statement of financial position items, one year's closing balance is the next year's opening balance. In this example we are bringing down a debit balance for bank of \$2,650. This means that the business has a positive bank balance. (An overdraft would be brought down as a credit balance.)

6 THE GENERAL LEDGER

6.1 PURPOSE

A business needs a separate ledger account for each type of asset, liability, income and expense. An average sized business may need one hundred plus ledger accounts. These ledger accounts are kept in the **general ledger**. This is a large loose-leaf book, with each page being used for a different ledger account. Sometimes the general ledger is called the nominal ledger, and sometimes the pages are called folios.

Computerisation has not changed the role or importance of the general ledger. A computerised general ledger is laid out in the same way as a manual ledger, except that the individual accounts are given code numbers rather than folio references.

6.2 DEFINITION OF A GENERAL LEDGER

Definition The **general ledger** contains all the individual ledger accounts used by a business.

7 CREDIT TRANSACTIONS IN THE GENERAL LEDGER

7.1 INTRODUCTION TO CREDIT TRANSACTIONS

Most business-to-business transactions are done on credit. This means that the goods are exchanged before they are invoiced or paid for. Under the accruals concept, these transactions should be recorded when they occur, rather than when they are paid for. Generally speaking it means that both sales and the purchases will be recorded when the related goods or services are physically delivered.

Normally, for the sake of convenience, transactions are recorded when the invoice is raised (for sales) or received (for purchases). At the year-end an adjustment is then made for goods or services that have been received but not yet invoiced.

7.2 CREDIT PURCHASES

When a business buys goods on credit it will owe money to a supplier. Until paid, the supplier will be a trade payable. Trade payables are classified as current liabilities in the statement of financial position.

The double entry on purchase will be:

Debit	Purchases (an expense in the statement of profit or loss)
Credit	Trade payables (a liability in the statement of financial position)

When the goods are paid for the double entry will be:

Debit	Trade payables (decreasing the liability)
Credit	Bank and cash (decreasing the asset of cash)

Expenses incurred on credit are dealt with in the same way, except that the appropriate expense heading, say electricity, in the statement of profit or loss will be debited instead of the purchases account.

Example – credit purchases

Swing Dancewear purchases some leotards on credit for \$10,000:

Purchases	Trade payable
10,000	10,000

After a short period of time the supplier will be paid. Following the double entry rules, the asset account, cash at bank, is being reduced therefore there will be a credit entry to that account. The liability account payable is also being reduced thus requiring a debit entry to that account.

Purchases	Trade payable	Cash at bank
\$	\$	\$
10,000	10,000	10,000
(1)	(2)	(2)

7.3 CREDIT SALES

With a credit sale, the sale is made, the goods go out of the business and the customer owes the business some money. The amount owed is known as a **trade receivable**. Trade receivables are normally classified as current assets in the statement of financial position.

The double entry on sale will be:

Debit	Trade receivables
Credit	Sales

When the customer pays up the double entry will be:

Debit	Bank and cash
Credit	Trade receivables

Example – credit sales

Swing Dancewear sells all the leotards for \$14,000 on credit. These had previously been purchased for \$10,000.

- (a) Sale on credit

Sales	Trade receivables
14,000	14,000

- (b) Receipt of cash

Two months later the cash is received from the trade receivable:

Sales	Trade receivables	Cash at bank
14,000	14,000	14,000
(1)	(1)	(2)

8 ELEMENTS OF SALES TAX

8.1 THE SYSTEM

Most developed countries operate a sales tax system. A business must pay tax on the goods and services it buys if those goods and services are supplied by a business registered to account for sales tax. This tax is collected by the seller, who then has to pay the money over to the tax authorities. In the UK this tax is known as Value Added Tax (VAT), but for the rest of this chapter it will be referred to as sales tax. Prices in shops normally include sales tax, but business-to-business transactions are often quoted exclusive of sales tax.

Only a business registered for sales tax is required to charge tax on its sales. A tax registered business acts as a tax collector for the government. It pays over the tax levied on its own sales, but it can reclaim the sales tax paid on its purchases.

A business must register for sales tax when its sales revenue or turnover reaches a specific limit or threshold, or it may register voluntarily in some countries.

A sales tax registered business collects sales tax on goods sold and pays it to the tax authorities and can reclaim sales tax paid on its own purchase of goods, expenses and non-current assets. Therefore, in most cases, the business usually makes a net payment to the tax authorities.

8.2 DEFINITIONS

Definition **Taxable supplies** are goods sold subject to sales tax.

Definition Sales tax charged on sales to customers is referred to as **output tax**.

Definition Sales tax paid on purchases is referred to as **input tax**.

8.3 SALES TAX RATES

Taxable supplies are chargeable at different rates of sales tax. These vary by country. As an example, in the UK there are three rates:

Standard rate: 20%, the default rate

Reduced rate: 5% on e.g. domestic fuel

Zero rate: on e.g. food, books, newspapers and children's clothes

Some items are exempt or outside the scope of sales tax for example, banking and exports. Businesses carrying on exempt activities cannot charge sales tax on their sales and cannot reclaim sales tax on their purchases.

8.4 WORKING OUT SALES TAX

At work there is often a need to work out sales tax from either the gross figure (including tax), or the net figure (excluding tax). Prices quoted in shops are normally gross, but business-to-business prices are usually quoted net.

All the following examples will assume that the rate of sales tax is 20%.

Net to gross

The net figure is given and tax is added to this. The tax is calculated at 20% of the net amount. Therefore the gross amount is built up as follows.

Assume that the net selling price is \$200.

	%	\$
Net amount	100	200
Add tax @ 20%	20	40
Gross amount	120	240

Gross to net

The gross figure is given, and the tax element has to be calculated. Using the structure above we can see that the tax will be $\frac{20}{120}$ of the gross amount. This will be deducted to find the net amount, as shown below.

Assume that the gross selling price is \$750. The tax will be $\frac{20}{120}$ of this, which is \$125.

	%	\$
Gross amount	120	750
Less tax @ $\frac{20}{120}$	(20)	(125)
Net amount	100	625

ACTIVITY 1

Calculate the sales tax element on the following supplies assuming a sales tax rate of 20%:

- (a) \$120 gross
- (b) \$480 gross
- (c) \$200 net
- (d) \$1,272 gross
- (e) \$17,484 gross

For a suggested answer, see the 'Answers' section at the end of the book.

9 ACCOUNTING FOR SALES TAX**9.1 OVERVIEW**

The business must record:

- The gross amount payable to suppliers and receivable from customers. Trade payables' and 'Trade receivables' are shown gross in the statement of financial position.
- The net amount of purchases, expenses and sales.
- The tax owed to the tax authorities and the tax recoverable from the tax authorities. The net amount is normally a liability in the statement of financial position.

Most businesses account quarterly for sales tax and usually pay the net balance to the tax authorities.

9.2 CREDIT SALES AND SALES TAX

This section looks at the accounting for sales tax on a credit sale. The example is based on the sale of goods with a net price of \$6,000. The total invoice price will be made up as follows:

	\$	Double entry	
Net	6,000	Credit Sales (SPL)	This is the net sales value to the business. The statement of profit or loss will record a sale of \$6,000.
Tax @ 20%	1,200	Credit Sales tax liability (SFP)	This will be collected from the customer by the business, and then paid over to the authorities.
Gross	7,200	Debit Trade receivables (SFP)	This is the trade receivable, the total amount receivable from the customer.

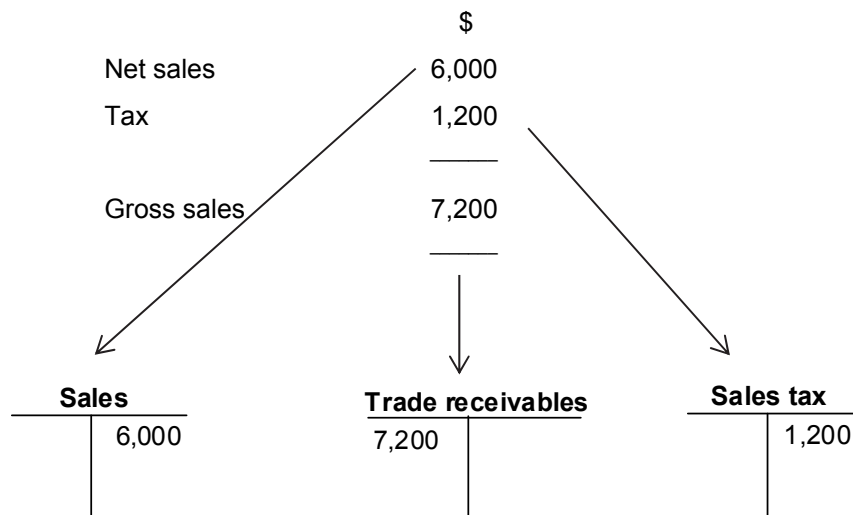
Note:

Statement of profit or loss = SPL

Statement of financial position = SFP

The steps to accounting for tax on this transaction are:

- 1 The net sale is credited to the sales account, the tax is credited to a sales tax account and finally the total is debited to trade receivables.



- 2 The customer pays the gross amount, clearing the debt.

Note that tax is not accounted for when the money is received from the customer. The tax has already been accounted for when the sale was made.

Sales	Trade receivable	Sales tax	Cash at bank
6,000	7,200	1,200	7,200
(1)	(1) (2)	(1)	(2)

9.3 CREDIT PURCHASES AND SALES TAX

This section looks at the accounting for sales tax on a credit purchase. The example is based upon the purchase of goods with a net cost of \$4,000. The total invoice cost will be as follows:

	\$	<i>Double entry</i>	
Net	4,000	Debit Purchases (SPL)	This is the net cost to the business. The SPL will record a purchase of \$4,000.
Tax @ 20%	800	Debit Sales tax recoverable (SFP)	This tax will be paid over to the supplier, but then recovered from the tax authorities.

Gross	4,800	Credit Trade payables (SFP)	This is the trade payable, the total amount payable to the supplier.

The steps to accounting for sales tax on this transaction are:

- 1 The net purchase is debited to the purchases account as normal. Sales tax is debited to the sales tax account. Finally the total is credited to the trade payables account.

		\$		
Net purchase		4,000		
Sales tax		800		
Invoice total		<u>4,800</u>		
		↓		
Purchases		Trade payables		Sales tax
4,000		4,800		800

- 2 When the business pays the debt to the supplier the total invoice amount is paid from the bank account and the amount showing as owing in payables is eliminated.

Purchases		Sales tax		Trade payables		Cash at bank	
4,000		800		4,800	4,800		4,800
(1)		(1)		(2)	(1)		(2)

As before, tax is accounted for when the invoices are recorded, not when the invoices are paid.

10 SALES TAX ADMINISTRATION

10.1 OVERVIEW

If a business is registered for sales tax there are documents and records that must be kept and administrative rules to be followed. Depending upon the size and nature of a business, it may need to make quarterly or monthly returns to account for sales tax suffered on (inputs) purchases, which, in principle, can normally be reclaimed or offset against sales tax on (outputs). Also, depending upon the size and nature of the business, a business may be required to account for sales tax on an accruals basis, with many small businesses able to account for sales tax on a cash basis. Some very small businesses are able to account for sales tax on an annual basis. Many businesses now complete their sales tax returns on-line and make any payment due by automated bank transfer.

10.2 BUSINESS DOCUMENTATION

Records must be kept of all sales and purchases. A sales tax invoice must be created for each sale and a copy given to the customer and a copy retained by the business

A business registered for sales tax must have a valid tax invoice from its supplier to be able to reclaim sales tax on purchases made and expenses incurred.

A tax invoice must show:

- Seller's name and address
- Seller's registration number
- Invoice date
- Description of the goods supplied to the customer, price charged together with the rate of sales tax and total sales tax charged.

10.3 PAYMENT OF SALES TAX

Payments must be made to the relevant tax authorities with a return (completed form) outlining the output tax charged and input tax paid. Payments are usually made quarterly but may be made more regularly to spread payments.

The following summary of a sales tax account identifies the source of the documentation and information used to account for sales tax. It should be noted that sales tax information is compiled from a range of sources.

Sales Tax			
	\$		\$
Sales tax per PDB re credit purchases	X	Balance b/f	X
Sales tax per cash book re cash purchases	X	Sales tax per cash book re cash sales	X
Sales tax per petty cash book re employee expenses etc.	X	Sales tax per SDB re credit sales	X
Cash paid to tax authorities	X		
Balance c/f	X		
	X		X
		Balance brought forward	X

When making a return to account for sales tax, the following information is normally required:

- the business name making the return
- the sales tax registration number of the business to account for and administer sales tax
- the period covered by the return e.g. which quarter or month it relates to
- total value of sales (outputs) and output tax charged to customers by the business
- total value of purchases (inputs) and input tax charged by suppliers
- adjustments for errors in earlier returns
- net amount due to (or from) the tax authorities for the return period – usually any payment due from the business accompanies the return submitted to the tax authorities

10.4 PENALTIES

If the tax authorities do not receive the return and/ or payment by the deadline, the business will be charged a penalty or surcharge. This is usually a percentage of the outstanding tax to be paid.

The business may also be charged a fee if there are errors on the return so it is important to retain documentation and to take care to make sure that the information filed is complete and accurate and that it is submitted on time.

10.5 ADJUSTMENTS, ERRORS OR OMISSIONS

If an error is discovered on a tax return which has already been submitted, the tax authorities must be contacted as soon as possible. If the tax authorities discover an error that you did not make them aware of, the penalties may be significantly higher. The standard sales tax return form usually includes space available to make and explain any corrections required.

10.6 CHANGES IN SALES TAX LEGISLATION

If there is a change in the sales tax rate or documentation required, the business must be prepared for the change. Invoices must be changed in advance and automated systems adjusted accordingly. This will have a far reaching effect on the business.

10.7 IMPACT OF ACCOUNTING FOR SALES TAX BY A BUSINESS

In effect, the business is acting as a tax administrator and collector on behalf of the tax authorities when it accounts for sales tax. It must maintain detailed accounting records to support entries made on the sales tax return. The consequence of this is that, where a business charges more output tax on sales than it suffers on input tax on purchases, it will make regular payment of sales tax to the tax authorities.

Consequently, a business must be aware that it must pay sales tax collected on behalf of the tax authorities (on sales or 'outputs'), whilst it is able to reclaim or offset any sales tax suffered on inputs or purchases.

CONCLUSION

By the end of this chapter you should have revised your knowledge of the accounting equation and the meaning of assets, liabilities, capital, drawings, revenue and expenses.

You will also have refreshed your bookkeeping skills, in particular how to record basic transactions in ledger accounts, and how to balance the ledger accounts at the end of each accounting period.

This chapter has also outlined how the sales tax system works, and how sales tax should be recorded in the ledger accounts.

KEY TERMS

Accounting – the process of recording and summarising the transactions of a business.

Accounting equation – Capital = Assets – Liabilities

Asset – something owned or controlled by the business that will result in future economic benefits to the business (an inflow of cash or other assets). These may be current or non-current.

Business entity – any organisation that prepares accounts as a separate entity from its owners.

Capital – the owner's net investment in the business. Capital equals the amount of money invested in a business, plus all profits to date, less all losses to date and less all drawings to date.

Drawings – amounts taken out of the business by the owner for their own personal use.

Duality concept – every transaction that occurs within a business has two equal and opposite effects on the accounting equation.

Expenses – the costs incurred by the business in the course of trading. Expenses normally consist of cost of goods sold and overheads.

General ledger – is a central storage system where all accounting transactions are ultimately recorded. It is, effectively, the accounting equation in real life.

Liability – an amount owed by the business to third parties. If a business has a liability it cannot avoid transferring economic benefits (normally cash) to another entity. These may be current or non-current.

Revenue – income from the trading activities of the business (normally sales).

Sales tax – a tax charged on sales at a percentage of the net selling price. Businesses collect sales tax from their customers and pay it over to the tax authorities.

Statement of financial position – a statement showing the *financial position* of a business at a particular point in time. It records the *assets*, *liabilities* and *capital* of the business.

Statement of profit or loss – statement reporting on the financial performance of a business over a period of time.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 Define an asset.	4.2
2 Define liabilities.	4.2
3 What is the name given to the expense sub-category used to record the cost of the inventory that has been sold by the company?	4.3
4 If the left hand side of a T account is bigger than the right side, is this a debit balance or a credit balance?	5.4
5 What are credit transactions?	7.1
6 What is a trade receivable?	7.3
7 What must a business do with the sales tax collected in from its sales?	8.1, 9.2

EXAM-STYLE QUESTIONS

- 1** David runs his own business. He already has \$8,000 of capital invested. He decides on 23 March to invest a further \$2,000. How should the transaction on 23 March be recorded?
- A** Debit Bank \$2,000, Credit Capital \$2,000
- B** Debit Capital \$2,000, Credit Bank \$2,000
- C** Debit Bank \$10,000, Credit Capital \$10,000
- D** Debit Capital \$10,000, Credit Bank \$10,000
- 2** Valerie runs a business that is registered for sales tax. On 28 September, the business purchases goods on credit for \$9,400, inclusive of tax at 20%. How would this purchase be recorded in the accounts?
- A** Debit Purchases \$7,520, Debit Sales Tax \$1,880, Credit Payables \$9,400
- B** Debit Purchases \$7,520, Debit Sales Tax \$1,880, Credit Cash \$9,400
- C** Debit Purchases \$7,833, Debit Sales Tax \$1,567, Credit Cash \$9,400
- D** Debit Purchases \$7,833, Debit Sales Tax \$1,567, Credit Payables \$9,400

PRACTICE QUESTION

GRACE

Grace commenced business on 1 June 20X9 with cash of \$5,000 and she introduced a car valued at \$4,500. The following transactions took place:

- 1 June Purchased goods for \$1,000 cash
- 2 June Purchased fixtures and fittings \$900 for cash
- 3 June Purchased goods on credit from Eileen \$1,500
- 4 June Sold goods for \$1,200 cash
- 5 June Sold goods on credit to Tom for \$900
- 8 June Paid wages \$100 in cash
- 9 June Bought goods from Eric for \$850 on credit
- 10 June Sold goods to Trevor \$800 on credit
- 11 June Sold goods on credit to Tom for \$1,000
- 12 June Paid Eileen \$1,350
- 15 June Tom paid in full
- 16 June Purchased \$700 goods for cash
- 17 June Sold \$500 goods for cash
- 18 June Trevor paid \$500
- 19 June Paid wages \$150
- 22 June Paid Eric in full
- 24 June Loan received from Guy \$1,000
- 25 June Purchased a computer system for \$4,000
- 26 June Paid wages \$150

Required:

Write up the ledger accounts for the month of June.

(Ignore dates in the ledger accounts.)

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 2

THE STRUCTURE OF ACCOUNTING RECORDS

This chapter outlines the structure of accounting records. It describes how transactions are first recorded in the books of original entry, how these books summarise and analyse the transactions, and how these transactions are totalled and posted to the relevant accounts in the General Ledger. It explains the difference between the control accounts for sales and purchases, and the more detailed information kept in the sales and purchase personal ledgers.

Finally, it explains the role of the journal, when and why it is needed, and how to draft a journal entry.

This chapter covers syllabus areas B2, C1, C2, D1, D2.

CONTENTS

- 1 Ledgers
- 2 Purpose of books of prime entry
- 3 The purchases day book
- 4 The analysed cheque payments day book
- 5 The sales day book
- 6 The analysed cash received day book
- 7 Trade and settlement discounts
- 8 Personal ledger accounting
- 9 The purpose and use of the journal
- 10 Preparing and posting of journals

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- understand why books of prime entry are used in an accounting system
 - record transactions in day books
 - use day books to update the general and personal ledgers
 - account for settlement discounts
 - prepare and post journals to the general ledger
 - understand how the structure of accounting records contributes to providing useful accounting information.
-

1 LEDGERS

Businesses require different types of information from their accounting systems:

- amounts owed to and owed by third parties for the everyday running of the business
- asset, liability, income and expense figures for the financial statements.

Two different types of ledger are set up to record business transactions.

Definition A **ledger** is a collection of ledger accounts, in each of which transactions of the same type, or relating to the same person, are recorded. Ledger accounts are often called T accounts because of the usual format. Debit entries are recorded on the left hand side of the T account and credits on the right.

A ledger can be thought of as a book, with a page for each account; in practice they are often maintained on computer.

When a ledger account is requested in the examination, the generally accepted format is expected. Entries should be clearly marked as a debit entry or credit entry.

Definition The **general (nominal) ledger** holds all the ledger (T) accounts that are used to prepare the financial statements (income, expense, asset and liability accounts).

Definition The **personal ledgers** (receivables and payables) hold individual accounts for each of the business's credit customers and suppliers, so that amounts owed by/to them can be identified for management purposes. The **payables ledger**, (also known as the purchase ledger) holds all the suppliers' individual accounts. The **receivables ledger** (also known as the sales ledger) holds all the customers' individual accounts. Individual accounts are referred to as 'personal accounts' because they relate to a specific customer or supplier.

These accounts are generally not part of the double-entry system.

In some circumstances whereby an entity has only a small number of customers and suppliers the personal ledgers could be used in the double entry system.

Consequently, as personal ledgers are usually not part of the double entry system, they are referred to as memorandum accounts i.e. for information only. If all entries have been made correctly, the total value of the balances in the personal (memorandum) accounts will agree to the total of the general ledger account, which becomes a control account. This is dealt with further in chapter 8.

So far, we have recorded each individual transaction as it occurred straight into the relevant T account in the general ledger. In a business there may be a large number of transactions each day. This means that it is not practical to record individual transactions directly to the general ledger. Instead, similar transactions are grouped together and recorded in **books of prime entry** (also known as books of original entry or day books).

The totals of each group of transactions are then transferred to the general ledger at regular intervals. This may be done daily, weekly or monthly, depending upon the needs of the business.

This chapter describes a typical accounting system, similar to that used by most businesses. In practice, systems of accounting records are adapted to meet the needs of the individual business.

2 PURPOSE OF BOOKS OF PRIME ENTRY

2.1 INTRODUCTION

Definition **Books of prime entry** (also called **books of original entry** or **day books** are the books in which all transactions are initially recorded.

The main books of prime entry are:

- sales day book (to record credit sales)
- purchases day book (to record credit purchases)
- cash received day book
- cheque payments day book
- petty cash book (see chapter 9)
- journal.

2.2 DAY BOOKS

By recording similar transactions in day books, a business can reduce the number of entries to the general ledger.

Periodically, the day books are sub-totalled and the sub-totals posted to the general ledger.

In the case of transactions with credit customers and suppliers, the day books are also used to update the personal ledgers.

We shall first consider the setting up and use of the purchases day book and the cheque payments day book, and their integration with the general ledger.

3 THE PURCHASES DAY BOOK

3.1 USE

Definition The **purchases day book** is used to record all:

- invoices for purchases made on credit
- credit notes for purchases made on credit (unless a separate purchases returns/returns outwards book is maintained).

The day book is not part of the double entry, but as we shall see, is used to originate the double-entry recording procedures.

Definition An **invoice** is a document produced by the seller and sent to the purchaser, recording all the details of the sale.

Definition A **credit note** is a document produced by the seller and sent to the purchaser cancelling all or part of an invoice. This may be because:

- the price charged was incorrect
- the wrong quantity or type of goods was delivered.

3.2 WHAT A PURCHASES DAY BOOK LOOKS LIKE

1	2	3	4	5	6	7	7	7	7	7	7
<i>Date</i>	<i>Invoice number</i>	<i>Supplier</i>	<i>Payables ledger ref</i>	<i>Total</i>	<i>Sales tax</i>	<i>Inventory purchases</i>	<i>Repairs</i>	<i>Non-current assets</i>	<i>Electricity</i>	<i>Rent and rates</i>	<i>Motor expenses</i>
				\$	\$	\$	\$	\$	\$	\$	\$

3.3 NOTES ON COMPLETING THE PURCHASES DAY BOOK

The numbers refer to the column references above.

- (1) The date on the invoice should be entered here.
- (2) Each supplier invoice should be given a sequential number when it is received by the business. The invoice will then be filed in this number order. This will make the subsequent tracing of invoices much easier.
- (3) The supplier's name is entered here.
- (4) To be able to group transactions from any one supplier, each supplier is given a supplier number or code (payables ledger reference).
- (5) The inclusive of sales tax total on the invoice is entered in this column.

- (6) The sales tax shown on the invoice is entered in this column. This entry will enable the tax on the invoice to be reclaimed.
- (7) The final entry is the net of tax amount shown on the invoice. The amount will be entered into one of the analysis columns depending on what the invoice was for. For example, an invoice for purchases of inventory would be entered in the column headed 'Inventory purchases'.

The procedure for credit notes is identical except that the figures are entered in brackets to denote that they will be deducted from the total. Many larger businesses have a separate day book recording all credit notes received. This day book is known as the **purchases returns** or **returns outwards day book** and it operates in the same way as the purchases day book.

ACTIVITY 1

The Flying Fortress Partnership purchases the following items on credit:

Invoice (8) from N Hudson (whose payables ledger reference is PLHud3) dated 6/6/X4 for purchases of inventory – total \$4,800, tax \$800.

Invoice (9) from Doors Ltd (payables ledger reference PLDor10) dated 10/6/X4 for a repair – total \$960, tax \$160.

Credit note (CN6) from N Hudson (PLHud3) dated 20/6/X4 in respect of inventory purchases – total \$480, tax \$80.

Invoice (10) from G Farr (PLFar8) dated 30/6/X4 for a non-current asset – total \$2,400, tax \$400.

Set up a purchases day book and fill in the relevant columns. Total the columns and make sure that they cross-cast.

For a suggested answer, see the 'Answers' section at the end of the book.

3.4 POSTING FROM THE PURCHASES DAY BOOK

The column totals from the day books are posted to the general ledger accounts.

- The **total column** shows the total value of invoices received from credit suppliers, and therefore needs to be recorded in the general ledger as a liability. This is done via a total payables' account, normally called the payables ledger control account (or purchase ledger control account).

Definition The **payables (purchase) ledger control account** is used to record the total liability to credit suppliers in the general ledger.

- The corresponding debit entries are posted to the sales tax account and the appropriate asset and expense accounts.
- Note also that individual line items are also posted to the suppliers' personal accounts.

Summary

Debit Sales tax account

Debit Asset and expense accounts

Credit Payables ledger control account.

ACTIVITY 2

Using the purchases day book from Activity 1, you are required to post the month's totals to relevant general ledger T accounts.

For a suggested answer, see the 'Answers' section at the end of the book.

4 THE ANALYSED CHEQUE PAYMENTS DAY BOOK**4.1 USE**

The analysed cheque payments day book is used to record:

- payments of credit purchase invoices
- all other payments out of the business's bank account.

4.2 WHAT AN ANALYSED CHEQUE PAYMENTS DAY BOOK LOOKS LIKE

1	2	3	4	5	6	7	8	8	8	8	8	9
Date	Payee	Cheque number	Total \$	Payables ledger \$	Payables ledger ref	Sales tax \$	Insurance \$	Wages \$	Drawings \$	Petty cash \$	Other \$	Discount received \$

4.3 NOTES ON COMPLETING THE CHEQUE PAYMENTS DAY BOOK

The numbers refer to the column references above.

- (1) The date of the payment is entered in this column.
- (2) The person to whom the cheque was made out is entered here.
- (3) The cheque number is entered next.
- (4) The total value of the cheque is entered in this column.
- (5) If the cheque is to pay a credit invoice or a series of credit invoices, the **whole** amount is entered in this column headed 'Payables ledger'. There is no need to consider sales tax as this was accounted for when the purchase was initially recorded in the purchases day book.

- (6) If there is an entry in column five, it must have a payables ledger reference for the supplier. This reference will be the same code that was used when recording an invoice or a credit note from the supplier. The code is not needed if there is no entry in column five.
- (7) If the payment is not against a payables ledger balance, then the tax must be recorded in this column.
- (8) The net amount for each non-payables ledger payment will be entered in the appropriate analysis column.
- (9) The final column, for settlement discounts received, is a memorandum column. It is used to note any settlement discounts received from a supplier because an invoice has been paid promptly by a specified date. Discounts are discussed further elsewhere in this chapter.

ACTIVITY 3

The Flying Fortress Partnership now makes the following payments in respect of the various credit invoices and other items.

Payment of \$4,320 on 23/7/X4 to N Hudson in payment of the inventory invoice net of the credit note. This was paid by cheque, (cheque number 1003).

On 24/7/X4, \$2,400 to G Farr in respect of invoice number 25, by cheque, (cheque number 1004).

On 28/7/X4, purchase of sundry items from E.Lectra, **not on credit** for \$960 including tax of \$160, (cheque number 1005).

On 30/7/X4, payment of wages, \$2,500 using cheque number 1006.

Write up the analysed cheque payments day book for these transactions.

For a suggested answer, see the 'Answers' section at the end of the book.

4.4 POSTING THE ANALYSED CHEQUE PAYMENTS DAY BOOK

Sub-totals are posted to the general ledger:

- The total column shows the total cash paid from the bank in the period. This is posted (as a credit) to the 'cash at bank' ledger account in the general ledger. This reduces the asset of cash (or increases the overdraft liability).
- The total of the payables ledger analysis column is posted (as a debit) to the payables ledger control account, reducing the total liability to suppliers.
- The remaining debits are posted to sales tax and the appropriate asset and expense accounts.
- Note also that individual line items are also posted to personal accounts i.e. when cash is paid to a supplier.

Summary

Debit Payables ledger control account

Debit Sales tax account

Debit Asset and expense accounts

Credit Cash at bank.

ACTIVITY 4

Using the analysed cheque payments day book from Activity 3, you are required to post the month's totals to relevant general ledger T accounts. This should be treated as a continuation of Activity 2, so include any figures already posted in that activity in your T accounts. Open up new T accounts as necessary.

For a suggested answer, see the 'Answers' section at the end of the book.

5 THE SALES DAY BOOK

5.1 USE

Definition The **sales day book** is used to record all:

- invoices for credit sales
- credit notes for sales made on credit (unless a separate sales returns/returns inwards book is kept).

5.2 WHAT A SALES DAY BOOK LOOKS LIKE

Date	Invoice number	Customer	Receivables ledger ref	Total \$	Sales tax \$	Region 1 sales \$	Region 2 sales \$	Region 3 sales \$
1	2	3	4	5	6	7	7	7

5.3 NOTES ON COMPLETING THE SALES DAY BOOK

The numbers refer to the column references above.

- (1) Enter the date of the sales invoice.
- (2) Each invoice will be allocated a sequential number. Enter the number in this column.
- (3) Enter the name of the customer the invoice was sent to.

- (4) To help the grouping of invoices sent to the same customers, each customer is allocated a code (receivables or sales ledger reference). Enter the code in this column.
- (5) The tax inclusive total is entered in the total column.
- (6) The sales tax on the invoice is entered next. This must be paid over to the tax authorities.
- (7) Finally the invoice may be analysed depending on the needs of the business. Enter the net of tax amount shown on the invoice.

The procedure for credit notes is identical except that the figures are entered in brackets to denote that they will be deducted from the total. Alternatively, a separate sales returns (or returns inwards) day book may be used for credit notes.

ACTIVITY 5

GDP Ltd has two sales regions, North and South. The following invoices were raised in September 20X6.

Invoice number 68, dated 15/9, sent to Forks Ltd (whose receivables ledger reference is SLFor3), total \$24,000, tax \$4,000. This was a sale to the North region.

Invoice number 69, dated 18/9, sent to BL Lorries (receivables ledger reference SLBLL1), total \$4,800, tax \$800. This was a Southern region sale.

Invoice number 70, dated 30/9, sent to MA Meters (receivables ledger reference SLMam2), total \$2,880, tax \$480. This was a sale to the North region.

Set up a sales day book and record the above entries. Total the columns and make sure that they cross-cast.

For a suggested answer, see the 'Answers' section at the end of the book.

5.4 POSTING FROM THE SALES DAY BOOK

Subtotals are posted to the general ledger:

- The total column shows the total value of invoices issued to credit customers, and thus needs to be recorded in the general ledger as a debit, an asset. This is done via a total receivables account, more formally known as the receivables ledger control account (or sales ledger control account):

Definition The **receivables (sales) ledger control account** records the total amount owed to the business by its credit customers. The control account is part of the general ledger.

- The corresponding credit entries will be posted to the sales tax account and to the appropriate income accounts.
- Note that individual line items will also be posted to the customers' personal accounts.

Summary

Debit Receivables ledger control account

Credit Sales tax account

Credit Income accounts.

ACTIVITY 6

Using the sales day book from Activity 5, post the month's totals to relevant general ledger T accounts.

For a suggested answer, see the 'Answers' section at the end of the book.

6 THE ANALYSED CASH RECEIVED DAY BOOK**6.1 USE**

Definition The **analysed cash received day book** is used to record:

- money received from credit customers
- all other receipts of monies into the business's bank account.

6.2 WHAT AN ANALYSED CASH RECEIVED DAY BOOK LOOKS LIKE

1	2	3	4	5	6	7	7	7
Date	Receipt from	Total \$	Rec'ables ledger \$	Rec'ables ledger ref	Sales tax \$	Capital introduced \$	Cash sales \$	Deposit a/c interest \$

6.3 NOTES ON COMPLETING THE CASH RECEIVED DAY BOOK

- (1) The date of the receipt is entered in this column.
- (2) The person from whom the money was received is entered here.
- (3) The total value of the receipt is entered in this column.
- (4) If the cheque is received to settle a credit sales invoice or a series of credit sales invoices, the **whole** amount is entered in this column headed 'Receivables ledger'. There is no need to consider sales tax as this was accounted for when the sale was initially recorded in the sales day book.
- (5) If there is an entry in column four, then the customer reference number must be recorded.
- (6) Sales tax on cash sales must be recorded in this column.
- (7) The net amount is entered in the appropriate analysis column.

ACTIVITY 7

GDP Ltd received the following amounts in October 20X6.

Payment of invoice number 69, on 18/10, from BL Lorries (receivables ledger reference SLBLL1), total \$4,800.

Payment of invoice number 70 on 28/10, from MA Meters (receivables ledger reference SLMam2), total \$2,880.

A cash sale of \$1,200 including \$200 tax on 31/10.

Set up a cash received day book and post the above entries. Total the columns and make sure that they cross-cast.

For a suggested answer, see the 'Answers' section at the end of the book.

6.4 POSTING THE ANALYSED CASH RECEIVED DAY BOOK

Subtotals are posted to the general ledger:

- The total column shows the total cash received into the bank in the period. This needs to be posted (as a debit) to the cash at bank ledger account in the general ledger, to increase the asset balance (or decrease the overdraft liability).
- The total of the receivables ledger analysis column is posted (as a credit) to the receivables ledger control account, reducing the amount owed by trade receivables.
- The remaining credits are posted to sales tax and various cash sales or sundry receipts accounts.
- Note that individual line items are also posted to personal accounts i.e. when cash is received from a customer.

Summary

Debit Cash at bank

Credit Receivables ledger control account

Credit Sales tax

Credit Cash sales / sundry receipts accounts

ACTIVITY 8

Using the analysed cash received day book from Activity 7, you are required to post the month's totals to relevant general ledger T accounts.

For a suggested answer, see the 'Answers' section at the end of the book.

7 TRADE AND SETTLEMENT DISCOUNTS

7.1 TRADE DISCOUNT

Definition A **trade discount** is a discount given for ordering in large quantities or as an incentive for regular customers.

Trade discounts are merely a reduction in the selling price of goods at the point of sale. Trade discounts are given to customers for a variety of reasons. The main reason a trade discount is offered is to encourage customers to either purchase more goods over a period of time and/or to encourage customers to place larger individual orders.

For example, trade discount may be offered to customers who purchase in excess of, say, 1,000 units of a product within a specified time period. Alternatively, trade discount could be offered on any individual order to purchase, say, 100 units or more in a single transaction.

It is normal policy to show the percentage of trade discount on the face of a sales invoice. For example if the list price of goods is \$100 and a 10% trade discount is given then this might be shown on the invoice as:

	\$
List price	100.00
Less: 10% trade discount	10.00
Net price	90.00

The customer pays the net price. If sales tax is charged, it should be added to the net price, and the customer is required to pay the net price plus sales tax. Different percentages of trade discount might be applied to different products, in which case the relevant percentage discount is normally shown against each product on the invoice before sales tax is calculated, in the following alternative layout:

<i>Product</i>	<i>Description</i>	<i>Quantity</i>	<i>Item price</i>	<i>Discount</i>	<i>Total</i>
			\$		\$
HS336	Table	1	100.00	10%	90.00
HS472	Chair	6	90.00	5%	513.00
					603.00
Sales tax @ 20%					120.60
					723.60

The transaction is initially recorded by the seller at the trade discounted price. Therefore, trade discounts are not included in the accounting records.

7.2 SETTLEMENT DISCOUNT

Definition A **settlement discount** is a discount given for early payment of a debt i.e. within a specified period of time.

Typically, an invoice will state that payment is due 30 days from the invoice date. However, to persuade the customer to pay early, a percentage discount will be offered if payment is made before the due date. This discount is known as a **settlement (or prompt payment) discount**.

A settlement discount is therefore different in nature to a trade discount. A trade discount is a definite reduction in price that is **given** to the customer. A settlement discount is a reduction in the overall invoice price that is **offered** to the customer. It is for the customer to decide whether to accept this discount offer and pay the reduced amount within the required timescale, or to pay the full invoice amount at a later date.

A **typical wording of a settlement discount** might be '4% cash discount for payment within 14 days otherwise net 30 days'. This may be greatly abbreviated to: '4/14, net 30'.

This means that if the customer decides to pay the invoice within 14 days of the invoice date then he can deduct 4% from the invoice total and only pay the remaining amount. However, if the customer decides not to accept the settlement discount the full invoice amount should still be paid within 30 days.

In practical terms if a settlement discount is offered to a credit customer, there is no way of knowing, at the point when the invoice is prepared by the seller, whether the customer will take advantage of the settlement discount terms offered and pay the reduced amount. This is known as '**variable consideration**' as the seller does not know at the time sales revenue is recorded whether they will receive only the discounted amount or the full amount.

A business could therefore adopt one of the following approaches to deal with this situation:

- prepare the sales invoice for the full amount and, if the customer should pay early to claim the settlement discount, issue a credit note to reduce the sales revenue and receivable previously for the discount allowed to the customer. If the customer does not pay early, the full amount is due as normal.
- prepare the invoice for the reduced amount (after applying the settlement discount) on the expectation that the customer will pay early and be entitled to the settlement discount. Subsequently, if the customer does not pay early and is no longer entitled to the discount, the full amount is due and the additional amount received would be treated as if it was a cash sale.

Therefore, **in examination questions**, it will be stated whether a credit customer is expected to take advantage of settlement discount terms or not for the purpose of calculating amounts due from customers, or to calculate and account for cash receipts from customers.

For example, consider the situation of a business which sold goods to a customer at a price of \$200, and the customer is offered 3% settlement discount for settlement within ten days of the invoice date.

If the customer **is not expected to take advantage** of the early settlement discount terms, the invoice would consist of the following amounts:

	\$
List price	200.00
Less: 3% settlement discount	Nil
Amount due from customer	200.00

The accounting entries recorded by the seller would be as follows:

Debit Receivables \$200.00

Credit Revenue \$200.00

If, as expected, the customer does not take advantage of the settlement discount available, the full amount of \$200.00 should be paid by the customer. When the cash is received, the accounting entries to record this would be as follows:

Debit Cash \$200.00

Credit Receivables \$200.00

If however, the customer does take advantage of the settlement discount terms, they will pay \$194.00. The total receivable of \$200.00 must be cleared, even though only \$194.00 has been received. This would be accounted for by making an adjustment to revenue as follows:

Debit Cash \$194.00 (97% of \$200.00)

Debit Revenue \$6.00

Credit Receivables \$200.00

Alternatively, if the customer **is expected to take advantage** of the early settlement discount terms, the invoice would consist of the following amounts:

	\$
List price	200.00
Less: 3% settlement discount	(6.00)
Amount due from customer	194.00

In this situation, settlement discount allowed is excluded from the accounting records in the same way as trade discount is excluded from the accounting records. The accounting entries recorded by the seller would be as follows:

Debit Receivables \$194.00

Credit Revenue \$194.00

If, as expected, the customer pays within ten days to take advantage of the early settlement terms, the receipt of cash will be accounted for as follows:

Debit Cash \$194.00

Credit Receivables \$194.00

If the customer does not take advantage of the early settlement terms, the full amount of \$200.00 is due. When it is received, the additional variable consideration received is accounted for as if it were an additional cash sale as follows:

Debit Cash	\$200.00
Credit Receivables	\$194.00
Credit Revenue	\$6.00

In examination questions, it is unlikely that you will be required to record settlement discount allowed to a credit customer in the accounting records, although you may be required to calculate and deduct settlement discount allowed to determine the net and gross amounts receivable and/or account for the subsequent cash receipt.

The following four activities illustrate how settlement discounts allowed should be treated in relation to credit sales.

ACTIVITY 9

Goods were sold to a credit customer at a list price of \$1,250, subject to a trade discount of 20%. The customer has also been offered 2.5% discount for early settlement of the invoice. Show the relevant entries in the Receivables ledger control account and Sales account to record the initial transaction, and then record the subsequent receipt of cash in the Receivables ledger control account and Cash at bank account **if the customer is not expected** to take advantage of the settlement discount terms offered and subsequently pays outwith the discount period.

For a suggested answer, see the 'Answers' section at the end of the book.

ACTIVITY 10

Goods were sold to a credit customer at a list price of \$1,250, subject to a trade discount of 20%. The customer has also been offered 2.5% discount for early settlement of the invoice. Show the relevant entries in the Receivables ledger control account and Sales account to record the initial transaction, and then record the subsequent receipt of cash in the Receivables ledger control account and Cash at bank account **if the customer is expected** to take advantage of the settlement discount terms offered, and subsequently pays within the discount period.

For a suggested answer, see the 'Answers' section at the end of the book.

ACTIVITY 11

Goods were sold to a credit customer at a list price of \$1,250, subject to a trade discount of 20%. The customer has also been offered 2.5% discount for early settlement of the invoice. Show the relevant entries in the Receivables ledger control account and Sales account to record the initial transaction, and then record the subsequent receipt of cash in the Receivables ledger control account and Cash at bank account **if the customer is expected** to take advantage of the settlement discount terms offered, and subsequently pays outwith the discount period.

For a suggested answer, see the 'Answers' section at the end of the book.

ACTIVITY 12

Goods were sold to a credit customer at a list price of \$1,250, subject to a trade discount of 20%. The customer has also been offered 2.5% discount for early settlement of the invoice. Show the relevant entries in the Receivables ledger control account and Sales account to record the initial transaction, and then record the subsequent receipt of cash in the Receivables ledger control account and Cash at bank account **if the customer is not expected** to take advantage of the settlement discount terms offered but who subsequently pays promptly within the early settlement period.

For a suggested answer, see the 'Answers' section at the end of the book.

Note that the practical effect of treating settlement discounts allowed is that they are excluded from the accounting records. In the following section, we shall see that settlement discounts received are accounted for in the financial statements.

7.3 SETTLEMENT DISCOUNTS RECEIVED FROM A SUPPLIER

Definition **Discounts received** arise where a settlement discount is taken by a business paying a supplier.

The business therefore pays a reduced amount to clear the debt than it has recorded the debt at in the books.

The remainder of the debt is then transferred to the statement of profit or loss as a discount received (credit entry) increasing profit. This does need to be accounted for as the business will decide for itself whether to take advantage of the discount terms offered by the supplier. When making the payment to the supplier, the cash paid book will record the discount received in a memorandum column. The double-entry into the nominal (general) ledger can then be made as follows:

Accounting entry:

Debit	Payables ledger control account	full debt
Credit	Cash at bank	reduced amount paid
Credit	Discount received (statement of profit or loss)	amount of discount

ACTIVITY 13

A purchase invoice with a value of \$500 offering a 2% discount for early settlement is paid before the normal payment date by the business. Show the relevant entries in the Payables ledger control account and the Discounts received account.

For a suggested answer, see the 'Answers' section at the end of the book.

8 PERSONAL LEDGER ACCOUNTING

8.1 WHAT ARE PERSONAL LEDGERS?

Definition The **personal ledgers** (sales and purchases) hold individual (or personal) accounts for each of the business's credit customers and suppliers, so that amounts owed by/to them can be identified for management purposes.

The payables ledger control account records how much is owed in total to suppliers; the payables ledger shows how much is owed to each supplier.

The receivables ledger control account records how much is receivable in total from customers; the receivables ledger shows how much is receivable from each customer.

Although the information for the personal ledgers is taken from the day books and cash books, **the personal ledgers are not part of the double entry**. They merely provide more detail.

8.2 POSTING FROM THE DAY BOOKS TO THE PERSONAL LEDGERS

This example considered sales and receivables.

The individual transactions recorded in the sales day book and cash receipts book will be posted to each customer's individual ledger account. This was traditionally done manually, but a computerised system will do it automatically.

The following two activities use the sales day books and cash receipts books from earlier examples in this chapter to illustrate this process.

ACTIVITY 14

Posting from the sales day book to the receivables ledger

From the earlier examples of day books we reproduce the sales day book:

<i>Date</i>	<i>Invoice number</i>	<i>Customer</i>	<i>Rec'ables ledger ref</i>	<i>Total \$</i>	<i>Sales tax \$</i>	<i>North sales \$</i>	<i>South sales \$</i>
15/9/X6	68	Forks Ltd	SLFor3	24,000	4,000	20,000	
18/9/X6	69	BL Lorries	SLBLL1	4,800	800		4,000
30/9/X6	70	MA Meters	SLMam2	2,880	480	2,400	
				31,680	5,280	22,400	4,000

You are required to post these transactions individually to the individual receivables ledger accounts. Open up a separate T account for each customer.

For a suggested answer, see the 'Answers' section at the end of the book.

ACTIVITY 15

Posting from the cash received day book to the receivables ledger

When the cash was received, the cash received book was as follows:

<i>Date</i>	<i>Receipt from</i>	<i>Total</i>	<i>Rec'ables ledger</i>	<i>Rec'ables ledger ref</i>	<i>Sales tax</i>	<i>Capital introduced</i>	<i>Cash sales</i>	<i>Deposit a/c interest</i>
		\$	\$		\$	\$	\$	\$
19/10/X6	BL Lorries	4,800	4,800	SLBLL1				
28/10/X6	MA Meters	2,880	2,880	SLMam2				
31/10/X6	Cash sale	1,200			200		1,000	
		8,880	7,680		200		1,000	

You are required to record these amounts in the individual receivables ledger accounts.

For a suggested answer, see the 'Answers' section at the end of the book.

8.3 SETTLEMENT DISCOUNTS AND THE PERSONAL LEDGER

If a settlement discount is received from a supplier then this fact needs to be recorded in the personal ledger. When the posting of the money paid is made from the day books to the personal ledgers, any settlement discount received recorded in the memorandum discount column also needs to be posted to the personal account of the supplier.

ACTIVITY 16

Posting the books of original entry to the payables ledger

Using the following day books, post all the entries to the payables ledger.

Remember that the entries to accounts in the payables ledger follow the normal rules, that is:

- (a) amounts owing (invoices from suppliers) credit entries
- (b) payments to suppliers debit entries

Purchases day book

<i>Date</i>	<i>Invoice number</i>	<i>Supplier</i>	<i>Payables ledger ref</i>	<i>Total</i>	
				\$	
3/3/X4	6	P Jones	PLJon1	2,415	
5/3/X4	10	Windows Ltd	PLWin5	470	
10/3/X4	CN3	P Jones	PLJon1	(235)	(Credit note)
25/3/X4	15	A Smith	PLSmi4	4,700	

Cheque payments day book

<i>Date</i>	<i>Payment to</i>	<i>Total</i>	<i>Payables ledger</i>	<i>Payables ledger ref</i>	<i>etc.</i>
		\$	\$		
21/4/X4	P Jones	2,115	2,115	PLJon 1	Discount of \$65
25/4/X4	A Smith	4,700	4,700	PLSmi4	

For a suggested answer, see the 'Answers' section at the end of the book.

9 THE PURPOSE AND USE OF THE JOURNAL

9.1 THE PURPOSE OF THE JOURNAL

Definition The **journal** is a record containing details of non-routine accounting entries to the ledgers i.e. generally those that have not been recorded in other books of original entry.

9.2 THE USE OF THE JOURNAL

Examples of accounting entries that may initially be recorded in the journal include:

- (a) correction of errors
- (b) year-end adjustments e.g. depreciation, irrecoverable debts, accruals and prepayments – these will be dealt with in later chapters
- (c) recording of significant transactions (e.g. purchase/sale of non-current assets) – although these may also appear in another book of original entry, the journal may be used to support the entry with more information.

As well as acting as an instruction to the bookkeeper to record the entries, the journal acts as an authorisation for the entries, as they will generally be prepared and/or reviewed by the financial accountant.

The journal provides important back-up to the ledger, as all entries that do not come from the day books or cash books should be traceable to the journal. Anyone who wishes to find out the reason for a journalised entry in the ledgers can refer back to the journal for further information.

10 PREPARING AND POSTING OF JOURNALS

10.1 LAYOUT AND PRESENTATION

The journal should be laid out in the following way:

Susan Bulmer		Journal	Date 31/12/20X4	
Number		General ledger	Dr	Cr
of journal	Details	account reference	\$	\$
1	Sundry expenses	GL5	30	
	Drawings	GL9		30
	Being the correction of an incorrect posting of sundry business expenses to drawings			

Note the following:

- (a) This particular journal is to correct an error of posting. The original entry to the general ledger may have been:
- | | | |
|--------|----------|------|
| Debit | Drawings | \$30 |
| Credit | Cash | \$30 |
- The owner of the business, Susan Bulmer, has now decided that the debit should have been to sundry expenses instead of drawings; the drawings account is thus credited (to cancel out the original debit) and the sundry expenses are debited. Note that the cash account is unaffected by the journal, as the cash has already left the business.
- (b) Journals are numbered in order to allow cross-referencing to the ledger.
- (c) The details column shows the names of the accounts affected by the journal.
- (d) The debit side is traditionally entered before the credit.
- (e) Journals don't always have to have only one account debited and/or one credited. Provided the sum of the credits equal the sum of the debits, several accounts may be involved.
- (f) The narrative underneath the double entry should give a brief explanation of the entry, for later reference.
- (g) Lines may be ruled between journal entries for clarity.

10.2 POSTING OF JOURNAL ENTRIES TO THE LEDGER ACCOUNTS

The adjustments to the relevant general ledger accounts will be made by double entry, as specified by the journal. The narrative in the ledger account may simply be the journal number, but more often this will be accompanied by the name(s) of the other account(s) affected by the entry, if this is not too complex.

ACTIVITY 17

In reviewing his accounting records on 25 September 20X4, Adrian Plant decides that:

- (i) a \$400 expense recorded in the sundry expenses account would be better classified as a repair to his van;
- (ii) \$1,000 he introduced into the business, currently recorded as a loan, should in fact be added to his capital account; and
- (iii) a sales invoice, number 3456, for \$696 including sales tax at 20%, has been omitted from the sales day book.

Prepare journals to record the necessary adjustments to the general ledger, and show how they would be entered into the ledger accounts.

For a suggested answer, see the 'Answers' section at the end of the book.

CONCLUSION

All transactions are initially recorded in the books of prime entry (the sales and purchases day books, the cash received day book and the cheque payments day book). These books analyse and summarise the transactions. The analysed totals are then posted to the appropriate general ledger accounts.

For management purposes, personal ledgers (the sales and payables ledgers) are also kept detailing how much is owed by individual credit customers, and how much is owed to individual credit suppliers.

The journal is used to authorise and record adjustments made to the ledger accounts.

KEY TERMS

Books of prime entry – the books in which all transactions are initially recorded. They are also known as *books of original entry*.

Cash received day book – a book in which any cash receipts to a business are initially recorded.

Cheque payments day book – a book in which cheque payments of a business are initially recorded.

Discount allowed – a discount allowed to a customer for early settlement of the amount due. In practical terms, this is now excluded from the accounting records.

Discount received – a discount received from a supplier for early settlement of the amount due. .

General ledger – holds all the ledger (T) accounts that are used to prepare the financial statements (income, expense, asset and liability accounts). Also called the **nominal ledger**.

Journal – a book or other record containing details of non-routine double-entry to the ledgers, i.e. nominally those that do not arise from other books of original entry.

Ledger – a collection of ledger accounts (T accounts), in which transactions of the same type, or relating to the same person, are recorded.

Payables (purchase) ledger control account – used to record the total liability to credit suppliers in the nominal ledger.

Personal ledgers (receivables (or sales) and payables (or purchase) ledgers) – hold individual accounts for each of the business's credit customers and suppliers, so that amounts owed by/to them can be identified for management purposes.

Purchases day book – a book in which the credit purchases of a business are initially recorded.

Receivables (sales) ledger control account – used to record the total debt owed by credit customers in the nominal ledger.

Sales day book – a book in which the credit sales of a business are initially recorded.

Settlement discount – a discount given for early payment of a debt, i.e. within a stated period of time. It is sometimes referred to as prompt payment discount.

Trade discount – a discount given for ordering in large quantities or as an incentive for regular customers. This is deducted by the seller at the point of sale to arrive at the net invoice amount, before accounting for sales tax.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 Give two examples of ledgers.	1
2 What are the main books of prime entry?	2.1
3 Which documents are listed in the purchases day book?	3.1
4 What is the name given to the account which records the total payables of the business in the general ledger?	3.4
5 What column headings are usually required in the analysed cash payments book?	4.2
6 What is the double entry for posting to the general ledger from the analysed cash received day book?	6.4
7 What is a trade discount?	7.1
8 What is a settlement discount?	7.2
9 What is the double entry to record settlement discount received?	7.3
10 What is a personal ledger?	8.1
11 What is a journal?	9.1

EXAM-STYLE QUESTIONS

- 1 Your business sells goods to a customer. There are two alternative terms on offer, EITHER pay \$2,000 on 60 days' credit OR pay in full in cash on delivery and receive a discount of 5%. The customer is expected to take up the discount offer, and subsequently pays the correct amount immediately. How should the sale be recorded in the accounts?
 - A Debit Receivables \$1,900, Credit Sales \$1,900
 - B Debit Bank \$1,900, Debit discounts allowed \$100, Credit Sales \$2,000
 - C Debit Bank \$1,900, Credit Sales \$1,900
 - D Debit Bank \$2,000, Credit Discounts allowed \$100, Credit Sales \$1,900

- 2 On 1 May, your business sold goods to a customer for \$1,000 on one month's credit, with the offer of a discount of 2% for payment within 7 days of the invoice date. The customer was expected to take up the discount offered. On 28 May, the customer sent payment by cheque for the appropriate amount. How should the payment from the customer be recorded in the accounting records?
 - A Debit Bank \$1,000, Credit sales \$20, Credit Receivables \$980
 - B Debit Bank \$980, Credit Receivables \$980
 - C Debit Receivables \$980, Debit Discounts allowed \$20, Credit Sales \$1,000
 - D Debit Bank \$1,000, Credit Discounts allowed \$20, Credit Receivables \$980

PRACTICE QUESTION 1

ELTON

Elton's records show the following balances on 1 January 20X9.

		\$	\$
Customers	E	2,600	
	F	987	
	G	536	
	H	381	
Suppliers	M		2,840
	N		1,990
	O		600
Cash at bank		2,801	

The following transactions took place during January 20X9

3 Jan	G settled his account in full.
5 Jan	Paid \$847 to N.
8 Jan	F returned as faulty, goods with an invoice value of \$264 and paid off the balance owing on his account.
12 Jan	Sold goods to G, invoice value \$706.
18 Jan	Purchased goods from P, invoice value \$746.
19 Jan	E paid his account.
24 Jan	Paid O subject to 1.5% discount for early settlement.
28 Jan	Bought goods from O with invoice value \$203.
31 Jan	Returned goods to P, invoice value \$76.

Required:

Record these transactions in appropriate ledger accounts, not forgetting the opening balances where given. Use purchases returns and sales returns accounts to record any returns of goods.

PRACTICE QUESTION 2

JOSHUA JENKINS

Below are a series of transactions for Joshua Jenkins. Produce a journal for each transaction.

<i>Transaction</i>	<i>Amount</i>	<i>Including sales tax</i>
	\$	\$
1 Credit purchase	6,000	1,000
2 Credit sales	7,200	1,200
3 Cash sale	1,200	200
4 Payment to suppliers	3,000	
5 Receipt of money from customers	8,000	
6 Drawings	900	
7 Pays wages	700	
8 Pays petrol bill	48	8
9 Buys office furniture	240	40
10 Pays the balance on the sales tax account	308	
11 Pays monthly instalment of loan (interest element \$25)	275	

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 3

THE TRIAL BALANCE AND CORRECTION OF ERRORS

This chapter explains how to extract a trial balance from the general ledger, and how it can be used to detect and correct any errors that might have arisen in the ledger accounts during the year. The trial balance forms the foundation for the extended trial balance, which in turn forms the basis for the statement of profit or loss and statement of financial position. These are looked at in later chapters.

This chapter covers syllabus areas E1, E2.

CONTENTS

- 1 The trial balance
 - 2 Types of error in double entry
 - 3 Suspense accounts and the trial balance
 - 4 Correction of errors and clearing the suspense account
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- explain the purpose of the initial trial balance
- identify the limitations of the trial balance
- extract the ledger balances to form a trial balance
- distinguish between errors which will be detected by extracting a trial balance and those which will not
- identify and correct errors in the accounting records
- prepare correcting journal entries
- record correcting entries in the ledgers
- explain the purpose of a suspense account
- record entries in a suspense account
- make entries to clear out the suspense account.

1 THE TRIAL BALANCE

1.1 THE PURPOSE OF THE TRIAL BALANCE

Definition A **trial balance** is a memorandum listing of all the ledger account balances.

To extract the trial balance, all of the ledger accounts in the main ledger are balanced-off, and the balances copied to the trial balance.

The trial balance serves two main purposes:

- (a) It is a way of checking that transactions have been correctly recorded using double entry during the period.

If the double entry procedures have been carefully followed, then the trial balance should show that the total of the debit balances agrees with the total of the credit balances.

- (b) It is a starting point for the preparation of the year-end financial statements.

Limitations of the trial balance

Although the trial balance is useful in ensuring that double entry has been maintained, it will not:

- identify certain errors (see section 2 of this chapter)
- identify where errors have been made, or what those errors are.

Example

The general ledger accounts of Avalon as at 31 December 20X4 are noted below. Balance the accounts, bring down the balances and show all the balances in a trial balance.

Cash at bank account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(1)	Capital	1,000	(2)	Motor car	400
(4)	Sales	300	(3)	Purchases	200
(8)	Receivables	100	(7)	Payables	200
(11)	Loan	600	(9)	Drawings	75
			(10)	Rent	40
			(12)	Insurance	30

Capital account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
			(1)	Cash at bank	1,000

Motor car account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(2)	Cash at bank	400			

Purchases account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(3)	Cash at bank	200			
(5)	Payables	400			

Sales account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
			(4)	Cash at bank	300
			(6)	Receivables	250

Payables account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(7)	Cash at bank	200	(5)	Purchases	400

Receivables account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(6)	Sales	250	(8)	Cash at bank	100

Drawings account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(9)	Cash at bank	75			

Rent account

<i>Date</i>	<i>Details</i>	<i>\$</i>			<i>\$</i>
(10)	Cash at bank	40			

Loan account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
			(11)	Cash at bank	600

Insurance account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(12)	Cash at bank	30			

Solution**Step 1** Balance each account and bring down the balances.**Cash at bank account**

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(1)	Capital	1,000	(2)	Motor car	400
(4)	Sales	300	(3)	Purchases	200
(8)	Receivables	100	(7)	Payables	200
(11)	Loan	600	(9)	Drawings	75
			(10)	Rent	40
			(12)	Insurance	30
				Balance c/d	1,055
		2,000			2,000
	Balance b/d	1,055			

Capital account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
			(1)	Cash at bank	1,000

Motor car account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(2)	Cash at bank	400			

Purchases account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(3)	Cash at bank	200		Balance c/d	600
(5)	Payables	400			
		600			600
	Balance b/d	600			

Sales account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
	Balance c/d	550	(4)	Cash at bank	300
			(6)	Receivables	250
		550			
					550
				Balance b/d	550

Payables account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(7)	Cash at bank	200	(5)	Purchases	400
	Balance c/d	200			
		400			400
				Balance b/d	200

Receivables account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(6)	Sales	250	(8)	Cash at bank	100
				Balance c/d	150
		—			—
		250			250
		—			—
	Balance b/d	150			

Drawings account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(9)	Cash at bank	75			

Rent account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(10)	Cash at bank	40			

Loan account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
			(11)	Cash at bank	600

Insurance account

<i>Date</i>	<i>Details</i>	<i>\$</i>	<i>Date</i>	<i>Details</i>	<i>\$</i>
(12)	Cash at bank	30			

Step 2 Prepare the trial balance showing each of the balances in the ledger accounts.

Avalon**Trial balance as at 31 December 20X4**

<i>Account</i>	<i>Debit</i>	<i>Credit</i>
	<i>\$</i>	<i>\$</i>
Cash at bank	1,055	
Capital		1,000
Motor car	400	
Purchases	600	
Sales		550
Payables		200
Receivables	150	
Drawings	75	
Rent	40	
Loan		600
Insurance	30	
	—	—
	2,350	2,350
	—	—

Note: A trial balance is simply a memorandum listing of all the ledger account balances.

It is *not* part of the double entry.

2 TYPES OF ERROR IN DOUBLE ENTRY

2.1 INTRODUCTION

The trial balance checks to see whether there have been any errors in the accounting system. However, it is limited in that it will only pick up errors in double entry because, as long as the debits and credits are equal, the trial balance will balance. This section looks at the various types of error and whether they affect the trial balance.

2.2 ERROR OF COMMISSION

An error of commission is where a transaction has been recorded in the correct *category* of account, but in the wrong account.

For example, the purchase of a computer should be recorded in the tangible non-current asset account, office equipment. If the purchase were recorded in the motor vehicles account then this is the correct type of account (tangible non-current assets) but the wrong account within this category.

Errors of commission are **not** picked up by the trial balance (i.e. the trial balance still balances despite this type of error).

2.3 ERROR OF PRINCIPLE

An error of principle is where the transaction is recorded in completely the wrong category of account.

For example the receipt of a loan should be recognised as a liability in the statement of financial position. If it were recorded as income in the statement of profit or loss then this is an error of principle.

If a sale (in the statement of profit or loss) were to be recorded as a trade payable (in the statement of financial position) then this would also be an example of an error of principle.

Errors of principle will **not** be picked up by the trial balance.

2.4 ERROR OF COMPLETE OMISSION

This error is where a transaction has been completely missed out of the accounting system. As both the debit and credit entries have been omitted, the trial balance will still balance, and a suspense account entry is not therefore required.

Errors of complete omission will **not** be identified by the trial balance.

2.5 ERROR OF PARTIAL OMISSION

This error is where either the debit or credit entry has been omitted. As only one entry has been omitted the trial balance will not balance. A suspense account entry will be needed to correct it.

Errors of partial omission **will** be picked up by the trial balance.

2.6 COMPENSATING ERRORS

Compensating errors occur when two (or more) transactions have been recorded incorrectly, but by coincidence they are incorrect by the same amount and cancel one another out.

These errors are very difficult to locate, and they will **not** be revealed by the trial balance.

2.7 ERROR OF ORIGINAL ENTRY: DEBIT AND CREDIT EQUAL BUT WRONG

Original entry errors are where there has been an error in the posting of the amounts of the transaction.

An example of this is where \$4.00 is misread as \$400 and so entered on both the debit and the credit side of the correct accounts. This will not cause a difference on the trial balance.

Original entry errors such as this will **not** be picked up by the trial balance.

2.8 ORIGINAL ENTRY ERRORS: EITHER DEBIT OR CREDIT WRONG

This happens as a result of a breakdown in the double entry and would occur when, for example, \$3,200 was debited to one account and \$32,000 is credited to another account.

Original entry errors such as these **will** be picked up by the trial balance.

2.9 ERROR OF TRANSPOSITION

These errors arise where two numbers within a balance are reversed when entering a transaction into the ledgers. For example, \$450 is entered as \$540.

It is likely that such a transposition error will only occur on one side of the entry (either the debit or the credit). If this is the case, the trial balance **will** pick up such errors.

2.10 ERRORS OF COMPLETE REVERSAL

These errors arise where the double entry is correct in every aspect other than the fact that the debit and credit are posted the wrong way round. For example, cash sales of \$200 should be recorded as a debit to cash and credit to sales. If an error of complete reversal has occurred, the debit entry will be to sales and the credit entry to cash.

Errors of complete reversal will **not** be picked up by the trial balance.

2.11 CORRECTION OF ERRORS NOT LEADING TO AN IMBALANCE ON THE TRIAL BALANCE

Errors that do not lead to an imbalance on the trial balance will generally involve transfers between accounts, creation of the complete double entry from scratch, or amendments to the amounts already accounted for. These will be recorded directly through the journal.

General approach

The best way to approach the correction of errors is to consider:

- what double entry should have been posted
- what double entry was posted
- what entry is required to move from the entry posted to the entry that should have been posted.

To deal with **errors of commission and principle**:

- Step 1** Set up the T accounts affected by the error and put in the balances from the trial balance.
- Step 2** Perform the double entry required to remove the transaction from one account to the other.
- Step 3** Produce the required journal. This will describe the double entry in Step 2.

To deal with **errors of complete omission**, follow the same procedure except that the accounts affected may not yet exist in the trial balance and thus new ones may need to be created.

To deal with **original error entries where the debit and credit are equal but wrong**:

- If the original entry was for too small an amount, perform the double entry to the same accounts (i.e. the debit and credit to the same accounts as the original entry) for the extra amount required.
- If the original entry was for too great an amount, reverse the excess amount posted. This will involve debiting the account originally credited and crediting the account originally debited.

To deal with **errors of complete reversal** the original entry should be reversed and then the correct double entry posted. The net effect of this is to debit **double** the amount of the transaction to the account that should have been debited in the first place and credit **double** the amount to the account that should have been credited in the first place.

2.12 CORRECTION OF ERRORS RESULTING IN AN IMBALANCE ON THE TRIAL BALANCE

Errors of partial omission, original entry where either the debit or credit entry was wrong and transposition errors are corrected by using a **suspense account**. This is covered in section 4 of this chapter.

2.13 THE IMPACT OF ERRORS ON THE STATEMENT OF PROFIT OR LOSS AND THE STATEMENT OF FINANCIAL POSITION

All accounting errors will have an impact upon the statement of profit or loss and the statement of financial position. If a transaction has been omitted either partially or completely from the accounting records, the impact of that transaction will not be fully and properly reflected in the financial statements. This will clearly distort the information presented by the financial statements.

For example, if a cash receipt from a customer for \$1,000 was omitted completely from the accounting records, the bank balance would be understated by \$1,000 and sales revenue would also be understated by \$1,000.

Using the same example, if only the cash receipt had been accounted for, this would result in a difference arising when the trial balance was prepared. In this situation, the bank balance would be fairly stated but sales revenue would be understated by \$1,000 and this would be corrected by creation and clearance of a suspense account.

If a transaction has been posted wrongly into the ledger accounts, although the trial balance will agree, there will be distortion of possibly four ledger account balances, which will have a consequent impact upon the statement of profit or loss and the statement of financial position.

This can be illustrated by using the example of accounting for a cash sale of \$1,000 and which had been accounted for as follows:

Debit	Plant and equipment \$1,000
Credit	Trade payables \$1,000

We can understand that both accounting entries are wrong and that both the plant and equipment and trade payables balances will be overstated in the accounting records and also in the statement of financial position.

In addition to this, the ledger accounts which should have been used to record the transaction are also misstated as they omit a transaction that should have been included as follows:

Debit	Bank \$1,000
Credit	Sales revenue \$1,000

If the correction is not made, both the bank ledger account and sales revenue account would be understated by \$1,000 in the statement of financial position and the sales revenue ledger account in the statement of profit or loss respectively.

2.14 SUMMARY

All the errors mentioned above need to be corrected before financial accounts are produced. The correction is via the journal.

The correction of the errors requires a sound knowledge of what the correct entry should be and then, having determined that, the required journal to put the entry right.

The section on suspense accounts and error correction highlights the need for this knowledge of the correct entries.

Large, unusual or suspicious errors should be notified to a manager, even if you have corrected them. They may be symptomatic of a weakness in the accounting system or of a wider problem in the organisation.

ACTIVITY 1

Prepare the journal entries necessary to correct the following errors in the general ledger (narrative not required).

- (a) A cash payment of \$150, which was analysed under the 'sundry expenses' column in the cash payments book, was in fact to meet a personal expense of the proprietor.
- (b) The cash proceeds from the sale of a second hand computer, \$500, had been credited to the equipment cost account.
- (c) An invoice received for the purchase of a replacement computer for office use had not been entered in a book of original entry (\$2,500).

For a suggested answer, see the 'Answers' section at the end of the book.

3 SUSPENSE ACCOUNTS AND THE TRIAL BALANCE

3.1 INTRODUCTION

Definition A **suspense account** is a multi-purpose account that is used to record errors in the accounting system and also to record entries where the bookkeeper is not sure where the entries should be recorded.

It takes the form of a T account, but the balance does not get taken to either the statement of profit or loss or the statement of financial position because the balance on the account should be cleared by the time the financial statements are prepared.

3.2 USE OF A SUSPENSE ACCOUNT WHEN UNSURE ABOUT AN ENTRY

Some transactions are quite difficult to record. When such a transaction occurs, the bookkeeper should always maintain the double entry by recording the unknown entry in the suspense account.

For example, suppose money is received by the business for the sale of an asset. The correct entries are:

Debit	Cash
Credit	Disposal account

However, if the bookkeeper does not know what the credit entry is the credit should be posted to the suspense account:

Debit	Cash
Credit	Suspense account

The entry will then be cleared out by the person producing the financial accounts:

Debit	Suspense account
Credit	Disposal account

3.3 ERROR SUSPENSE ENTRIES

Suspense account entries from errors arise from a variety of sources but all have one common theme, that there has been a breakdown in the double entry. This means that the trial balance will not balance without the creation of an entry in a suspense account. Categories of error which may give rise to suspense account entries are considered below.

3.4 INCORRECT EXTRACTION OF THE TRIAL BALANCE

When a trial balance is produced, debit balances should go under the debit column and credit balances should go under the credit column. If all the other double entry has been correct, the trial balance will balance.

If one of the balances is written on the wrong side (e.g. a debit balance is written on the credit side) then the trial balance will no longer balance.

There are a few account balances that often cause a problem. These are mentioned below, along with a reminder of which side the account balances should go on.

<i>Account</i>	<i>Side of trial balance</i>	
Drawings	debit	
Discounts received		credit
Opening inventory	debit	
Cash at bank account	debit	
Overdraft		credit
Allowance for receivables		credit
Accumulated depreciation		credit
Closing inventory	should not be an entry at all! (see below)	

Note: The entry for closing inventory is a final adjustment made to the trial balance before the financial statements are produced and therefore it would not normally appear in the trial balance.

Example

The trial balance below is incorrect. Re-create the trial balance with the balances on the correct side.

Incorrect trial balance

<i>Account</i>	<i>Debit</i> \$	<i>Credit</i> \$	
Non-current assets		20,000	wrong side!
Current assets	45,000		
Current liabilities		10,000	
Non-current liabilities		5,000	
Owner's capital		30,000	
Drawings	5,000		
Profit		25,000	
	50,000	90,000	
Imbalance	40,000		
	90,000	90,000	

This imbalance would normally be put into a suspense account. However, no double entry is required to correct this suspense account entry as it only arises because the 'memorandum' trial balance is incorrect, not the underlying accounts. By re-drafting the trial balance correctly, the suspense entry would disappear.

Correct trial balance

<i>Account</i>	<i>Debit</i>	<i>Credit</i>
	\$	\$
Non-current assets	20,000	
Current assets	45,000	
Current liabilities		10,000
Non-current liabilities		5,000
Owner's capital		30,000
Drawings	5,000	
Profit		25,000
	<u>70,000</u>	<u>70,000</u>

3.5 INCORRECT POSTING FROM THE DAY BOOKS

In the chapter on day books and personal ledger accounting, it was seen that the totals of the columns of the day books formed the double entry. If there has been a breakdown in this double entry then a suspense account entry will follow.

The breakdown in double entry can occur from:

- one side of the entry being totally missed out; or
- a transposition error in the figures of one of the entries.

Using the purchase day book as an example:

Summary of purchases day book

<i>Total</i>	<i>Sales tax</i>	<i>Purchases</i>	<i>Other</i>
\$	\$	\$	\$
<u>50,000</u>	<u>15,000</u>	<u>30,000</u>	<u>5,000</u>

Payables	Sales tax	Purchases	Other expenses
50,000	15,000	missed out	5,000

The total has been posted correctly, as have the sales tax and other expenses. However the purchases figure has been missed. If the T-accounts were balanced up and a trial balance produced, the debits and the credits would not balance and a suspense account entry would be required until the error is discovered and corrected. In this case the suspense account entry would be a debit of \$30,000.

Note: If an exam question states that the total of, for example, the repair column has not been posted, then assume that the payables ledger column has been posted correctly and therefore there has been a breakdown in the double entry.

Ordinarily, an incorrect posting to the individual (personal) account in the receivables or payables personal ledger from a day book would not affect the general ledger double entry. The reason for this is that it is still assumed that the total of the control account column is correct.

However, if the business does not maintain control accounts then the individual posting to the personal account will affect the double entry.

Note: In an exam, if the question says that control accounts are not maintained, then any incorrect posting to an individual (personal) account will create a suspense account entry.

3.6 ERRORS OF PARTIAL OMISSION, ORIGINAL ENTRY ERRORS WHERE THE DEBIT OR CREDIT IS WRONG AND TRANSPOSITION ERRORS

These errors were explained in section 2 of this chapter. In each case there has been a breakdown in double entry, i.e. an equal debit and credit have not been posted. A computerised accounting system will therefore make the debit and credit equal by creating a suspense account.

Example

A business buys a non-current asset for \$3,000. The only accounting entry made is to debit non-current assets with \$3,000.

In this case the accounting system will automatically credit a suspense account with \$3,000 to ensure that double entry has been upheld.

Within an examination, it is useful to consider this automatic creation of a suspense account where an equal and opposite double entry is not made. It will help you to decide what correction journal is required (see section 4).

3.7 CREATING A SUSPENSE ACCOUNT FROM A TRIAL BALANCE

A step that often proves troublesome is the creation of the initial entry in the suspense account from the trial balance.

A trial balance that does not balance will be presented and the task is to set up a suspense account. This is a straightforward task as long as one thing is remembered:

The suspense account entry is required to bring the smaller total up to the larger total.

Example

An unbalanced trial balance is provided.

- Step 1** Total up each side of the trial balance.
- Step 2** Add an amount to the smaller total to make it equal to the larger total
- Step 3** Put the entry into the suspense account.

Let's now put this into practice and see how it works based upon the following example.

Step 1 Total up each side of the trial balance.

Incorrect trial balance

<i>Account</i>	<i>Debit</i>	<i>Credit</i>
	\$	\$
Non-current assets	20,000	
Current assets	45,000	
Current liabilities		10,000
Non-current liabilities		5,000
Owner's capital		30,000
Drawings	5,000	
Profit		15,000
This does not agree	70,000	60,000

Step 2 Add an amount to the smaller total to make it equal to the larger total.

Incorrect trial balance

<i>Account</i>	<i>Debit</i>	<i>Credit</i>	
	\$	\$	
Non-current assets	20,000		
Current assets	45,000		
Current liabilities		10,000	
Non-current liabilities		5,000	
Owner's capital		30,000	
Drawings	5,000		
Profit		15,000	
	70,000	60,000	
Suspense account		10,000	Brings the credit side up to \$70,000
	70,000	70,000	

Step 3 Put the entry into the suspense account.

Suspense account

\$	\$
Balance b/d	10,000

ACTIVITY 2**Required:**

- (a) Classify the errors listed below.
 - (b) Identify which errors will affect the suspense account.
- 1 A sales invoice for \$500 was entered as a credit note onto the purchase day book. On the same day a credit note for \$500 from a supplier was entered into the sales day book.
 - 2 An invoice for \$950 in respect of repairs made to the office interior has been posted to cleaning by mistake.
 - 3 An invoice has been entered into the sales day book twice.
 - 4 A \$15,000 business loan received from a friend of the proprietor has been credited to capital.
 - 5 The purchase day book has been correctly added-up and cross-cast. However, when the total of \$56,789 was posted to the purchase ledger control account the clerk accidentally entered \$57,689 in the PLCA.

For a suggested answer, see the 'Answers' section at the end of the book.

ACTIVITY 3

The following trial balance has been incorrectly extracted from the books of F Manning and Co. Re-draft the trial balance, find the suspense account balance and set up a suspense account.

Incorrect trial balance

<i>Account</i>	<i>Debit</i>	<i>Credit</i>
	\$	\$
Motor vehicles	15,000	
Office equipment	10,000	
Opening inventory	30,000	
Receivables	20,000	
Bank	12,000	
Payables		45,000
Loan		20,000
Capital		5,000
Sales		100,000
Purchases	45,000	
Expenses	23,000	
Drawings		10,000
	155,000	180,000

For a suggested answer, see the 'Answers' section at the end of the book.

4 CORRECTION OF ERRORS AND CLEARING THE SUSPENSE ACCOUNT

4.1 INTRODUCTION

The best approach to clearing a suspense account is to focus on what the correct entries should be, and not on unravelling the suspense account. Only when the correct entries have been ascertained will the suspense account be considered.

4.2 TECHNIQUE

The technique to clear a suspense account is:

- Step 1** Work out what the correct entry should have been.
- This is best done in T account format.
- Step 2** Work out what entries have been made. (Remember, you may wish to consider that at this stage a suspense account is 'automatically' created in order to ensure that equal debits and credits were posted.)
- Take the entries made in the exam question and put them into T-accounts.
- Step 3** Compare the accounts in steps one and two and work out the required entry to correct the entry that has been made.
- Step 4** Complete the double entry to the suspense account.
- Having decided what correction entry is required in step three, ensure that the debits equal the credits by using the suspense account. This will reverse any suspense account entry that was 'automatically' created when the wrong entry was made in the first place.
- Step 5** Produce a journal showing the correcting entries.
- Sometimes a question asks for the journal entries needed to clear a suspense account. The journal will describe the double entry in Steps 3 & 4.

Example

A trial balance has revealed a debit suspense account balance of \$40,000.

It has been discovered that the total of the purchases column in the purchase day book, \$20,000, has been credited to the purchases account.

- Step 1** Work out what the correct entry should have been.

Purchases	Payables
20,000	20,000

- Step 2** Identify the incorrect entries that have been made.

Purchases	Payables
	20,000
20,000	

Note: Assume payables posted correctly.

(These two entries together make a credit of \$40,000. At this stage a computerised system would post a debit of \$40,000 to a suspense account.)

- Step 3** To make the purchase account in Step 2 look like the purchase account of Step one, a \$40,000 debit is required. This is made up of a \$20,000 debit to cancel out the incorrect credit, plus a \$20,000 debit to put in the correct entry.

Purchases		Payables	
40,000	20,000		20,000

- Step 4** Post the opposite entry to the suspense account to clear out the entry automatically made at step 2..

Purchases		Suspense	
40,000	20,000	b/d 40,000	40,000

- Step 5**
- | | | |
|--------|-----------|--------|
| Debit | Purchases | 40,000 |
| Credit | Suspense | 40,000 |

ACTIVITY 4

Joe has just prepared his trial balance. The debit side totalled \$345,678 and the credit side totalled \$296,050.

The following errors have been noted:

- 1 Sundry cash sales of \$23,456 were debited to the sales returns account instead of credited to sales.
- 2 The purchase day book total for sundry expense was posted to the general ledger as \$53,124 instead of \$35,124.
- 3 Sales invoices totalling \$10,000 had not been entered into the sales day book.
- 4 A cheque payment of \$15,284 for rent had been entered into the total column of the cheque payments day book but left out of the analysis columns. The cheque payments clerk had forgotten to cross-cast the daybook for that particular month.

Required:

- (a) Prepare and clear the suspense account.
- (b) Prepare the journals to correct these errors.

For a suggested answer, see the 'Answers' section at the end of the book.

CONCLUSION

In this chapter you have seen how the balance on each ledger account is extracted and summarised in a trial balance. The trial balance should balance; if it doesn't, then any error(s) should be identified and corrected before the final accounts are prepared.

Certain errors result in an imbalance of the trial balance and so are easily identified; others do not result in an imbalance

The effect of the various types of error are summarised below:

Type of error	Detected by extracting a trial balance	Corrected using a suspense account
Commission	X	X
Principle	X	X
Complete omission	X	X
Partial omission	✓	✓
Compensating	X	X
Original entry: debit and credit both wrong	X	X
Original entry: either debit or credit wrong	✓	✓
Transposition error	✓	X
Error of complete reversal	X	X

Only errors of partial omission, original entry errors where the debit and credit entries differ and transposition errors result in an imbalance of the trial balance.

If the trial balance does not balance, then a suspense account is created. This is used to correct the errors and when all the corrections have been made the suspense account should have been cleared.

KEY TERMS

Compensating errors – two transactions have been recorded incorrectly, but by coincidence they are equal and opposite and cancel one another out.

Error of commission – a transaction has been recorded in the correct *category* of account, but in the wrong account.

Error of complete omission – a transaction has been completely missed out of the accounting system.

Error of complete reversal – the double entry has been posted in reverse, i.e. the debit has been sent to the account which should have been credited and vice versa.

Error of partial omission – either the debit or credit has been missed out of the double entry. A suspense account entry will be needed to correct it.

Error of principle – a transaction is recorded in completely the wrong category of account.

Original entry errors – there has been an error in the posting of the amounts of the transaction. Both the debit and credit may be wrong, or either one of them.

Transposition error – two figures are confused when making entries to the ledgers, e.g. \$45 is posted as \$54

Trial balance – a memorandum listing of all the ledger account balances.

Suspense account – an account that is used to record errors in the accounting system and also to record entries where the bookkeeper is not sure where the entries should be recorded.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 What is a trial balance?	1.1
2 Why is it prepared?	1.1
3 Name and explain five types of error in double entry.	2
4 What are the two forms of original entry errors?	2.7, 2.8
5 What is a suspense account?	3.1
6 What are the steps to create a suspense account from a trial balance that does not balance?	3.7

EXAM-STYLE QUESTIONS

- 1 Norma receives a cheque through the post for \$8,000, payable to her business, but there is no covering letter or document to explain what the money is for. She thinks it might be a payment from a customer whose debt was written off two years ago as uncollectable. She banks the money immediately. How should she account for the transaction?
- A** Debit Bank \$8,000, Credit Receivables \$8,000
- B** Debit Bank \$8,000, Credit Suspense account \$8,000
- C** Debit Bad debts \$8,000, Credit Receivables \$8,000
- D** Debit Suspense account \$8,000, Credit Bank \$8,000
- 2 Rhona prepared a trial balance, and found that the total of debit entries was \$600,000 and the total of credit entries was \$590,000. A suspense account was opened to record the difference. On investigation, she found that when she had paid \$10,000 additional capital into the business earlier in the year, the transaction had been entered in the cash book, but had not been entered in any other account. What journal entry is required to eliminate the balance on suspense account?
- A** Debit Suspense \$10,000, Credit Capital \$10,000
- B** Debit Suspense \$10,000, Credit Drawings \$10,000
- C** Debit Capital \$10,000, Credit Suspense \$10,000
- D** Debit Drawings \$10,000, Credit Suspense \$10,000

PRACTICE QUESTION

GRIMAULT

Grimault, a sole trader, has extracted the following list of balances as at 30 June 20X6 from his accounts prior to the preparation of the annual accounts and statement of financial position.

	\$
Fixtures and fittings	7,500
Motor vehicles	6,000
Inventories	18,000
Trade receivables	10,800
Balance at bank (asset)	2,550
Trade payables	10,350
Sales	198,000
Cost of sales	118,800
Establishment and administrative expenses	17,700
Sales and distribution expenses	50,250
Drawings	14,550
Capital	45,000

The following errors have been discovered:

- Goods costing \$900 withdrawn by Grimault for his own use have not been recorded in the accounts. This should be treated as a reduction in the figure for purchases.
- An entry in the cheque payments day book for the purchase of fixtures and fittings on 1 April 20X6 costing \$6,750 has not been posted to the general ledger.
- A credit sale of \$7,500 in May 20X6 was included correctly in the posting to the sales account, but recorded as \$7,050 in the receivables account.

Required:

- (a) Prepare Grimault's uncorrected trial balance as at 30 June 20X6, including a suspense account as the balancing figure.
- (b) Prepare journal entries for the errors discovered.
- (c) Prepare a new trial balance showing the corrected amounts.

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 4

INTRODUCTION TO FINAL ACCOUNTS

This chapter looks at the preparation and format of the two statements that make up the final accounts: the statement of profit or loss (which shows the organisation's performance) and the statement of financial position which shows the organisation's assets and liabilities and the owner's capital). At their simplest, these statements are a rearrangement of the trial balance. (Later chapters look at more complicated and realistic situations.)

Final accounts are used by many groups of people and for various reasons. This chapter looks briefly at the different user groups and their information needs.

This chapter covers syllabus areas G1, G2.

CONTENTS

- 1 Introduction
 - 2 The statement of profit or loss
 - 3 The statement of financial position
 - 4 How the structure of a business influences its accounting systems
 - 5 Users of final accounts and the information that they need
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- explain the format and purpose of the statement of profit or loss
- explain the format and purpose of the statement of financial position
- explain the influence of organisational structure on accounting systems
- explain how the structure of a business influences its accounting systems
- identify the users of final accounts and their needs
- understand how the structure of accounting records contributes to providing useful accounting information and complies with organisational policies and deadlines.

1 INTRODUCTION

Business transactions are recorded in an accounting system to enable a business:

- to determine its financial performance over a period of time; and
- to determine its financial position at the end of that period.

Basic financial performance is measured in terms of a business's profitability. Sales revenues are compared with expenses by drawing up a **statement of profit or loss**.

The financial position of a business is measured by comparing what a business owns to what a business owes to people other than the business's owner. The business's assets are compared with its liabilities by drawing up a **statement of financial position**.

The main reason for preparing final accounts is to **provide useful information** to the various groups of people who need to make decisions about their dealings with the business. We will be considering the needs of these user groups and the information they need later in the chapter.

2 THE STATEMENT OF PROFIT OR LOSS

2.1 INTRODUCTION

Definition The **statement of profit or loss** is a financial statement that shows the financial performance of a business for an accounting period.

2.2 FORMAT OF THE STATEMENT OF PROFIT OR LOSS

The statement of profit or loss has two sections:

- (1) The first part shows how profitable the business's trading activities have been. The cost of goods sold is deducted from sales revenue to give gross profit. The cost of goods sold consists of the purchase price of inventory plus carriage inwards (the cost of delivering inventory **to** the business).
- (2) The second part shows other income (if any) and expenses. Expenses are deducted from gross profit to give net profit. Expenses consist of administration and selling costs and finance costs (for example, interest on loans and bank overdrafts).

Example

Statement of profit or loss for a business for the year ending 31 December 20X2

	\$	\$
Sales revenue		x
Less: sales returns		(x)
Cost of goods sold:		
Opening inventory	x	
Purchases	x	
Less: purchase returns	(x)	
	x	
Less: closing inventory	(x)	
		(x)
Gross profit		xx
Expenses:		
Electricity	x	
Rent	x	
Repairs	x	
Sundry expenses	x	
Loan interest	x	
Total expenses		(xx)
Net profit		xxx

Note: The statement of profit or loss can be prepared for a business for any period of time although it is normal to prepare accounts for a one year period.

2.3 PREPARING THE STATEMENT OF PROFIT OR LOSS

The statement of profit or loss is prepared by:

- (1) identifying the revenue and expense T accounts in the general ledger
- (2) finding the balances on these individual T accounts; and
- (3) transferring these balances to the statement of profit or loss.

Note that revenue and expense accounts are now cleared out. In the following period they are started again from a nil position.

ACTIVITY 1

The general ledger of Swing Dancewear, at the end of its first month of trading, is shown below.

Sales account

	\$		\$
		Cash at bank account	7,000
		Receivables account	14,000

Purchases account

	\$		\$
Cash at bank account	5,000		
Trade payables account	10,000		

Sundry expenses account

	\$		\$
Cash at bank account	100		

Cash at bank account

	\$		\$
Capital introduced	50,000	Property purchased	40,000
Loan received	30,000	Purchase of inventory	5,000
Sale of inventory	7,000	Sundry expense	100
Receivables	14,000	Drawings	600
		Payables	10,000

Owner's capital account

	\$		\$
		Cash at bank account	50,000

Loan account

	\$		\$
		Cash at bank account	30,000

Property account

	\$		\$
Cash at bank account	40,000		

Payables account

	\$		\$
Cash at bank account	10,000	Purchases account	10,000

Receivables account

	\$		\$
Sales account	14,000	Cash at bank account	14,000

Drawings account

	\$	\$
Cash at bank account	600	

All inventory purchased was sold before the month-end. In addition to the transactions recorded above, Swing Dancewear also incurred the following expenses for the month.

Rent of storage space	\$350
Rates	\$600
Electricity	\$150
Repairs	\$100

Post these entries to the general ledger of Swing Dancewear and produce a statement of profit or loss for the business.

For a suggested answer, see the 'Answers' section at the end of the book.

3 THE STATEMENT OF FINANCIAL POSITION

3.1 INTRODUCTION

Definition The **statement of financial position** is a statement of a business's financial position at a point in time, by showing the business assets and the business liabilities.

The financial position of a business is measured by comparing what a business owns and what a business owes to people other than the business's owner. The statement of financial position performs this function by restating the accounting equation, as can be seen below.

3.2 FORMAT OF THE STATEMENT OF FINANCIAL POSITION

Statement of financial position of a business as at 31 December 20X2

	\$
Assets	x
	—
	xxx
	—
Capital introduced	x
Add profit	x
Less drawings	(x)
	—
	xx
Liabilities	x
	—
	xxx
	—

Assets are sub-divided into non-current and current.

Non-current assets are used by the business for more than one year (for example a freehold office or a lorry), whereas current assets will be converted into cash within one year (for example inventory).

Likewise, liabilities are split between current and non-current liabilities.

Current liabilities fall due to be paid within one year, whereas non-current liabilities are not due to be paid for more than one year.

The profit calculated in the statement of profit or loss is transferred to the capital account in the statement of financial position.

3.3 FINAL FORMAT OF THE STATEMENT OF FINANCIAL POSITION

If expanded to show types of asset and liability, then the statement of financial position looks like this:

Statement of financial position of a business as at 31 December 20X2

Non-current assets

	\$	\$
Property	x	
Van	x	
	—	
		xx

Current assets

Inventory	x	
Receivables	x	
Cash at bank	x	
	—	
		xx

Total assets

xxx

Capital introduced	x	
Add profit	x	
Less drawings	(x)	
	—	

xx

Non-current liabilities

Bank loan xx

Current liabilities

Payables	x	
Sales tax owing	x	
	—	
		xx

Total capital and liabilities

xxx

3.4 PREPARING THE STATEMENT OF FINANCIAL POSITION

The statement of financial position is prepared by:

- (1) identifying the asset and liability T accounts in the general ledger;
- (2) finding out the balances on the individual accounts; and
- (3) showing the figures in the relevant category.

Note that the carried down balances on asset and liability accounts form the brought down or opening balances in the following period.

ACTIVITY 2

Using Swing Dancewear's T accounts below, which have been identified as asset and liability accounts, bring down a balance on each of these and prepare a statement of financial position.

(Note: Include the profit from Activity 1.)

Cash at bank account

	\$		\$
Capital introduced	50,000	Property purchased	40,000
Loan received	30,000	Purchase of inventory	5,000
Sale of inventory	7,000	Sundry expense	100
Receivables	14,000	Drawings	600
		Payables	10,000
		Rent	350
		Rates	600
		Electricity	150
		Repairs	100

Owner's capital account

	\$		\$
		Cash at bank account	50,000

Loan account

	\$		\$
		Cash at bank account	30,000

Property account

	\$		\$
Cash at bank account	40,000		

Payables account

	\$		\$
Cash at bank account	10,000	Purchases account	10,000

Receivables account

	\$		\$
Sales account	14,000	Cash at bank account	14,000

Drawings account

	\$		\$
Cash at bank account	600		

For a suggested answer, see the 'Answers' section at the end of the book.

4 HOW THE STRUCTURE OF A BUSINESS INFLUENCES ITS ACCOUNTING SYSTEMS

4.1 INTRODUCTION

In chapter 2, we looked at the way in which transactions are recorded in a typical accounting system. Most businesses use this type of system: day books; analysed cash received day book; analysed cheque payments day book; general ledger; and personal ledgers. However, in practice, the accounting system is adapted to the needs of the individual organisation. It reflects the way in which a business is organised and the activities that it carries out.

4.2 EXAMPLES

The type of business

- A retailer selling goods for cash does not need a sales day book or sales (receivables) ledger, because there are no credit sales.
- A business that sells a service, rather than goods, may not have a significant volume of credit purchases. Therefore it **may** not be practical to use a purchase day book or purchase (payables) ledger. Instead, purchases are recorded in the cheque payments day book when the invoice is paid and the general ledger is adjusted for invoices received but not paid at the year end.

The size of the business and the number of staff

A large business is likely to employ one or more qualified accountants and several bookkeepers, each responsible for maintaining one or more of the accounting records. The accounts staff have the time and the ability to operate a full accounting system.

A small business may have only one person to deal with the accounts. In this situation, there may be only the most essential accounting records (possibly only a cash book and copies of invoices). This type of business tends to rely on outside help to prepare the final accounts at the year end. The preparation of accounts from incomplete records will be covered in a later chapter.

5 USERS OF FINAL ACCOUNTS AND THE INFORMATION THAT THEY NEED

The purpose of final accounts is to provide useful information. Several different groups of people may use the final accounts of a small business.

5.1 INTERNAL USERS OF FINANCIAL INFORMATION

The owner of a business may use the profit for the year to determine how much money can be drawn out of the business.

In addition the owner uses the statement of profit or loss information to try to improve the sales performance and also to reduce costs if they are considered to be too high. The items in the statement of financial position are used to collect money owing to the business, pay debts due to suppliers and ascertain the amount of inventory held by the business.

The final accounts are often the main source of information for the owner of a small business, but this is not always the case. The owner can also use the more detailed information contained in the accounting system. For example, the sales ledger shows the amount owed by each customer and how that amount is made up. The owner can use this information to collect debts in an effective way (perhaps by concentrating on old debts or large debts).

Internal users of financial information may include employees who have specific responsibilities within the organisation. For example, a sales ledger clerk may have responsibility for managing receivables and to ensure that amounts due to the business from credit customers are received in accordance with agreed credit terms. This requires specific and detailed information regarding credit sales, cash received from customers and amounts still outstanding.

Similarly, a purchase ledger clerk may have responsibilities which include ensuring that payment is made to suppliers within agreed credit terms and conditions. This requires detailed and up to date information regarding initial receipt of goods, recording the purchase cost and associated liability and arranging for payment to clear the outstanding liability.

It can be appreciated that internal users of financial information often require specific, detailed and up-to-date information, often on a daily or weekly basis, if they are to effectively control and manage business activities.

5.2 OTHER USERS

The other user groups are external to the business. This means that other users rely on the annual accounts to provide the information that they need; they do not normally have access to any other information about the business. For example, it is extremely unlikely that a business would release detailed information relating to trade receivables and trade payables to any external third party, even if they would find that information useful. External users are therefore limited to the financial information made available by the business directly, or that which is legally required to be made available. In this latter situation, limited liability companies are legally obliged to make specified information available.

All users need information about performance and financial position. However, different groups of users may be interested in different aspects of these.

Investors, potential investors and their advisers

Investors need information that helps them to make investment decisions:

- whether or not to invest in a business (by providing capital)
- whether to continue to invest in a business or to sell their investment/withdraw their capital.

External users are interested in information about the return on their investment and any trends. (for example, is the return steadily increasing, decreasing or fluctuating?). External user groups are interested in how the business is performing now and how it may perform in future.

Lenders

Lenders are interested in information that helps them to predict whether their loans will be repaid and whether the loan interest will be paid when it falls due. Potential lenders are interested in information that helps them to decide whether to lend to the business and on what terms lenders may consider factors such as, does the business generate sufficient cash receipts to finance loan repayments and finance costs? Lenders may also be interested in whether the business has assets available that could be used as security against loans made.

Suppliers

A supplier (and other trade payables) are interested in information that helps it to decide whether to sell to the entity on credit and to assess the likelihood that amounts owing to it will be paid when due. A supplier will consider whether the business is making profits and whether it will be paid for goods supplied.

Employees

Employees are interested in information that helps them to assess the ability of their employer to provide wages and salaries, and continuing employment. Employees are also interested in information about the stability and profitability of their employers (for example, as a basis for wage negotiations).

Customers

Customers are interested in information that helps them to predict the business's continued existence. This is especially so when customers are dependent on the business (for example, if the business supplies specialised goods or equipment that the customer needs for its own activities). A customer will consider whether the business is making profits and whether it is likely to continue in operational existence as a source of business supplies so that it can continue its own activities.

Governments and their agencies

The tax authorities base the tax that a business must pay on the profit for the period as disclosed by the period-end accounts. The tax authorities are often the most important external user of the accounts of a small business. Government agencies will also monitor accounting for sales tax and also accounting for the right amount of employment taxes taken from employees.

Governments and their agencies need information in order to regulate the activities of businesses and to provide a basis for national statistics along with economic and business forecasting.

The public

The public may be interested in information about a business's activities. For example, a business may be a major contributor to a local economy by providing employment and using local suppliers, or it may attract the attention of environmental pressure groups.

CONCLUSION

The statement of profit or loss is prepared by transferring the balances on the revenue and expense accounts from the general ledger. These accounts record revenue and expenses for a single accounting period, normally one year. New accounts will be set up for the following period.

The statement of financial position is prepared by copying the balances from the asset, liability and capital accounts in the general ledger. The closing balances on these accounts at the end of one accounting period form the opening balances at the start of the next period.

Final accounts are prepared for the owner of the business. However, in practice, other users (such as the banks and the taxman) also use these accounts, even though their information needs may be different from the owner's.

KEY TERMS

Statement of profit or loss – a statement that shows the financial performance of a business for an accounting period.

Gross profit – sales less the cost of goods sold.

Net profit – gross profit less expenses.

Statement of financial position – a statement of a business's financial position at a point in time, showing the assets and the liabilities.

Users of the accounts – those persons and organisations who have an interest in the final accounts of a business.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 What is shown in the statement of profit or loss?	2.1
2 What is shown in the statement of financial position?	3.1
3 What types of accounts have their balances included in the statement of financial position?	3.3, 3.4
4 State five different users of the final accounts.	5.1, 5.2

PRACTICE QUESTION

POTENTIAL USERS

State three potential users of final accounts, briefly explaining for each one their likely information needs.

For a suggested answer, see the 'Answers' section at the end of the book.

Chapter 5

BASIC FRAMEWORK OF ACCOUNTING

In the last chapter the financial statements were merely a rearrangement of the numbers in the trial balance. The trial balance itself was based on transactions that had taken place during the period. There was no judgement or opinion involved in drawing up those financial statements.

In practice, accountants do have to exercise judgement when preparing financial statements. For example: will customers pay up? How long will a van last for?

This chapter explains the main principles that accountants follow in preparing accounts. It also considers the qualities that make the information in the final accounts useful and explains how preparers of accounts should choose accounting policies. It then moves on to describe the framework of regulations that govern the preparation of accounts. Finally, this chapter deals with the definition of revenue and how it is recognised in the financial statements.

This chapter covers syllabus areas A1, A3.

CONTENTS

- 1 The basic principles of accounting
 - 2 Accounting standards
 - 3 The importance of fair presentation
 - 4 Accounting policies
 - 5 Revenue from contracts with customers
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- explain and apply the basic principles of accounting
 - discuss the overriding need for the fair presentation of financial information
 - define the term 'accounting policies'
 - distinguish between accounting policies, accounting estimates and measurement bases
 - explain and discuss accounting policies and their objectives
 - explain the role of International Accounting Standards and International Financial Reporting Standards.
-

1 THE BASIC PRINCIPLES OF ACCOUNTING

1.1 INTRODUCTION

Definition **Accounting principles** are conventions or accepted practice which apply generally to transactions.

These accounting principles have been developed by accountants over time. The principles can be used to determine:

- which assets and liabilities are recorded on a statement of financial position
- how assets and liabilities are valued
- what income and expenditure is recorded in the statement of profit or loss
- at what amount income and expenditure is recorded.

1.2 THE BUSINESS ENTITY

Definition Financial accounting information relates only to the activities of the **business entity** and not to the personal activities of its owners.

The business accounts are prepared as though the business is an entity that is separate from its owner.

Sole traders and partnerships are not **legally** separate from their owners. For example, a sole trader is liable for the debts of the business and his or her own personal assets must be sold to meet them if the business does not have sufficient resources. Even so, for accounting purposes, the business is **regarded** as being a separate entity and accounts are drawn up for the business separately from the trader's own personal financial dealings.

In contrast, a limited company is a separate legal entity distinct from its owners. A company can enter into legal contracts in its own right. If it becomes insolvent, the owners are only liable for the sum that they have invested.

You will not be asked to prepare the accounts of a limited company for this paper, although the principles discussed throughout the chapter are the same.

1.3 DOUBLE ENTRY (DUALITY)

Definition Every transaction has **two** effects.

The dual aspect underpins double entry and the statement of financial position and we have examined this principle in detail in earlier chapters.

1.4 HISTORIC COST

Definition The **historic cost accounting system** is a system of accounting in which all values are based on the historic costs incurred.

The figure shown in the financial accounts for an item is the value of the item when the transaction occurred, not a current market value.

For example, a property is shown in the financial accounts at its original cost, not at a value that the property could be currently sold for. Although this may not show a true value of the business, it is at least objective, in that the original cost of the property is a fact. Any current market valuations would be based on opinions of the various valuers and thus would be subjective.

In practice, although most assets and liabilities are held at historic cost, some businesses might 'revalue' certain non-current assets, especially land and buildings, to a current value. This is outside the syllabus for this paper.

1.5 MATERIALITY

Definition **Materiality** is a threshold quality that is demanded of all information in the financial statements. Financial statements should separately disclose items that are significant (material) enough to affect decisions made by users of financial statements.

The understandability (clarity) and relevance of the financial statements is improved if only significant (material) items are included. Information is material if its omission or misstatement would influence decisions made on the basis of the financial statements.

What is and what is not significant will differ from organisation to organisation. For example, suppose that a sale of \$100 has been recorded in error as a sale of \$1,000.

- If total sales are \$10 million, the error will not affect a user's overall view of the business's performance given by the statement of profit or loss (and so the amount is said to be immaterial).
- If total sales are only \$10,000, the error is material. If it is not corrected the statement of profit or loss will be misleading.

1.6 GOING CONCERN

Definition Financial statements are usually prepared on the assumption that the business will **continue in operational existence for the foreseeable future**.

This means that the financial statements are drawn up on the assumption that there is **no intention or necessity to close down the business**.

If the financial accounts are not prepared using the going concern basis then they must be prepared on what is known as the break-up basis.

The break-up basis reflects the following:

- Some assets may be sold at less than their value in the statement of financial position because, whilst a machine may have a use for a specific business, it may be scrap metal to anyone else.
- In contrast, property may be sold for a value in excess of that shown in the statement of financial position based on original cost.
- If the entire inventory is sold at once then it will not be sold for as much money as if it were sold in the normal way.
- Some customers may decide not to pay the business if it is known the business is about to go into liquidation.

In most cases financial statements are prepared on a going concern basis.

The going concern concept justifies a range of other practices. For example, assets are valued in a manner that may not reflect their current market value. That does not really matter because the going concern concept suggests that the assets will be retained and used in the business. A more accurate valuation would mean very little because there is no question of the assets being sold.

1.7 ACCRUALS

Definition Income is recognised in the financial accounts as it is earned, not when the cash is received. Expenditure is recognised as it is incurred, not when it is paid for. When income is earned over time (e.g. rental income) or expenditures are time-related (e.g. rental payments), the income and expenditure recognised in the statement of profit or loss should relate to the time period, not to the receipts or payments of cash.

1.8 CONSISTENCY

Definition A business should be consistent in its accounting treatment of similar items, both **within** a particular accounting period and **between** one accounting period and the next.

Consistency prevents, for example, similar items of expenditure being treated as capital items and included as non-current assets one year, but as revenue items deducted from profit in another year.

1.9 A NOTE REGARDING PRUDENCE

Traditionally prudence was regarded as one of the most important accounting principles. However, modern thinking has downplayed its importance and it is no longer separately referred to; the issue of prudence in the preparation of financial statements is now absorbed within the newly defined qualitative characteristics of financial information considered elsewhere within this chapter.

Definition In conditions of uncertainty, a cautious approach should be taken, so that gains and assets are not overstated and losses and liabilities are not understated.

This means that:

- Sales and profit should not be included in the statement of profit or loss until the cash has been received or there is reasonable certainty that the cash will be received.
- In contrast, losses should be recognised in the statement of profit or loss as soon as they are foreseen and considered reasonably certain.

For example, inventory should always be valued at the lower of cost and net realisable value. Net realisable value (NRV) is selling price less costs to sell.

This normally results in inventory being valued at cost. If NRV is greater than cost and the goods were to be valued at NRV, then the business would be recognising the profit on sale before it had been earned.

If the NRV is less than cost, the goods are valued at the NRV, i.e. the expected loss on the eventual sale of the goods is recognised immediately.

ACTIVITY 1

Which accounting conventions would be likely to be used in the following situations?

- (a) Determining which accounting period an item of expenditure relates to.
- (b) Valuing an asset of the business that is to appear in the statement of financial position.
- (c) Deciding whether to disclose separately amounts spent on marketing, or just to include them in general expenses.

For a suggested answer, see the 'Answers' section at the end of the book.

2 ACCOUNTING STANDARDS

2.1 THE NEED FOR REGULATION

Without a system of accounting regulation, preparers of financial statements would (in theory) be able to adopt whatever accounting treatments they chose. This means that it would be impossible for users to assess the performance of an entity in a meaningful way. It would also be impossible to compare the financial statements of different entities.

In addition, preparers of financial statements might deliberately attempt to present an inaccurate picture of the entity's performance and position.

2.2 ACCOUNTING STANDARDS

Definition **Accounting standards** are a set of rules and guidelines, issued by a body formed within the accountancy profession, governing the preparation and presentation of all financial statements that purport to show a 'true and fair view'.

International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs) are authoritative statements of best accounting practice. The Standards set out the manner in which accounts should be prepared and presented. The Standards also provide guidance on how certain items should be presented in the accounts.

Companies are required to prepare accounts that comply with the accounting standards and laws of the countries in which they operate. Many countries now allow or require companies to use International Accounting Standards (IASs) and International Financial Reporting Standards (IFRSs) instead of local accounting standards.

Sole traders and partnerships do not normally have to comply with accounting standards. However, sole traders and partnerships tend to apply the principles of the standards as they represent best accounting practice. The tax authorities and other external users often take the view that accounts should be prepared in accordance with applicable accounting standards.

The list of examinable documents applicable for this paper comprise the following items:

- IAS 1 *Presentation of financial statements* (see section 3 of this chapter)
- IAS 2 *Inventories* (see chapter 12)
- IAS 16 *Property, plant and equipment* (see chapter 7)
- IAS 1FRS 15 *Revenue from contracts with customers* (see section 5 of this chapter)
- IAS 37 *Provisions, contingent liabilities and contingent assets* (see chapter 13)
- The Conceptual Framework for Financial Reporting (the Conceptual Framework) (see section 4.5 of this chapter)

3 THE IMPORTANCE OF FAIR PRESENTATION

IAS 1 sets out the way in which final accounts should be presented (using the formats seen in chapter 4).

It states that financial statements should present fairly the financial position, financial performance and cash flows of an entity (a business).

In some countries, limited company financial statements are required by law to be fairly presented. Sole traders and partnerships will normally wish their final accounts to be fairly presented (although this is not a legal requirement) because it will give the financial statements more credibility when dealing with, say, the banks or when negotiating between partners.

There is no definition of 'fair presentation'. However, IAS 1 states that in virtually all circumstances fair presentation can be achieved by:

- selecting and applying appropriate accounting policies; and
- presenting information in a manner that provides relevant, reliable, comparable and understandable information.

Financial statements prepared in accordance with all applicable international accounting standards will **normally** be fairly presented.

However, the principle that financial statements should be fairly presented is so important that it overrides all other considerations. This means that sometimes it may be necessary to depart from the requirements of an accounting standard in order to achieve a fair presentation. In practice this is **extremely rare**.

Accounting concepts

IAS 1 identifies two accounting concepts as particularly important in preparing financial statements. These are:

- the going concern concept (see section 1.6)
- the accruals concept (see section 1.7).

IAS 1 states that:

- Financial statements should be prepared on a **going concern** basis, unless the entity is being liquidated or has ceased trading, or the directors have no realistic alternative to these courses of action.
- An enterprise should prepare its financial statements, except for cash flow information, on the **accruals** basis of accounting.

4 ACCOUNTING POLICIES

4.1 ACCOUNTING POLICIES DEFINED

Definition **Accounting policies** are the specific principles, bases, conventions, rules and practices adopted by an enterprise in preparing and presenting financial statements.

For example, an accounting policy for a **particular type of expenditure** may specify how it is to be measured; and where in the statement of profit or loss or statement of financial position it is to be recognised.

4.2 ACCOUNTING ESTIMATES

Many items in the final accounts **cannot be measured precisely** but can only be **estimated**. The use of **accounting estimates** is an essential part of the preparation of final accounts and this **does not** make them less reliable.

An accounting policy specifies the basis on which an item is to be measured, and where there is uncertainty over the money value corresponding to that basis, an accounting estimate is used to arrive at that money value.

For example, a company's **accounting policy** could be to **make an allowance for doubtful receivables**. The amount of the allowance will be based on an **accounting estimate**. Another example is that of depreciation: **the accounting policy is to depreciate; the accounting estimate is which method and what rate are used**, e.g. 10% straight line.

4.3 MEASUREMENT BASES

All the elements of financial statements – assets, liabilities, revenues, expenses and changes in ownership interest – have to be measured.

Possible **measurement bases** for assets could include:

- **cost**
- **net realisable value** (selling price less costs to sell)
- **replacement cost**.

The measurement bases an entity adopts are part of its accounting policies. Any material change in a measurement basis is thus a change of accounting policy.

4.4 SELECTING ACCOUNTING POLICIES

Accounting policies should be selected and applied so that the financial statements comply with all the requirements of each applicable accounting standard and regulation.

Where accounting standards do not provide specific guidance, management should use its judgement in developing an accounting policy that provides the most **useful** information to users of the financial statements.

4.5 WHAT MAKES FINANCIAL INFORMATION USEFUL?

Sometimes an entity may need to decide which of two or more accounting policies to adopt. It should select the one that it judges to be most appropriate to its particular circumstances.

An entity should judge the appropriateness of an accounting policy by considering whether it results in information that is useful to users.

The Conceptual Framework for Financial Reporting (usually referred to as 'the Conceptual Framework') identifies two fundamental qualitative characteristics of useful financial information, together with four enhancing qualitative characteristics. The two fundamental characteristics are as follows:

Relevance

Information is **relevant** if it has the ability to influence the economic decisions of users and is provided in time to influence those decisions.

Information is relevant if it can be used to predict future financial position and performance or if it used to confirm past predictions.

Faithful representation

Information is **faithfully presented** if it is complete, neutral and free from error. It must be without bias or manipulation and clearly described.

The four enhancing qualitative characteristics enhance the usefulness of information as follows:

Comparability

Users must be able to compare the financial statements of an entity over time to identify trends in its financial position and performance. Users must also be able to compare the financial statements of different entities to evaluate their relative financial performance and financial position.

Preparers of accounts must observe the consistency principle (discussed above). Preparers must also disclose the accounting policies adopted in the financial statements.

Verifiability

Users must be able to rely upon financial information; verifiability provides assurance to users regard its credibility and reliability. When information is not capable of being verified, then any relevant assumptions and other relevant information should be provided to users.

Timeliness

Users should have information within a timescale that is likely to influence their decisions i.e. be relevant.

This may have an impact upon faithful presentation as, for example, preparation of accounts for the year ended 31 December 20X4, will require estimations, assumptions and judgements to be made for items such as accruals and prepayments at the year-end date. If the accounts were prepared and finalised by 10 January 20X5, it would be necessary to make many assumptions and judgements as relevant information would not yet be known. Alternatively, if the accounts were not prepared and finalised until, say, 30 June 20X5, additional information would then be available that would help to more accurately calculate accruals and prepayments and confirm other amounts included in the accounts for the year ended 31 December 20X4.

In general terms, the older information is, the less likely it is to be useful or relevant. There is arguably a trade-off between timeliness and the fundamental characteristics of relevance and faithful representation. Some degree of estimation, assumption and judgement may be acceptable if the information is to substantially retain the fundamental characteristics of relevance and faithful representation.

Understandability

Information is understandable if users are able to appreciate its significance. Understandability depends on:

- (a) the way in which the effects of transactions and other events are classified
- (b) the way in which information is presented
- (c) the capabilities of users.

It is assumed that users have a reasonable knowledge of business and economic activities and are willing to study the information provided with reasonable diligence.

4.6 OTHER CONSIDERATIONS IN SELECTING ACCOUNTING POLICIES

Different organisations have different policies and deadlines.

Sometimes there are conflicts between these qualities.

Relevance and reliability

Information that is relevant may not be reliable and vice versa. For example, we have already seen that an asset can be valued either at its original (historic) cost or at its current value. Current value probably provides more relevant information, but historic cost is more reliable, because it is not subjective.

Suppose that an entity has a significant amount owing from a customer and it is not certain that this will be paid. The entity could delay preparing its financial statements until the customer either pays the amount owing or refuses to pay. By that time the accounts would be more reliable, but less relevant because they would be out of date.

Neutrality and prudence

Reliable information should possess both these qualities. Neutrality means freedom from bias, but prudence may result in bias. Prudence seeks to ensure that, where there is uncertainty, profits and assets are not overstated while losses and liabilities are not understated.

Relevance and understandability

Information that is relevant and reliable may be difficult for some users to understand.

Finding a balance

In these situations, the entity must find a trade-off, or compromise, that maximises the relevance (i.e. usefulness) of the information in the financial statements:

- Where there is a conflict between relevance and reliability it is usually appropriate to use the information that is the most relevant of whichever information is reliable.
- There is also a need to balance the cost of providing information with the likely benefit to users of providing it.

5 REVENUE FROM CONTRACTS WITH CUSTOMERS

5.1 REVENUE DEFINED

Definition Revenue is the income arising in the course of the ordinary activities of a business.

This will usually arise from the sales of goods and services to customers. Revenue is recognised when it has been earned (when it becomes receivable), which is not necessarily when the cash is received in relation to a sale.

5.2 REVENUE RECOGNITION

In principle, revenue should be recognised in the financial statements when an organisation has discharged an obligation to provide good and/or services and consequently has the right to receive the revenue. This is achieved by applying a five-step process as follows:

- (1) Identify the contract – what are the rights and obligations between the two parties? The seller has the obligation to provide the agreed goods and/or services, and then has the right to receive revenue as agreed
- (2) Identify the separate performance obligations within a contract – if a bundle of goods and services are provided, can they be separated so that, as each separate obligation is performed, the seller has the right to receive revenue for satisfaction of that obligation. For example, providing a tuition course of ten lectures for a total price of \$200 can be divided into ten separate obligations, and each time a lecture is delivered, revenue of \$20 can be recognised.
- (3) Determine the transaction price – this is often easily identified from a price list of from communication or negotiation between the two parties.
- (4) Allocate the transaction price to the performance obligations in the contract – for example, providing a tuition course of ten lectures, plus course materials, for a total price of price of \$250 may be allocated as follows: \$50 for course materials and \$200 for the ten lectures.

- (5) Recognise revenue when (or as) a performance obligation is satisfied – performance obligations are normally satisfied when physical control of goods has been transferred to the buyer, and for services when the services have been supplied. Using the previous example, if course materials are issued during the first lecture, at the end of the first lecture, revenue of \$50 for the goods can be recognised, plus \$20 for provision of the first lecture.

If amounts are received in advance from the customer, it should be accounted for as deferred income (i.e. like a liability) as follows:

Debit Cash, and

Credit Deferred income.

This is because the seller does not yet have the right to recognise revenue. As goods and services are supplied to discharge an obligation, revenue can be recognised as follows:

Debit Deferred income, and

Credit Revenue.

One important point relates to determination of the contract price, which may include an element of variable consideration i.e. an amount which may or may not be due as and when contract obligations are discharged. An example of this would be discount offered for early settlement of the amount due – at the time revenue can be recognised, it will not be known for sure whether the customer will, or will not, take advantage of the early settlement discount.

This is considered in the chapter 2 dealing with settlement discount.

CONCLUSION

This short chapter has reviewed the regulations and principles that govern the preparation and presentation of the accounts of large organisations. It is good practice to also employ them, where appropriate, for sole traders and partnerships. The conventions and concepts discussed in this chapter will be referred to throughout your studies, and they will help to guide your professional judgement at work.

KEY TERMS

Accounting estimates – judgements necessary when valuing items for inclusion in the financial statements and when applying accounting policies.

Accounting policies – those principles, bases, conventions, rules and practices applied by an entity that specify how the effects of transactions and other events are to be reflected in its financial statements.

Accounting principles – conventions or accepted practice which apply generally to transactions.

Accounting standards – rules and guidelines, issued by a body formed within the accountancy profession, governing the preparation and presentation of all financial statements that purport to show a 'true and fair view'.

Accruals – income is recognised in financial accounts as it is earned, not when the cash is received. Expenditure is recognised as it is incurred, not when it is paid for.

Business entity concept – financial accounting information relates only to the activities of the business entity and not to the activities of its owners.

Consistency – a business should be consistent in its accounting treatment of similar items, both **within** a particular accounting period and **between** one accounting period and the next.

Comparability – it should be possible to compare businesses over time (because of the consistency concept) and with other businesses (because they should all be using the same accounting standards and disclosing the accounting policies used).

Dual aspect – every transaction has two effects.

Fair presentation – financial statements should present fairly the position, performance and cash flows of a business. This is generally achieved through the selection of appropriate accounting policies.

Faithful representation – financial information must be complete, neutral (i.e. unbiased) and free from error if it is to be faithfully represented.

Going concern – financial statements are usually prepared on the assumption that the business (or enterprise) will continue in operational existence for the foreseeable future.

Historic cost accounting – a system of accounting in which all values are based on the historic costs incurred.

IASs – International Accounting Standards issued by the International Accounting Standards Committee (IASC).

IFRSs – International Financial Reporting Standards issued by the International Accounting Standards Board (IASB).

Materiality – financial statements should separately disclose items that are significant enough to affect evaluation or decisions.

Measurement bases – different ways in which items can be valued; for example buildings could be valued at historic cost or valuation.

Prudence – in conditions of uncertainty, a cautious approach should be taken, so that gains and assets are not overstated and losses and liabilities are not understated.

Relevance – information is **relevant** if it has the ability to influence the economic decisions of users and is provided in time to influence those decisions.

Reliability – information is **reliable** when: it represents faithfully what it could reasonably be expected to represent; it is neutral; free from material error; complete and has been prudently prepared.

Revenue – income arising in the ordinary course of business, e.g. from sale of goods and services to customers

Timeliness – users of financial information should have information within a timescale that is likely to influence their decisions.

Understandability – accounts should be clearly presented and contain only significant information.

Verifiability – if information has been verified, this provides assurance to users of that information regarding its reliability.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 What is the going concern concept?	1.6
2 Income is recognised when it is earned, not when the cash is received. What is the name of this concept?	1.7
3 Accounting policies should be consistent in two ways. What are they?	1.10
4 What are the two types of international accounting standard currently in force?	2.2
5 Do unincorporated businesses have to comply with accounting standards?	2.2
6 What is the most important rule to follow when preparing final accounts?	3
7 What is an accounting estimate?	4.2
8 What is the definition of revenue?	5.1
9 What is the five-step process to recognise revenue?	5.2

PRACTICE QUESTION

ENHANCING QUALITATIVE CHARACTERISTICS

Identify and explain the four enhancing qualitative characteristics that make financial information useful.

For a suggested answer, see the 'Answers' section at the end of the book.

Chapter 6

CURRENT AND NON-CURRENT ASSETS

In previous chapters expenditure has been classified as an expense, an asset or as drawings. This chapter explains the rules for classifying expenditure and the difference between current and non-current assets.

The main topic of this chapter and the next is tangible non-current assets, including land and buildings, vehicles and machinery.

This chapter explains how capital expenditure (expenditure on non-current assets) is recorded in the general ledger accounts and in an asset register. It also explains how and why reconciliations between the two are carried out and why assets must regularly be physically counted. Finally, it explains the need to formally authorise acquisitions and disposals of these assets.

This chapter covers syllabus area D4.

CONTENTS

- 1 The need to classify expenditure
- 2 Determining whether an item is an expense or not
- 3 Different types of assets
- 4 Tangible non-current assets
- 5 Recording the cost of non-current assets
- 6 Setting up an asset register
- 7 Recording entries in the asset register
- 8 Reconciliation of the asset register to the general ledger
- 9 Asset counts
- 10 The need for authorisation

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- distinguish between capital expenditure and revenue expenditure
 - calculate and explain the effect of incorrectly classifying capital expenditure as revenue expenditure, and vice versa, on the final accounts
 - define current assets
 - define non-current assets
 - account for the acquisition of non-current assets
 - explain the purpose and function of an asset register
 - record data in an asset register
 - explain the purpose of data recorded in an asset register
 - explain how to identify and resolve any discrepancy between the asset register and the physical presence of assets
 - explain the need for authorisation of acquisition, disposal and part exchange of non-current assets.
-

1 THE NEED TO CLASSIFY EXPENDITURE

The main reason for recording commercial transactions in an accounting system is to enable a business:

- to determine its financial performance over a period of time
- to determine its financial position at the end of that period.

Performance is measured in terms of profit. If revenues (sales) are greater than expenses, then the business has made a profit.

The financial position is assessed in terms of net assets. If assets are greater than liabilities then the business has positive net assets. The greater the net assets then the greater the owner's capital interest.

Therefore, it is important to classify income and expenditure correctly in order to make a fair assessment of a business's performance and position. The options are as follows:

Cash received	<i>either</i>	income	in the statement of profit or loss,
	<i>or</i>	a liability	in the statement of financial position e.g. a loan
Cash paid	<i>either</i>	an expense	in the statement of profit or loss,
	<i>or</i>	an asset	in the statement of financial position.

2 DETERMINING WHETHER AN ITEM IS AN EXPENSE OR NOT

2.1 ACCRUALS CONCEPT

The accruals concept states that income should be recognised when it is earned and expenses recognised when they are incurred.

Costs such as electricity, rent and wages relate to one particular period; they are incurred in the process of creating revenue in that period. Therefore these are shown as expenses in the statement of profit or loss of the period (alongside the relevant revenue).

The cost of purchasing a non-current asset does not relate to one period. The asset will be used for a number of years in order to generate revenue. Therefore the cost of the asset should not be shown as an expense in the statement of profit or loss in the year of purchase.

Instead the cost should be spread over the period for which the asset generates revenue. This is achieved by showing the cost of the non-current asset in the statement of financial position and then depreciating it (gradually expensing the cost to the statement of profit or loss).

2.2 GUIDELINES FOR CLASSIFYING EXPENDITURE

<i>Type of expenditure</i>	<i>Accounts category</i>
Something that is used up within the period	Expense
Something that is sold within the period	Expense
Something that will last for more than one period	Asset
Expenditure for the owner's personal use	Drawings

An item that falls within the expense category is known as **revenue expenditure**, because it is set against the revenue (sales) produced by the business in the period. Expenditure on assets is known as **capital expenditure**.

The asset category is more involved and is explained below.

3 DIFFERENT TYPES OF ASSETS

3.1 CURRENT ASSETS

Definition A **current asset** is an asset which will be converted into money or consumed within the entity's normal operating cycle. Normally it will be converted into cash or consumed within the next 12 months.

There are three items that have been looked at so far which fall into this sub-category:

- inventory which will be sold or used in the near future, thereby generating revenue
- receivables which will be collected in the near future
- cash at bank (which is already money).

3.2 NON-CURRENT ASSETS

Definition A **non-current asset** is an asset that is purchased for use within the business in the generation of profits over more than one accounting period.

Typically non-current assets include plant and machinery, investments and trademarks. Non-current assets are not intended for conversion into cash in the short term.

4 TANGIBLE NON-CURRENT ASSETS

4.1 DEFINITION

Tangible assets are assets that have physical substance, and are also known as **property, plant and equipment**. They:

- (a) are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and
- (b) are expected to be used during more than one accounting period.

4.2 CLASSIFICATION AS A NON-CURRENT ASSET

Usually, the classification of an item as current or non-current will depend on the management's intentions. For example, if a furniture removal company buys a van, then it is probably going to be used in the business over many years for transporting furniture. Therefore it is a non-current asset. This expenditure is often referred to as capital expenditure.

Definition **Capital expenditure** is expenditure on non-current assets.

If a motor dealership purchases a van then it is probably intending to sell it to a customer, so the van will be the current asset of inventory. (However, from time to time the dealership may have to purchase a van for its own use – say for parts delivery – and these vans would then be non-current assets.)

4.3 IMPACT OF CLASSIFYING CAPITAL EXPENDITURE AS REVENUE AND VICE VERSA

If capital expenditure is wrongly treated as revenue expenditure (an expense), the impact is to:

- understate profit (i.e. the reported profit is lower than it should be)
- understate non-current assets and so total assets. This results in an understated depreciation charge.

If revenue expenditure is wrongly capitalised and shown as a non-current asset in the statement of financial position, the impact is to:

- overstate profit
- overstate non-current assets. The depreciation charge is therefore higher than it should be.

In either scenario the financial results will not provide an accurate picture of the position and performance of the entity. Therefore it is vital that care is taken to classify expenditure correctly.

ACTIVITY 1

A business purchases a new motor vehicle for \$10,000. The invoice is posted to the sundry expenses account in the general ledger.

At the same time an invoice for repairs to another motor vehicle costing \$1,500 is posted to the motor vehicles account.

What is the effect of these errors on the statement of profit or loss for the year and in the statement of financial position at the year-end? (Ignore depreciation.)

For a suggested answer, see the 'Answers' section at the end of the book.

ACTIVITY 2

How would the following assets be classified in the statement of financial position?

- (a) New cars held by a motor dealership.
- (b) A car owned by a driving school.
- (c) Finished aeroplanes owned by an aircraft manufacturer.
- (d) Aeroplanes owned by an airline.

For a suggested answer, see the 'Answers' section at the end of the book.

5 RECORDING THE COST OF NON-CURRENT ASSETS

5.1 THE COST OF NON-CURRENT ASSETS

Definition The **cost of a non-current asset** includes all costs directly attributable to bringing the asset to the location and condition necessary for its intended use.

In practice this normally includes the following items:

- purchase price of the asset
- delivery and handling costs
- site preparation (for example a machine may need foundations)

- construction costs
- installation and assembly costs
- professional fees (architects, engineers, etc)
- interest on finance during the construction of an asset *may* be capitalised.

Conclusion All of these separate items of expenditure will be added up and treated as the cost of the asset.

5.2 SETTING UP THE CORRECT LEDGER ACCOUNTS

Before a business accounts for the purchase of a non-current asset, it must decide how assets of this type will be grouped together. This is because there would not be enough room to show every single type of asset separately in the statement of financial position.

Typical classifications are:

- land and buildings
- fixtures and fittings (chairs, desks, shelving, lights, etc)
- office equipment (computers, typewriters, etc)
- plant and machinery
- motor vehicles.

These classifications will become the ledger account headings for recording the cost of purchasing these assets.

5.3 BASIC DOUBLE ENTRY FOR THE COST OF NON-CURRENT ASSETS

Having set up the necessary ledger accounts, the business will now record the cost of the assets purchased, via either the purchase day book, the cash payments book or the journal, depending on how the asset is purchased.

ACTIVITY 3

Using the example of a machine costing \$4,000, purchased on credit, show how the expenditure would be recorded in the general ledger accounts.

For a suggested answer, see the 'Answers' section at the end of the book.

5.4 DOUBLE ENTRY WITH SALES TAX

Sales tax normally applies to commercial vehicles, plant and equipment. If a business purchases equipment for \$12,000 including sales tax at 20%, the tax is treated in exactly the same way as any normal purchase and thus would be shown in the purchase day book as follows:

<i>Invoice</i>	<i>Total</i>	<i>Sales tax etc.....</i>	<i>Plant and equipment</i>
	\$	\$	\$
Supplier name	12,000	2,000	10,000

ACTIVITY 4

Show how the purchase of equipment above is recorded in the general ledger accounts.

For a suggested answer, see the 'Answers' section at the end of the book.

Many countries do, however, have different rules for taxes on property (land and buildings) and on private cars. Often tax cannot be reclaimed on these items. If this is the case then such taxes should be capitalised as part of the cost of the item.

The double entry for a motor car costing \$20,000 plus sales tax of \$4,000, paid in cash, would therefore be:

Debit	Motor vehicles	\$24,000
Credit	Cash	\$24,000

6 SETTING UP AN ASSET REGISTER

6.1 THE NEED FOR AN ASSET REGISTER

Definition An **asset register** is a collection of individual memorandum records, each relating to an individual asset, carrying detailed information relating to its purchase, description, location, depreciation, book value and (ultimately) disposal.

When an asset is purchased, the cost is recorded in the T accounts of the general ledger. However the only other details recorded in the general ledger are the date of purchase, and a purchase day book reference. Furthermore, when the T account is balanced up at the end of the year and the balance on the T account is carried down, even these details get lost as the individual cost is merged into an account total.

Therefore, management need a memorandum record for each non-current asset purchased.

6.2 LINK OF ASSET REGISTER TO THE ACCOUNTING SYSTEM

As stated above, the asset register is a memorandum ledger. It does not form part of the general ledger double entry system. It merely gives a detailed breakdown of the non-current asset balances in the general ledger.

6.3 THE CONTENTS OF THE ASSET REGISTER

The layout of an asset register depends on the organisation concerned and whether or not the asset register is computerised. Information common to all asset registers is listed below:

- An asset number

This is a unique number given to each individual asset and also put on the asset itself. This number is a means of identifying any non-current asset in the business and tracing it back to the asset register.
- A description of the asset.
- A location reference to indicate where the asset can be found, in case of numerous similar assets.
- A reference to the supplier to enable the asset to be traced back to an invoice.
- A date of purchase, to enable depreciation to be calculated and checked.
- The useful life of the asset, i.e. how long the asset is expected to be used in the business before it is sold or scrapped.
- The type of depreciation method used (covered in more detail in chapter 7).
- The cost of the asset.
- The residual (scrap)
- Value of the asset, being an estimate of how much the asset could be sold for at the end of its useful life.
- The accumulated depreciation to the beginning of the year (covered in more detail in chapter 7).
- The depreciation charge for the current year (covered in more detail in chapter 7).
- Carrying value, being the cost of the asset less accumulated depreciation to date (depreciation to beginning of the year plus depreciation for the current year).
- Date of disposal.
- Disposal proceeds.

An example of how this information can be arranged in an asset register is shown below.

Asset register

Asset number	Description	Location	Supplier ref	Purchase date	Useful life	Dep method	Cost	Residual value	Acc dep b/d	Dep for year	CV	Date of disposal	Disposal proceeds
						\$	\$	\$	\$	\$	\$	\$	\$

Conclusion The asset register allows a greater level of detail to be recorded about individual assets than would be practicable within the main accounting records.

7 RECORDING ENTRIES IN THE ASSET REGISTER

7.1 WHEN THE INFORMATION IS RECORDED IN AN ASSET REGISTER

All information relating to an asset, except the accumulated depreciation figure and the disposal information, should be recorded in the register when the asset is purchased.

Recording the accumulated depreciation and disposal information is performed at a later stage in the lives of assets and will be covered in the next chapter.

7.2 CHANGES OF INFORMATION IN THE ASSET REGISTER

Any changes to this information must be recorded in the asset register. Businesses should have procedures to ensure that the asset register is kept up to date.

ACTIVITY 5

The assets detailed below were purchased by XYZ Ltd.

An IBM computer (asset number 13465), to be used in Accounts, from Computer Supplies Ltd for \$1,500 on 30 November 20X4. The machine has a useful life of three years and a residual value of \$300. It is to be depreciated on a straight line basis.

A mixing machine (asset number 24536) from Industrial Supplies Ltd to be used in Factory one, for \$4,000. This has a useful life of five years and will be written off using the reducing balance method. The machine was purchased on 4 October 20X4 and is not expected to have any value at the end of its useful life.

Record this information in the asset register.

For a suggested answer, see the 'Answers' section at the end of the book.

8 RECONCILIATION OF THE ASSET REGISTER TO THE GENERAL LEDGER

8.1 THE NEED TO AGREE THE ASSET REGISTER AND THE GENERAL LEDGER

As the same information in respect of the cost of non-current assets is recorded in the general ledger and the asset register, the total cost on both should agree.

In addition, the information recorded for accumulated depreciation is also the same on the general ledger and the asset register and therefore this information should also agree.

However differences will occur if one is not updated or if different figures are recorded in each ledger. Differences are more likely to occur in a manual system.

To ensure the accuracy of the accounting information, a regular reconciliation between the general ledger and the asset register should take place.

8.2 HOW THE TWO ARE AGREED

Reconciling the general ledger and the asset register is a matter of balancing the asset general ledger accounts for cost and accumulated depreciation, adding up the cost and accumulated depreciation columns in the register and comparing the sets of figures.

If the sets of figures agree then the general ledger and the asset register are probably accurate. If they do not agree some investigative work is needed to track down and resolve the difference.

8.3 FINDING DIFFERENCES BETWEEN THE TWO

This usually involves checking every single entry made since the last reconciliation in the ledger and the register, making sure entries in both have been recorded identically. Checking the general ledger side will usually involve checking the purchase day book totals back to the purchase day book and then agreeing the purchase day book entries to the asset register. Calculations may also need checking for accuracy. This ensures that all assets purchased have been recorded correctly and the ledger accounts are complete and accurate.

Differences could be due to a number of reasons, for example, an asset purchased or disposed of may have been recorded in the general ledger but not in the non-current asset register, hence when a reconciliation is made the register doesn't agree to the general ledger or the physical presence of assets. This will also cause problems with the depreciation charge as this may or may not have been entered in the register because it is out of date.

8.4 HOW TO ACCOUNT FOR THE DIFFERENCES

If an entry in the asset register is incorrect, then it is a simple matter of correcting the entry in the asset register.

If the general ledger is incorrect then the correction that will take place in the general ledger will depend on the type of error. This has been covered in the chapter on the trial balance and correction of errors.

Conclusion The asset register can act as a control over the accuracy of entries in the general ledger.

9 ASSET COUNTS

9.1 THE NEED FOR AN ASSET COUNT ON A REGULAR BASIS

Definition An **asset count** is a physical inspection of non-current assets owned by the business to check the accuracy and validity of entries in the asset register.

Section 8 explained that the general ledger should agree with the asset register. There is also a need to make sure that the assets shown on the asset register actually exist, and that all assets used by the business have been recorded on the asset register. Asset counts should take place regularly.

9.2 PROCEDURES FOR AN ASSET COUNT

In general, the following procedure is used:

- (1) A team of employees will be given a list of the assets, taken from the asset register, which they should expect to find at a location.
- (2) As an asset is found, the asset number on the asset will be checked against the list of assets to ensure the description is correct. Notes may also be made as to the condition of the asset.
- (3) The asset will be marked as having been counted, probably by putting a coloured sticker on it.
- (4) If an asset is found but no details can be found on the asset register then the asset will be added to the list. This asset will then be a cause for investigation.
- (5) When all items of non-current assets in a location have been counted then the asset list will be reviewed. Any items not marked as having been counted are therefore missing and need to be investigated. Assets on site but not recorded in the register will also need to be investigated.

9.3 HOW TO ACCOUNT FOR THE DIFFERENCES

Differences can arise for a variety of reasons. The asset may have been recorded on the register incorrectly, or maybe the asset has been stolen or sold. Once investigated, these differences must be adjusted for in the asset register and also in the relevant non-current asset accounts in the general ledger.

(a) Assets that are missing

The details of these assets must be removed from the asset register, and also the cost and accumulated depreciation must be taken out of the asset accounts. The carrying value written off will be treated as an expense for the period.

(b) Assets found but not on the register

The details of these assets will be added to the asset register, except that they will normally be recorded at zero cost. The cost of the asset will probably have been incorrectly recorded as an statement of profit or loss expense sometime in the past. If the cost is likely to be material then the cost should be identified, recorded in the accounts and an equal amount reversed out of the statement of profit or loss.

Conclusion The asset count provides a physical control over the accuracy of the asset register, both in terms of existence of the assets and their location, condition, etc.

10 THE NEED FOR AUTHORISATION

10.1 WHY CAPITAL EXPENDITURE NEEDS TO BE AUTHORISED

One of the largest items of expenditure in a business is the purchase of non-current assets. These are also the business assets most likely to be misused or misappropriated by employees.

For these reasons it is important that a business makes sure that when an asset is purchased:

- it is for business purposes
- the business is really justified in purchasing the asset
- the business can afford it.

Therefore the owner of the business, or, in larger organisations, a manager, should authorise capital expenditure and this authorisation should be documented.

There are various ways of doing this. Large businesses may use a capital authorisation form to support all requests for capital expenditure. The form may detail:

- a description of the asset
- why the asset is required
- evidence to justify this reason
- alternative quotes for the cost of the asset
- the supplier recommended from the quotes and why that supplier has been chosen
- how the purchase of the asset is to be funded
- the requester's signature
- an authorised counter signatory.

Smaller businesses may use memos or the owner or manager may simply sign the purchase invoice.

10.2 WHY DISPOSALS AND PART EXCHANGES NEED TO BE AUTHORISED

A business may dispose of a non-current asset for a variety of reasons. The asset may be worn out, technologically out of date, no longer used within the business or not productive enough. A business must have tight control over the disposal of assets. These controls must ensure that:

- the disposal is properly documented
- written authorisation is obtained and kept on file
- only surplus assets are disposed of
- a fair price is obtained for disposals.

There have been occasions when dishonest staff have sold assets to themselves at bargain prices.

It is common for some old assets (particularly vehicles) to be part-exchanged (or traded-in) to help fund the cost of a new asset. For example, suppose a business was purchasing a new van costing \$17,000. If it traded in its old van at an agreed value of \$5,000 then there would only be \$12,000 to pay in cash.

Part exchange transactions should also be authorised.

CONCLUSION

In this chapter we have seen that non-current assets are normally held for more than a year and their purchase is regarded as capital expenditure.

As with other assets, non-current assets are recorded in ledger accounts using double entry bookkeeping. In addition, full details of these assets are maintained in an asset register. This can be used to provide a check and control between the totals of the asset register and the ledger accounts. It is also used periodically to check the physical existence of these assets.

KEY TERMS

Asset count – a physical inspection of non-current assets owned by the business to check the accuracy and validity of entries in the asset register.

Asset register – a collection of individual memorandum records, each relating to an individual non-current asset, carrying detailed information relating to its purchase, description, location, depreciation, book value and (ultimately) disposal.

Authorisation – the process of having capital expenditure or the disposal of a non-current asset documented and approved by a manager or owner of a business.

Capital expenditure – expenditure on non-current assets.

Cost of non-current assets – this includes all costs directly attributable to bringing the asset to the location and condition necessary for its intended use.

Current asset – an asset which will be converted into money or consumed within the entity's normal operating cycle. Normally it will be converted into cash or consumed within the next 12 months.

Non-current asset – an asset that is *not* a current asset.

Revenue expenditure – expenditure that is set against the revenue (sales) produced by the business in the period.

Tangible non-current assets – assets that can be physically touched, and

- (a) are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and
- (b) are expected to be used during more than one accounting period.

They are sometimes referred to as **property, plant and equipment**.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 What is a non-current asset?	3.2
2 Give three examples of tangible assets.	4.1, 5.2
3 Give examples of five different types of expenditure that may comprise the cost of a non-current asset.	5.1
4 What is the basic double entry to record the cost of non-current assets acquired (ignoring sales tax)?	5.3

- | | | |
|---|---|------|
| 5 | What is the double entry to record the purchase of non-current assets on which sales tax has been charged and is reclaimable? | 5.4 |
| 6 | What sort of details are recorded in the asset register in respect of individual assets? | 6.3 |
| 7 | How can we check that non-current assets are accurately recorded in the general ledger? | 8.2 |
| 8 | Give three reasons why capital expenditure should be authorised. | 10.1 |
-

EXAM-STYLE QUESTION

- 1 Elizabeth is entering an invoice in the purchase day book. The invoice shows the following costs:

	\$
Plant and equipment	55,700
Delivery	1,500
Maintenance charge	5,570
Sales tax (recoverable)	12,554
Total	75,324

What is the total value of capital expenditure on the invoice?

- A** \$55,700
- B** \$57,200
- C** \$62,770
- D** \$75,324
-

PRACTICE QUESTION

- (a) Non-current assets are recorded in the general ledger and the asset register. Why, therefore, is an asset count considered necessary?
- (b) Distinguish between capital expenditure and revenue expenditure.
- (c) Explain how the purchase of non-current assets is accounted for.
-

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 7

NON-CURRENT ASSETS

The last chapter explained how to account for the purchase of a non-current asset and introduced the concept of depreciation.

This chapter explains further the purpose of depreciation in financial statements, and how it is recorded in the general ledger accounts and asset register. It also explains how the disposal of a non-current asset is accounted for in the general ledger and the asset register.

This chapter covers syllabus area D4.

CONTENTS

- 1 The purpose of depreciation
- 2 Straight line depreciation
- 3 Reducing balance depreciation
- 4 Calculating depreciation for an accounting period
- 5 Accounting for depreciation
- 6 Depreciation and the asset register
- 7 Presentation of non-current assets in the final accounts
- 8 Changes in depreciation
- 9 Disposal of non-current assets
- 10 Disposal and the asset register
- 11 Presentation of disposals in the financial statements
- 12 Disposals and part-exchange

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- define depreciation
 - explain the purpose of depreciation
 - calculate the charge for depreciation using the straight line and reducing balance methods
 - account for depreciation
 - account for the disposal or scrapping of non-current assets
 - account for the part exchange of non-current assets
 - calculate the profit or loss arising on the disposal, scrapping or part-exchange of non-current assets
 - report non-current assets in the final accounts
 - report current assets in the final accounts.
-

1 THE PURPOSE OF DEPRECIATION

1.1 INTRODUCTION

Non-current assets include items which will be used in the business for an extended period, such as a delivery van or a building.

As these assets are used over several accounting periods, a way must be found to gradually allocate the cost of these assets to the accounting periods benefiting from their use in accordance with the accruals concept.

IAS 16 *Property, Plant and Equipment* provides the rules relating to accounting for non-current assets, including depreciation.

1.2 WHAT IS DEPRECIATION?

Definition **Depreciation** is a measure of the cost of the economic benefits of the tangible non-current asset that have been consumed during the period.

The definition suggests that a non-current asset is eventually 'consumed', i.e. it has no further value. This consumption may arise because of any of the following factors.

- **Use** – i.e. plant and machinery or motor vehicles are eventually used so much that they are worn out.
- **Passing of time** – e.g. a ten-year lease of property expires when the ten years have passed.
- **Obsolescence** through technology and market changes – e.g. plant and machinery of a specialised nature can quickly become obsolete and will need to be replaced by more modern equivalents.
- **Depletion** – e.g. the extraction of material from a quarry.

It is important to remember that depreciation does not represent the fall in value of an asset. Non-current assets are held for use, not for resale, and so their market values are not relevant. The carrying value left in the statement of financial position after depreciation has been charged does not represent market value.

1.3 DEPRECIATION AND ACCRUALS

Depreciation is based on the accruals concept. Costs are matched to the benefits that they help to create. Because a non-current asset will help to generate profits over a number of periods, then its cost is capitalised and spread over those periods.

Depreciating a non-current asset does not generate funds to replace the asset in the future.

1.4 WHICH ASSETS SHOULD BE DEPRECIATED?

All non-current assets with a finite life must be depreciated.

It is generally accepted that all non-current assets have a finite life. The only exception to this rule is freehold land. Land lasts forever, and so it should not be depreciated, unless it is being used as a mine or quarry in which case the land will eventually be consumed.

Depreciation is charged even if the asset is rising in value (often the case with property).

1.5 ESTIMATION

The depreciation charge is merely an estimate of the amount of the cost of the asset that has been consumed during the year. The exact amount of depreciation can only be calculated with hindsight when an asset is sold.

The basic rule is that an asset should be depreciated down to its **residual value** over its **useful life**. These will be estimated when an asset is acquired.

Residual (scrap) value is an estimate of the disposal value of an asset at the end of its useful life. For many assets this is assumed to be \$Nil. However, there are some assets, like cars, that will probably still have a healthy second-hand value even when they are no longer of any use to the business.

Useful life is the length of time that the business intends to profitably use a non-current asset. It is normally a lot less than the total life span of the asset. For example, a prestige car hire firm will probably only keep its cars for two or three years before selling them. At this time they probably have several years of life left in them.

The two most common forms of depreciation are straight-line depreciation and reducing balance depreciation.

2 STRAIGHT LINE DEPRECIATION

2.1 INTRODUCTION

Definition The **straight line method of depreciation** assumes that the benefits of using an asset are spread evenly over its life. Therefore the asset's cost is charged evenly over its life.

2.2 CALCULATION

The annual figure for depreciation is found by using the following formula:

$$\text{Annual depreciation} = \frac{(\text{cost} - \text{residual value})}{\text{useful life}}$$

This figure can also be expressed as a percentage of the cost of the asset which is then applied to the cost of the asset every year.

$$\text{Annual percentage depreciation on cost} = \frac{\text{annual depreciation}}{\text{cost of asset}} \times 100$$

ACTIVITY 1

An asset has a cost of \$14,000, an estimated life of five years and a residual value of \$4,000 at the end of that life. If the straight line method of calculating depreciation is adopted, calculate the annual depreciation charge.

For a suggested answer, see the 'Answers' section at the end of the book.

3 REDUCING BALANCE DEPRECIATION

3.1 INTRODUCTION

Definition The **reducing balance method of depreciation** assumes that the benefits of using an asset are greater in the earlier years of its useful life than in later years, so larger depreciation charges are made in the early years.

The annual depreciation charge under this method is calculated by applying a percentage to the carrying value (cost less accumulated depreciation) of the asset as at the end of the previous year.

3.2 CALCULATION

To calculate the annual depreciation charges under the reducing balance method, you will be given the percentage rate to be used for the particular type of asset.

To work out the annual depreciation charge using the reducing balance method the following table should be used.

	<i>Depreciation charge</i>	<i>Cost/Carrying value</i>
	\$	\$
Original cost		
Year 1		
Year 2		
Year 3		
etc.		

ACTIVITY 2

An asset purchased for \$20,000 is expected to have a useful life of five years, after which it is expected to be sold for \$1,985. The reducing balance method of depreciation is to be used, the appropriate percentage rate being 37%.

Calculate the annual depreciation charges over five years.

For a suggested answer, see the 'Answers' section at the end of the book.

4 CALCULATING DEPRECIATION FOR AN ACCOUNTING PERIOD**4.1 INTRODUCTION**

The examples so far have all assumed that assets are purchased and sold at the beginning or end of an accounting year. In reality, tangible non-current assets will be purchased and disposed of at any time during the accounting year.

The amount charged in the statement of profit or loss for depreciation in the year an asset is acquired or disposed of will depend on the policy adopted by the organisation.

4.2 FULL YEAR'S DEPRECIATION IN THE YEAR OF PURCHASE, NO DEPRECIATION IN THE YEAR OF DISPOSAL

A full year's depreciation will be charged for the year the asset is purchased, even if it were purchased on 30 December!

No depreciation is charged in the year that the asset is sold or scrapped.

ACTIVITY 3

An asset is purchased on 1 October 20X1 for \$10,000 and sold on 30 September 20X5. Depreciation is calculated using the straight line method at 20% on cost. The accounting year end is 31 December. Calculate the depreciation charges for 20X1 to 20X5 inclusive, assuming that a full year's depreciation is charged in the year of purchase and none in the year of disposal.

For a suggested answer, see the 'Answers' section at the end of the book.

4.3 PRO-RATA DEPRECIATION

Depreciation is worked out exactly from the month of acquisition to the month of disposal.

ACTIVITY 4

Using the information given in activity 3, calculate the depreciation charges for 20X1 to 20X5 inclusive, assuming that depreciation is charged pro rata.

For a suggested answer, see the 'Answers' section at the end of the book.

5 ACCOUNTING FOR DEPRECIATION

5.1 ACCUMULATED DEPRECIATION

Each year, depreciation is charged to the statement of profit or loss and credited to the relevant 'accumulated depreciation' account in the statement of financial position. The accumulated depreciation is netted off the asset's cost to give the carrying value that appears in the statement of financial position. The carrying value is a book value only, and it does not represent the market value or economic value of the asset.

Definition **Carrying value** is the cost of the asset less the accumulated depreciation on the asset at that point in time.

5.2 DOUBLE ENTRY FOR DEPRECIATION

The double entry to record the annual depreciation figure is:

Debit	Depreciation expense (charged in the statement of profit or loss)
Credit	Accumulated depreciation (deducted from asset cost in the statement of financial position)

ACTIVITY 5

A machine is purchased for \$10,000 with a useful life of five years. There is no residual value. Show the accounting entries relating to straight line depreciation for the first year and how the items would appear in the financial accounts.

For a suggested answer, see the 'Answers' section at the end of the book.

Each year's statement of profit or loss will suffer the annual depreciation charge. This will be added to the accumulated depreciation in the statement of financial position. The balance on the accumulated depreciation account will increase annually and the carrying value will decrease.

5.3 EXAMPLE

A car is purchased for \$16,000 and will be sold in five years' time for \$1,000. Show the entries in the T accounts to record the purchase of the car and straight line depreciation over its useful life.

Step 1 Work out the annual depreciation charge.

$$\frac{\$16,000 - \$1,000}{5 \text{ years}} = \$3,000 \text{ per year}$$

Step 2 Set up three T accounts, one to record the cost of the asset (motor car account), one for accumulated depreciation in the statement of financial position and one for depreciation expense in the statement of profit or loss.

Step 3 Record the cost of the asset (double entry would be to cash at bank account or payables).

Motor car account

	\$		\$
Cash at bank account	16,000		

Cash at bank account

	\$		\$
		Motor car account	16,000

Step 4 Record the depreciation charge for year 1.

Accumulated depreciation account

	\$		\$
		Depreciation year 1	3,000

Depreciation expense account

	\$		\$
Depreciation year 1	3,000		

Step 5 Balance the accumulated depreciation account at the end of year 1 and carry down the balance.

Accumulated depreciation account

	\$		\$
Balance c/d	3,000	Depreciation year 1	3,000
	<u> </u>		<u> </u>
		Balance b/d – year 2	3,000

Step 6 Balance the depreciation expense account at the end of year 1 and transfer the balance to the statement of profit or loss.

Depreciation expense account

	\$		\$
Depreciation year 1	3,000	Statement of profit or loss	3,000
	<u> </u>		<u> </u>

Step 7 Repeat steps four to six for years two to five.

Accumulated depreciation account

	\$		\$
Balance c/d	3,000	Depreciation year 1	3,000
	<u> </u>		<u> </u>
		Balance b/d – year 2	3,000
Balance c/d	6,000	Depreciation year 2	3,000
	<u> </u>		<u> </u>
	6,000		6,000
	<u> </u>		<u> </u>
		Balance b/d – year 3	6,000
Balance c/d	9,000	Depreciation year 3	3,000
	<u> </u>		<u> </u>
	9,000		9,000
	<u> </u>		<u> </u>
		Balance b/d – year 4	9,000
Balance c/d	12,000	Depreciation year 4	3,000
	<u> </u>		<u> </u>
	12,000		12,000
	<u> </u>		<u> </u>
		Balance b/d – year 5	12,000
Balance c/d	15,000	Depreciation year 5	3,000
	<u> </u>		<u> </u>
	15,000		15,000
	<u> </u>		<u> </u>

Depreciation expense account

	\$		\$
Depreciation year 1	3,000	Statement of profit or loss	3,000
	<u> </u>		<u> </u>
Depreciation year 2	3,000	Statement of profit or loss	3,000
	<u> </u>		<u> </u>
Depreciation year 3	3,000	Statement of profit or loss	3,000
	<u> </u>		<u> </u>
Depreciation year 4	3,000	Statement of profit or loss	3,000
	<u> </u>		<u> </u>
Depreciation year 5	3,000	Statement of profit or loss	3,000
	<u> </u>		<u> </u>

Conclusion As the useful life of the asset progresses, the balance on the accumulated depreciation account will build up, and the carrying value of the asset in the statement of financial position will correspondingly fall. At the end of the useful life, the balance on the accumulated depreciation account should equal the originally estimated depreciable amount (cost less residual value).

6 DEPRECIATION AND THE ASSET REGISTER

6.1 INTRODUCTION

The asset register records the depreciation charged on each asset for each year. This will then be added to the accumulated depreciation brought forward to give the year-end balance of accumulated depreciation. This is then deducted from the cost to give the year-end carrying value.

The total charge for each year for each category of asset (as calculated above) will then be posted to the general ledger. The double entry for this is:

Debit	Statement of profit or loss	Depreciation expense	\$X
Credit	Statement of financial position	Accumulated depreciation	\$X

6.2 EXAMPLE

Using the information in the following asset register, write in the depreciation for the year and work out the carrying value at the end of 20X6. Assume pro-rata depreciation.

Asset register

Asset number	Description	Location ref	Supplier ref	Purchase date	Useful life	Dep method	Cost \$	Residual value \$	Acc dep b/d \$	Date of disposal	Disposal proceeds \$
13465	IBM computer	Accounts	CS Ltd	1/1/X4	4	SL	1,500	300	600		
24536	Mixing machine	Fact 1	IS Ltd	31/12/X4	5	SL	4,000	Nil	800		
55681	Volvo car	D Denis	VFG Ltd	30/6/X6	5	SL	15,000	5,000			

Step 1 Work out the depreciation for the year for each asset based on the cost, useful life and scrap value.

$$\begin{aligned} \text{IBM computer} &= \frac{(\$1,500 - \$300)}{4 \text{ years}} = \$300 \text{ per annum} \\ \text{Mixing machine} &= \frac{(\$4,000)}{5 \text{ years}} = \$800 \text{ per annum} \\ \text{Volvo car} &= \frac{(\$15,000 - \$5,000)}{5 \text{ years}} = \$2,000 \text{ per annum} \end{aligned}$$

But notice the Volvo was only purchased half way through the year and therefore only requires six months depreciation charged on it, that is:

$$\$2,000 \times 6/12 \text{ months} = \$1,000$$

Step 2 Work out the carrying value for each asset.

IBM computer	\$	\$
Cost		1,500
Depreciation brought down	600	
Depreciation in the year	300	
Depreciation carried down		(900)
Carrying value		600
Mixing machine	\$	\$
Cost		4,000
Depreciation brought down	800	
Depreciation in the year	800	
Depreciation carried down		(1,600)
Carrying value		2,400
Volvo	\$	\$
Cost		15,000
Depreciation brought down	—	
Depreciation in the year	1,000	
Depreciation carried down		(1,000)
Carrying value		14,000

Step 3 Write the depreciation and carrying value into the asset register.**Asset register**

Asset number	Description	Location ref	Supplier ref	Purchase date	Useful life	Dep method	Cost	Res. value	Acc dep B/d	Dep for year	CV	Date of Disposal	Disposal proceeds
							\$	\$	\$	\$	\$		\$
13465	IBM computer	Accounts	CS Ltd	1/1/X4	4	SL	1,500	300	600	300	600		
24536	Mixing machine	Fact 1	IS Ltd	31/12/X4	5	SL	4,000	Nil	800	800	2,400		
55681	Volvo car	D Denis	VFG Ltd	30/6/X6	5	SL	15,000	5,000		1,000	14,000		

The asset register will start afresh in the following year with updated accumulated depreciation figures as shown below.

Asset number etc...	Acc depn b/d	Dep for year	CV	Date of disposal	Disposal proceeds
	\$	\$	\$		
	900				
	(600 + 300)				
	1,600				
	(800 + 800)				
	1,000				
	(0 + 1,000)				

7 PRESENTATION OF NON-CURRENT ASSETS IN THE FINAL ACCOUNTS

7.1 THE STATEMENT OF FINANCIAL POSITION

For each category of property, plant and equipment (tangible non-current assets), the cost, accumulated depreciation and carrying value are given, as in the illustration below:

	<i>Cost</i>	<i>Accumulated depreciation</i>	<i>Carrying value</i>
	\$	\$	\$
<i>Property, plant and equipment</i>			
Land and buildings	100,000	(22,000)	78,000
Plant and machinery	50,000	(5,000)	45,000
Motor vehicles	15,000	(5,500)	9,500
	165,000	(32,500)	132,500

The figures are obtained from the general ledger. The balance on each asset category cost account and accumulated depreciation account are shown individually. The carrying value is calculated from these figures.

This information can be shown on the face of the statement of financial position or in a note to the statement of financial position.

7.2 THE STATEMENT OF PROFIT OR LOSS

The depreciation expense account is listed along with all other expenses in the statement of profit or loss. A single depreciation expense account may be used, or there may be an account for each category of property, plant and equipment.

7.3 NON-CURRENT ASSETS AND CURRENT ASSETS

Property, plant and equipment is shown as part of non-current assets in the assets half of the statement of financial position. This is shown below:

Statement of financial position of a business as at 31 December 20X2

	\$	\$
ASSETS		
Non-current assets		
Property, plant and equipment (at carrying value)		x
Current assets		
Inventory	x	
Receivables	x	
Cash at bank	x	
		xx
Total assets		xxx

8 CHANGES IN DEPRECIATION

8.1 CHANGE IN USEFUL LIFE

The useful life of an asset should be reviewed regularly. If a business decides that the asset life requires revision because the asset will be used for a shorter or longer period than originally estimated, this should be taken account of in current and future depreciation charges.

The basic rule is that the carrying value at the date of change is written off over the revised remaining life.

8.2 CHANGE IN THE METHOD OF DEPRECIATION

The method of calculating depreciation should be changed **only** if the new method gives a fairer presentation of the results and financial position of the business. If this is so, the net carrying value at the date of change is written off over the remaining useful life using the new method, commencing with the period in which the change is made.

In practice, this is rarely done.

9 DISPOSAL OF NON-CURRENT ASSETS

9.1 WHAT NEEDS TO BE ACHIEVED

When a business purchases non-current assets it is usually with the intention that they will be used over a long period of time. However, at any time in an asset's useful life the asset may be disposed of or sold.

There are four elements to the disposal of a non-current asset.

- the cost of the asset in the general ledger non-current asset account should be removed
- the accumulated depreciation on that asset in the general ledger accumulated depreciation account should be removed
- the amount of money that is received if the asset is sold should be recorded
- the resulting profit or loss from the disposal of the asset needs to be taken to the statement of profit or loss.

At the time of the disposal the ledger accounts record the cost of the asset and its corresponding accumulated depreciation. Combined these give a carrying value for the asset.

The difference between the carrying value and the proceeds of disposal will be the profit or loss on disposal. The proceeds are normally cash, but they may also include trade in allowances or other benefits.

When a disposal takes place, the asset is sold in return for a new asset, money.

9.2 ACCOUNTING FOR A DISPOSAL

The accounting for a disposal has to follow the above logic. The steps therefore are as follows:

- Step 1** Set up a T-account called 'disposals '. This will be used to record all aspects of the disposal.
- Step 2** Remove the cost of the asset from its general ledger account.
- | | |
|--------|--------------------------------|
| Debit | Disposals |
| Credit | Non-current asset cost account |
- Step 3** Remove the asset's accumulated depreciation from its general ledger account.
- | | |
|--------|--------------------------|
| Debit | Accumulated depreciation |
| Credit | Disposals |
- Step 4** Account for the sale proceeds of the disposal.
- | | |
|--------|----------------------|
| Debit | Cash at bank account |
| Credit | Disposals |
- Step 5** Balance the disposal account to work out the profit or loss.

If an asset is scrapped, i.e. nil proceeds, it must be dealt with in the same way. This will result in steps 1–5 being completed but no entries for step 4.

9.3 EXAMPLE

A machine is currently recorded in the books of a business with a cost of \$10,000 and accumulated depreciation of \$3,000.

The machine is sold for \$8,000. Account for the disposal.

- Step 1** Set up a 'disposal of non-current assets' T-account.

Disposals			
	\$		\$
Step 2	Remove the cost of the asset from its general ledger account.		
Machine account			
	\$		\$
Balance b/d	10,000	Disposal a/c	10,000
Disposals			
	\$		\$
Machine cost	10,000		

- Step 3** Remove the accumulated depreciation on the asset from its general ledger account.

Machine account

	\$		\$
Balance b/d	10,000	Disposal a/c	10,000

Disposals

	\$		\$
Machine cost	10,000	Machine accumulated dep'n	3,000

Machine accumulated depreciation account

	\$		\$
Disposal a/c	3,000	Balance b/d	3,000

- Step 4** Account for the proceeds of the disposal.

Disposals

	\$		\$
Machine cost	10,000	Machine accumulated dep'n	3,000
		Bank a/c (sale proceeds)	8,000

Bank account

	\$		\$
Disposal a/c	8,000		

- Step 5** Balance the disposals account to work out the profit or loss.

Disposals

	\$		\$
Machine cost	10,000	Machine accumulated dep'n	3,000
		Bank a/c (sale proceeds)	8,000
	10,000		11,000
Profit on disposal	1,000		
(To statement of profit or loss)			
	11,000		

9.4 JOURNAL FOR DISPOSAL OF NON-CURRENT ASSETS

Using the above example as an illustration, the journal for a disposal is as follows:

<i>Account</i>	<i>Dr</i>	<i>Cr</i>	<i>Description</i>
Disposals account	10,000		Transferring the cost of the asset to the disposals account.
Machine at cost		10,000	
Disposals account		3,000	Transferring the accumulated depreciation on the asset to the disposals account.
Machine: accumulated depreciation	3,000		
Cash at bank	8,000		Recording the proceeds on the sale of the asset.
Disposals account		8,000	
Disposals account	1,000		Transferring the profit on disposal to the statement of profit or loss.
Statement of profit or loss: Profit on Disposal		1,000	

Note that any loss on disposal will be a balancing figure in the disposals account on the credit side. The correct journal to transfer this to the statement of profit or loss is therefore:

Debit statement of profit or loss: Loss on disposal

Credit disposals

ACTIVITY 6

On 1 January 20X1 Zenith bought an asset costing \$39,000. It was expected to have a five-year life and a residual value of \$4,000. The asset was sold for \$12,300 during 20X4. Zenith has a 31 December year-end and charges a full year's depreciation in the year of acquisition and none in the year of disposal.

Required:

- (a) Prepare the T accounts to record the disposal of this asset.
- (b) Draft the journal to record this transaction.

For a suggested answer, see the 'Answers' section at the end of the book.

9.5 SCRAPPING OF NON-CURRENT ASSETS

Using the previous example in section 9.3 of a machine that is currently recorded in the books of a business with a cost of \$10,000 and accumulated depreciation of \$3,000, but this time it is scrapped (nil proceeds). Account for the disposal.

Step 1 Set up a 'disposal of non-current assets' T-account.

Disposals	
\$	\$

Step 2 Remove the cost of the asset from its general ledger account.

Machine account	
\$	\$
Balance b/d 10,000	Disposal a/c 10,000

Disposals	
\$	\$
Machine cost 10,000	

Step 3 Remove the accumulated depreciation on the asset from its general ledger account.

Machine account	
\$	\$
Balance b/d 10,000	Disposal a/c 10,000

Disposals	
\$	\$
Machine cost 10,000	Machine accumulated dep'n 3,000

Machine accumulated depreciation account

	\$		\$
Disposal a/c	3,000	Balance b/d	3,000

Step 4 There are no proceeds for the disposal, i.e. no changes to the ledgers.

Disposals

	\$		\$
Machine cost	10,000	Machine accumulated dep'n	3,000

Bank account

	\$		\$
--	----	--	----

Step 5 Balance the disposals account to work out the profit or loss.

Disposals

	\$		\$
Machine cost	10,000	Machine accumulated dep'n	3,000
		Loss on disposal	7,000
		(To statement of profit or loss)	
	<u>10,000</u>		<u>10,000</u>

9.6 JOURNAL FOR SCRAPPING OF NON-CURRENT ASSETS

Using the above example as an illustration, the journal for a disposal is as follows:

<i>Account</i>	<i>Dr</i>	<i>Cr</i>	<i>Description</i>
Disposals account	10,000		Transferring the cost of the asset to the disposals account.
Machine at cost		10,000	
Disposals account		3,000	Transferring the accumulated depreciation on the asset to the disposals account.
Machine: accumulated depreciation	3,000		
Disposals account		7,000	Transferring the loss on disposal to the statement of profit or loss.
Statement of profit or loss: Loss on Disposal	7,000		

Note that any loss on disposal will be a balancing figure in the disposals account on the credit side. The correct journal to transfer this to the statement of profit or loss is therefore:

Debit	statement of profit or loss: Loss on disposal
Credit	disposals

10 DISPOSAL AND THE ASSET REGISTER

10.1 PROCEDURES NEEDED FOR ASSET DISPOSALS

When non-current assets are disposed of, their specific cost and depreciation must be taken out of the general ledger accounts and put into the disposals account. In practice, this information is obtained from the asset register.

A journal will then be raised to remove the cost and depreciation from the general ledger asset accounts and transfer them to the disposals account.

The sale proceeds will be recorded in the cash received day book and posted to the general ledger in the normal way.

10.2 RECORDING THE DISPOSAL IN THE ASSET REGISTER

The following details will be recorded in the asset register:

- date the asset was disposed of
- the sale proceeds.

This will show that the asset is no longer owned by the company.

ACTIVITY 7

Asset register

Asset no.	Description	Useful life yrs	Dep method	Cost \$	Acc dep \$	CV \$	Date of disposal	Disposal proceeds \$
15687	Delivery van	3	SL	8,000	2,000	6,000		
26587	Machine 1	10	SL	20,000	10,000	10,000		
36978	Machine 2	10	RB	30,000	22,000	8,000		
23675	Car	5	SL	10,000	9,000	1,000		
15987	Desk	8	SL	300	100	200		

Asset number 23675 was disposed of on 31 May 20X4 for \$300. Show how this would be recorded in the asset register.

For a suggested answer, see the 'Answers' section at the end of the book.

11 PRESENTATION OF DISPOSALS IN THE FINANCIAL STATEMENTS

11.1 THE STATEMENT OF PROFIT OR LOSS

The profit or loss on disposal is taken to the statement of profit or loss. A loss will be listed with expenses. A profit may be included with sundry income, listed after gross profit or is sometimes shown as a negative expense. All are acceptable treatments.

12 DISPOSALS AND PART-EXCHANGE

12.1 INTRODUCTION

Sometimes an old asset is given in part-exchange (or traded in) for a new asset. This is particularly common with motor vehicles. The cash paid for the new asset will be its normal 'list price' less an agreed value for the old asset. Thus the purchase of the new asset and the disposal of the old asset are linked.

12.2 ACCOUNTING FOR PART-EXCHANGE

Definition **Part-exchange value** is the difference between the list price of the new asset and the cash paid for the new asset. It represents the sale proceeds of the old asset.

In terms of the disposal of the old asset, the same accounting steps should be followed as seen before, although:

- proceeds are the part exchange value rather than cash; therefore the double entry required to record this part of the transaction is:

Debit New non-current asset cost account

Credit Disposals

- the cash balance paid for the new asset will also need recording in the usual way, i.e.

Debit New non-current asset cost account

Credit Cash at bank

If preferred these two steps can be recorded in one double entry:

Debit New non-current asset cost account (with the full list price of the new asset)

Credit Disposals (with the part exchange allowance)

Credit Cash at bank (with the cash balance paid)

12.3 EXAMPLE

A car has a list price of \$8,000. An older car is offered in part-exchange and as a result the business only pays \$6,000 for the new car.

The part-exchange value is calculated as:

	\$
List price	8,000
Cash paid	(6,000)
Part-exchange value	2,000

The steps in accounting for a disposal of a non-current asset with a part-exchange are as follows:

Step 1 Set up a Disposals T-account.

Step 2 Remove the cost of the old asset from its general ledger account.

Debit	Disposals
Credit	Non-current asset cost

Step 3 Remove the accumulated depreciation on the old asset from its general ledger account.

Debit	Accumulated depreciation
Credit	Disposals

Note: The above steps are identical to an ordinary disposal.

Step 4 Account for the disposal proceeds of the old asset, which is linked with the purchase of the new asset.

		\$
Debit	Non-current asset cost account	8,000
Credit	Disposal account	2,000
Credit	Cash at bank	6,000

This double entry deals neatly with both the purchase of the new asset at its full cost of \$8,000 and the disposal of the old asset.

Step 5 Balance up the disposal account and work out the profit or loss.

This is the same final step as in the basic disposal.

ACTIVITY 8

Hammer is to buy a new motor van, which has a list price of \$9,000.

The new van is to replace a van which cost \$7,500 four years ago, and has accumulated depreciation of \$6,000 on it.

Hammer will pay the motor van dealer \$7,000 for the new van and therefore the part exchange value is (\$9,000 – \$7,000) \$2,000.

You are required to prepare the following T accounts: Van, Van accumulated depreciation, Cash at bank, and Disposals.

For a suggested answer, see the 'Answers' section at the end of the book.

CONCLUSION

Depreciation is charged to the statement of profit or loss in each accounting period. Its purpose is to match the cost of an asset to the periods expected to benefit from its use. The main methods of depreciation are straight line and reducing balance.

Accumulated depreciation is shown in the statement of financial position netted off against the cost of the asset to arrive at the 'carrying value'.

When a non-current asset is disposed of, the related cost and accumulated depreciation is cleared out of the ledgers and matched against the proceeds of disposal. This gives rise to a profit or loss on disposal that is reported in the statement of profit or loss.

KEY TERMS

Accumulated depreciation – all depreciation to date. The balance is a credit on the statement of financial position and is presented netted off against cost to give the carrying value.

Carrying amount (CA) (or carrying value (CV)) – the value put on non-current assets in the statement of financial position. It is the cost of the asset less the accumulated depreciation at the reporting date.

Depreciable amount – the cost of an asset less its residual value. If an asset is revalued then depreciation is based on the revalued amount rather than its cost.

Depreciation – the systematic allocation of the *depreciable amount* of an asset over its *useful life*.

Disposals account – is a ledger account used to calculate the profit or loss on disposal of a non-current asset.

Part exchange – the situation whereby an old non-current asset is traded in against the cost of a new non-current asset.

Part-exchange value – this arises when an old asset is given in part-exchange for a new one. The part-exchange value is the agreed value given to the old asset. It is the difference between the list price of the new asset and the cash paid for it. It represents the sale proceeds of the old asset.

Pro rata depreciation – refers to the practice of charging depreciation monthly, so that mid-year acquisitions are depreciated from the date of purchase and mid-year disposals are depreciated up to the date of disposal. The alternative treatment is to charge a full year's depreciation in the year of purchase and non in the year of disposal.

Reducing balance method of depreciation – this assumes that the benefits of using an asset are greater in the earlier years of its useful life than in later years, so larger depreciation charges are made in the early years.

Residual value – an estimate of the amount expected to be received when the asset is sold at the end of its useful life.

Straight line method of depreciation – this assumes that the benefits of using an asset are spread evenly over its life. Therefore the asset's cost is charged evenly over its life.

Useful life – the period of time that an asset will be available for use to a business

SELF TEST QUESTIONS

		<i>Paragraph</i>
1	What is depreciation?	1.2
2	Which fundamental accounting concept is being applied when an annual charge for depreciation is made?	1.3
3	Give an example of a non-current asset that does not have to be depreciated.	1.4
4	Give two examples of methods of depreciation.	1.5, 2, 3
5	What is the formula for the straight line method of depreciation?	2.2
6	What is the term for the cost, less the accumulated depreciation, of a non-current asset?	5.1
7	Are businesses allowed to change their method of calculating depreciation?	8.2
8	What is the double entry to record the sale proceeds of the disposal of a non-current asset?	9.2
9	What details are recorded in the asset register in respect of the disposal of a non-current asset?	10.2
10	How is a loss on the disposal of a non-current asset shown in the financial accounts?	11.1
11	What entries are made in the ledger accounts in respect of the part-exchange value of an asset disposed of?	12.2, 12.3

EXAM-STYLE QUESTIONS

- 1 Andrew's business has the following equipment:

	\$
Equipment at cost	84,000
Accumulated depreciation as at 1 January	24,000
Carrying value, 1 January	60,000

Andrew depreciates his equipment over six years by the straight line method. What will be the charge for depreciation in the statement of profit or loss for the year to 31 December?

- A** \$14,000
B \$10,000
C \$4,000
D None of these

- 2 Andrew's business also has the following motor vehicles:

	\$
Motor vehicles at cost	100,000
Accumulated depreciation as at 1 January	45,000
Carrying value, 1 January	55,000

Andrew depreciates his motor vehicles at 20% on a reducing balance basis. What will be the charge for depreciation in the statement of profit or loss for the year to 31 December?

- A** \$20,000
- B** \$11,000
- C** \$9,000
- D** None of these
- 3 Tom has a motor vehicle that cost \$15,000 three years ago. The accumulated depreciation on the vehicle is \$9,000. Tom sells the vehicle for \$10,000. What profit or loss on disposal will be recorded in the accounts?
- A** Loss of \$5,000
- B** Loss of \$4,000
- C** Profit of \$1,000
- D** Profit of \$4,000

PRACTICE QUESTION 1

SAPLEY

The following information has been extracted from the machine register of Sapley as at 31 October 20X5.

<i>Machine number</i>	<i>Date of purchase</i>	<i>Original cost</i> \$	<i>Depreciation rate</i> %
10	1.11.20X1	1,000	10
12	1.4.20X3	6,000	15
14	31.10.20X4	5,000	5
16	1.8.20X5	10,000	20

- A machine register is simply a record of the various assets owned by a business.
- Sapley operates a straight line method of depreciation based on the original cost of each machine. It is assumed that at the end of its life each machine will have a residual value equivalent to 10% of its original cost.
- A full year's depreciation is charged in the year of acquisition (irrespective of the date of purchase).
- All sums exclude sales tax.

Requirements:

- 1** Complete the working paper (below) up to the column: Accumulated depreciation at 31 October 20X5.

(The term accumulated depreciation refers to the total amount of depreciation charged on the respective assets up to that date.)

<i>Machine Number</i>	<i>Date of purchase</i>	<i>Original cost</i>	<i>Residual value (10%)</i>	<i>Depreciation rate</i>	<i>Annual charge</i>	<i>Expired life 31.10.20X5</i>	<i>Accumulated depreciation at 31.10.20X5</i>
		\$	\$	%	\$	years	\$
10							
12							
14							
16							

- 2** Show the presentation of property, plant and equipment in the statement of financial position as at 31 October 20X5 in the space provided below.

Statement of financial position as at 31 October 20X5

	<i>Cost</i>	<i>Depreciation</i>	<i>CV</i>
ASSETS	\$	\$	\$
Non-current assets			
Property, plant and equipment			
	_____	_____	_____
(Note: CV = Carrying value)			

PRACTICE QUESTION 2

LIGHT ENGINEERING

Light Engineering owns a number of vehicles, details of which are given below.

Manager's car, LEL 6 purchased for \$17,000 on 1 June 20X3

Salesman's car, M843 GLN purchased for \$12,500 on 1 August 20X4

Van, M601 VFA purchased for \$19,400 on 2 February 20X5

On 5 September 20X5 the salesman's car was sold for \$7,600 and was not replaced.

The business uses the straight line method of depreciation for its vehicles, making a full year's charge in the year of purchase and no charge in the year of sale. All vehicles have an estimated life of four years and a residual value of 10% of their original cost.

Requirement:

Write up the motor vehicles cost account, motor vehicles accumulated depreciation account and a disposals account covering the period 20X3 to 20X5, bringing down balances at each 31 December year end.

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 8

PAYABLES' AND RECEIVABLES' LEDGER RECONCILIATIONS

Earlier chapters explained how the totals from the day books were posted to the control accounts in the general ledger. At the same time the individual invoices and payments were posted to the individual customer and supplier accounts in the personal ledgers.

The balance on the control account should equal the sum of the individual balances on the relevant personal ledgers. If they don't, then somewhere there is an error.

An important method of checking for errors is to reconcile the balances on the payables ledger control account and the receivables ledger control account to the total of the individual balances in the payables (purchase) ledger and receivables (sales) ledger respectively.

This chapter explains the process of identifying and correcting errors, and considers the impact of any corrections on the financial statements.

This chapter covers syllabus areas B2, F1.

CONTENTS

- 1 The nature and purpose of control accounts
 - 2 How the control accounts relate to the double entry system
 - 3 Control account reconciliations
 - 4 Reporting the balances in the final accounts
 - 5 The effect of errors on the statement of profit or loss and statement of financial position
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- explain the nature and purpose of control accounts
 - explain how control accounts relate to the double-entry system
 - explain the purpose of a payables' ledger reconciliation
-

- explain the purpose of a receivables' ledger reconciliation
 - identify errors in the ledger accounts and the list of balances
 - make correcting entries in the ledger accounts
 - prepare a reconciliation between the list of balances and the corrected ledger balances
 - identify the payables ledger balance to be reported in the final accounts
 - identify the receivables' ledger balance to be reported in the final accounts
 - report the payables' ledger balance in the final accounts
 - report the receivables ledger balance in the final accounts
 - demonstrate how the statement of profit or loss and the statement of financial position are affected by the correction of errors.
-

1 THE NATURE AND PURPOSE OF CONTROL ACCOUNTS

1.1 THE NATURE OF PAYABLES' AND RECEIVABLES' LEDGER CONTROL ACCOUNTS

Definitions

The **payables (purchase) ledger control account** is used to record the total liability to credit suppliers in the general ledger.

The **(payables (purchase) ledger** records details of the amounts owed to each supplier.

The **receivables (sales) ledger control account** is used to record the total amount owed by credit customers in the general ledger.

The **receivables (sales) ledger** records details of the amounts owing from each customer.

As we saw in an earlier chapter, the control accounts generally form part of the double-entry system, and are posted at regular intervals with sub-totals taken from the day books.

1.2 THE PURPOSE OF CONTROL ACCOUNTS

Control accounts serve three main functions:

- (a) to provide total asset (receivables) and liability (payables) figures for the statement of financial position
- (b) to act as a control over the sales and purchases personal ledgers
- (c) to assist in calculating missing figures of the accounting records that are incomplete (this is covered in Chapter 17).

It is the second of these functions that we will examine further in this chapter.

2 HOW THE CONTROL ACCOUNTS RELATE TO THE DOUBLE ENTRY SYSTEM

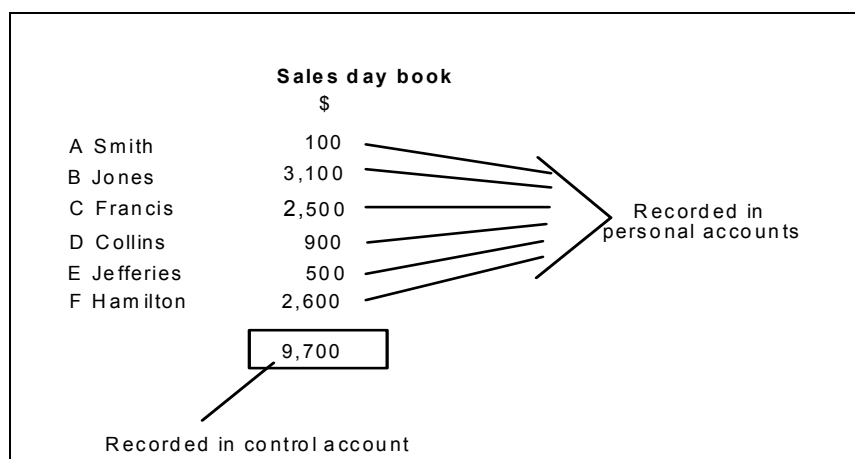
2.1 THE LINK BETWEEN CONTROL ACCOUNTS AND PERSONAL LEDGERS

The receivables' ledger control account and payables' ledger control account in the general ledger record the total amount owed by customers and owed to suppliers and form part of the double-entry system.

The totals of the day books are posted to the control accounts whilst the individual entries are posted to the personal accounts. If the accounting has been completed accurately, the balance on the control accounts should equal the sum of the balances on the individual accounts in the personal ledgers. If the balances do not agree, then there has been an error in the recording process. (Computerised systems have fewer errors than manual ones.)

This is illustrated in the diagram below. It shows postings from the sales day book.

Postings from the sales day book



ACTIVITY 1

Using the Flying Fortress Partnership example from an earlier chapter, the books of prime entry relevant to the payables were as follows:

Purchases day book

Date	Invoice number	Supplier	Payables ledger ref	Total	Sales tax	Inventory purchases	Repairs	Non-current assets	Electricity	Rent and rates	Motor expenses
				\$	\$	\$	\$	\$	\$	\$	\$
6/6/X4	8	N Hudson	PLHud 3	4,800	800	4,000					
10/6/X4	9	Doors Ltd	PLDor 10	960	160		800				
20/6/X4	CN6	N Hudson	PLHud 3	(480)	(80)	(400)					
30/6/X4	10	G Farr	PLFar 8	2,400	400			2,000			
				7,680	1,280	3,600	800	2,000			

Analysed cheque payments day book

Date	Payee	Cheque number	Total	Payables ledger *	Payables ledger ref	Sales tax	Insurance	Wages	Drawings	Petty cash	Other	Discount received
			\$	\$		\$	\$	\$	\$	\$	\$	\$
23/7/X4	N Hudson	1003	4,320	4,320*	PLHud 3							
24/7/X4	G Farr	1004	2,400	2,400*	PLFar 8							
28/7/X4	Purchases	1005	960			160					800	
30/7/X4	Wages	1006	2,500					2,500				
			10,180	6,720		160		2,500			800	

Assuming no opening balance, the payables' ledger control account can be written up and balanced off:

Payables' ledger control account

	\$		\$
Cheque payments day book	6,720	Purchases day book (PDB)	7,680
Balance c/d	960		
	7,680		7,680
		Balance b/d	960

You are required to open and write up the relevant personal accounts in the payables' ledger, extract a list of balances and agree to the control account.

For a suggested answer, see the 'Answers' section at the end of the book.

2.2 DOUBLE ENTRY

Occasionally businesses will not maintain control accounts. In these situations the double-entry will be to the personal ledgers. The total amount owing to trade payables or owed from trade receivables will then be calculated by adding up the individual account balances. This may be appropriate for a small business with few transactions, but is obviously inconvenient for a larger business.

3 CONTROL ACCOUNT RECONCILIATIONS**3.1 INTRODUCTION**

Definition A **control account reconciliation** is an exercise carried out periodically to ensure that the control accounts' balances agree with the total of the individual account balances in their respective personal ledgers.

The control accounts and the personal ledgers need to be checked at regular intervals, usually monthly, to make sure they do agree. This check or control over the accuracy of recording receivables and payables gives the 'control' accounts their name. Any discrepancy between the two indicates that an error has been made which needs to be identified and rectified.

3.2 ERRORS REVEALED BY THE CONTROL ACCOUNT RECONCILIATION AND THEIR CORRECTION

Although it is impossible to consider every possible error that may occur, it is possible to identify common errors which you may need to deal with, both in practice and in the exam. These are detailed below, along with the course of action required to correct them.

3.3 EXAMPLES

- (a) The sales day book is undercast by \$300 (this means that the book has been incorrectly added up, with the total recorded being \$300 less than it should be).

This casting error will affect the total in the sales day book and therefore the posting to the general ledger will be wrong: the ledger control account and sales account will be \$300 short. However, the individual entries recording each sales invoice are, we must assume, correct and therefore the receivables ledger will be correct.

The corrective action is therefore a double-entry in the general ledger:

Debit	Receivables' ledger control account	\$300
Credit	Sales account	\$300

- (b) An amount of \$890 was entered into the purchases day book in respect of goods bought from J Longshaw. A transposition error occurred when this amount was transferred to the payables ledger. The amount recorded in the payables ledger was \$980.

In this case, the only error occurred when the supplier's personal account was credited with \$90 too much. As the day book entry is correct, it is assumed that the sub-total is also correct and therefore the payables ledger control account is unaffected.

The corrective action required is to reduce the amount owing to J Longshaw in the payables ledger, thus reducing the total amount of payables shown by the payables ledger. This is a single entry as the payables ledger is not usually part of the double-entry system.

Debit	J Longshaw account in the payables' ledger	\$90
-------	--	------

- (c) Cash received of \$250 from K Flint had been correctly recorded in the cash received day book, but had been debited to K Flint's account in the receivables ledger.

The error here is in the posting of the cash received to the receivables' ledger: a debit of \$250 was recorded instead of a credit of \$250. Therefore, the debit of \$250 will need to be cancelled by a credit, and the credit of \$250 recorded, all in K Flint's personal account. This will decrease the total receivables in the receivables' ledger by \$500. The correcting entry is therefore:

Credit	K Flint account in the receivables' ledger	\$500
--------	--	-------

- (d) The discount received column in the cheque payments day book had not been totalled and posted to the general ledger. Total discounts received were \$64.

It is safe to assume that the individual discounts received were recorded in the cheque payments day book and so the payables' ledger. However, the total has not been recorded in the general ledger and therefore the payables' ledger control account is incorrect. The correcting entry is to record the discounts received as follows:

Debit	Payables' ledger control account	\$64
Credit	Discounts received	\$64

- (e) A balance of \$700 owing to J Hudson was omitted from a list of balances from the payables' ledger.

In this case the accounting entries are correct, but an error was made when the total of all suppliers' balances in the payables' ledger was listed.

The corrective action is merely to add the omitted balance to the list of balances, increasing payables per the payables' ledger by \$700.

- (f) A credit balance of \$120 on the account of P Hobbs in the receivables' ledger arose from the overpayment of an invoice by the customer. This balance was included on the list of balances as a debit balance.

Again, there are no errors in the accounting entries. This time, a credit balance which would reduce the receivables total by \$120 has been included as a debit, so increasing receivables by \$120. The corrective action is therefore to reduce receivables by \$240.

- (g) An invoice for \$50 was entered into the sales day book as \$500. The trial balance will still balance because both sales and receivables will be overstated by \$450. The control account reconciliation will show that the receivables' ledger control account will be \$450 greater than the total of the receivables' ledger personal accounts. The correction required is to reduce sales and the receivables' ledger control account by \$450

Debit	Sales	\$450
Credit	Receivables' ledger control account	\$450

3.4 GENERAL RULES

The above examples assist in the development of a set of general rules which should deal with most errors.

<i>Error</i>	<i>Correction required to:</i>	
	<i>Control account</i>	<i>Personal ledger</i>
Incorrect addition of column in day book (casting error)	YES	NO
Incorrect entry/omission of transaction in day book	YES	YES
Incorrect/omission of transfer of total from day book	YES	NO
Incorrect/omission of transfer of individual transaction from day book	NO	YES
Incorrect extraction/omission of personal account balance from list of balances	NO	*NO
Incorrect addition/balancing of personal account	NO	YES
* only the list of balances needs amending.		

3.5 THE MECHANICS OF A CONTROL ACCOUNT RECONCILIATION

As already mentioned, a list of individual balances is prepared from the personal ledger. The total of the list of balances is compared with the balance on the control account. Any discrepancies should be followed up and appropriate adjustments made. The adjustments to the control account are recorded in the general ledger to obtain an amended control account balance. The adjustments to the list of balances, whether due to incorrect extraction of balances from the personal ledger or accounting entries incorrectly performed (and therefore adjusted in the personal ledger), are shown on the control account reconciliation. A proforma reconciliation is given below.

Reconciliation of receivables' ledger control account and list of receivables ledger balances at 31 March 20X5

	\$
Total list of balances originally extracted	x
Less: correction of errors in personal accounts	(x)
Add: correction of errors in personal accounts	x
	—
Adjusted list of balances and control account balance	x
	—

The activity below is based on a payables' ledger reconciliation, but the same technique is applied to a receivables' ledger reconciliation.

ACTIVITY 2

Colin Robbins extracts a list of balances from his payables' ledger on 30 June 20X5 and calculated a total payables' figure of \$1,730. The balance on the payables' ledger control account in the general ledger is \$1,885. Further examination of his accounting records revealed the following errors.

- (a) The purchases day book total for the month was overcast by \$80.
- (b) The cheque payments day book total in the analysis column headed 'payables' was recorded as \$936 instead of \$963.
- (c) A balance of \$48 owing to G Radcliffe had been omitted from the list of balances.

Show how the payables' ledger control account is adjusted for these errors and produce a reconciliation of the payables' ledger control account and the list of payables' ledger balances.

For a suggested answer, see the 'Answers' section at the end of the book.

3.6 SUPPLIERS' STATEMENTS

Whilst the payables' ledger control account reconciliation gives us confidence in the integrity of the double-entry system involving transactions with payables, it cannot reveal whether all purchase invoices, credit notes and payments to suppliers have been recorded in day books. However, many suppliers send a monthly statement to their customers detailing the movements on their account. Therefore, it is possible to check whether all transactions are included correctly. Many businesses perform a suppliers' statement reconciliation in addition to the control account reconciliation as a further check.

Example

Willy Mossop received the following statement of account from a supplier, MHB:

MHB				
Statement of account				
Customer: Willy Mossop			5 May 20X8	
Date	Description	Dr	Cr	Balance
		\$	\$	\$
14 April	Balance b/f			1,729.46
26 April	Invoice 314/X5	397.42		2,126.88
29 April	Invoice 386/X5	927.04		3,053.92
3 May	Cheque received		1,529.46	1,524.46
4 May	Invoice 019/X6	1,062.96		2,587.42
5 May	Credit note CR174		123.26	2,464.16
			Now due	2,464.16

MHB's account in the payables' ledger shows a balance due of \$2,804.16. Upon investigation, Willy Mossop finds the following:

- invoice 019/X6 was actually for \$1,602.96
- a cheque for \$200 was sent to MHB on 5 May, having been entered in the ledger accounts of Willy Mossop's business.

Reconcile the supplier statement to the balance per the payables' ledger.

Solution

	\$
Balance per supplier statement	2,464.16
Cheque not yet received by MHB	(200.00)
Error in recording invoice 019/X6 (\$1,602.96 – \$1,062.96)	540.00
Revised balance (agreed to ledger)	2,804.16

4 REPORTING THE BALANCES IN THE FINAL ACCOUNTS

4.1 PRESENTATION IN THE FINAL ACCOUNTS

The corrected balances on the payables' ledger control account and the receivables' ledger control account are reported in the statement of financial position.

The receivables' ledger control account is normally described as 'trade receivables' and is classified as a current asset in the statement of financial position.

The payables' ledger control account is normally described as 'trade payables' and is classified a current liability in the statement of financial position.

Example
Statement of financial position of a business as at 31 December 20X2

	\$	\$
Assets		
<i>Non-current assets</i>		XX
<i>Current assets</i>		
Inventory	X	
Trade receivables	X	
Other receivables	X	
Cash at bank	X	
	_____	XX
		XXX

Capital and liabilities		
<i>Capital</i>		XX
<i>Non-current liabilities</i>		XX
<i>Current liabilities</i>		
Trade payables	X	
Other payables	X	
	_____	XX
		XXX

5 THE EFFECT OF ERRORS ON THE STATEMENT OF PROFIT OR LOSS AND STATEMENT OF FINANCIAL POSITION

5.1 INTRODUCTION

Exam questions may ask you to correct errors and to calculate the revised profit for the period and/or prepare a corrected statement of financial position. This type of exercise tests your understanding of double-entry and the way in which the entire accounting system works.

When thinking about how a correction affects profit and net assets (assets less liabilities), it is useful to remember the following rules:

Correction journal	Impact on profit and net assets
Debit Statement of financial position account Credit Statement of profit or loss account	Increase in profit and net assets
Debit Statement of profit or loss account Credit Statement of financial position account	Decrease in profit and net assets
Debit Statement of profit or loss account Credit Statement of profit or loss account	No impact on profit or net assets
Debit Statement of financial position account Credit Statement of financial position account	No impact on profit or net assets

5.2 EXAMPLE

Note: For the purpose of this exercise only, the suspense account is considered to be a statement of financial position account.

The trial balance of MLN was extracted on 30 September 20X9 and showed the following totals:

Debit	\$1,604,420	Credit	\$1,603,623
-------	-------------	--------	-------------

A suspense account was opened and used to record the difference.

After investigation the following facts emerged:

- (i) A credit sale of \$857 to SEC had not been entered in the sales day book.
- (ii) A telephone bill of \$54 had been entered in the telephone expense account as \$45 but was correctly entered in the payables' account.
- (iii) Bank charges of \$66 had been correctly entered in the expense account but had not been entered in the cash at bank ledger account.
- (iv) One of the pages in the purchases day book had been incorrectly totalled as \$11,269 instead of \$11,629.
- (v) During the year a non-current asset was sold for \$740. Its original cost was \$3,600 and its net book value at the date of disposal was \$800. The only entry made was to debit the proceeds of sale to the cash at bank ledger account.

Required:

- (a) Record in the suspense account the effects of correcting (i) to (v) above.
- (b) Update the balance on the receivables' ledger control account in the original trial balance and the sum of the individual customer balances in the receivables' ledger. The original control account balance was \$326,514 and the sum of the individual customer balances was also \$326,514.
- (c) Prepare a statement of adjusted net profit showing both the original net profit of \$412,967 as given by the draft accounts and the net profit after correcting items (i) to (v) above.

5.3 SOLUTION

Take each item in turn and decide what action is needed to correct the error. Think about what the correct double-entry should have been.

- (i) **A credit sale of \$857 to SEC had not been entered in the sales day book.**

This sale has been completely omitted from the records, therefore the correction journal is to make the entries required to the general and receivables' ledgers:

Debit	Receivables' ledger control account (SFP)	\$857
Credit	Sales (P&L)	\$857

As there was no breakdown in double-entry (the error was that neither the debit nor the credit entry were made!), there is no impact on the suspense account.

The reconciliation is affected:

- the Receivables' ledger control account requires the debit entry shown above
- the list of customer balances increase by \$857.

As the correction journal involves a debit to the statement of financial position and a credit to the statement of profit or loss, profit increases by \$857.

- (ii) **A telephone bill of \$54 had been entered in the telephone expense account as \$45 but was correctly entered in the payables' account.**

This is an error of transposition resulting in an unequal debit and credit and therefore the suspense account is affected:

The entry was:	The entry should have been:	Therefore to correct:
Debit Telephone expense 45 (Debit Suspense 9) Credit payables 54	Debit Telephone expense 54 Credit payables 54	Debit Telephone expense 9 Credit Suspense 9

There is no effect on the receivables' ledger reconciliation.

As the correction journal involves a debit to the statement of profit or loss and a credit to the statement of financial position, profit decreases by \$9.

- (iii) **Bank charges of \$66 had been correctly entered in the expense account but had not been entered in the cash at bank ledger account.**

As the initial entry is one-sided, the suspense account will be affected:

The entry was:	The entry should have been:	Therefore to correct:
Debit Bank charges 66 (Credit Suspense 66)	Debit Bank charges 66 Credit Cash at bank 66	Debit Suspense 66 Credit Cash at bank 66

There is no effect on either the receivables' ledger reconciliation or on profits (both entries in the correction journal are to statement of financial position accounts).

- (iv) **One of the pages in the purchases day book had been incorrectly totalled as \$11,269 instead of \$11,629.**

This is another error of transposition but the effect is to understate both purchases and payables by \$360. The suspense account is therefore not affected. The correction journal involved recording the extra \$360 of credit purchases:

Debit	Purchases (P&L)	\$360
Credit	Payables' ledger control account (SFP)	\$360

This does not affect the receivables' ledger reconciliation.

As the debit in the correction journal is to the statement of profit or loss, profit is reduced by \$360.

- (v) **During the year a non-current asset was sold for \$740. Its original cost was \$3,600 and its carrying amount at the date of disposal was \$800. The only entry made was to debit the proceeds of sale to the cash at bank ledger account.**

This is an error of single entry and therefore it forms part of the suspense account.

The entry was:	The entry should have been:	Therefore to correct:
Debit Cash at bank 740 (Credit Suspense 740)	Debit Accumulated depreciation 2,800 Credit Disposals 2,800 & Debit Disposals 3,600 Credit Non-current assets 3,600 & Debit Cash at bank 740 Credit Disposals 740	Debit Accumulated depreciation 2,800 Credit Disposals 2,800 & Debit Disposals 3,600 Credit Non-current assets 3,600 & Debit Suspense 740 Credit Disposals 740

There is no effect on the receivables' ledger reconciliation.

The Disposals account is a statement of profit or loss account (all others are statement of financial position accounts) and therefore profit decreases by the net amount posted to the disposals account of \$60.

- (a)

Suspense account

	\$		\$
Cash at bank (iii)	66	Difference per trial balance	797
Asset disposal (v)	740	Telephone (ii)	9
	<u>806</u>		<u>806</u>

- (b) **Receivables' ledger control account reconciliation**

	\$
Balance per receivables' ledger control account	326,514
Credit sale (i)	<u>857</u>
	<u>327,371</u>
Balance per receivables' ledger account listing	326,514
Credit sale (i)	<u>857</u>
	<u>327,371</u>

(c) **Adjusted net profit**

	\$	\$
Net profit per draft accounts		412,967
Sale (i)	857	
Telephone (ii)	(9)	
Purchases (iii)	(360)	
Loss on disposal (v) (3,600 – 2,800 – 740)	(60)	
		428
Adjusted net profit		413,395

CONCLUSION

In this chapter you have seen how control accounts provide a running total of receivables and payables. The control accounts are regularly reconciled with the sum of the balances in the respective personal ledgers to ensure that the control accounts and personal ledgers are numerically in agreement. Errors revealed by a reconciliation should be traced and corrected.

KEY TERMS

Control account reconciliation – an exercise carried out periodically to ensure that the control account balances agree with the total of the individual account balances in their respective personal ledgers.

Payables' (purchase) ledger – the personal ledger where an account is held for each credit supplier

Payables' (purchase) ledger control account – records the total liability to credit suppliers in the general ledger.

Receivables' (sales) ledger – the personal ledger where an account is held for each credit customer; also referred to as the receivables ledger.

Receivables' (sales) ledger control account – records the total debt owed by credit customers in the general ledger.

Supplier statement reconciliation – an exercise carried out periodically to ensure that the balances on the individual supplier accounts in the payables ledger agree with the statements sent by suppliers.

SELF TEST QUESTIONS

		<i>Paragraph</i>
1	Why should the balance on the payables' ledger control account equal the total of the balances in the payables' ledger?	2.1
2	State three types of errors that will give rise to account reconciliation problems.	3.3, 3.4
3	Would the miscasting of the sales day book affect the receivables' ledger balances?	3.3, 3.4

- | | | |
|---|--|-----|
| 4 | What is the double-entry required to correctly account for a discount received that has not been entered in the general ledger? | 3.3 |
| 5 | If a credit balance on a supplier's account had been included in the list of balances as a debit balance what amendment would be required? | 3.3 |
| 6 | How is the receivables' ledger control account reported in the final accounts? | 4.1 |
-

EXAM-STYLE QUESTIONS

- 1** The balance on the receivables' ledger control account in the main ledger is \$36,000. On investigation of the accounting records, the following errors were found.

- (a) The sales day book total for the month was undercast by \$1,000.
- (b) The cash received day book total for the column 'receivables' ledger' was recorded as \$4,560 instead of \$4,650.

What should the correct balance on the receivables' ledger control account be?

- A** \$34,910
- B** \$35,090
- C** \$36,910
- D** \$37,090

- 2** The balance on the payables' ledger control account in the general ledger is \$55,000. Upon investigation of the accounting records, the following errors were found.

- (a) The purchases day book total for the month was overcast by \$100.
- (b) The cheque payments day book total for the column 'payables ledger' was recorded as \$6,980 instead of \$6,890.
- (c) A \$50 purchase on credit from a supplier, Brown & Co, had not been recorded in the supplier's account in the payables' ledger.

What should the correct balance on the payables' ledger control account be?

- A** \$54,990
- B** \$55,010
- C** \$55,040
- D** \$55,060

PRACTICE QUESTION 1

CONTROL ACCOUNTS

State the advantages of using control accounts.

For suggested answers, see the 'Answers' section at the end of the book.

PRACTICE QUESTION 2

EFG – RECEIVABLES' LEDGER

EFG has a computerised receivables' ledger which is not integrated with the remainder of its accounting records which are kept manually.

A summary report (produced by totalling information from all of the individual customer accounts) from the computer system at 30 September 20X8 is as follows:

Receivables' ledger report 30 September 20X8

	\$
Balance brought forward	15,438.00
Add: Sales	74,691.00
Repayments made	1,249.00
Adjustments	23.00
Less: Sales returns	2,347.00
Payments received	77,440.00
Adjustments	58.00
Balance carried forward	11,556.00

The computerised customer records were inspected and two customers were found to have credit balances. They were:

B Green	\$434.00
J Jones	\$158.00

The balances on the manually prepared receivables' ledger control account in the general ledger at the same date were:

Debit	\$12,814.00
Credit	\$592.00

The accounts were reviewed and the following errors were found:

- 1 One of the pages in the sales day book had been overcast by \$850.00.
- 2 The total on one page of the sales returns day book had been carried forward as \$1,239 instead of \$1,329.
- 3 A sales return valued at \$354 was entered in J Smith's account as a sale.
- 4 A repayment of \$217 made to B Green was entered in his account as a payment received from him.
- 5 The total of the discount received column in the cash book was undercast by \$100.

You are required:

- (a) to restate the manual control account commencing with the balances given
- (b) to show a corrected computerised report using the format given, beginning with the brought forward balance of \$15,438
- (c) to explain the effect of each of items 1 to 5 above.

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 9

BANK RECONCILIATION

This chapter explains a method of verifying the bank balance. The balance on the cash ledger account can be reconciled to the balance on the business's bank statement. Any discrepancies should be investigated and corrected where necessary.

The chapter also introduces the petty cash book (a further day book) and the imprest system – a method of accounting for petty cash.

This chapter covers syllabus area F2.

CONTENTS

- 1 The nature and purpose of a bank reconciliation statement
 - 2 Preparing a bank reconciliation
 - 3 Petty cash
 - 4 Presentation of cash and bank balances in the statement of financial position
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- explain the nature and purpose of a bank reconciliation
- identify errors and omissions in the bank ledger account and bank statement
- identify timing differences
- make correcting entries in the bank ledger account
- prepare a reconciliation between the statement balance and the corrected ledger balance
- identify the bank balance to be reported in the final accounts
- post entries to the petty cash book and restore the imprest
- report the bank balance in the final accounts.

1 THE NATURE AND PURPOSE OF A BANK RECONCILIATION STATEMENT

1.1 INTRODUCTION

The cash received and cheque payments day books record the receipts and payments for the business's bank current account. Between them they provide the detail for the bank ledger account. The cheque payments day book represents the credit side of the account, and the cash received day book is the debit side. The cash received day book will record **all** money paid into the bank account, including direct credits and interest received. The cheque payments day book will record **all** payments from the bank account, including direct debits, standing orders and bank charges.

The balance on the bank account can be found from the day books as follows:

	\$
Opening balance on the bank ledger account	246
Add: Receipts for the period from the cash received day book	357
Less: Payments for the period from the cheque payments day book	(468)
Closing balance on the bank ledger account	135

Some organisations have a combined receipts and payments day book. The receipts (debits) will be on the left-hand page and the payments (credits) will be on the right-hand page. They will still need to do the above calculation in order to calculate the balance on the account.

The bank ledger account is unique in that it can be positive i.e. the business holds cash at the bank and therefore the bank balance is an asset on the statement of financial position. Alternatively the business could owe the bank money and therefore the bank ledger account is a credit balance and is as shown as a liability on the statement of financial position.

1.2 BANK STATEMENT

At regular intervals the bank will send the business a statement detailing how much the bank thinks that the business has in its bank account.

The balance on the bank ledger account at a particular date should agree with the balance shown on the bank statement for the same date with two important provisos:

- (a) The bank statement is produced from the bank's point of view. Therefore the entries are the opposite way around compared with the business's own records. So, the business will classify a receipt a debit, whereas the bank will record it as a credit. Also, a positive balance from the business's point of view will be a debit, but the bank will record it as a credit. This is because the bank owes the money to the business. (In the same way, a receivable in one business's records will be a payable in another.)
- (b) There are timing differences between the bank ledger account and the bank statement. A cheque payment is recorded in the cheque payments day book as it is written but will only be recorded by the bank when the cheque clears through the banking system.

1.3 BANK RECONCILIATION

The purpose of a bank reconciliation is to ensure that the ledger account balance and the bank statement balance agree (subject to timing differences). There will be two types of reconciling items:

- items that appear on the bank statement but have not yet been entered into the day books.
- items that have been entered into the day books but have not yet appeared on the bank statement.

Items on the bank statement but not in the day books

These will normally be items that the organisation does not know about until the bank statement arrives such as:

- bank charges
- bank interest (charged or credited)
- standing order and direct debit payments
- credit transfers (where a receipt has been paid directly into the organisation's bank account).

These items will be identified on the bank statement and must eventually be entered into the cash day books.

Items not yet on the bank statement

These items are due to timing differences between entries being made in the day books and the same transaction appearing on the bank statement. There are two types of timing difference:

- outstanding or unpresented cheques
- outstanding deposits or lodgements.

Unpresented cheques

These are cheques that have been written by the organisation and entered into the cheque payments day book. However cheques do not appear on the bank statement until they have been received by the payee, paid into the payee's bank account and have been processed through the banking clearing system.

Unpresented cheques must be deducted from the bank statement total in order to reconcile with the ledger account balance.

Outstanding deposits

Outstanding deposits or lodgements are receipts that have been paid into the bank account by the organisation and therefore entered into the cash received day book but they have not yet been processed through the banking clearing system and therefore have not appeared on the bank statement.

Outstanding deposits must be added to the bank statement total in order to reconcile with the ledger account balance.

Errors in the day books

Another reason why the ledger account balance might not agree with the bank statement, is that errors may have been made in the writing up of the cash and cheque day books. These must be identified and corrected in order for the ledger account balance to agree to the bank statement.

2 PREPARING A BANK RECONCILIATION**2.1 THE TECHNIQUE**

- 1 Update the day books with items that have been included in the bank statement but are not yet in the day books (e.g. standing orders and direct debits).
- 2 Total the day books and post the totals to the ledger account.
- 3 Balance the ledger account, ensuring that the opening balance agrees with that on the previous bank reconciliation statement.
- 4 Lay out the bank reconciliation format.
- 5 Tick the day book to the bank statement to identify uncleared cheques and deposits. (At this point some corrections or additions to the day books might be identified, along with the occasional error by the bank. These are not reconciling items; instead the day books will be updated and corrected in the normal way. Errors made by the bank will be reported to the bank.)
- 6 Complete the bank reconciliation.
- 7 Agree the ledger account balance to the bank reconciliation balance.

2.2 EXAMPLE

On 31 March 20X3 the balance on the bank ledger account was a debit of \$1,042. At the same date the bank statement showed a credit balance of \$838. The following was then discovered:

- (a) Bank charges of \$24 were shown on the bank statement but had not been entered into the cheque payments day book.
- (b) The cheque payments day book had been undercast by \$100.
- (c) A standing order payment of \$70 appeared on the bank statement but had been omitted from the cheque payments day.
- (d) Cheques drawn by the organisation for \$120, \$60 and \$35 had not yet been presented at the bank by 31 March and therefore did not appear on the bank statement.
- (e) A cheque receipt from a customer of \$225 had been paid into the bank account on 30 March but did not appear on the bank statement until 3 April.

Prepare the bank reconciliation statement as at 31 March 20X3.

2.3 SOLUTION

- Step 1** Identify any items that have not yet been entered into the day books and put through the entries. For assessment purposes this will generally be done in a ledger account that represents the balance of the cash received day book and cheque payments day book.

Bank ledger account

	\$		\$
Balance per cash book	1,042	Bank charges	24
		Standing order	70

- Step 2** Identify errors that have been made in writing up the day books and correct these in the cash ledger account. Balance the ledger account.

Bank ledger account

	\$		\$
Balance b/d	1,042	Bank charges	24
		Standing order	70
		Undercast of cash payments	100
			194
		Revised balance	848
	1,042		1,042

- Steps 3, 4, 5 and 6** Complete the bank reconciliation.

	\$	\$
Balance on the bank statement <i>(a credit balance on the bank statement represents cash in hand)</i>		838
Less: Unpresented cheques	120	
	60	
	35	
		(215)
		623
Add: Outstanding lodgements		225
Revised bank balance		848

- Step 7** Ensure that the adjusted bank statement total agrees with the amended ledger account balance.

Both the amended ledger account balance and the adjusted bank statement balance are \$848. Therefore the bank statement has been reconciled.

The correct balance from the business's point of view is \$848. This takes into account specific errors and omissions identified by the bank reconciliation. The timing differences (unpresented cheques and outstanding lodgements) are not errors. These should work through the system over the next few days.

ACTIVITY 1

The balance on a business's bank ledger account is \$1,600 debit. That includes \$200 of cheques that have been drawn but not yet presented to the bank and \$350 of deposits which have not yet appeared on the bank statement. Once these timing differences have been dealt with the ledger account and bank statement balances agree.

What is the bank statement balance?

For a suggested answer, see the 'Answers' section at the end of the book.

2.4 ERRORS BY THE BANK

There might also be errors by the bank. In this (hopefully rare) case, it is the bank statement which is wrong, and the bank will be requested to correct their records. Errors by the bank will be reconciling items but no entries in the ledger account are required.

2.5 DISHONoured CHEQUES

Consider an example. Suppose that for the past two months Patterdale's ledger balance has shown an amount owing to you of \$28. He sends you a cheque for \$28 on 3 June which you promptly enter in the cash received day book and pay into the bank. This increases cash and reduces receivables by \$28. A week later the bank returns the cheque marked R/D (return to drawer) i.e. it has 'bounced' (been dishonoured). What effect does this have? There are two points to consider:

- (a) The overall effect on your bank statement is nil. The receipt of \$28 shown earlier on the bank statement will be cancelled out by the subsequent reversing entry by the bank (shown on the payments side of the bank statement and marked as 'dishonoured cheque' or 'item advised').
- (b) Patterdale still owes \$28 – his earlier cheque was a worthless piece of paper. The receipt of the cheque will have been recorded in the cash received day book in the usual way, and it will be included in the total posted to the sales ledger control account at the end of the month. This must now be corrected by debiting the sales ledger control account and crediting the bank ledger account.

Patterdale's personal account in the sales ledger will appear as follows:

Patterdale			
	\$		\$
Balance b/d	28	Bank	28
Dishonoured cheque	28	Balance c/d	28
	56		56

2.6 EXAMPLE

On 31 July 20X7 the balance on Blyth's bank ledger account was a debit of \$52 compared with a credit balance of \$134 shown by his bank statement. He discovered the following:

- (a) Cheques drawn by Blyth during July, amounting to \$356, \$1,732 and \$196, had been entered in the day books but had not been presented at the bank by the end of the month.
- (b) Blyth had forgotten to enter into the day books a standing order for \$50.
- (c) The bank had incorrectly credited Blyth's account with a dividend receipt of \$25 relating to another customer.
- (d) Bank charges of \$105 shown on the bank statement had not yet been entered in the day books.
- (e) Cheques received from customers amounting to \$1,211 were entered in the day books on 31 July but were not credited on the bank statement until 3 August.
- (f) Direct credits from customers of \$180 and \$31 had been paid direct into the bank, but no entry had been made in the day books.
- (g) The cheque payments day book for July had been undercast by \$1,000 (this means that the total is understated by \$1,000).
- (h) The statement shows an item 'return cheque \$72'. This has not yet been accounted for in the day books.

Required

Adjust the bank ledger account and prepare the bank reconciliation statement at 31 July 20X7.

2.7 SOLUTION

- Step 1** Identify those items which have yet to be entered in the day books. These include (b), (d), (f) and (h). The error by the bookkeeper (g) must be corrected through the day books since the unadjusted balance of \$52 has been affected by the addition error.
- Step 2** Identify those items which appear in the day books but not in the statement: these include (a) and (e). These will appear on the bank reconciliation statement.
- Step 3** The error by the bank (c) will be adjusted on the face of the bank reconciliation statement.

Bank ledger account				
20X7		\$	20X7	\$
31 Jul	Balance b/d	52	(b) Subscriptions	50
	(f) Direct credit	180	(d) Bank charges	105
	(f) Direct credit	31	(g) CPDB	1,000
			(h) Dishonoured cheque	72
		263		
	Corrected balance c/d	964		
		1,227		1,227
			Corrected balance	
			b/d (overdrawn)	964

Bank reconciliation statement at 31 July 20X7

	\$	\$
Balance per statement		134
Correction of error by bank – amount wrongly credited (c)		(25)
		109
Unpresented cheques:		
(a)	356	
(a)	1,732	
(a)	196	
		(2,284)
		(2,175) O/D
Outstanding deposits (e)		1,211
Balance per ledger account (overdrawn)		(964) O/D

Notes: The bank reconciliation statement is rather complicated because it starts with a balance in hand and ends up with an overdraft balance (O/D). The logic is as follows:

- If the \$25 had been credited to the correct customer, Blyth's balance would have been only \$109 (in hand).
- The three unpresented cheques are regarded as payments for July. Had they appeared in the bank statement in July, they would have had the effect of turning a \$109 balance in hand into an overdraft of \$2,175 (be careful with the arithmetic!).
- Operating in the opposite direction, if the deposits of \$1,211 had been included in the bank statement in the same month as they were included in the cash received day book, the overdraft would have been reduced from \$2,175 to \$964.
- This illustration shows how important it is to understand the processes rather than to memorise a layout.

Conclusion The bank ledger account and the bank statement balance have now been reconciled. A statement of financial position (statement of financial position at 31 July 20X7 would show a bank overdraft of \$964 under the heading of current liabilities. The statement of financial position (statement of financial position always shows the ledger account balance, not the bank statement figure.

ACTIVITY 2

The bank ledger account of a business shows an opening balance of \$270 (Debit), cash receipts of \$4,600 and cash payments of \$4,800. There is also a standing order of \$40 that has been omitted from the day books.

The day books include \$60 of cheques written but not appearing on the bank statement, and \$490 of deposits not yet appearing on the bank statement. The bank statement shows an overdraft of \$400.

Prepare the bank reconciliation statement.

For a suggested answer, see the 'Answers' section at the end of the book.

ACTIVITY 3

The bank ledger account shows an opening credit balance for the month of June of \$399. The day books for the month show receipts of \$3,845 and payments of \$5,672. There is also a bank charge of \$85 that has not been recorded in the day books.

The day books include \$1,848 of cheques written but not yet presented and \$967 of deposits banked but not cleared. The bank statement shows an overdraft of \$1,430.

Prepare the bank reconciliation statement.

For a suggested answer, see the 'Answers' section at the end of the book.

3 PETTY CASH

3.1 INTRODUCTION

Definition **Petty cash** is money held on the business's premises in order to meet everyday expenses.

A business spends money on small expenses that do not warrant an account being set up in the purchase ledger. For example, some coffee is needed for the office. It is not practical to buy a jar of coffee on credit from the local shop or even for a business cheque to be written out to pay for it. A better system would be if the business had an amount of cash which could be used in such circumstances.

However, there is a danger. Cash is probably the most easily stolen asset of the company, both directly by the actual money being stolen and indirectly by expenses being claimed that have not been incurred.

Both situations and the required control are taken care of by using a method of dealing with cash expenses called the imprest system.

3.2 THE IMPREST SYSTEM

Definition An **imprest system** of petty cash is a system whereby, at any point in time, the sum of the cash held and the values of the petty cash vouchers raised in the period will equal a predetermined amount (the float or imprest amount).

The petty cash float is set at a level that is thought sufficient to cover everyday expenses over a period of time such as one week. When an item is purchased, money is taken out of petty cash and is replaced by an authorised petty cash voucher detailing the transaction and supported by a valid receipt. When a check is made on petty cash there must always be cash and vouchers with receipts which, together, add up to the imprest amount.

At regular intervals the vouchers will be removed from the petty cash and the imprest value will be replenished from the bank account. The cheque drawn to restore the imprest will be an amount equal to the total vouchers removed. The transactions (expenses and cash replenishment) will be recorded in the petty cash book, which will then be posted to the general ledger along with the other day books.

This system allows for a spot check to be carried out by management to ensure that all cash spent is accounted for by authorised vouchers. If the total of the vouchers + cash doesn't equal the imprest amount, it may mean that cash has been stolen. Vouchers should also be checked for proper authorisation.

3.3 THE PETTY CASH BOOK

Definition The **petty cash book** is an initial record of all petty cash expenditure and receipts (the latter mainly being replenishments from the bank account).

The petty cash book is very similar in appearance to the cheque payments day book (remember this records payments from the bank account). It uses the columnar format to record the total amount of the expense, a sales tax column to record any tax on an expense and then the expense will be analysed into general ledger categories depending on its nature.

The layout of the book may look something like this:

Petty cash book

<i>Date</i>	<i>Details</i>	<i>Voucher reference</i>	<i>Total</i>	<i>Sales tax</i>	<i>Cleaning</i>	<i>Repairs</i>	<i>Coffee/ Tea</i>	<i>Travel</i>	<i>Sundry</i>
			\$	\$	\$	\$	\$	\$	\$
			x						
			x						
			—						
			—						
			x						
			—						
			A						
			—						

When the petty cash book is closed off, usually at the month end, the columns are totalled up. Because there is usually only one entry on the receipts side of petty cash, the cash replenishment, a separate book or page would not normally be kept for receipts. Instead a small reconciliation would be performed below the expenses totalled. This reconciliation would show the balance brought down on petty cash, less the expenses out of petty cash plus the cash replenishment. The final total will be the amount carried down to the next month.

This is illustrated below:

	\$		
Balance brought down	Required float	←	Note: These are the same figure unless a change in the imprest float is required.
Less total expenses	(A)		
Add cash replenishments	A		

Balance carried down	Required float	←	

Notice that under the imprest system the brought down total and carried down total are always the same unless the imprest is changed.

3.4 POSTING TO THE GENERAL LEDGER FROM THE PETTY CASH BOOK

The double entry to record the expense items in the general ledger would be:

Debit	Statement of profit or loss expense accounts
Debit	Sales tax account
Credit	Petty cash account.

In T account form:

IS expense a/c	Sales tax a/c	Petty cash a/c
x	x	x

These postings are made from the petty cash book

To record the cash replenishment:

Debit	Petty cash account
Credit	Bank account

Bank a/c	Petty cash a/c
x	x

These postings are made from the cheque payments day book. As the cash must come out of the bank account, it is already recorded in the cheque payments day book and therefore it is not necessary to post the receipt of the cash from the petty cash book as well.

ACTIVITY 4

Record the following transactions in the petty cash book and post the month-end totals to the general ledger T accounts.

The balance brought down on the petty cash account on 1 September 20X1 is the imprest amount of \$50.

Day

- 2 Coffee purchased for \$1.89
- 4 Repair to light switch \$12 (\$2 sales tax)
- 10 Taxi fare \$5
- 15 Pay cleaner \$15
- 25 Repairs \$6 (\$1 sales tax)

The imprest float was restored on 30 September.

For a suggested answer, see the 'Answers' section at the end of the book.

4 PRESENTATION OF CASH AND BANK BALANCES IN THE STATEMENT OF FINANCIAL POSITION

4.1 DISTINGUISHING BETWEEN CASH AND BANK BALANCES

We have already seen that the balance on the bank ledger account represents the bank balance of the business. This is included on the statement of financial position as a current asset, and described as 'cash at bank' or as a current liability described as 'bank overdraft'. The petty cash balance is shown as a current asset called 'cash in hand'. In some cases, cash in hand will include other amounts other than petty cash, e.g. the float held in tills in a retail outlet.

	\$
Current assets	
Inventory	X
Receivables	X
Cash at bank	X
Cash in hand	X
	—
	X
	—

Sometimes, the two are shown together and described as cash at bank and in hand. This presentation is appropriate if the petty cash balance is not considered material.

Overdrafts are shown as part of current liabilities. Bank and cash in hand must not be netted off against any overdraft balances.

CONCLUSION

The bank reconciliation reconciles the bank ledger account balance with the bank statement balance on a specific day, making allowances for outstanding items. Firstly, the ledger account is corrected (if necessary) and then the bank reconciliation statement is prepared. The statement of financial position will report the corrected ledger account balance.

Many businesses need to pay small expenses and the chapter also described the imprest system of maintaining a petty cash float and recording such expenses.

KEY TERMS

Bank ledger account – a general ledger account that represents the amount that the company holds at the bank. The two day books are posted to the bank ledger account.

Bank reconciliation – a check carried out to ensure that the bank ledger account balance and the bank statement agree (subject to timing differences).

Cash received day book – the day book in which all money received and banked by the business is recorded, including direct credits and bank interest earned.

Cheque payments day book – the day book in which all money paid out of the bank account is recorded, including direct debits, bank charges and bank interest charged.

Dishonoured cheques – cheques which cannot be paid by the bank due to insufficient funds being available in an account – ‘bounced cheques’.

Imprest system – a system whereby, at any point in time, the sum of the cash held and the values of the petty cash vouchers raised in the period will equal a predetermined amount (the float or imprest amount).

Outstanding deposits (lodgements) – cheques paid into the bank which have not yet gone through the bank’s clearing system and so do not show on the bank statement.

Outstanding (unpresented) cheques – cheques written which have not yet gone through the bank’s clearing system and so do not show on the bank statement.

Petty cash – money held on the business's premises in order to meet everyday expenses.

Petty cash book – an initial record of all petty cash expenditure and receipts.

SELF TEST QUESTIONS

		<i>Paragraph</i>
1	Why will the balance on the bank statement not necessarily agree to the ledger account balance, even if there are no errors?	1.2
2	Give four examples of entries which are likely to appear on the bank statement before they are recorded in the day books.	1.3
3	What is a dishonoured cheque?	2.5
4	What type of expenditure can be described as petty cash expenditure?	3.1
5	What is the name given to the petty cash float that is replenished to the same level periodically?	3.2
6	From which book of original entry is the cash replenishment of the petty cash float posted to the general ledger?	3.4

EXAM-STYLE QUESTIONS

- 1** Edward checked his bank statement with the bank account in his general ledger and found the following differences:
- (i) some lodgements had been recorded in the cash received day book but did not appear on the bank statement
 - (ii) the bank debited fees on his account
 - (iii) the bank debited a personal cheque to his business account in error.

Which of the differences require an entry in the bank account in the general ledger?

- A** (i) only
 - B** (ii) only
 - C** (iii) only
 - D** (ii) and (iii)
- 2** Your cash ledger account at 31 December 20X3 shows a bank balance of \$565 overdrawn. On comparing this with your bank statement at the same date, you discover that:
- A cheque for \$57 drawn by you on 29 December 20X3 has not yet been presented for payment
 - A cheque for \$92 from a customer, which was paid into the bank on 24 December 20X3, has been dishonoured on 31 December 20X3.

The correct bank balance to be shown in the statement of financial position at 31 December 20X3 is

- A** \$714 overdrawn
- B** \$657 overdrawn
- C** \$473 overdrawn
- D** \$53 overdrawn

PRACTICE QUESTION 1

DISCUSSION WITH A CLIENT

In preparation for a discussion with a client, prepare notes which briefly but clearly explain the reasons for the difference between the balance in the accounts and the balance on the bank statement.

PRACTICE QUESTION 2

SPANNERS

The following is a summary from the cash ledger account of Spanners for the month of October:

	\$		\$
Balance b/d	1,407	Payments	15,520
Receipts	15,073	Balance c/d	960
	16,480		16,480

On investigation you discover that:

- (1) Bank charges of \$35 shown on the bank statement have not been entered in the day books.
- (2) A cheque drawn for \$47 has been entered in error as a receipt.
- (3) A cheque for \$18 has been returned by the bank marked 'Refer to drawer', but it has not been written back in the day books.
- (4) The balance brought forward should have been \$1,470.
- (5) Three cheques paid to suppliers for \$214, \$370 and \$30 have not yet been presented to the bank.
- (6) Takings of \$1,542 were placed in a night safe deposit on 31 October but were not credited by the bank until 3 November.
- (7) The bank charged a cheque for \$72 in error to the company's account.
- (8) The bank statement shows an overdraft of \$124.

Required:

- (a) Show what adjustments you would make in the cash ledger account.
- (b) Prepare a bank reconciliation statement as at 31 October.

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 10

ACCRUALS AND PREPAYMENTS

The accruals concept requires that expenses are included in the statement of profit or loss in the period in which they are incurred.

Therefore adjustments are required at the accounting period end for any expenses incurred but not yet paid or invoiced and any expenses paid for but not yet used. These adjustments result in accruals and prepayments.

Similar adjustments are required to ensure that the income shown in the statement of profit or loss is that which is due in the accounting period, rather than that which has been received or invoiced.

This chapter explains how the required adjustments are calculated and how they are accounted for.

This chapter covers syllabus area D5.

CONTENTS

- 1 The accruals concept
 - 2 Accrued expenses
 - 3 Prepaid expenses
 - 4 Expenses with prepaid and accrued elements
 - 5 Miscellaneous income
 - 6 Prepayments and accruals in the financial statements
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- describe the nature and purpose of accruals
 - describe the nature and purpose of prepayments
 - calculate accruals
 - calculate prepayments
-

- account for accruals
 - account for prepayments
 - report accruals in the final accounts
 - report prepayments in the final accounts.
-

1 THE ACCRUALS CONCEPT

Definition The **accruals concept** states that income and expenses should be matched together and dealt with in the statement of profit or loss for the period to which they relate regardless of the period in which the cash was actually received or paid.

As a result the following are recognised in the statement of financial position:

- payables (for purchases made on credit)
 - receivables (for sales made on credit)
 - accruals (for expenses incurred but not yet paid)
 - prepayments (for expenses paid in advance).
-

ACTIVITY 1

Calculate or estimate how much should be charged for each of the following expenses in the statement of profit or loss for the year ended 31 December 20X1:

- (a) Rent – charged at \$5,000 per quarter, paid quarterly in advance.
 - (b) Electricity – paid in the year \$1,000; invoice received in January 20X2 for \$300, covering the period 1 October to 31 December 20X1.
 - (c) Telephone – \$820 paid for calls up to 30 November; the bill for the following quarter received in February 20X2 was for \$240.
 - (d) Insurance – paid annually in advance, on 1 April each year. The bill for the year ended 31 March 20X1 was for \$3,000; the following year's bill was \$4,200.
-

For suggested answers, see the 'Answers' section at the end of the book.

2 ACCRUED EXPENSES

2.1 THE NATURE AND PURPOSE OF ACCRUALS

Definition An **accrual** is an item of expense that has been incurred during the accounting period but has not been paid at the period end.

In order to ensure that all expenses incurred in a period have been included in the statement of profit or loss the accountant must ensure that the expense accounts include not only those items that have been paid for during the period but also any outstanding amounts. In some instances an invoice will have been received for any such outstanding amounts by the time the accounts are prepared and therefore the accrual can be accurately calculated. Otherwise, the accrual will need to be estimated from previous years and earlier invoices.

2.2 EXAMPLE WITH NO OPENING ACCRUAL

John Simnel's business has an accounting year end of 31 December 20X1. He rents factory space at a rental cost of \$5,000 per quarter payable in arrears. During the year to 31 December 20X1 his cash payments of rent have been as follows:

	\$
31 March (for quarter to 31 March 20X1)	5,000
29 June (for quarter to 30 June 20X1)	5,000
2 October (for quarter to 30 September 20X1)	5,000

The final payment due on 31 December 20X1 for the quarter to that date was not paid until 4 January 20X2.

Write up the ledger accounts for factory rent for the year ended 31 December 20X1.

2.3 SOLUTION

It should be quite clear that the rental expense for John Simnel's business for the year to 31 December 20X1 is \$20,000 ($4 \times \$5,000$) even though the final payment for the year was not made until after the year end. It should also be noted that at 31 December 20X1 John Simnel's business owes the landlord \$5,000 of rental for the period from 1 October to 31 December 20X1.

Step 1 Bring down any opening balance on the account. In this example there is no opening balance. The significance of this step will become apparent in the next example.

Step 2 Record the cash payments in the Factory rent account.

Factory rent			
20X1		20X1	
31 Mar	Cash at bank		
29 June	Cash at bank		
2 Oct	Cash at bank		

- Step 3** The charge to the statement of profit or loss that is required at 31 December 20X1 is \$20,000 and this is entered into the account on the credit side (the debit is the expense in the statement of profit or loss).

Factory rent

20X1		\$	20X1		\$
31 Mar	Cash at bank	5,000	31 Dec	Statement of profit	
29 June	Cash at bank	5,000	or loss		20,000
2 Oct	Cash at bank	5,000			

- Step 4** In order for the account to balance, a further debit entry of \$5,000 is required.

- This will be the balance carried down on the account, the accrual.
- This gives a brought down credit balance representing the amount owed to the landlord for the final quarter's rent.

Factory rent

20X1		\$	20X1		\$
31 Mar	Cash at bank	5,000	31 Dec	Statement of profit	
29 June	Cash at bank	5,000	or loss		20,000
2 Oct	Cash at bank	5,000			
31 Dec	Bal c/d	5,000			
		20,000			
					20,000
			20X2		
			1 Jan	Bal b/d	5,000

- By this method the correct expense has been charged to the statement of profit or loss under the accruals concept, \$20,000, and the amount of \$5,000 owed to the landlord has been recognised as a credit balance on the account.
- This credit balance would be listed in the statement of financial position under the heading of current liabilities and described as an accrual.

Note that steps 3 and 4 above may be performed in reverse order depending on personal preference and sometimes, the information given.

2.4 EXAMPLE WITH AN OPENING ACCRUAL

During the year to 31 December 20X2 John Simnel's rental charge remained the same and his payments were as follows:

	\$
4 January (for quarter to 31 December 20X1)	5,000
28 March (for quarter to 31 March 20X2)	5,000
28 June (for quarter to 30 June 20X2)	5,000
4 October (for quarter to 30 September 20X2)	5,000
23 December (for quarter to 31 December 20X2)	5,000

Write up the ledger account for factory rent for the year ended 31 December 20X2.

2.5 SOLUTION

Step 1 Bring down the opening balance on the account, in this case an opening accrual of \$5,000

Factory rent			
20X2	\$	20X2	\$
		1 Jan Bal b/d	5,000

Step 2 Record the cash payments made in the year.

Factory rent			
20X2	\$	20X2	\$
4 Jan Cash at bank	5,000	1 Jan Bal b/d	5,000
28 Mar Cash at bank	5,000		
28 June Cash at bank	5,000		
4 Oct Cash at bank	5,000		
23 Dec Cash at bank	5,000		

Step 3 Calculate the closing accrual. There is no accrued expense to be carried forward this year since the amount due for the final quarter of the year was paid before the year end.

Step 4 Balance the account. The balancing figure is the factory rent expense of \$20,000 ($4 \times \$5,000$) which is transferred to the statement of profit or loss.

Factory rent			
20X2	\$	20X2	\$
4 Jan Cash at bank	5,000	1 Jan Bal b/d	5,000
28 Mar Cash at bank	5,000	31 Dec Statement of profit or loss	
28 June Cash at bank	5,000	(bal fig)	20,000
4 Oct Cash at bank	5,000		
23 Dec Cash at bank	5,000		
	<u>25,000</u>		<u>25,000</u>

Note that steps 3 and 4 were performed in reverse order in comparison with the previous example.

The accounting treatment of an accrued expense is to debit the expense account, thereby increasing the expense in the statement of profit or loss and carry this balance forward as a payable, an accrual, in the statement of financial position.

ACTIVITY 2

John Ball is a sole trader with a 30 June year-end. His purchase ledger for the year-ending 30 June 20X8 includes all invoices dated up to and including 30 June 20X8. Any invoice received after that was posted to the July (or subsequent) purchase ledger. Estimate the closing accruals for the following items:

- (a) An electricity bill for \$900 for the three months to 31 August 20X8.
- (b) Water bill for \$780 for the quarter to 31 July 20X8.
- (c) Sewerage bill for \$642 for the quarter to 31 May 20X8. When the annual accounts were being prepared no further bills had been received, although John Ball had continued to use the service.
- (d) John Ball also uses gas supplied through a gas main. The meter reading on the last invoice received before the year-end was 23645 units; on 30 June the meter read 24098 units. Gas costs 10 cents per unit.

For suggested answers, see the 'Answers' section at the end of the book.

ACTIVITY 3

James Bell has a December year-end. Prepare the T accounts for the following expense headings and calculate the annual charge to the statement of profit or loss.

- (a) Electricity. Invoices totalling \$697 were received and posted to the ledgers during the year. The opening accrual was \$172 and the closing accrual is \$238.
- (b) Rates. Invoices totalling \$756 were received and posted to the ledgers during the year. The opening accrual was \$365 and the closing accrual is \$28.

For suggested answers, see the 'Answers' section at the end of the book.

2.6 JOURNAL TO RECORD AN ACCRUAL

The correct journal to record a period end accrual is:

Debit Expense account – P&L
Credit Accrual – SFP (B/S)

3 PREPAID EXPENSES**3.1 THE NATURE AND PURPOSE OF PREPAYMENTS**

Definition A **prepayment** is an item of expense that has been paid during the current accounting period but will not be incurred until the next accounting period.

As well as ensuring that all of the expenses incurred in the period appear in the statement of profit or loss the accountant must also ensure that no items of expense that relate to future periods, but have already been paid for, are shown as expenses of the current period.

3.2 EXAMPLE WITH NO OPENING PREPAYMENT

John Simnel pays insurance on the factory that he rents and this is paid in advance. His payments during 20X1 for this insurance were as follows:

	\$
1 January (for three months to 31 March 20X1)	800
28 March (for six months to 30 September 20X1)	1,800
2 October (for six months to 31 March 20X2)	1,800

Calculate the insurance expense for the year ended 31 December 20X1 and write up the insurance ledger account.

3.3 SOLUTION

The insurance expense for the year to 31 December 20X1 can be calculated as follows:

	\$
1 January to 31 March 20X1	800
1 April to 30 September 20X1	1,800
1 October to 31 December 20X1 ($\frac{3}{6} \times 1,800$)	900
	3,500

The remaining \$900 that was paid on 2 October which is not to be charged to the statement of profit or loss for the year to 31 December 20X1 is a prepaid expense. It is an amount that has been paid in advance to the insurance company and as such it has the characteristics of a receivable, the insurance company effectively owing the \$900 back to John Simnel at 31 December 20X1.

The ledger account will be written up as follows:

Step 1 Bring down any opening balance on the expense account. In this example the balance is \$nil.

Step 2 Enter the cash payments into the factory insurance account.

Factory insurance			
20X1	\$	20X1	\$
1 Jan Cash at bank	800		
28 Mar Cash at bank	1,800		
2 Oct Cash at bank	1,800		

Step 3 The charge to the statement of profit or loss calculated above as \$3,500 is then entered in the account.

Step 4 In order for the account to balance a further credit entry of \$900 is required.

- This is the prepayment that is to be carried down and will appear as a brought down debit balance or receivable.

Factory insurance			
20X1		\$	
1 Jan	Cash at bank	800	
28 Mar	Cash at bank	1,800	
2 Oct	Cash at bank	1,800	
		<u>4,400</u>	
20X2			
1 Jan	Bal b/d	900	

- This has given the correct charge to the statement of profit or loss of \$3,500 for the year to 31 December 20X1 and has recognised that there is a receivable or prepayment of \$900 at 31 December 20X1.
- The \$900 balance will appear in the statement of financial position in current assets under the heading of prepayments. Prepayments appear just below receivables, or may be included with receivables and described as receivables and prepayments.

3.4 EXAMPLE WITH OPENING PREPAYMENT

In writing up expense accounts care must be taken to remember to include any opening balances on the account which were accruals or prepayments at the end of the previous year. For example, John Simnel pays his annual rates bill of \$4,000 in two equal instalments of \$2,000 each on 1 April and 1 October each year.

Write up the rates account for the year ended 31 December 20X1.

3.5 SOLUTION

His rates account for the year to 31 December 20X1 would look like this:

Rates			
20X1		\$	
1 Jan	Bal b/d ($\frac{3}{6} \times 2,000$)	1,000	
1 April	Cash	2,000	
1 Oct	Cash	2,000	
		<u>5,000</u>	
20X1		\$	
31 Dec	Statement of profit or loss (bal fig)	4,000	
31 Dec	Bal c/d ($\frac{3}{6} \times 2,000$)	1,000	
		<u>5,000</u>	

Note that at 1 January 20X1 there is an opening debit balance on the account of \$1,000. This is the three months' rates from 1 January 20X1 to 31 March 20X1 that had been paid for on 1 October 20X0. You were not specifically told this opening balance but would be expected to work it out from the information given.

The treatment of a prepaid expense is to credit the expense account with the amount of the prepayment, thereby reducing the expense to be charged to the statement of profit or loss, and to carry the balance forward as a receivable, a prepayment, in the statement of financial position.

ACTIVITY 4

John Ball is a sole trader with a 30 June year-end. His purchase ledger includes all invoices dated up to and including 30 June 20X8. Estimate the closing prepayments for the following items:

- (a) An insurance invoice for \$2,136 paid in January 20X8 for the year to 28 February 20X9.
- (b) \$7,800 rent for the quarter to 31 July 20X8 paid in April 20X8.

For a suggested answer, see the 'Answers' section at the end of the book.

ACTIVITY 5

James Bell has a December year-end. Prepare the T accounts for the following expense headings and calculate the annual statement of profit or loss charge.

- (a) Insurance. Invoices totalling \$7,295 were received and posted to the ledgers during the year. The opening prepayment was \$3,672 and the closing prepayment is \$4,107.
- (b) Rent. Invoices totalling \$19,540 were received and posted to the ledgers during the year. The opening prepayment was \$3,908 and the closing prepayment is \$2,798.

For a suggested answer, see the 'Answers' section at the end of the book.

3.6 JOURNAL TO RECORD A PREPAYMENT

The correct journal to record a year end prepayment is:

Debit Prepayment – SFP (B/S)

Credit Expense account – P&L

4 EXPENSES WITH PREPAID AND ACCRUED ELEMENTS**4.1 INTRODUCTION**

Some expenses may have both brought down and carried down accruals and prepayments. An example might be a telephone expense. The telephone bill will comprise two elements. There will be a charge for the rental of the telephones and lines which is paid in advance, and a further charge for calls made, paid in arrears.

4.2 EXAMPLE

The details of John Simnel's telephone bills for 20X1 are as follows:

	\$
Quarterly rental payable in advance on 1 February, 1 May, 1 August and 1 November each year	60
Calls paid in arrears for previous three months	
1 February 20X1	120
1 May 20X1	99
1 August 20X1	144
1 November 20X1	122
1 February 20X2	132

You are required to write up his telephone account for the year to 31 December 20X1.

4.3 SOLUTION

- Step 1** Calculate and enter the opening balances for accruals / prepayments at the beginning of the year in the telephone account.
- The opening debit balance represents the prepayment of the rental at 31 December 20X0. On 1 November 20X0 a payment of \$60 would have been made to cover the period from 1 November 20X0 to 31 January 20X1. The amount of the 20X1 expense paid in 20X0 is therefore $\frac{1}{3} \times \$60 = \20 .
 - The opening credit balance represents the calls made in November and December 20X0 that were not paid for until 1 February 20X1. This can be approximated as $\frac{2}{3} \times \$120 = \80 .

Telephone

20X1	\$	20X1	\$
1 Jan Bal b/d	20	1 Jan Bal b/d	80

- Step 2** Enter the cash payments made during the year.

Telephone

20X1	\$	20X1	\$
1 Jan Bal b/d	20	1 Jan Bal b/d	80
1 Feb Cash – rental	60		
1 Feb Cash – calls	120		
1 May Cash – rental	60		
1 May Cash – calls	99		
1 Aug Cash – rental	60		
1 Aug Cash – calls	144		
1 Nov Cash – rental	60		
1 Nov Cash – calls	122		

Step 3 Calculate and enter the closing accruals and prepayments.

- There is a closing prepayment of telephone rental. \$60 was paid on 1 November 20X1 for the following three months' rental. This covers November and December 20X1 as well as January 20X2. The prepayment is the amount that relates to January 20X2

$$= \frac{1}{3} \times \$60 = \$20.$$
- The accrued expense at 31 December 20X1 is for November and December's calls that will not be paid for until 1 February 20X2. These can be estimated as $\frac{2}{3} \times \$132 = \$88.$

Step 4 Enter the statement of profit or loss charge as the balancing figure in the account.

Telephone			
20X1		\$	
1 Jan	Bal b/d	20	
1 Feb	Cash – rental	60	
1 Feb	Cash – calls	120	
1 May	Cash – rental	60	
1 May	Cash – calls	99	
1 Aug	Cash – rental	60	
1 Aug	Cash – calls	144	
1 Nov	Cash – rental	60	
1 Nov	Cash – calls	122	
31 Dec	Bal c/d (accrual)	88	
		833	
20X2			\$
1 Jan	Bal b/d (prepayment)	20	
			833
20X1		\$	
1 Jan	Bal b/d		80
31 Dec	Statement of profit or loss (bal fig)		733
31 Dec	Bal c/d (prepayment)		20
			88

The statement of profit or loss expense that was included in the account as a balancing figure could be proved. This is not generally necessary in actual questions.

	\$
Rental charge for 1 January to 31 December 20X1 (4 × 60)	240
Calls:	
1 January to 31 January 20X1 ($\frac{1}{3} \times 120$)	40
1 February to 30 April 20X1	99
1 May to 31 July 20X1	144
1 August to 31 October 20X1	122
1 November to 31 December 20X1 ($\frac{2}{3} \times 132$)	88
	733

Where there are opening and closing accruals and/or prepayments, the easiest way to get the right figure for the statement of profit or loss is to calculate it as the balancing figure on the account after entering all accruals/prepayments and cash paid in the year.

5 MISCELLANEOUS INCOME

5.1 INTRODUCTION

In addition to accrued and prepaid expenses some organisations also have sources of miscellaneous income which may also be received in advance or arrears.

5.2 EXAMPLE

John Simnel sublets part of his factory space for a quarterly rental in advance of \$900. The payments are due on 1 March, 1 June, 1 September and 1 December each year and are always paid on time.

Write up his rental receivable account for the year ended 31 December 20X1.

5.3 SOLUTION

The rent receivable account for the year to 31 December 20X1 will show both an opening and a closing balance of rental paid in advance of $(\frac{2}{3} \times \$900) = \600 .

Income received in advance results in a liability. In this case John Simnel 'owes' 2 months of factory space, worth \$600. The opening and closing balances will therefore be credit balances brought down.

The cash received in the year will be credit entries in the rent receivable account (debit in the cash account).

The income which will be transferred to the statement of profit or loss from the rent receivable account will be \$3,600 ($4 \times \900).

Rental receivable			
20X1	\$	20X1	\$
		1 Jan Bal b/d	600
		1 Mar Cash at bank	900
		1 June Cash at bank	900
31 Dec Statement of profit or loss	3,600	1 Sept Cash at bank	900
31 Dec Bal c/d	600	1 Dec Cash at bank	900
	4,200		4,200
		20X2	
		1 Jan Bal b/d	600

The \$600 credit balance brought down at 31 December 20X1 would be shown in the statement of financial position as a payable and described as **income received in advance** or **deferred income**.

It is probably best not to think in terms of accruals and prepayments when dealing with income. Think instead of whether the business is owed money at the end of the year (in which case the balance will be brought down on the debit side as an asset) or whether it has received some income in advance i.e. it effectively 'owes' it to the payer (in which case the balance would be brought down on the credit side as a liability).

ACTIVITY 6

Jane Bolt is preparing her accounts for the year-ending 31 December 20X6. She has two sources of miscellaneous income; franchising and rents. Prepare the 'T' accounts for these items and calculate the annual income to be claimed in the statement of profit or loss.

- (a) Franchising. \$56,364 of franchise income was received during the year. \$14,726 related to income earned in 20X5, and she estimates that there is a further \$28,645 receivable in respect of 20X6. (This was all received in January and February 20X7.)
- (b) Rent. Invoices totalling \$74,936 were issued and posted to the ledgers during the year. \$23,985 of these invoices relates to periods in 20X7. In 20X5 \$17,625 of invoices were issued in respect of rent periods in 20X6.

For a suggested answer, see the 'Answers' section at the end of the book.

6 PREPAYMENTS AND ACCRUALS IN THE FINANCIAL STATEMENTS

6.1 THE STATEMENT OF FINANCIAL POSITION

A balance on an income or expense account represents a prepayment or an accrual and will be shown in the statement of financial position with all other account balances. They appear under the headings current assets and current liabilities as they tend to be short term in nature.

ASSETS	\$
Current assets	
Inventories	x
Receivables	x
Prepayments	x
Cash at bank	x
Cash in hand	x
	—
	x
	—
EQUITY AND LIABILITIES	\$
Current liabilities	
Payables	x
Accruals and deferred income	x
	—
	x
	—

6.2 THE STATEMENT OF PROFIT OR LOSS

Accruals or prepayments of income and expenditure are included within the normal expense charges in the statement of profit or loss. An accrual has the effect of increasing the charge for an expense and a prepayment will reduce the charge. Similarly, income received in advance (or deferred income) will decrease the income credited to the statement of profit or loss and income due (or in arrears) will increase the amount credited.

CONCLUSION

At the end of each accounting period, adjustments must be made to ensure that the expense **incurred** in the period is charged to the statement of profit or loss.

Expenses incurred but not paid for are accruals. They are charged (debited) to the statement of profit or loss (increasing the relevant expense) and appear as a liability (a credit) in the statement of financial position.

Expenses paid for but not yet incurred are prepayments. They are credited to the statement of profit or loss, reducing expenses, and appear as an asset (a debit) in the statement of financial position.

Similarly, adjustments must be made to ensure that the income **due** in the period is credited to the statement of profit or loss:

- Income received in advance is removed (debited) from the statement of profit or loss and appears as a liability (a credit) in the statement of financial position.
- Income earned but not yet received or invoiced is credited to the statement of profit or loss, increasing revenue, and appears as an asset (a debit) in the statement of financial position. This is known as accrued income.

KEY TERMS

Accrual – an item of expense that has been incurred during the accounting period but has not been paid at the period end. Increases expenses in the statement of profit or loss and is shown as a liability in the statement of financial position.

Accruals concept – this states that the effects of transactions are recognised when they occur (rather than the period that cash is paid or received) and that they are reported in the accounting period to which they relate.

Accrued income – income which has been earned but not yet received at the accounting period end. Increases income in the statement of profit or loss and is shown as an asset in the statement of financial position.

Deferred income – income which has been received in advance of a service being provided. Decreases income in the statement of profit or loss and is shown as a liability in the statement of financial position.

Prepayment – an item of expense that has been paid during the current accounting period but will not be incurred until the next accounting period. Decreases expenses in the statement of profit or loss and is shown as an asset in the statement of financial position.

SELF TEST QUESTIONS

		<i>Paragraph</i>
1	Why is it important to include the expense incurred in the period in the statement of profit or loss, rather than the cash paid or the bills received?	1
2	What is an accrual?	2.1
3	What do we call an expense that has been paid in advance of the period to which it relates?	3.1
4	Explain how a single expense can have an accrued element and a prepaid element.	4.1
5	Is rental income received in advance brought down as a debit or a credit balance at the period end?	5.3
6	How are accruals and prepayments shown in the statement of financial position?	6.1
7	What effect will an accrual have on the amount of an expense included in the statement of profit or loss?	6.2

EXAM-STYLE QUESTIONS

- 1 Alan has an accounting year that ends on 30 June. He has paid rent of \$4,500 for the three months to 31 August. What accrual or prepayment is required when preparing accounts for the year ended 30 June?
 - A Accrual of \$1,500
 - B Accrual of \$3,000
 - C Prepayment of \$1,500
 - D Prepayment of \$3,000
- 2 Tina has an accounting year that ends on 31 March. She estimates that as at 31 March, her sales staff have earned sales commission of \$4,000 which has not yet been recorded in the accounts. How should the accrual or prepayment be accounted for when preparing the statement of profit or loss for the year to 31 March?
 - A Debit Accrual \$4,000, Credit Commissions \$4,000
 - B Debit Prepayment \$4,000, Credit Commissions \$4,000
 - C Debit Commissions \$4,000, Credit Prepayment \$4,000
 - D Debit Commissions \$4,000, Credit Accrual \$4,000

PRACTICE QUESTION

RATES AND RENTALS

- (a) A trader paid the following business rates bills during 20X7 and 20X8.

<i>Date of invoice</i>	<i>Amount</i>	<i>Relating to</i>
	\$	
8 March 20X7	160	3 months to 31 March 20X7
8 April 20X7	920	12 months to 31 March 20X8
10 April 20X8	1,260	12 months to 31 March 20X9

Required:

Write up the rates account for the year ended 31 December 20X7.

- (b) A farmer rents out a car park and field to a local organisation who wish to hold a car boot sale in January 20X4. It pays \$250 in advance, on 3 December 20X3. How would this transaction be treated in the 20X3 accounts of the farmer? Briefly explain the effect upon the 20X4 accounts.

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 11

IRRECOVERABLE DEBTS AND THE RECEIVABLES ALLOWANCE

Any business which offers credit to customers runs the risk of not being paid. A debt which almost certainly will not be paid is described as irrecoverable. A debt which may not be paid is doubtful.

This chapter explains the accounting treatment to write off an irrecoverable debt and make an allowance for a doubtful debt.

This chapter covers syllabus area D6.

CONTENTS

- 1 Sales and accounting concepts
 - 2 Irrecoverable debts
 - 3 Irrecoverable debts recovered
 - 4 Allowance for receivables
 - 5 Irrecoverable debts and the allowance for receivables in the final accounts
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- define, and distinguish between, irrecoverable debts and the receivables allowance
 - explain the need to make a receivables allowance
 - calculate the receivables allowance
 - account for the write off of irrecoverable debts
 - report the write off of irrecoverable debts in the final accounts
 - account for the allowance for receivables
 - account for the movement in the allowance for receivables in the final accounts
 - report the movement in the allowance for receivables in the final accounts
 - report the allowance for receivables in the final accounts.
-

1 SALES AND ACCOUNTING CONCEPTS

1.1 TRADE RECEIVABLES

Definition A **trade receivable** is a customer who owes money to the business as a result of buying goods or services on credit.

1.2 ACCRUALS CONCEPT

The accruals concept requires a sale to be included in the ledger accounts at the time that it is made. Credit sales are claimed when the sale is invoiced. The double entry at the invoice date will be:

Debit	Sales (receivables) ledger control account
Credit	Sales account

When the customer eventually settles the invoice the double entry will be:

Debit	Cash at bank account
Credit	Sales ledger control account

This then clears out the balance on the sales ledger control account.

1.3 PRUDENCE

It cannot be assumed that a credit customer will always pay. If a customer is declared bankrupt or disappears without trace before the amount is paid then it is unlikely that the amounts due will be paid. If a customer is having financial difficulties or is in liquidation then there may be some doubt as to his eventual ability to pay.

For this reason, prudence requires some adjustment to reflect the actual or potential loss arising from unpaid debts.

2 IRRECOVERABLE DEBTS

2.1 INTRODUCTION

Definition An **irrecoverable debt** traditionally referred to as a **bad debt** is a debt which is considered to be uncollectable.

If a debt is considered to be uncollectible then it is prudent to remove it totally from the accounts and to charge the amount as an expense to the statement of profit or loss.

The original sale remains in the accounts as this did actually take place. The debt, however, is removed and an expense is charged to the statement of profit or loss for irrecoverable debts.

The double entry is:

Debit	Irrecoverable debts expense account
Credit	Sales ledger control account

ACTIVITY 1

Abacus & Co have total receivables at the end of their accounting period of \$45,000. Included in this total is an amount of \$790 owed by James Scott who has been declared bankrupt and \$1,240 due from Peter Campbell who has disappeared.

Required:

Write up the sales ledger control account and irrecoverable debts expense account to reflect the writing-off of these two irrecoverable debts.

For a suggested answer, see the 'Answers' section at the end of the book.

3 IRRECOVERABLE DEBTS RECOVERED**3.1 INTRODUCTION**

Sometimes a receivable is written off as irrecoverable in one accounting period, and then the cash is received in a subsequent accounting period.

3.2 DOUBLE ENTRY

When a receivable is written off the double entry is:

Debit	Irrecoverable debts expense
Credit	Sales ledger control account

The full double entry for the cash being received from that receivable in a subsequent accounting period is:

Debit	Sales ledger control account (to reinstate the receivable that had been cancelled when the debt was written off)
Credit	Irrecoverable debts expense account (shown as a reduction in the irrecoverable debt expense in the statement of profit or loss)

and

Debit	Cash account
Credit	Sales ledger control account

Note that this is the usual double entry for cash received from a credit customer.

This double entry can be simplified to:

Debit	Cash account
Credit	Irrecoverable debts expense account

as the debit and the credit to the sales ledger control account cancel each other out.

ACTIVITY 2

Celia Jones prepared her accounts to 31 December each year. At 31 December 20X7 she had receivables of \$3,655. At that date she wrote off a debt from Lenny Smith of \$699. During the year to 31 December 20X8 Celia made credit sales of \$17,832 and received cash from her credit customers totalling \$16,936. She also received the \$699 from Lenny Smith that had been written off in 20X7.

Write up these transactions in Celia Jones's ledger accounts for 20X7 and 20X8.

For a suggested answer, see the 'Answers' section at the end of the book.

4 ALLOWANCE FOR RECEIVABLES

4.1 INTRODUCTION

Definition The **allowance for receivables** reduces the reported trade receivables balance to reflect uncertainties over collectability.

There may be some amounts due from credit customers where there is some cause for concern that not all amounts may be fully recovered but those amounts are not yet regarded as irrecoverable and written-off. Such amounts due may be considered to be 'doubtful' and an allowance is required recognise that such amounts may not be fully recovered.

Any amount regarded as 'doubtful' remains within receivables, but a separate 'allowance for receivables' ledger account is established. The allowance is a credit balance. This is netted off against trade receivables in the statement of financial position to give a net figure for receivables that are regarded as probably recoverable.

The allowance should consist only of specific amounts where, for example, the customer is known to be in financial difficulty, or is disputing an invoice, or payment is already overdue, or is refusing to pay for some other reason (e.g. a faulty product), and therefore the amount owing may not be fully recovered. Therefore, an allowance can only be established where there is some evidence or indication that a particular receivable may not be recovered in part or in full.

To account for an allowance against receivables, the accounting entries are as follows:

Dr Irrecoverable debts expense

Cr Allowance for receivables

Normally the allowance is assessed and adjusted at each accounting year-end. An increase in the allowance from one year-end to another is accounted for as follows:

Dr Irrecoverable debts expense

Cr Allowance for receivables

A decrease in the allowance from one year-end to another is accounted for as follows:

Dr Allowance for receivables

Cr Irrecoverable debts expense

4.2 EXAMPLE – SPECIFIC RECEIVABLES ALLOWANCE

At 1 January 20X6, John Stamp had trade receivables totalling \$68,000 and an allowance for receivables of \$3,400. During the year ended 31 December 20X6, John Stamp made credit sales of \$354,000 and collected cash from receivables of \$340,000.

At 31 December 20X6, John Stamp reviewed his receivables and identified \$2,000 which was to be accounted for as irrecoverable. In addition, at that date, he estimated that amounts totalling \$5,000 were overdue and that an allowance should be made for this amount.

Task

Prepare the trade receivables control account, irrecoverable debts account and allowance for receivables account for the year ended 31 December 20X6.

4.3 SOLUTION**Nominal (*general*) ledger accounts****Trade receivables ledger control account**

Date		\$	Date		\$
1 Jan X6	Balance b/d	68,000	31 Dec X6	Irrecoverable debt	2,000
	Sales day book	354,000		Cash rec'd	340,000
			31 Dec X6	Bal c/d	80,000
		<u>422,000</u>			<u>422,000</u>
1 Jan X7		80,000			

Allowance for receivables

Date		\$	Date		\$
			1 Jan X6	Balance b/d	3,400
31 Dec X6	Balance c/d	5,000	31 Dec X6	Irrecoverable debts	1,600
		<u>5,000</u>			<u>5,000</u>
			1 Jan X7	Balance b/d	5,000

Irrecoverable debts expense account

Date		\$	Date		\$
31 Dec X6	Receivables w/off	2,000			
	Allowance for receivables	1,600	31 Dec X6	P&L expense	3,600
		<u>3,600</u>			<u>3,600</u>

Note that the Change in the allowance for receivables required (from \$3,400 to \$5,000 = \$1,600) is accounted for as follows:

Dr Irrecoverable debts expense \$1,600

Cr Allowance for receivables \$1,600

4.4 EXAMPLE – SPECIFIC RECEIVABLES ALLOWANCE

Steven Saunders had receivables of \$11,200 at his year end of 31 May 20X4. Of these he decided to write off an amount of \$500 from Peter Foster as this customer has been declared bankrupt. In addition, there is some doubt as to whether or not an amount of \$214 due from Alan Evans be recovered as that is now overdue for payment.

At 1 June 20X3 Steven Saunders had a balance on his receivables allowance account of \$230.

4.5 SOLUTION

Step 1 Write off the irrecoverable debt of \$500 and remove it from receivables at 31 May 20X4.

Step 2 Calculate the change in the allowance for receivables required at 31 May 20X4.

	\$
Allowance required at 31 May 20X4 re Alan Evans	214
Allowance at 1 June 20X3	230
Reduction in allowance for the year	16

Step 3 Write up the allowance for receivables account putting in the opening balance of \$230 and the closing balance required of \$214. The decrease in allowance required of \$16 is credited to the irrecoverable debts expense account.

Nominal (*general*) ledger accounts

Allowance for receivables

20X3/4	\$	20X3/4	\$
31 May Irrecoverable debts expense	16	1 June Bal b/d	230
31 May Bal c/d	214		
			230
	230		
		20X4/X5	
		1 June Bal b/d	214

Irrecoverable debts expense

20X3/4	\$	20X3/4	\$
31 May Receivables	500	31 May Allowance for receivable	16
		31 May P & L a/c	484
	500		
			500

Conclusion When a specific allowance for receivables is to be made, the amounts remain due and are not removed from receivables, as in the case of an irrecoverable debt. Note that the change or movement in the allowance for receivables is accounted for in the irrecoverable debts account.

ACTIVITY 3

Andrew Lock is preparing his annual accounts as at 30 June 20X9. The balance on the sales ledger control account is \$78,635. Included in this figure are \$2,385 of customers whose debts are now deemed to be irrecoverable. Andrew has already written off \$2,634 of debts during the year. In addition, Andrew wishes to create an allowance for receivables for \$3,250 owed by certain customers known to be in financial difficulties. The opening allowance for receivables in July 20X8 was \$4,300.

Required:

- (a) Adjust the sales ledger control account in respect of the irrecoverable debts.
- (b) Calculate the change in the allowance for receivables required and prepare the T account for the allowance for receivables.
- (c) Prepare the statement of profit or loss expense account for irrecoverable debts.
- (d) Show the trade receivables balance that will appear in the statement of financial position at 30 June 20X9.

For a suggested answer, see the 'Answers' section at the end of the book.

5 IRRECOVERABLE DEBTS AND THE ALLOWANCE FOR RECEIVABLES IN THE FINAL ACCOUNTS

5.1 STATEMENT OF FINANCIAL POSITION

The net trade receivables balance is shown within current assets in the statement of financial position. The amount of the allowance may be shown in the statement of financial position reducing the gross receivables figure, however this is not required.

5.2 STATEMENT OF PROFIT OR LOSS

The irrecoverable debts expense account included in the statement of profit or loss will include:

- any irrecoverable debts written off
- any increase or decrease in the allowance for receivables.

6 CONTRAS

6.1 WHAT IS A CONTRA?

Sometimes a business, A, may purchase goods from another business, B, and may also sell goods to B. In this case, A would have a payable to B and also a receivable from B. These balances can be netted off against each other as the balances are owed to and from the same entity.

6.2 ACCOUNTING ENTRIES FOR A CONTRA

You need to reduce the receivable asset i.e. credit to reduce it. You also need to reduce the payable liability i.e. debit to reduce it.

Debit Payables ledger control account

Credit Receivables ledger control account

Remember also that the personal accounts in the payables' ledger and receivables' ledger should also be updated.

CONCLUSION

Irrecoverable debts are written off as soon as they are identified. The receivable is removed from the sales ledger control account, and an expense is charged to the statement of profit or loss. Irrecoverable debts can be written back if they are received at a future date.

An allowance is made in respect of receivables that are doubtful. The receivables remain in the books, but the trade receivables figure reported in the statement of financial position is reduced by the allowance. The increase or decrease in the allowance is charged or credited to the statement of profit or loss.

KEY TERMS

Allowance for receivables – an allowance made against receivables that probably will not be collectable; it is netted off the receivables balance in the statement of financial position. The allowance is made against specific receivables when there is objective evidence that they may not be fully recovered.

Irrecoverable debt – a receivable which is considered to be uncollectible.

Trade receivable – a customer who owes money to the business as a result of buying goods or services on credit.

SELF TEST QUESTIONS

		<i>Paragraph</i>
1	Which accounting concept governs the treatment of debts that are unlikely to be paid?	1.3
2	What is the double entry to write off an irrecoverable debt?	2.1
3	What is a doubtful debt?	4.1
4	Will an increase in the receivables allowance have any effect on the statement of profit or loss?	4.1
5	How is a receipt of cash in respect of a previously written off debt treated?	4.2

EXAM-STYLE QUESTIONS

- 1 During the year, Cathy wrote off \$1,400 of receivables as irrecoverable. At the end of the year, she decides to reduce the receivables allowance from \$3,000 to \$2,700. What is the total statement of profit or loss charge in respect of irrecoverable debts?
- A** \$300
- B** \$1,100
- C** \$1,400
- D** \$1,700
- 2 At 1 January, Helena had a balance on her receivables allowance account of \$7,900. During the year, she wrote off irrecoverable debts of \$3,600. At the end of the year, she decides to increase the receivables allowance by \$1,500. What accounting entries are needed to increase the allowance?
- A** Debit Irrecoverable debts \$1,500, Credit Allowance for receivables \$1,500
- B** Debit Irrecoverable debts \$5,100, Credit Allowance for receivables \$5,100
- C** Debit Allowance for receivables \$1,500, Credit Irrecoverable debts \$1,500
- D** Debit Allowance for receivables \$5,100, Credit Irrecoverable debts \$5,100
-

PRACTICE QUESTION 1

NEED FOR AN ALLOWANCE

A client has questioned the need for the receivables allowance which was included in his last accounts.

Required:

- (a) Briefly explain the accounting concept which is observed when a receivables allowance is made.
- (b) Explain the difference between the irrecoverable debts account and the allowance for receivables account.

PRACTICE QUESTION 2

ROBERT BEE

Robert Bee is reviewing his receivables at his year end, 30 June 20X4, which total \$18,793 before reflecting the following:

- (a) Irrecoverable debts of \$371 are to be written off.
- (b) \$120 has been received in respect of a debt which was written off in the previous year. No more money is expected to be received from this customer.
- (c) The receivables allowance at 1 July 20X3 comprised:

	\$
Specific allowances	
Richard Abrahams	171
Felix Jones	130
	301

The allowance against Richard Abraham's debt is no longer required as his debt is included in the \$371 irrecoverable debts to be written off in the period.

The allowance against Felix Jones' debt is to remain, and an allowance is required in respect of the debt of Edward Wallace which stands at \$620.

Required:

- (1) Open up a sales ledger control account and an irrecoverable debts expense account and record the transactions in (a) and (b) above.
- (2) Calculate the allowance for receivables required at 30 June 20X4.
- (3) Open up an allowance for receivables account and record the allowance at 30 June 20X4.
- (4) Show how the receivables of Robert Bee would be reported in his statement of financial position at 30 June 20X4.

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 12

CLOSING INVENTORY

The cost of buying inventory for resale is reported in the statement of profit or loss as 'cost of goods sold', and shown deducted from sales revenue to give gross profit.

Most businesses will not, however, sell all of the goods bought in a period; some will be carried forward as closing inventory to be sold in a subsequent accounting period.

This chapter explains how to value closing inventory and how it is reported in the final accounts, becoming the next period's opening inventory.

This chapter covers syllabus area D3.

CONTENTS

- 1 Introduction
 - 2 Valuation of inventory
 - 3 Methods of valuing inventory
 - 4 Accounting for inventory
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- explain the application of accounting concepts to inventory valuation
- explain the methods of valuing inventory when items have been purchased at different prices
- explain the impact of inventory valuation methods on profit and net assets
- calculate the value of closing inventory
- report closing inventory in the final accounts.

1 INTRODUCTION

In order to prepare a set of financial statements, inventory must be accounted for at the end of the period.

The definition of inventory may include any of:

- finished goods, being those goods that are ready for immediate resale
- work in progress, being part-manufactured goods
- raw materials

Only finished goods included in the syllabus for this paper. Included include goods which have been purchased in their 'ready for sale' state, e.g. a shop buys manufactured items ready for resale on to the consumer.

The process of accounting for inventory involves firstly valuing inventory and then posting the relevant journals to the general ledger to record it.

IAS 2 *Inventories* provides the rules for accounting for inventory.

2 VALUATION OF INVENTORY

2.1 INVENTORY AND THE PRUDENCE CONCEPT

The prudence concept requires that profits are not anticipated, but losses are accounted for as soon as they are known.

Inventory is therefore normally valued at cost, rather than selling price. If inventory were valued at selling price the business would be accounting for the profit on the sale of the goods before the sale was made.

However, if an item of inventory costs more than its expected selling price, a loss will be incurred. This loss must be recognised immediately.

For this reason, IAS 2 *Inventories* states that:

Inventory is valued in the statement of financial position at the lower of cost and net realisable value for each separate product or item.

2.2 THE COST OF INVENTORY

Definition All expenditure incurred in the normal course of business in bringing an item of **inventory** to its present location and condition, including the cost of purchase.

The cost of purchase includes:

- the purchase price
- transport and handling costs
- less: trade discounts.

Note that the discounts refer to trade discounts, that is, discounts for buying in bulk or being a regular customer. It does **not** refer to settlement discounts which are given when the invoice is paid.

2.3 NET REALISABLE VALUE

Definition **Net realisable value** is the selling price, less trade discounts, all further costs to completion and all marketing, selling and distribution costs. It can be shown as follows:

	\$	\$
Selling price		x
Less: Trade discounts	(x)	
All further costs to completion	(x)	
All marketing, selling and distribution costs	(x)	
	—	(x)
Net realisable value		xx

This definition ensures that all costs of selling the product are taken into account, such as discounts, marketing and delivery costs.

2.4 NET REALISABLE VALUE COMPARED TO COST

When following the rule of valuing inventory at the lower of cost and net realisable value, the valuation should normally be done on an item by item basis.

The comparison may, however, be made on a category by category basis where relevant.

2.5 EXAMPLE

Calculate the correct total valuation of the following items of inventory:

	<i>Cost</i>	<i>Notes</i>
Item A	\$2,000	Item to be sold for \$3,500. No other costs are anticipated.
Item B	\$500	Item to be sold for \$600. Selling costs will be \$50 and a 10% trade discount needs to be given on the selling price to sell the item.
Item C	\$1,500	Item will eventually be sold for \$2,500. Selling costs will be \$800.
Item D	\$1,000	Item that will sell for \$1,500. Selling costs are \$600.

2.6 SOLUTION

	<i>Cost</i>	<i>NRV calculation</i>	<i>NRV</i>	<i>Valuation</i>
			\$	\$
Item A	\$2,000	selling price	3,500	2,000
Item B	\$500	\$600 – \$60 – \$50	490	490
Item C	\$1,500	\$2,500 – \$800	1,700	1,500
Item D	\$1,000	\$1,500 – \$600	900	900
	—		—	—
Total	\$5,000		\$6,590	\$4,890
	—		—	—

ACTIVITY 1

Charles Smart runs a sweet shop. His annual inventory count in December revealed a few seasonal items of inventory which would have to be reduced in price in the new year. These were as follows:

<i>Range</i>	<i>Number of boxes</i>	<i>Cost per box</i>	<i>Normal retail price</i>	<i>Expected selling price</i>
Venus	35	\$5.30	\$8	\$4
Earth	54	\$5.70	\$9	\$6
Saturn	85	\$7.80	\$11	\$8
Pluto	47	\$9.90	\$14	\$8
Jupiter	72	\$8.50	\$10	\$8

Calculate the statement of financial position value of his closing inventory.

For a suggested answer, see the 'Answers' section at the end of the book.

3 METHODS OF VALUING INVENTORY

3.1 INTRODUCTION

Ideally, an exact cost would be found for every single item of inventory and every single item sold. In some cases where items have a specific identifying serial number this is possible. However, in general, most businesses have a storeroom full of identical products all purchased at different times at different costs.

In the absence of a specific cost for each item, the business has to make an assumption as to the movement of inventory, e.g. the first goods bought are the first to be sold (known as FIFO – first in first out)

Conclusion The rule is that whichever method is used, it must give a good approximation to the true cost of the inventory.

IAS 2 assumes that either 'FIFO' or an average cost will be used to value inventory. These are described below.

3.2 FIFO (FIRST IN FIRST OUT)

Definition **FIFO** is a method of estimating cost which assumes that inventory is used or sold in the same order that it is purchased by the business. Therefore, the inventory left at the year-end is the most recently purchased inventory.

3.3 EXAMPLE

XYZ purchases and sells the following items in January:

		<i>Units</i>	<i>\$ per unit</i>
1 Jan	purchases	100	\$5
3 Jan	sells	10	
15 Jan	purchases	200	\$6
30 Jan	sells	170	

What is the value of closing inventory and what is the value of the units sold?

3.4 SOLUTION

FIFO assumes that the entire inventory purchased on 1 January is sold first, so that the items sold on 30 January are assumed to be the 90 units left from the 1 January purchase, plus 80 of the units purchased on 15 January.

Therefore the inventory left on 31 January represents the remaining 120 units purchased on 15 January and is valued at:

$$120 \text{ units @ } \$6 = \$720$$

The value of the goods sold (cost of sales) is:

$$(100 \text{ units @ } \$5) + (80 \text{ units @ } \$6) = \$980$$

3.5 AVCO (AVERAGE COST)

Definition **AVCO** is a method of estimating cost which assumes that all inventory purchased is mixed together. This assumption would be true for liquid inventory. Goods sold and inventory unsold are valued at an average of all the purchase prices.

There are two possible methods of calculating AVCO:

- at the end of the period, use a simple average of the purchase prices paid during the period (periodic weighted average or simple weighted average)
- throughout the period, weight purchase prices according to the quantities bought at each price (continuous weighted average).

3.6 EXAMPLE

Using the same data as the activity above.

		<i>Units</i>	<i>\$ per unit</i>
1 Jan	purchases	100	\$5
3 Jan	sells	10	
15 Jan	purchases	200	\$6
30 Jan	sells	170	

What is the value of closing inventory and what is the cost of sales?

3.7 SOLUTION: PERIODIC WEIGHTED AVERAGE

		<i>Units</i>	<i>\$ per unit</i>	<i>Value</i>
				\$
1 Jan	purchases	100	5	500
15 Jan	purchases	200	6	1,200
	Total	300	5.67	1,700

From the table above:

The balance left at 31 January is valued at \$680 (120 units × 5.67)

The cost of sales is \$1,021 (180 units × 5.67)

3.8 SOLUTION: CONTINUOUS WEIGHTED AVERAGE

		<i>Units</i>		<i>\$ per unit</i>	<i>Value</i>
					<i>\$</i>
1 Jan	purchases	100		5	500
3 Jan	sells	(10)	@ avge $\frac{500}{100}$	5	(50)
	balance	90		5	450
15 Jan	purchases	200		6	1,200
	balance	290			1,650
				$\frac{1,650}{290}$	
30 Jan	sells	(170)	@ avge	5.69	(967)
	balance	120		5.69	683

From the table above:

The balance left at 31 January is valued at \$683.

The cost of sales is \$(50 + 967) \$1,017.

3.9 THE IMPACT OF INVENTORY VALUATION METHODS ON PROFIT AND NET ASSETS

The results of the above activities can be summarised as follows:

<i>Method</i>	<i>Inventory value</i>	<i>Cost of sales value</i>
	<i>\$</i>	<i>\$</i>
FIFO	720	980
AVCO (periodic)	680	1,021
AVCO (continuous)	683	1,017

In times of rising prices, as in these activities, the FIFO method will result in a higher inventory valuation than AVCO. This results in:

- lower cost of sales and therefore higher reported profit
- a higher net asset value in the statement of financial position
- The following year we would have a higher opening inventory in the cost of sales, hence would reduce profit.

If prices were falling, the opposite would be true.

ACTIVITY 2

Charles Smart runs a sweet shop. At the year-end (December) he had 236 boxes of Mercury Bars on hand. These had been purchased over the previous few months as follows:

<i>Date of purchase</i>	<i>Number of boxes</i>	<i>Price per box</i>
5 November	53	\$35
23 November	57	\$36
3 December	78	\$38
17 December	99	\$40
31 December	65	\$34

Calculate the cost of his closing inventory using the FIFO method.

For a suggested answer, see the 'Answers' section at the end of the book.

4 ACCOUNTING FOR INVENTORY

4.1 THE ACCRUALS CONCEPT

The accruals concept requires that the cost of inventory is charged to the statement of profit or loss in the period in which it is sold.

The cost of goods sold does not normally equal the cost of goods purchased in the period and therefore period end adjustments should be made to the cost of purchases for:

- items of inventory bought in a previous period and sold in this one (opening inventory)
- items of inventory bought in this period but remaining unsold at the period end (closing inventory).

4.2 WHEN THERE IS CLOSING INVENTORY ONLY

During the year, purchases are recorded in the general ledger using the following double entry assuming the purchase is made on credit and ignoring sales tax:

Debit Purchases account

Credit Purchase ledger control account

with the cost of goods purchased

The purchases account records all the goods bought which are available for sale during the year. If all the goods are indeed sold, leaving no closing inventory, then the cost of goods sold in the statement of profit or loss will simply be the balance on the purchases account.

However, if there are any closing inventories at the year end, an adjustment will be required to achieve two aims:

- (1) The inventory value should be deducted from purchases to give the cost of goods actually sold in the statement of profit or loss.
- (2) The unsold goods should be shown in the statement of financial position as a current asset, inventory.

The necessary adjustment requires two ledger accounts. The first records the asset for display in the statement of financial position, whilst the second records the inventory value(s) to adjust purchases in the statement of profit or loss.

Definition The double entry to record the closing inventory adjustment is:

Debit Inventory account (in the statement of financial position)

Credit Inventory account (in the statement of profit or loss)

The statement of profit or loss will show the cost of goods sold as follows:

	\$	\$
Sales		x
Less: Cost of goods sold		
Purchases	x	
Less: Closing inventory	(x)	
		(x)
Gross profit		x

ACTIVITY 3

Reflect the following transactions in T account format and prepare an extract from the statement of profit or loss (assume a sales figure of \$180,000).

Year 1 – purchases paid from bank account	\$90,000
Year 1 – closing inventory at valuation	\$20,000

For a suggested answer, see the 'Answers' section at the end of the book.

4.3 WHEN THERE IS OPENING AND CLOSING INVENTORY

The section above dealt with closing inventory only. This will be the case where a business is at the end of its first year of trading. At any other year end there will be both opening inventory (last year's closing inventory) and the current year's closing inventory.

The opening inventory and purchases in the year represent what the business has available to sell in the year. This figure is then reduced by the value of the closing inventory to find out what the business has actually sold.

The accounting entries necessary to reflect the above are as follows:

Debit Purchases account

Credit Purchase ledger control account/Cash at bank account

with the cost of goods purchased.

Opening inventory

As the cost of inventory brought forward increases the cost of goods available for sale, this is written off to the statement of profit or loss. In doing so, it is added to the value of goods purchased.

Debit Opening inventory account (in the statement of profit or loss)

Credit Inventory account (in the statement of financial position)

Closing inventory

Closing inventory is recorded as follows:

Debit Inventory account (in the statement of financial position)

Credit Closing inventory account (in the statement of profit or loss)

Having recorded the entries in the relevant T accounts, it will then be necessary to show the resulting cost of goods sold in the statement of profit or loss.

The format of the cost of goods sold calculation in the statement of profit or loss is:

	\$	\$
Sales		x
Less: Cost of goods sold		
Opening inventory	x	
Purchases	x	
	—	
	x	
Less: Closing inventory	(x)	
	—	(x)
Gross profit		xx
		—

To get to this point, the T accounts are balanced off and the balances are slotted into the relevant position.

ACTIVITY 4

Reflect the following transactions in T account format and prepare an extract from the statement of profit or loss (assume a sales figure of \$150,000).

Year 2 – opening inventory (year 1 closing) \$20,000

Year 2 – purchases on credit \$110,000

Year 2 – closing inventory at valuation \$40,000

For a suggested answer, see the 'Answers' section at the end of the book.

4.4 REPORTING INVENTORY IN THE STATEMENT OF FINANCIAL POSITION

Inventory is reported as a current asset, above receivables and cash.

	\$	\$
Current assets		
Inventory		x
Receivables	x	
Less: allowance	(x)	
	—	x
Prepayments		x
Cash at bank		x
Cash in hand		x
		—
		x
		—

Conclusion Opening and closing inventory have opposite effects on the financial statements, and this is reflected by 'mirror image' double entry:

	<i>Opening inventory</i>	<i>Closing inventory</i>
SFP (BS) assets	<i>remove: credit</i>	<i>add: debit</i>
Profits	<i>reduce: debit</i>	<i>increase: credit</i>

4.5 THE IMPACT OF WRONG VALUATION OF INVENTORY ON THE FINANCIAL STATEMENTS

If closing inventory is valued wrongly, it will impact both the statement of financial position and statement of profit or loss. If inventory is undervalued:

- Net assets will be understated
- Cost of sales will be overstated, and so profit understated.

If inventory is overvalued, the reverse will be true.

CONCLUSION

Inventory is valued at the lower of cost and net realisable value. This is an application of the accounting concept of prudence. Cost is determined using the FIFO method or an average cost method.

Inventory purchased during the year is charged to the statement of profit or loss as 'cost of sales'.

Inventory on hand at the year-end is carried forward to the following period. The cost of sales for the year is reduced (credited) with the year-end inventory value, and the asset of closing inventory is recognised as a current asset (a debit) in the statement of financial position.

The closing inventory for one year will be charged to cost of sales as 'opening inventory' in the following year, thereby allocating its cost to the period in which it is sold.

KEY TERMS

Average cost (AVCO) – a method of estimating cost which assumes that all inventory purchased or produced and, therefore all costs, are mixed together. Goods sold and inventory unsold are valued at an average of all the purchase prices.

Cost of inventory – all expenditure incurred in the normal course of business in bringing an item of inventory to its present location and condition, including the cost of purchase.

Finished goods – goods purchased and ready for immediate resale.

First-in-first-out (FIFO) – a method of estimating cost which assumes that inventory is used or sold in the same order that it is purchased or produced by the business. Therefore, the inventory that is left at the end of the year is the most recently purchased or produced inventory.

Net realisable value – selling price, less trade discounts, all further costs to completion and all marketing, selling and distribution costs.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 What are the three main categories of inventory?	1
2 What is the rule that applies the prudence concept in the valuation of inventory?	2.1
3 What is the definition of the cost of inventory?	2.2
4 What sort of expenses may be included in the cost of purchase of inventory?	2.2
5 Give two acceptable methods for valuing inventory.	3
6 In general, when are accounting entries made in respect of inventory?	4.1
7 What are the accounting entries for inventory?	4.3

EXAM-STYLE QUESTIONS

- 1 Cilla has closing inventory of \$5,600 at 30 June. How should this closing inventory be accounted for at 30 June?
 - A Debit Inventory \$5,600, Credit Statement of profit or loss \$5,600
 - B Debit Inventory \$5,600, Credit Statement of financial position \$5,600
 - C Debit Statement of profit or loss \$5,600, Credit Inventory \$5,600
 - D Debit Statement of financial position \$5,600, Credit Statement of profit or loss \$5,600

- 2** John had opening inventory of \$7,000 at 1 July. How should this opening inventory be accounted for at 30 June?
- A** Debit Inventory \$7,000, Credit Statement of profit or loss \$7,000
- B** Debit Inventory \$7,000, Credit Statement of financial position \$7,000
- C** Debit Statement of profit or loss \$7,000, Credit Inventory \$7,000
- D** Debit Statement of financial position \$7,000, Credit Statement of profit or loss \$7,000
-

PRACTICE QUESTION

VALUING INVENTORY

(a) Valuing inventory

Briefly explain:

- (a) why selling price is not used to value inventory
- (b) the relevant accounting concept used when valuing inventory
- (c) how the valuation of inventory affects reported profit.

(b) Cost or NRV?

What is the correct inventory valuation for the following items?

	<i>Cost</i>	<i>Selling costs</i>	<i>Selling price</i>	<i>NRV</i>	<i>Valuation</i>
	\$	\$	\$	\$	\$
Item 1	1,000	50	1,500		
Item 2	2,000	600	2,400		
Item 3	3,000	1,000	3,800		

(c) Valuation of inventory

Sam started her business on 1 January and provides details of the following transactions:

- 1 January purchases 5 units at \$4 per unit
- 3 January purchases 5 units at \$5 per unit
- 5 January purchases 5 units at \$5.50 per unit

She then sold 7 units for \$10 per unit on 6 January.

Calculate the value of the closing inventory at the end of the first week of trading using both the FIFO and AVCO methods.

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 13

PROVISIONS AND LIABILITIES

The most common liabilities at this stage of your studies are trade payables, accruals and bank overdrafts. These items are all classified as current liabilities because they fall due within 12 months. Liabilities that fall due after 12 months, such as some bank loans, are classified as non-current liabilities. These liabilities arise out of the normal activities of the business and will be identified and recorded by the normal bookkeeping system.

Provisions are less clear-cut as they rely on estimates and judgements made by management. This chapter includes guidance on how to estimate, record and report provisions.

This chapter covers syllabus area D6.

CONTENTS

- 1 Provisions and liabilities
 - 2 Accounting for liabilities
 - 3 Accounting for provisions
 - 4 Reporting liabilities and provisions in the final accounts
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- explain the nature of provisions and liabilities
- distinguish between a current liability, a non-current liability and a provision
- calculate provisions and liabilities
- account for provisions and liabilities
- account for movements in provisions and liabilities
- report provisions, current liabilities and non-current liabilities in the final accounts.

1 PROVISIONS AND LIABILITIES

1.1 LIABILITIES

Definition A **liability** is an obligation to transfer economic benefits as a result of past transactions or events.

In more simple terms, a liability is something that a business owes to someone else. It is usually, but not always, settled in cash. It is something that the business cannot avoid.

1.2 DISTINGUISHING BETWEEN CURRENT LIABILITIES AND NON-CURRENT LIABILITIES

Definition A **current liability** is an item that is due to be paid within one year.

Definition A **non-current liability** is an item that is due to be paid after more than one year.

Current liabilities and non-current liabilities are grouped together and reported separately in the statement of financial position.

ACTIVITY 1

Which of these items are normally classed as non-current liabilities?

- (a) Accruals
- (b) Bank loan
- (c) Bank overdraft
- (d) Trade payables

For a suggested answer, see the 'Answers' section at the end of the book.

1.3 PROVISIONS

If a business has a trade payable or a bank overdraft, its management know that there is a liability. Management also knows the amount that the business will have to pay and when it will fall due.

Sometimes the position is less clear. For example, suppose a business sells faulty goods to a customer and the customer makes a claim for damages. The case will not be heard for several months and it is probable but not certain that the business will be liable. In addition, the actual amount payable depends on negotiations between the lawyers.

In this situation, the business 'provides for' the probable liability. It recognises a provision for the estimated amount of the damages. In other words, double entries are posted to record the probable outflow of economic benefits.

Definition A **provision** is a liability of **uncertain** timing or amount.

Uncertainty is what distinguishes a provision from another type of liability (such as a trade payable or an accrued expense).

2 ACCOUNTING FOR LIABILITIES

2.1 INTRODUCTION

Where a transaction results in a liability, there is usually a debit to an expense account and a credit to a liability account, for example:

Debit	Purchases
Credit	Purchase ledger control account

When the business settles a liability, the transaction reduces both assets and liabilities, for example:

Debit	Purchase ledger control account
Credit	Cash at bank

Accounting for trade payables and accruals has been covered in detail earlier in this text.

2.2 LOANS

A loan is often repaid in instalments, with each instalment consisting partly of capital repayment and partly of an interest payment. The capital element reduces the balance of the loan in the statement of financial position, whilst the interest element is charged to the statement of profit or loss.

Example

Heliotrope Garden Supplies borrows \$30,000 from a bank. It repays the loan in monthly instalments of \$350, of which \$50 is interest. Show the first two months' monthly payments.

Loan			
	\$		\$
		Bank (initial loan)	30,000
Bank: Month 1 capital element of repayment	300		
Bank: Month 2 capital element of repayment	300		
Balance c/d	29,400		
	<u>30,000</u>		<u>30,000</u>
Bank			
	\$		\$
Loan	30,000	Loan: First instalment	350
		Loan: Second instalment	350

Interest expense	
	\$
Bank: Month 1 interest element of repayment	50
Bank: Month 2 interest element of repayment	50

ACTIVITY 2

On 1 January 20X6 Barrel took out a \$15,000 loan. The loan was repayable in eight instalments of \$2,100 commencing on 1 April 20X6 and finishing on 1 January 20X8.

\$225 of each instalment relates to interest.

Required:

Write up the Loan Account, Interest Expense Account and Bank Account for 20X6. Balance off the Loan Account at the end of the year.

For a suggested answer, see the 'Answers' section at the end of the book.

3 ACCOUNTING FOR PROVISIONS

3.1 INTRODUCTION

IAS 37 *Provisions, Contingent Liabilities and Contingent assets* is the accounting standard relevant to accounting for provisions. It provides strict rules as to:

- when a provision should be recognised
- how a provision should be measured
- how provisions should be disclosed in the accounts.

3.2 WHEN TO RECOGNISE A PROVISION

We have seen that a provision is a **liability** of uncertain timing or amount. A liability is an obligation to transfer economic benefits and therefore a provision cannot be recognised unless the business has an **obligation** to incur expenditure.

The prudence concept states that losses and expenses should be recognised as soon as they are anticipated. However, a business cannot recognise provisions for every potential expense or liability that it might face in the future. This would result in final accounts that overstated liabilities and understated profits. The information provided to users would not be reliable.

A provision should only be recognised (included in the financial statements) when:

- an entity has a present obligation as a result of a past event; and
- it is probable (more likely than not) that a transfer of economic benefits will be required to settle the obligation; and
- a reliable estimate can be made of the amount.

An obligation can be **legal**, in other words it arises as the result of a contract, or legislation or other operation of law, or **constructive**.

Definition A **constructive obligation** is an obligation that derives from an entity's actions where:

- (a) an entity has indicated to others that it will accept certain responsibilities (for example, because it has publicly stated this or because its past actions suggest that it will do certain things in future); and
- (b) as a result, the entity has created a valid expectation on the part of those other parties that it will discharge those responsibilities.

Example

Prudence owns a shop. She has a policy of refunding purchases by dissatisfied customers, even though she is not legally obliged to do so. This policy is well known to all of her customers.

As a result of her past actions, Prudence has a constructive obligation to make refunds to customers in future. At each year end, she recognises a provision for estimated future refunds.

ACTIVITY 3

In each of these cases, state whether a provision should be recognised in the accounts for the year ended 30 June 20X4. Explain your reasons.

- (a) Strong and Co manufactures and sells several products. It decides that it will rationalise its operations to concentrate on its most profitable product. This will mean closing one of its factories and making some staff redundant. It estimates that the cost of carrying out this plan will be \$150,000. The owner of the business announces this plan to the workforce and to the local press on 25 June 20X4.
- (b) Bright Windows is involved in a legal dispute with one of its customers. The customer has been injured, possibly as the result of faulty products sold by Bright Windows, and is claiming damages which have been estimated at \$100,000. The owner of Bright Windows has been advised that there is a 40% chance that the claim will succeed. The case will not be heard until early in 20X5.

For a suggested answer, see the 'Answers' section at the end of the book.

3.3 MEASURING PROVISIONS

The amount recognised as a provision should be the **best estimate** of the expenditure required to settle the present obligation at the reporting date.

Example

Prudence has a policy of making refunds to dissatisfied customers if they return their goods within 90 days of purchase. She is preparing her accounts for the year ended 31 December 20X4. During the last three months of the year she has made sales of \$95,000. In theory it is possible that she might have to refund all these sales. However, she knows that in practice only about 3% of the goods sold actually turn out to be faulty. She recognises a provision for \$2,850 ($95,000 \times 3\%$).

Example

A business is legally obliged to clear up a derelict and polluted site. The cost will depend on how polluted the site is. There is a 60% chance of it being very polluted, which will cost \$120,000 to clean-up. There is a 25% chance of there being an average amount of pollution, costing \$100,000 to clear up, and a 15% chance that the pollution will be mild and will only cost \$60,000 to clear up.

The business will recognise a provision for \$106,000:

$$(\$120,000 \times 60\%) + (\$100,000 \times 25\%) + (\$60,000 \times 15\%) = \$106,000$$

3.4 THE ACCOUNTING ENTRIES

When a provision is recognised, the double entry is:

Debit	Expense (in the statement of profit or loss)
Credit	Provision (in the statement of financial position)

When the expenditure is actually incurred (usually in the following year), the double entry is:

Debit	Provision
Credit	Cash at bank

Where the amount of a provision is revised at a year end, only the **movement** in the provision is accounted for:

An **increase in the provision** from one reporting date to the next will result in an additional charge to the statement of profit or loss:

Debit	Expense (in the statement of profit or loss)
Credit	Provision (in the statement of financial position)

A **decrease in the provision** will result in a credit to the statement of profit or loss:

Debit	Provision (in the statement of financial position)
Credit	Expense (in the statement of profit or loss)

3.5 EXAMPLE

Bright Windows is involved in a legal dispute with one of its customers, who is claiming damages which have been estimated at \$100,000. Although its lawyers have previously advised that the claim had only a 40% chance of succeeding, there were new developments in the case shortly before the business's year end of 30 June 20X4. The owner of Bright Windows has now been advised that the claim will probably succeed. A provision for the damages of \$100,000 is recognised in the accounts for the year ended 30 June 20X4.

Claim

	\$		\$
Provision for claim	100,000	Transfer to Statement of profit or loss	100,000
	<u> </u>		<u> </u>

Provision for claim

	\$		\$
Balance c/d	100,000	Claim	100,000
	<u> </u>		<u> </u>
		Balance b/d	100,000

At 30 June 20X5, the case has still not been heard. However, the lawyers now advise that the amount payable is likely to be only \$75,000. The provision is reduced by \$25,000 and this amount is credited to the statement of profit or loss.

Claim

	\$		\$
Transfer to Statement of profit or loss	25,000	Provision for claim	25,000
	<u> </u>		<u> </u>

Provision for claim

	\$		\$
Claim	25,000	Balance b/d	100,000
Balance c/d	75,000		<u> </u>
	<u> </u>		<u> </u>
	100,000		100,000
	<u> </u>		<u> </u>
		Balance b/d	75,000

During July 20X5 the case is settled and Bright Windows pays the damages, now agreed at \$75,000.

Provision for claim

	\$		\$
Cash at bank	75,000	Balance b/d	75,000
	<u> </u>		<u> </u>

4 REPORTING LIABILITIES AND PROVISIONS IN THE FINAL ACCOUNTS

4.1 THE STATEMENT OF FINANCIAL POSITION

The extract from the statement of financial position below shows the way in which liabilities and provisions are reported.

EQUITY AND LIABILITIES	\$	\$
Equity		XX
Non-current liabilities		
Loan	x	
Long-term provisions	x	
	—	
		XX
Current liabilities		
Trade payables	x	
Accruals and deferred income	x	
Short-term provisions	x	
	—	
		XX
		—
		XXX
		—

A provision may be a current liability or a non-current liability, depending on when it is expected to fall due. Provisions are normally disclosed separately from other liabilities, particularly if they are significant compared with other payables.

4.2 PROVISIONS IN THE STATEMENT OF PROFIT OR LOSS

When a provision is recognised, the other side of the entry is a debit to the statement of profit or loss. In other words, there is an expense item.

An increase in a provision results in an expense to the statement of profit or loss, while a reduction in a provision results in a gain. A gain such as this is normally reported as a negative expense or sundry income, rather than as revenue (similar to the treatment of the profit on disposal of plant or machinery).

The expense category will depend upon the subject of the provision.

CONCLUSION

Liabilities are classified between current (due within 12 months) and non-current (due after 12 months).

Provisions are recognised when a business has an obligation to make a payment to a third party, but where the timing or amount of that payment is uncertain. It is the uncertainty that distinguishes a provision from an ordinary liability.

The amount of the provision will be the 'best estimate' possible; it is usually based on past experience of similar events.

A provision may be classified as current or non-current.

KEY TERMS

Constructive obligation – an obligation that arises because an entity has indicated, and so created an expectation, that it will meet obligations that are not legally obliged of it.

Current liability – an item that is due to be paid within one year.

Legal obligation – an obligation that is the result of a contract, legislation or other operation of law.

Liability – an obligation to transfer economic benefits as a result of past transactions or events.

Non-current liability – an item that is due to be paid after more than one year.

Provision – a liability of uncertain timing or amount which should be recognised where:

- there is a present obligation (legal or constructive), and
- an outflow of economic benefits is probable, and
- a reliable estimate can be made of the amount.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 Define liabilities.	1.1
2 Define a provision.	1.3
3 When should a provision be recognised?	3.2
4 How should a provision be measured?	3.3
5 What is the double entry to recognise a provision?	3.4

EXAM-STYLE QUESTIONS

- 1** In January 20X4, Sarah took out a bank loan of \$30,000. This is to be repaid in three equal annual instalments. The first instalment is due for payment on 1 January 20X5.
- How will the outstanding balance be reported in Sarah's statement of financial position at 30 September 20X4?
- A** \$10,000 as a current liability and \$20,000 as a non-current liability
- B** \$20,000 as a current liability and \$10,000 as a non-current liability
- C** \$30,000 as a current liability
- D** \$30,000 as a non-current liability
- 2** Tom manufactures scaffolding and ladders. In July 20X5 he received a letter from a lawyer representing a customer who claims that he has been seriously injured while using faulty scaffolding supplied by Tom's business. Tom has offered to pay \$1,000 immediately but the customer has started legal proceedings and is claiming damages of \$10,000. The court case is unlikely to take place before June 20X6.
- Tom's lawyer has advised that the claim is almost certain to succeed and that he will probably be required to pay \$15,000.
- What amount should be provided for in respect of the claim in Tom's accounts for the year ended 31 December 20X5?
- A** \$nil
- B** \$4,000
- C** \$10,000
- D** \$15,000

PRACTICE QUESTION

KAREN JONES

Karen Jones runs a business that supplies machine parts. The business guarantees to replace items that become faulty within one year from the date of sale. Each year there are several claims as a result of the guarantee. However, the chance that any one item will need to be replaced is remote.

Required:

- (a) Identify the accounting concept or concepts involved.
- (b) Explain how Karen should account for the potential liability and how this will affect her final accounts.

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 14

THE EXTENDED TRIAL BALANCE

In an earlier chapter a trial balance, extracted from the general ledger was used to draft a simple statement of profit or loss and statement of financial position.

In practice, adjustments, such as depreciation, accruals and prepayments, irrecoverable debts, closing inventory, and provisions need to be made before the financial statements are produced.

These can be incorporated into an Extended Trial Balance (ETB). This is a worksheet which takes an initial trial balance, makes all the year end adjustments and then produces a draft statement of financial position and statement of profit or loss.

This chapter covers syllabus area G1.

CONTENTS

- 1 The extended trial balance
 - 2 Period end adjustments
 - 3 Accruals and prepayments
 - 4 Inventory and the extended trial balance
 - 5 Completing the extended trial balance
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- record the correction of errors on the ETB
- record post-trial balance adjustments on the ETB
- extend and complete the ETB.

1 THE EXTENDED TRIAL BALANCE

1.1 INTRODUCTION

Definition **Extended trial balance (ETB)** – a worksheet which takes a trial balance, makes year end adjustments and produces a draft statement of financial position and statement of profit or loss.

1.2 WHAT AN EXTENDED TRIAL BALANCE LOOKS LIKE

An extended trial balance (ETB) can be seen below, with an explanation of the layout.

Extended trial balance at 31 December 20X2

Account	Balances per ledger (Trial balance)		Ref	Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr \$	Cr \$		Dr \$	Cr \$	\$	\$	Dr \$	Cr \$	Dr \$	Cr \$
Accrued/prepaid											
Totals											
Profit for year											

- Account** – the first column is used to list all the general ledger accounts.
- Trial balance** – the next section containing two columns is used to list the balances on all the general ledger accounts. The balance on an account is put into either the debit column or the credit column as usual.
- Ref and adjustments** – these sections are used to record any period-end adjustments to the trial balance made via journals. The journal reference is put into the 'ref' column to enable the figures in the adjustment section to be traced back to source documentation. Note that the 'ref' column will be omitted from future examples. A double entry is performed for each adjustment using the debit and credit columns.
- Accrued and prepaid** – these record the accruals and prepayments needed to adjust the expense transactions already recorded in the ledger accounts and on the trial balance. The individual statement of profit or loss account entries are recorded in these columns, and the posting to the statement of financial position is done in total.
- Statement of profit or loss** – account balances that belong in the statement of profit or loss will be carried across to one of these columns.
- Statement of financial position** – account balances that belong in the statement of financial position will be carried across to one of these columns.

It is of vital importance that the debit column total and credit column total of the trial balance and adjustments sections balance before moving on to the next sections.

ACTIVITY 1

Take a piece of A4 paper, turn it sideways and prepare a proforma extended trial balance from memory. Do not put in any account names yet.

For a suggested answer, see the 'Answers' section at the end of the book.

1.3 FROM TRIAL BALANCE TO EXTENDED TRIAL BALANCE

The starting point for any extended trial balance is the trial balance. A trial balance is extracted from the general ledger in the normal way. If the double entry has been correct, then the trial balance will balance and can be inserted directly into the extended trial balance. (If the double entry has broken down somewhere, then the trial balance will not be in balance and a suspense account will be needed. This was covered in an earlier chapter.)

EXAMPLE

The following balances have been extracted from the books of ABC.

	<i>Dr</i>	<i>Cr</i>
	\$	\$
Capital account		108,000
Opening inventory	92,880	
Drawings	33,720	
Rent	13,840	
Purchases	484,272	
Sales		683,920
Electricity	2,000	
Building at cost	80,940	
Building accumulated depreciation		35,982
Bank balance	2,538	
Trade receivables(Sales ledger control account)	45,500	
Trade payables(Purchase ledger control account)		40,440
Insurance	3,072	
Wages and salaries	109,580	
	868,342	868,342

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		108,000								
Opening inventory	92,880									
Drawings	33,720									
Rent	13,840									
Purchases	484,272									
Sales		683,920								
Electricity	2,000									
Building cost	80,940									
Building accumulated depreciation		35,982								
Bank balance	2,538									
Trade receivables	45,500									
Trade payables		40,440								
Insurance	3,072									
Wages and salaries	109,580									
	_____	_____								
	868,342	868,342								
	_____	_____								

ACTIVITY 2

The following balances have been extracted from the books of XYZ, a bathroom supplier.

	Dr	Cr
	\$	\$
Capital account		12,000
Opening inventory	15,000	
Sales		100,000
Purchases	40,000	
Rent and rates	10,000	
Drawings	12,000	
Electricity	2,000	
Motor van cost	8,000	
Motor van accumulated depreciation		4,000
Bank balance	4,500	
Trade receivables(Sales ledger control account)	20,000	
Trade payables(Purchase ledger control account)		21,000
Sundry expenses	500	
Wages and salaries	25,000	
	_____	_____
	137,000	137,000
	_____	_____

Set up an extended trial balance for XYZ, using the proforma you created in Activity 1.

For a suggested answer, see the 'Answers' section at the end of the book.

2 PERIOD END ADJUSTMENTS

2.1 INTRODUCTION

Definition **Period end adjustments** are accounting adjustments to the trial balance required for the preparation of the period end financial accounts. Such adjustments include:

- accruals and prepayments (section 3)
- closing inventory (section 4)
- irrecoverable debts written off (chapter 11)
- movements on the allowance for receivables (chapter 11)
- depreciation (chapter 7)
- disposals of non-current assets (chapter 7)
- correction of errors (chapters 3 and 8)
- the creation of provisions (chapter 13)

All the period end adjustments likely to arise have already been covered in previous chapters. The purpose of this section is to demonstrate how those adjustments are shown on the extended trial balance.

In most cases the required journal entry, as discussed in previous chapters, is entered into the adjustments columns, with the debit and credit entries being against the appropriate general ledger account.

Where the required account is not already showing in the trial balance, e.g. depreciation expense, this is added underneath all other general ledger accounts as an extra row.

EXAMPLE

Using the proforma in the previous example (section 1.3) for ABC, the following adjustments are required:

- (a) a depreciation charge for the year of \$15,000 and
- (b) writing off an irrecoverable debt for \$2,000.

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		108,000								
Opening inventory	92,880									
Drawings	33,720									
Rent	13,840									
Purchases	484,272									
Sales		683,920								
Electricity	2,000									
Building cost	80,940									
Building accumulated depreciation		35,982		15,000 (a)						
Bank balance	2,538									
Trade receivables	45,500			2,000 (b)						
Trade payables		40,440								
Insurance	3,072									
Wages and salaries	109,580									
Depreciation expense			15,000 (a)							
Irrecoverable debts			2,000 (b)							
Closing inventory										
Accrued/prepaid										
	_____	_____	_____	_____						
	868,342	868,342	17,000	17,000						
	_____	_____	_____	_____						

ACTIVITY 3

Using the example extended trial balance in Activity 2 earlier, produce the journals and make the following adjustments to the trial balance:

- a depreciation charge for the year of \$500;
- writing off an irrecoverable debt for \$1,000; and
- correction for drawings of \$200 incorrectly included in sundry expenses.

For a suggested answer, see the 'Answers' section at the end of the book.

3 ACCRUALS AND PREPAYMENTS

3.1 INTRODUCTION

Although they are also period end adjustments, accruals and prepayments are often shown as separate adjustments with their own columns in the extended trial balance, as seen in our proforma. Their treatment warrants separate attention only because it is slightly different in the extended trial balance compared with the ledger accounts. If anything, it is more straightforward.

3.2 HOW TO ENTER ACCRUALS INTO THE EXTENDED TRIAL BALANCE

When an expense accrual is calculated, it is entered in the expense ledger account by carrying down a balance. The balance c/d (above the total) has the effect of increasing the expense taken to the statement of profit or loss. The credit balance c/d (below the total) is the accrual shown in the statement of financial position.

The double entry achieved by this process is:

Debit Statement of profit or loss expense account

Credit Accrual in the statement of financial position

In the extended trial balance the individual accruals are entered once in the 'accrued' column against the relevant expense account.

When 'extending' the trial balance (TB) figures into the final financial statements columns, this entry is used twice, to achieve the above double entry:

- (a) first, it is added to the existing expense account balance in the TB to increase the charge to the statement of profit or loss; and
- (b) secondly, it is added into the total at the bottom of the 'accrued' column, which will represent total accruals for the period, and which will be shown as a liability in the statement of financial position columns.

EXAMPLE

Continue with ABC (section 2.1), the following adjustment is required:

(c) an accrual for \$200 for rent

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		108,000								
Opening inventory	92,880									
Drawings	33,720									
Rent	13,840				200 (c)					
Purchases	484,272									
Sales		683,920								
Electricity	2,000									
Building cost	80,940									
Building accumulated depreciation		35,982		15,000 (a)						
Bank balance	2,538									
Trade receivables	45,500			2,000 (b)						
Trade payables		40,440								
Insurance	3,072									
Wages and salaries	109,580									
Depreciation expense			15,000(a)							
Irrecoverable debts			2,000(b)							
Closing inventory										
Accrued										
Prepaid										
	_____	_____	_____	_____	_____					
	868,342	868,342	17,000	17,000	200					
	_____	_____	_____	_____	_____					

ACTIVITY 4

Continuing with the example in Activity 3, the following accruals are needed at the year end:

Electricity	\$150
Sundry expenses	\$50

Show how these would be entered into the accrued column in your extended trial balance. Do not yet extend the trial balance into the financial statements columns.

For a suggested answer, see the 'Answers' section at the end of the book.

3.3 HOW TO ENTER PREPAYMENTS INTO THE EXTENDED TRIAL BALANCE

A prepayment on an expense account comprises a debit balance b/d which is the prepayment shown in the statement of financial position and a credit entry for the balance c/d (above the total) which has the effect of reducing the expense taken to the statement of profit or loss. Again, this may be represented by a double entry:

Debit Prepayment in the statement of financial position

Credit Statement of profit or loss expense

In the ETB, the prepayments are listed individually in the 'prepaid' column against the relevant expense account.

Again, when 'extending' the trial balance (TB) figures into the final financial statements columns, this entry is used twice, to achieve the above double entry:

- first, it is deducted from the existing expense ledger account balance in the TB to reduce the charge to the statement of profit or loss; and
- secondly, it is added into the total at the bottom of the 'prepaid' column, which will represent total prepayments for the period, and which will appear as an asset in the statement of financial position columns.

EXAMPLE

Continue with ABC (section 3.2), the following adjustment is required:

(d) a prepayment for insurance of \$100

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		108,000								
Opening inventory	92,880									
Drawings	33,720									
Rent	13,840				200 (c)					
Purchases	484,272									
Sales		683,920								
Electricity	2,000									
Building cost	80,940									
Building accumulated depreciation		35,982		15,000 (a)						
Bank balance	2,538									
Trade receivables	45,500			2,000 (b)						
Trade payables		40,440								
Insurance	3,072					100 (d)				
Wages and salaries	109,580									
Depreciation expense			15,000 (a)							
Irrecoverable debts			2,000 (b)							
Closing inventory										
Accrued										
Prepaid										
Totals	868,342	868,342	17,000	17,000	200	100				

ACTIVITY 5

Carrying on Activity 4, a prepayment of rent of \$800 is required. Show how this would be entered into the 'prepaid' column in the ETB.

For a suggested answer, see the 'Answers' section at the end of the book.

4 INVENTORY AND THE EXTENDED TRIAL BALANCE

4.1 INTRODUCTION

In the chapter on inventory it was shown that the period end adjustment to account for closing inventory is:

Debit inventory account (statement of financial position)

Credit inventory account (statement of profit or loss)

An entry is also required to transfer last year's closing inventory, now forming this year's opening inventory to the statement of profit or loss:

Debit inventory (statement of profit or loss)

Credit inventory (statement of financial position)

This section considers both entries in the ETB.

4.2 ENTERING CLOSING INVENTORY INTO THE EXTENDED TRIAL BALANCE

A new account line will be introduced, representing the *closing* inventory. The closing inventory value will then be entered twice, once in each of the debit and credit adjustment columns, against this line.

These two figures will be used as follows:

- (a) debit – recorded as an asset in the statement of financial position columns
- (b) credit – record in the statement of profit or loss to decrease the cost of sales expense.

EXAMPLE

Continue with ABC (section 3.3), the following adjustment is required:

(e) closing inventory is valued at \$94,500

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position)	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		108,000								
Opening inventory	92,880									
Drawings	33,720									
Rent	13,840				200 (c)					
Purchases	484,272									
Sales		683,920								
Electricity	2,000									
Building cost	80,940									
Building accumulated depreciation		35,982		15,000 (a)						
Bank balance	2,538									
Trade receivables	45,500			2,000 (b)						
Trade payables		40,440								
Insurance	3,072					100 (d)				
Wages and salaries	109,580									
Depreciation expense			15,000 (a)							
Irrecoverable debts			2,000 (b)							
Closing inventory			94,500 (e)	94,500 (e)						
Accrued										
Prepaid										
	—	—	—	—	—	—				
Totals	868,342	868,342	111,500	111,500	200	100				
	—	—	—	—	—	—				

ACTIVITY 6

XYZ's closing inventory was valued at \$17,000. Show how this is recorded in the adjustments column of the ETB.

For a suggested answer, see the 'Answers' section at the end of the book.

4.3 OPENING INVENTORY AND THE EXTENDED TRIAL BALANCE

For extended trial balance purposes, the opening inventory is cleared directly to the statement of profit or loss columns when the trial balance is extended later. No adjustment is necessary at this stage.

5 COMPLETING THE EXTENDED TRIAL BALANCE

5.1 INTRODUCTION

The final step in preparing an extended trial balance is to complete the statement of profit or loss and statement of financial position columns.

5.2 EXTENDING THE ACCOUNT BALANCES ACROSS THE TRIAL BALANCE

Each account balance should be carried across, taking account of any entries in the adjustments columns, to the statement of profit or loss / statement of financial position columns.

This process requires:

- (a) knowledge of which accounts go into the statement of profit or loss and which accounts go into the statement of financial position
- (b) careful addition (casting).

5.3 TOTAL ACCRUALS AND PREPAYMENTS

In cross-casting the individual expense lines, the effect of accruals and prepayments on the statement of profit or loss charge is accounted for. The totals now need to be shown as liabilities and assets in the statement of financial position columns.

To do this

- 1 Subtotal the accrued and prepaid columns.
- 2 Show the total of the accrued column in the statement of financial position credit column in a new row 'accruals'.
- 3 Show the total of the prepaid column in the statement of financial position debit column in a new row 'prepayments'.

Work through the following activity carefully to ensure you understand where the figures in the final 4 columns came from and why they are in these columns.

ACTIVITY 7

Starting with the trial balance and adjustments in Activity 6, extend each account into the appropriate financial statement columns, showing how accruals and prepayments are carried to the statement of financial position columns.

For a suggested answer, see the 'Answers' section at the end of the book.

5.4 FINDING THE PROFIT OR LOSS FOR THE PERIOD

Having completed the statement of profit or loss and statement of financial position columns, the final step of the extended trial balance is to find the profit or loss for the period.

The steps for doing this are as follows:

Step 1 Add up the credit column of the statement of profit or loss section.

Step 2 Add up the debit column of the statement of profit or loss section.

Step 3 Take the debit total away from the credit total.

If there are more credits than debits, a profit has been made, whereas an excess of debits over credits means a loss has been incurred.

Step 4 Insert the figure to make the debit and credit balances equal in the 'profit for year' box (under the totals row).

Step 5 If a profit has been made (more credits) a balancing figure will be required in the debit column. A loss (more debits) would go as a balancing figure on the credit side.

Step 6 Cast the two statement of financial position columns (including total accruals and prepayments).

Step 7 Insert the same profit (or loss) figure as a balancing figure in the statement of financial position. However, this time the profit figure goes as a balancing figure on the credit side whereas a loss would have to sit on the debit side.

Do not worry unduly about which side the profit figure or loss figure goes on. If the double entry has been maintained it will be obvious where the resultant figure lives.

EXAMPLE

Complete the trial balance for ABC from (section 4.2), by calculating the profit or loss, using the result to balance the statement of profit or loss and statement of financial position columns.

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		108,000								108,000
Opening inventory	92,880						92,880			
Drawings	33,720								33,720	
Rent	13,840				200 (c)		14,040			
Purchases	484,272						484,272			
Sales		683,920						683,920		
Electricity	2,000						2,000			
Building cost	80,940								80,940	
Building accumulated depreciation		35,982		15,000 (a)						50,982
Bank balance	2,538								2,538	
Trade receivables	45,500			2,000 (b)					43,500	
Trade payables		40,440								40,440
Insurance	3,072					100 (d)	2,972			
Wages and salaries	109,580						109,580			
Depreciation expense			15,000 (a)				15,000			
Irrecoverable debts			2,000 (b)				2,000			
Closing inventory			94,500 (e)	94,500 (e)				94,500	94,500	
Accrued										200
Prepaid									100	
Profit for year							55,676			55,676
	_____	_____	_____	_____	_____	_____	_____	_____	_____	_____
Totals	868,342	868,342	111,500	111,500	200	100	778,420	778,420	255,298	255,298
	_____	_____	_____	_____	_____	_____	_____	_____	_____	_____

ACTIVITY 8

Complete the extended trial balance from Activity 7 by calculating the profit or loss, using the result to balance the statement of profit or loss and statement of financial position columns.

For a suggested answer, see the 'Answers' section at the end of the book.

CONCLUSION

The extended trial balance is a summary of every transaction that has taken place during the year (as extracted from the general ledger) and every period end adjustment required to prepare the financial statements.

It is produced as a first step in preparing the financial statements.

By making sure that the ETB columns balance, mistakes can be identified and corrected before the financial statements are prepared.

KEY TERMS

Extended trial balance – a worksheet which takes a trial balance, makes all the year end adjustments and produces a draft statement of financial position and statement of profit or loss.

Period end adjustments – adjustments made after the initial trial balance is extracted, but before the financial statements are prepared. Include depreciation, accruals and prepayments.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 What is an extended trial balance?	1.1
2 What are the six main headings on the extended trial balance?	1.2
3 Give four examples of period end adjustments that can be made on the extended trial balance.	2.1
4 How is a double entry in respect of an accrual achieved if only a single entry is made on the extended trial balance?	3.2
5 How is closing inventory adjusted for on the extended trial balance?	4.2
6 How would you deduce the profit or loss for the period from the extended trial balance?	5.4

PRACTICE QUESTION

ELMDALE

The trial balance of Elmdale at 31.12.X8 is as follows:

	<i>Dr</i> \$	<i>Cr</i> \$
Capital account		7,802
Inventory	2,700	
Sales		21,417
Purchases	9,856	
Rates	1,490	
Drawings	4,206	
Electricity	379	
Freehold shop	7,605	
Freehold shop accumulated depreciation		500
Receivables	2,742	
Allowance for receivables		300
Payables		3,617
Cash at bank		1,212
Cash in hand	66	
Sundry expenses	2,100	
Wages and salaries	3,704	
	<u>34,848</u>	<u>34,848</u>

In addition, Elmdale provides the following information:

- (a) Closing inventory has been valued for accounts purposes at \$3,060.
- (b) Rates includes a payment of \$1,260 made on 10.4.X8 in respect of the year to 31.3.X9.
- (c) An electricity bill amounting to \$132 in respect of the quarter to 28.2.X9 was paid on 7.3.X9.
- (d) The depreciation charge for the year is \$190.
- (e) Irrecoverable debts of \$200 are to be written off and an allowance for receivables of \$127 is required as at 31 December 20X8.
- (f) On 10 January, Elmdale received notice that a customer was seeking compensation for injury suffered whilst using a product purchased from Elmdale in 20X8. Elmdale's lawyers assessed it was probable that compensation of \$750 would be payable. This should be accounted for as a sundry expense.
- (g) On 31 December 20X8 Elmdale purchased new shop fittings at a cost of \$500 on credit. This transaction has not yet been accounted for by Elmdale. Ignore any depreciation that may be required on this item.

Prepare a statement of profit or loss for the year ended 31 December 20X8 and a statement of financial position at that date, using an extended trial balance worksheet. A blank worksheet is provided below.

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account										
Inventory										
Sales										
Purchases										
Rates										
Drawings										
Electricity										
Freehold shop										
Freehold shop depreciation										
Receivables										
Allowance for receivables										
Payables										
Cash at bank										
Cash in hand										
Sundry expenses										
Wages and salaries										
Depreciation										
Bad debts										
Inventory										
Shop fittings										
Provision										
Accruals/prepayments										
Profit/loss for the year										

For a suggested answer, see the 'Answers' section at the end of the book.

Chapter 15

SOLE TRADER ACCOUNTS

In the previous chapter the extended trial balance was produced.

In this chapter the financial statements in the accepted format for a sole trader are produced, with or without the use of an ETB.

After the final accounts have been prepared, the ledger accounts for the old year need to be closed off, and the opening balances for the new year brought forward. This process is covered at the end of this chapter.

This chapter covers syllabus areas G1, G2.

CONTENTS

- 1 Technique for producing a set of final accounts from a trial balance
 - 2 Preparing an extended trial balance and accounts
 - 3 Closing the books at the year end
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- close off ledger accounts for preparation of final accounts
- prepare the final accounts (statement of profit or loss and statement of financial position) for a sole trader
- record the profit or loss for the period and drawings in the capital account
- prepare the opening trial balance for the next accounting period.

1 TECHNIQUE FOR PRODUCING A SET OF FINAL ACCOUNTS FROM A TRIAL BALANCE

Not all organisations prepare an extended trial balance; some prepare accounts directly from an adjusted initial trial balance. This often happens in exam questions.

In exam questions, moving from a trial balance to the statement of financial position and statement of profit or loss generally involves three steps.

- Step 1** Working out the double entries for the adjustments.
- Step 2** Working out the effect of these entries on the balances in the trial balance.
- Step 3** Slotting the adjusted balances into the statement of financial position and statement of profit or loss.

The following example illustrates how this is achieved.

Example

The trial balance of Jason and Co at 31 May 20X6 is as follows:

	\$	\$
Capital		15,258
Drawings	5,970	
Purchases	73,010	
Returns inwards	1,076	
Returns outwards		3,720
Discounts		965
Credit sales		96,520
Cash sales		30,296
Customs duty	11,760	
Carriage inwards	2,930	
Carriage outwards	1,762	
Salesman's commission	711	
Salesman's salary	3,970	
Office salaries	9,077	
Bank charges	980	
Loan interest	450	
Light and heat	2,653	
Sundry expenses	2,100	
Rent and rates	7,315	
Printing and postage	2,103	
Advertising	1,044	
Irrecoverable debts	1,791	
Allowance for receivables		437
Inventory	7,650	
Receivables	10,760	
Payables		7,411
Cash at bank	2,534	
Cash in hand	75	
New delivery van (less trade-in)	2,200	
Motor expenses	986	

Furniture and equipment:		
Cost	8,000	
Depreciation at 1 June 20X5		2,400
Old delivery van:		
Cost	2,100	
Depreciation at 1 June 20X5		1,000
Loan account at 9% (repayable in five years)		5,000
	163,007	163,007

You ascertain the following information:

- (a) Closing inventory has been valued for accounts purposes at \$8,490.
- (b) The motor van was sold on 1 June 20X5 and traded in against the cost of a new van. The trade-in price was \$1,000 and the cost of the new van was \$3,200.
- (c) Depreciation on the straight line basis is to be charged at the following annual rates:

Motor vans	20%
Furniture and equipment	10%
- (d) An allowance for receivables of \$538 is required as at 31 May 20X6.

Required:

- 1 Prepare ledger accounts to record the transactions listed in (a) to (d) above.
- 2 Prepare a statement of profit or loss for the year ended 31 May 20X6 and a statement of financial position as at 31 May 20X6.

Solution

Step 1 Work through the adjustments.

T accounts have been asked for: these will help you to work out the double entries and find the new balances on accounts.

(a) Closing inventory

Inventory account (statement of profit or loss)			
	\$		\$
Transfer from statement of financial position	7,650	Statement of profit or loss (opening inventory)	7,650
Statement of profit or loss (closing inventory)	8,490	Accounting adjustment	8,490
	16,140		16,140

Inventory account (statement of financial position)

	\$		\$
Per trial balance	7,650	Transfer to inventory	
Accounting adjustment	8,490	(statement of profit or loss)	7,650
		Balance c/d	8,490
	<u>16,140</u>		<u>16,140</u>
Balance b/d (closing inventory)	8,490		

(b) Van disposal**Van cost account**

	\$		\$
Old van per trial balance	2,100	Disposal account	2,100
New van – cash paid (per trial balance)	2,200	Balance c/d	3,200
Part exchange value (disposal proceeds)	1,000		
	<u>5,300</u>		<u>5,300</u>
Balance b/d	3,200		

Van accumulated depreciation account

	\$		\$
Disposal account	1,000	Old van per trial balance	1,000

Old van disposal account

	\$		\$
Van cost account	2,100	Accumulated depreciation	1,000
		Part exchange value	1,000
		Loss on disposal (bal fig)	100
	<u>2,100</u>		<u>2,100</u>

Note that the part exchange value is given in the question as \$1,000.

(c) Depreciation

Calculation

Motor van ($3,200 \times 20\%$) \$640

Furniture and equipment ($8,000 \times 10\%$) \$800

Double entry**Van accumulated depreciation account**

	\$		\$
Disposal account	1,000	Old van per trial balance	1,000
Balance c/d	640	Depreciation expense a/c	640
	<u>1,640</u>		<u>1,640</u>
		Balance b/d	640

Furniture and equipment accumulated depreciation account

	\$		\$
Balance c/d	3,200	Per trial balance b/d	2,400
	<u>3,200</u>	Depreciation expense a/c	800
			<u>3,200</u>
		Balance b/d	3,200

Depreciation expense account

	\$		\$
Van	640	Statement of profit or loss	1,440
Furniture & equipment	800		<u>1,440</u>
	<u>1,440</u>		

(d) Allowance for receivables**Calculation of allowance**

Closing receivables per trial balance = \$10,760

Allowance required = \$538

Increase in allowance required (538 – 437) = \$101 to P&L

Double entry**Allowance for Receivables account**

	\$		\$
Required bal c/d (see working above)	538	Per trial balance	437
	<u>538</u>	Statement of profit or loss (bal fig)	101
			<u>538</u>
		Balance b/d	538

Irrecoverable debts expense account

	\$		\$
Per trial balance	1,791	Statement of profit or loss	1,892
Receivables allowance	101		
	<u>1,892</u>		<u>1,892</u>

Step 2 Produce the adjusted trial balance from the original trial balance and your journals and workings. It is important to keep neat workings to support your figures.

Adjusted trial balance

	\$	\$
Capital		15,258
Drawings	5,970	
Purchases	73,010	
Returns inwards	1,076	
Returns outwards		3,720
Discounts		965
Credit sales		96,520
Cash sales		30,296
Customs duty	11,760	
Carriage inwards	2,930	
Carriage outwards	1,762	
Salesman's commission	711	
Salesman's salary	3,970	
Office salaries	9,077	
Bank charges	980	
Loan interest	450	
Light and heat	2,653	
Sundry expenses	2,100	
Rent and rates	7,315	
Printing and postage	2,103	
Advertising	1,044	
Irrecoverable debts (1,791 + 101)	1,892	
Allowance for receivables (437 + 101)		538
Inventory (statement of financial position)	8,490	
Receivables	10,760	
Payables		7,411
Cash at bank	2,534	
Cash in hand	75	
Motor expenses	986	
Furniture and equipment:		
Cost	8,000	
Depreciation at 31 May 20X6		3,200
Delivery van:		
Cost	3,200	
Depreciation at 31 May 20X6		640
Loan account at 9% (repayable in five years)		5,000
Inventory (IS)	7,650	8,490
Depreciation expense:		
Van	640	
Equipment	800	
Loss on sale of van	100	
	<u>172,038</u>	<u>172,038</u>

Step 3 Prepare the statement of profit or loss and statement of financial position.

Statement of profit or loss for the year ended 31 May 20X6

	\$	\$
Sales:		
Credit		96,520
Cash		30,296
		126,816
Less: sales returns		(1,076)
		125,740
Opening inventory	7,650	
Purchases	73,010	
Less: purchase returns	(3,720)	
	76,940	
Carriage inwards	2,930	
Customs duty	11,760	
	91,630	
Closing inventory	(8,490)	
Cost of sales		(83,140)
Gross profit		42,600
Discount received		965
		43,565
Less: Expenses		
Depreciation:		
Van	640	
Equipment	800	
Loss on disposal	100	
Irrecoverable debts	1,892	
Light and heat	2,653	
Rent and rates	7,315	
Carriage outwards	1,762	
Salesman's commission	711	
Salesman's salary	3,970	
Office salaries	9,077	
Bank charges	980	
Loan interest	450	
Sundry expenses	2,100	
Printing and postage	2,103	
Advertising	1,044	
Motor expenses	986	
		(36,583)
Net profit		6,982

Statement of financial position at 31 May 20X6

	<i>Cost</i>	<i>Acc dep'n</i>	
ASSETS	\$	\$	\$
Non-current assets:			
Motor van	3,200	640	2,560
Furniture and equipment	8,000	3,200	4,800
	<u>11,200</u>	<u>3,840</u>	<u>7,360</u>
Current assets:			
Inventory		8,490	
Receivables	10,760		
Less: Allowance for receivables	(538)		
	<u></u>	<u>10,222</u>	
Cash at bank		2,534	
Cash in hand		75	
		<u></u>	<u>21,321</u>
Total assets			<u>28,681</u>
CAPITAL AND LIABILITIES			
Capital account:			
Balance at 1 June 20X5			15,258
Net profit for the year			6,982
			<u>22,240</u>
Drawings			(5,970)
			<u>16,270</u>
Non-current liability: Loan			5,000
Current liabilities:			
Trade payables			7,411
			<u>28,681</u>
Total capital and liabilities			<u>28,681</u>

Notes on presentation

Cost of sales includes all expenditure incurred in bringing the goods to their present location and condition. This includes:

- (i) purchase cost including import duty
- (ii) carriage inwards and freight costs.

In contrast carriage outwards is treated as an expense of selling and is included with all the other expenses. Note that both carriage inwards and carriage outwards are debits (i.e. expenses).

Definition **Carriage inwards** is the cost of bringing in raw materials from suppliers. **Carriage outwards** is the delivery charge incurred in supplying goods to customers.

'Returns' often causes difficulties. Returns inwards are the same as sales returns. Since sales are credits, sales returns are debits. For presentation purposes, sales returns are deducted from sales. In the same way purchase returns are deducted from purchases.

The discount balance in the trial balance is a credit balance. Remember that expenses are debit balances while items of income are credit balances. Therefore the credit balance must be discount received.

In examinations requiring longer written answers, the answers should precede the workings, which should clearly be labelled as such. The idea behind this is that the examiner only wishes to look at the workings if errors have been made – hopefully he will not need to.

If the workings are numbered then a reference to the working can be made in the final accounts.

2 PREPARING AN EXTENDED TRIAL BALANCE AND ACCOUNTS

This section follows the accounts production process from the extraction of the trial balance through to the preparation of the statement of profit or loss and the statement of financial position. Work through the guidance and the solution carefully and then attempt the Activity.

2.1 EXAMPLE

Jill is a sole trader running a business making and selling traditional jewellery both locally and abroad. She has just finished her second year of trade, and the trial balance for this year is noted below. Her year-end is 30 June 20X8.

Jill: Trial balance for the year ended 30 June 20X8

	<i>Dr</i>	<i>Cr</i>
	\$	\$
Sales		685,000
Inventory 1 July 20X7	43,250	
Purchases	327,500	
Non-current assets at cost		
Equipment	97,600	
Motor vehicles	43,400	
Non-current assets: Accumulated depreciation: 1 July 20X7		
Equipment		14,280
Motor vehicles		13,500
Rent	71,898	
Salaries and wages	130,000	
Carriage inwards	3,456	
Carriage outwards	10,000	
Postage and stationery	11,892	
Trade receivables	65,200	
Trade payables		28,478

Insurance	9,312	
Irrecoverable debts written off during the year	4,825	
Petty cash	1,190	
Sundry expenditure	28,017	
Capital account as at 1 July 20X7		100,000
Drawings	134,601	
10% Loan repayable in 20Y6		200,000
Loan interest paid	15,000	
Bank balance	44,117	
	1,041,258	1,041,258

Notes

- (a) Inventory was counted on 30 June 20X8 and valued at \$32,900.
- (b) Equipment is depreciated at 10% per annum on a straight line basis.
- (c) Motor vehicles are depreciated at 25% pa on a reducing balance basis.
- (d) Although only \$15,000 interest has been paid (as shown on the trial balance), a full year's interest at 10% should be charged in the accounts.
- (e) Insurance includes \$3,504 paid on certain items covering the year to 30 November 20X8.
- (f) The rent for the year was \$15,000 per quarter. However, the landlord was accidentally over paid just before the year end.
- (g) On 15 June 20X8 Jill paid a \$900 electricity bill for the quarter to 30 April 20X8 and a \$456 water bill for the quarter ending 31 May 20X8. These expenses are included in sundry expenditure. Jill has not paid or accounted for any electricity or water consumed since then.

Required:

- (a) Prepare an extended trial balance for Jill for the year-ended 30 June 20X8.
- (b) Prepare a statement of profit or loss, statement of financial position and capital account for Jill for the year ended 30 June 20X8 in a format suitable for presentation to the proprietor, bank manager and other interested parties.

Use the formats provided for you.

Guidance

- 1 Copy the balances from the trial-balance given to you in the question onto the extended-trial-balance work-sheet supplied overleaf. Make sure that you have extracted the numbers correctly. This can be done by adding up the columns and making sure that they still balance.
- 2 Work through the information in the **Notes** methodically, noting any adjustments required in the appropriate column of the ETB work sheet.

- (a) *Inventory was counted on 30 June 20X8 and valued at \$32,900.*

This adjustment will normally be shown in the adjustment columns of the ETB. Remember that the debit (asset) will be taken to the statement of financial position and that the credit reduces cost of sales in the statement of profit or loss.

- (b) *Equipment is depreciated at 10% per annum on a straight line basis.*

Calculate the charge and then enter it onto the ETB.

The charge will be a debit in the adjustments column and will be taken to the statement of profit or loss. The work sheet has already allocated a line for this charge.

The credit will increase the accumulated depreciation in the statement of financial position. The TB already shows the brought forward balance. This year's credit will be entered into the adjustments column of the TB on the same line as the brought forward balance.

- (c) *Motor vehicles are depreciated at 25% pa on a reducing balance basis.*

As above. Because this is to be calculated on the reducing balance basis make sure that you work out the brought forward carrying value before calculating the charge.

- (d) *Although only \$15,000 interest has been paid (as recorded in the general ledger and on the TB), a full year's interest at 10% should be charged in the accounts.*

An accrual is probably needed here. Calculate the annual charge and compare this to what has been recorded in the trial balance. If the recorded amount is less than the full annual charge then the difference must be accrued for.

The ETB records accrued charges to the statement of profit or loss on a line by line basis. In this case the accrual will be entered into the accruals column on the loan interest line, increasing the charge taken to the statement of profit or loss.

The statement of financial position entry will be dealt with later. See Guidance 4.

- (e) *Insurance includes \$3,504 paid on certain items covering the year to 30 November 20X8.*

Insurance is normally paid in advance, giving rise to prepayments at the year-end.

In this case work out how much of the \$3,504 mentioned relates to the period after the year-end (i.e. July through to November).

The ETB records prepayments on a line by line basis against the relevant statement of profit or loss charge. In this case the prepayment will be entered into the prepayments column on the insurance line, reducing the charge taken to the statement of profit or loss.

The statement of financial position entry will be dealt with later. See Guidance 5.

- (f) *The rent for the year was \$15,000 per quarter. However, the landlord was accidentally over paid just before the year end.*

This will also create a prepayment. Work out the correct annual charge and then put through a prepayment to counteract the overpayment.

- (g) *On 15 June 20X8 Jill paid a \$900 electricity bill for the quarter to 30 April 20X8 and a \$456 water bill for the quarter ending 31 May 20X8. These expenses are included in sundry expenditure. Jill has not paid or accounted for any electricity or water consumed since then.*

In both cases the unpaid expense up to the year end must be accrued for. The amount will have to be estimated on the basis of past consumption.

The electricity bill is \$900 per quarter, and there were two months between the date of the last bill and the year-end. Therefore the business has probably consumed about \$600 since the last invoice and this will have to be accrued for.

The water bill is \$456 per quarter. One month elapsed between the last bill and the year-end and so an accrual of \$152 will be needed (\$456/3 months).

The total accrual for these two items will be \$752 which will be included in sundry expenditure.

- 3 Add up the adjustment columns. The debit and credit columns should be equal. If they aren't make sure that you have entered the adjustments on the correct sides and for the correct amounts.
- 4 Add up the accruals column. The total will be taken to the credit side of the statement of financial position. (The charge will be taken to the statement of profit or loss on a line by line basis.)
- 5 Add up the prepayments column. The total will be taken to the debit side of the statement of financial position. (The credit entry will be taken to the statement of profit or loss on a line by line basis.)
- 6 Extend the trial balance by adding the lines across and entering the totals into the correct columns in the statement of profit or loss and statement of financial position sections of the ETB.

Remember that capital and drawings belong in the statement of financial position.

- 7 Balance off the statement of profit or loss columns.
 - (a) If the balancing figure is on the debit side than the business has made a profit. (Sales and other credits exceed expenses.) The other half of this entry will be a credit to capital in the statement of financial position.
 - (b) If the balancing figure is on the credit side than the business has made a loss. (Expenses are greater than the sales and other credits.) The other half of this entry will be a debit to capital in the statement of financial position.

If the statement of profit or loss and statement of financial position columns do not balance each other out then you have made a mistake when extending the trial balance. Go back and check stage six.

You should have calculated a profit of \$53,121.

- 8 Extract the figures from the statement of profit or loss and statement of financial position sections of the ETB and enter them into the financial statements using the formats provided.

Extended trial balance for Jill at 30 June 20X8

	<i>Trial balance</i>		<i>Adjustments</i>		<i>Accruals</i>	<i>Prepaid</i>	<i>Statement of profit or loss</i>		<i>Statement of financial position</i>	
	<i>Dr</i>	<i>Cr</i>	<i>Dr</i>	<i>Cr</i>	<i>Dr to</i>	<i>Cr to</i>	<i>Dr</i>	<i>Cr</i>	<i>Dr</i>	<i>Cr</i>
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Sales										
Opening inventory										
Purchases										
Equipment at cost										
Depreciation										
Vehicles at cost										
Depreciation										
Rent										
Salaries and wages										
Carriage inwards										
Carriage outwards										
Postage and stationery										
Trade receivables										
Trade payables										
Insurance										
Irrecoverable debts written off										
Petty cash										
Sundry expenditure										
Opening Capital										
Drawings										
10% Loan (20Y6)										
Loan interest paid										
Bank Balance										
Closing inventory (SFP, IS)										
Dep'n charge: Equipment										
Motors										
Total adjustments etc.										
					Cr. SFP	Dr. SFP				
Profit transferred to SFP										

Jill: Statement of profit or loss for the year ended 30 June 20X8

	\$	\$
Sales		
Cost of sales		
Opening inventory		
Add: purchases		
Add: carriage inwards		
Less: closing inventory		
	_____	_____
Gross profit		
Expenses		
Rent and rates		
Wages and salaries		
Carriage outwards		
Postage and stationery		
Insurance		
Irrecoverable debts		
Sundry expenses		
Depreciation: Equipment		
Motors		
	_____	_____
Operating profit		
Interest payable		

PROFIT FOR THE YEAR		_____

Jill: Statement of financial position as at 30 June 20X8

	<i>Cost</i>	<i>Depreciation</i>	<i>CV</i>
	\$	\$	\$
Non-current assets			
Equipment			
Motor vehicles			
	_____	_____	_____
	_____	_____	_____
Current assets			
Inventory			
Trade receivables			
Prepayments			
Bank and cash			
		_____	_____
		_____	_____

CAPITAL

Opening capital

Add: profit for the year

Less: drawings

Closing capital**Non-current liabilities**

10% Loan repayable 20Y6

Current liabilities

Trade payables

Accruals

2.2 SOLUTIONS**Jill: Statement of profit or loss for the year ended 30 June 20X8**

	\$	\$
Sales		685,000
Cost of sales		
Opening inventory	43,250	
Add: purchases	327,500	
Add: carriage inwards	3,456	
Less: closing inventory	(32,900)	
	_____	(341,306)
Gross profit		343,694
Expenses		
Rent and rates	60,000	
Wages and salaries	130,000	
Carriage outwards	10,000	
Postage and stationery	11,892	
Insurance	7,852	
Irrecoverable debts	4,825	
Sundry expenses	28,769	
Depreciation: Equipment	9,760	
Motors	7,475	
	_____	(270,573)
Operating profit		73,121
Interest payable		(20,000)
Profit for the year		53,121

Jill : Statement of financial position as at 30 June 20X8

	<i>Cost</i> \$	<i>Depreciation</i> \$	<i>CV</i> \$
Non-current assets			
Equipment	97,600	24,040	73,560
Motor vehicles	43,400	20,975	22,425
	141,000	45,015	95,985
Current assets			
Inventory		32,900	
Trade receivables		65,200	
Prepayments		13,358	
Bank and cash (\$44,117 + \$1,190)		45,307	
			156,765
			252,750
CAPITAL			
Opening capital			100,000
Add: profit for the year			53,121
Less: drawings			(134,601)
Closing capital			
			18,520
Non-current liabilities			
10% Loan repayable 20Y6			200,000
Current liabilities			
Trade payables		28,478	
Accruals		5,752	
			34,230
			252,750

Jill: Extended trial balance at 30 June 20X8

	Trial balance		Adjustments		Accruals	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
Sales		685,000						685,000		
Opening inventory	43,250						43,250			
Purchases	327,500						327,500			
Equipment at cost	97,600								97,600	
Depreciation		14,280		b 9,760						24,040
Vehicles at cost	43,400								43,400	
Depreciation		13,500		c 7,475						20,975
Rent	71,898					f 11,898	60,000			
Salaries and wages	130,000						130,000			
Carriage inwards	3,456						3,456			
Carriage outwards	10,000						10,000			
Postage and stationery	11,892						11,892			
Trade receivables	65,200								65,200	
Trade payables		28,478								28,478
Insurance	9,312					e 1,460	7,852			
Irrecoverable debts w/o	4,825						4,825			
Petty cash	1,190								1,190	
Sundry expenditure	28,017				g 752		28,769			
Opening capital		100,000								100,000
Drawings	134,601								134,601	
10% Loan (20Y6)		200,000								200,000
Loan interest paid	15,000				d 5,000		20,000			
Bank balance	<u>44,117</u>	<u>1,041,258</u>							44,117	
	<u>1,041,258</u>		a 32,900	a 32,900				32,900	32,900	
Closing inventory (SFP, IS)										
Dep'n charge:			b 9,760				9,760			
Equipment			c 7,475				7,475			
Motors			<u>50,135</u>	<u>50,135</u>	5,752	13,358			13,358	5,752
Total adjustments etc.					Cr. SFP	Dr. SFP			<u>432,366</u>	<u>379,245</u>
							<u>664,779</u>	<u>717,900</u>	<u>432,366</u>	
							53,121			53,121
							<u>717,900</u>	<u>717,900</u>	<u>432,366</u>	<u>432,366</u>

ACTIVITY 1

The activity below practises all the financial accounting skills that you have learned so far.

Sally has traded successfully for a number of years and the trial balance for the year ended 30 November 20X9 is set out below:

Sally

Trial balance for the year ended 30 November 20X9

	<i>Dr</i>	<i>Cr</i>
	\$	\$
Sales		756,293
Opening inventory	21,645	
Purchases	285,365	
Equipment at cost	157,954	
Depreciation		45,487
Motor vehicles at cost	45,999	
Depreciation		32,876
Rent	8,000	
Salaries and wages	163,996	
Motor expenses	35,947	
Certification costs	7,354	
Training	14,987	
Trade receivables	2,253	
Trade payables		32,756
Insurance	14,298	
Irrecoverable debts written off	132	
Petty cash	5,750	
Sundry expenditure	49,310	
Opening capital account		250,000
Drawings	254,999	
15% Loan repayable in 20Y9		100,000
Loan interest paid	3,500	
Bank balance	145,923	
	<u>1,217,412</u>	<u>1,217,412</u>

Notes

- Inventory was counted on 30 November 20X9 and valued at \$24,680.
- Equipment is depreciated at 15% per annum on a straight line basis.
- Motor vehicles are depreciated at $33\frac{1}{3}\%$ pa on a reducing balance basis.
- Although only \$3,500 interest has been paid (as shown on the trial balance), a full year's interest should be charged in the accounts.
- Insurance includes \$6,432 paid on certain items covering the year to 28 February 20Y0.

- (f) The rent for the year was \$18,000 per quarter. However, owing to a dispute the landlord has not been paid for many months. Eventually the rent will have to be paid.
- (g) On 15 November Sally paid out \$28,000 on an advertising campaign which will commence on New Year's Day. It has been included within sundry expenditure.

Required:

Prepare a statement of profit or loss, statement of financial position and capital account for Sally for the year ended 30 November 20X9 in a format suitable for presentation to the proprietor, bank manager and other interested parties.

For a suggested answer, see the 'Answers' section at the end of the book.

3 CLOSING THE BOOKS AT THE YEAR END

3.1 WHY THE BOOKS ARE CLOSED

After the final accounts have been prepared, the books are closed. Adjustments are made so that the closing balances in the general ledger become the opening balances for the next period.

3.2 HOW TO CLOSE THE BOOKS

Step 1 Transfer all the balances on the individual ledger accounts for statement of profit or loss items to the statement of profit or loss (if this has not already been done).

The statement of profit or loss is contained in a separate ledger account within the general ledger. The statement of profit or loss that is drawn up as part of the final accounts contains exactly the same information as this ledger account, but is presented differently.

Step 2 Transfer the final balance on the statement of profit or loss (the net profit or loss for the period) to the capital account.

Step 3 Transfer the balance on the drawings account to the capital account.

At the end of this process:

- The balance on the owner's capital account represents the owner's equity in the business. It shows the total of what the owner originally put into the business, the profit owed by the business to the owner, less the money the owner has drawn from the business in the period.
- The accounts should still balance.

All the ledger accounts representing items in the statement of financial position are continued in the following accounting period. The ledger accounts representing statement of profit or loss amounts have been written off to the statement of profit or loss so that they can be started afresh in the next accounting period.

Note: Any period end adjustments made on the extended trial balance must eventually be recorded in the ledger accounts, so that the correct opening balances can be brought down at the beginning of the following period. This may be done before or after the final accounts are prepared.

3.3 EXAMPLE

The ledger accounts of Swing Dancewear have been balanced off. A trial balance has been extracted and final accounts have been prepared. The ledger accounts are shown below.

Sales account

	\$		\$
Transfer to Statement of profit or loss		Cash at bank account	7,000
21,000		Receivables	14,000
			<u>21,000</u>
	<u>21,000</u>		

Purchases account

	\$		\$
Cash at bank account	5,000	Statement of profit or loss	15,000
Trade payables account	10,000		
	<u>15,000</u>		<u>15,000</u>

Sundry expenses account

	\$		\$
Cash at bank account	100	Statement of profit or loss	100
	<u>100</u>		<u>100</u>

Rent expense account

	\$		\$
Cash at bank account	350	Statement of profit or loss	350
	<u>350</u>		<u>350</u>

Rates expense account

	\$		\$
Cash at bank account	600	Statement of profit or loss	600
	<u>600</u>		<u>600</u>

Electricity expense account

	\$		\$
Cash at bank account	150	Statement of profit or loss	150
	<u>150</u>		<u>150</u>

Repairs expense account

	\$		\$
Cash at bank account	100	Statement of profit or loss	100
	<u>100</u>		<u>100</u>

Cash at bank account

	\$		\$
Capital introduced	50,000	Property purchased	40,000
Loan received	30,000	Purchase of inventory	5,000
Sale of inventory	7,000	Sundry expense	100
Receivables	14,000	Drawings	600
		Payables	10,000
		Rent	350
		Rates	600
		Electricity	150
		Repairs	100
		Balance c/d	44,100
	<u>101,000</u>		<u>101,000</u>
Balance b/d	44,100		

Owner's capital account

	\$		\$
		Cash at bank account	50,000

Loan account

	\$		\$
		Cash at bank account	30,000

Property account

	\$		\$
Cash at bank account	40,000		

Payables account

	\$		\$
Cash at bank account	10,000	Purchases of inventory	10,000
Balance c/d	Nil		
	<u>10,000</u>		<u>10,000</u>

Receivables account

	\$		\$
Sales	14,000	Cash at bank account	14,000
		Balance c/d	nil
	<u>14,000</u>		<u>14,000</u>

Drawings account

	\$		\$
Cash at bank account	600	Balance c/d	600
	<u>600</u>		<u>600</u>
Balance b/d	600		

Close the books for the period and draw up an opening trial balance.

3.4 SOLUTION

Step 1 The individual balances for statement of profit or loss items have already been transferred to the statement of profit or loss, which appears below:

Statement of profit or loss

	\$		\$
Purchases	15,000	Sales	21,000
Sundry expenses	100		
Rent expense	350		
Rates expense	600		
Electricity expense	150		
Repairs expense	100		
Balance c/d	4,700		
	<u>21,000</u>		<u>21,000</u>
		Balance b/d	4,700

Step 2 Clear the final balance on the statement of profit or loss (the net profit or loss for the period) to the capital account.

Step 3 Clear the balance on the drawings account to the capital account.

Statement of profit or loss

	\$		\$
Capital account	4,700	Balance b/d	4,700
	<u>4,700</u>		<u>4,700</u>

Drawings account

	\$		\$
Balance b/d	600	Capital account	600
	<u>600</u>		<u>600</u>

Owner's capital account

	\$		\$
Drawings	600	Cash at bank account	50,000
Balance c/d	54,100	Net profit	4,700
	<u>54,700</u>		<u>54,700</u>
		Balance b/d	54,100

Opening trial balance

	\$	\$
Cash at bank	44,100	
Loan		30,000
Property	40,000	
Capital		54,100
	<u>84,100</u>	<u>84,100</u>

ACTIVITY 2

Using the closing trial balance and final accounts of Jason and Co (Section 1 above) prepare an opening trial balance at 1 June 20X6.

For a suggested answer, see the 'Answers' section at the end of the book.

CONCLUSION

Preparing the final accounts is a question of rearranging the information in the trial balance or ETB and presenting it in an acceptable format for a sole trader. As always, a methodical approach will guarantee you a correct answer.

After the financial statements are prepared, the income and expense ledger accounts should be cleared out to the statement of profit or loss ledger account. This itself is cleared out to the capital account, along with the drawings ledger account. The balance on the capital account together with other balances on asset and liability ledger accounts form the opening trial balance for the next period.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 What is carriage inwards?	1
2 How are sales returns reported in the statement of profit or loss?	1
3 Why must the books be closed at the period end?	3.1
4 To which account should the balance on the drawings account be cleared, when closing the books?	3.2

PRACTICE QUESTION

K KONG

The following balances were extracted from the records of K Kong at the end of his first year of trading:

Trial balance as at 31 December 20X6

<i>Account</i>	<i>Debit</i>	<i>Credit</i>
	\$	\$
Sales		9,000
Purchases	6,900	
Rent	300	
Stationery	70	
Insurance	50	
Fixtures and fittings, cost	700	
Receivables	2,500	
Payables		900
Cash at bank	1,100	
Drawings	1,020	
Capital introduced		2,740
	12,640	12,640

You are given the following additional information:

- (a) Rent was \$100 per quarter payable in arrears. The property has been rented since 1 January 20X6.
- (b) \$10 of the insurance paid covered a period in 20X7.
- (c) Goods unsold at 31 December 20X6 had cost K Kong \$750.
- (d) The fixtures and fittings were expected to last for ten years and would then be sold for \$50. Depreciation is to be on the straight-line basis.
- (e) An allowance for receivables of \$100 is to be created.

Requirement 1

Prepare an extended trial balance showing the figures that will appear in the financial statements.

Requirement 2

Prepare the statement of profit or loss of K Kong for the year ending 31 December 20X6 and a statement of financial position at that date.

For a suggested answer, see the 'Answers' section at the end of the book.

Chapter 16

PARTNERSHIP ACCOUNTS

The financial statements of a partnership are very similar to those of a sole trader. The two main differences are the result of more than one proprietor being involved in the business:

- the profits made must be shared between the proprietors
- the capital section of the statement of financial position becomes more detailed.

This chapter explains the ways in which profits may be shared between partners, the presentation of the division of profit and the capital section of the statement of financial position.

It concludes with a full example of the production of partnership accounts from a trial balance.

This chapter covers syllabus areas H1, H2, H3.

CONTENTS

- 1 Partnerships – basic principles
 - 2 The appropriation account, capital and current accounts
 - 3 Profit appropriation
 - 4 Partnership financial statements
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- define a partnership
 - explain the purpose and the main content of a partnership agreement
 - explain and account for appropriations of profit
 - explain the difference between partners' capital accounts and partners' current accounts
 - prepare the final accounts (statement of profit or loss, appropriation account and statement of financial position) for a partnership
 - prepare the partners' capital and current accounts.
-

1 PARTNERSHIPS – BASIC PRINCIPLES

1.1 INTRODUCTION

Definition A **partnership** is two or more individuals jointly carrying on business with a view to making profit.

The relationship between the individuals – or partners – is governed by a partnership agreement drawn up within the business.

1.2 THE ADVANTAGES AND DISADVANTAGES OF A PARTNERSHIP

Comparing a partnership to sole trading, the advantages of operating as a partnership are as follows:

- Business risks are spread among more than one person.
- Individual partners can develop special skills upon which the other partners can rely.
- More capital can be raised because of the number of partners.
- Continuation of the business if one partner retires or dies.

The disadvantages are:

- Due to discussion amongst partners, it may take longer to make business decisions.
- There may be disputes between partners on such matters as the direction the business is taking or how much money individual partners are taking out of the business. Some partners may feel they are contributing more time and effort to the partnership than others and not being sufficiently financially rewarded as a result.
- A partner is 'jointly and severally liable' for his partners. This means that if one partner is being sued in relation to the business of the partnership, the other partners share the responsibility.

1.3 PARTNERSHIP AGREEMENT

Definition A **partnership agreement**, which need not necessarily be in written form, will govern the relationships between the partners.

Important matters to be covered include:

- (a) name of firm, the type of business, and duration
- (b) capital to be introduced by partners
- (c) how profits are shared between partners
- (d) drawings by partners
- (e) arrangements for dissolution, or on the death or retirement of partners
- (f) settling of disputes
- (g) preparation and audit of accounts.

The agreement sets out the nature of the rights, responsibilities and duties of the partners in working together as a partnership. In principle, all partners have the right to participate in the running and management of the business. Partners also have the right to share in profits and losses on an agreed basis.

1.4 DIVISION OF PROFIT

In a sole trader business, all of the profit is automatically added to the proprietor's capital.

Where a number of partners operate a business together, the profit needs to be divided fairly between them to reflect their differing efforts and contributions.

Methods of dividing the profit may include:

- 'salaries' may be awarded to certain partners, for example, those who are more involved in the day to day operations of the business
- interest on capital may be provided to reward those partners who have invested more into the business
- the remaining profit may be shared out in any agreed ratio.

It is important to appreciate, however, that all of the above examples are means of dividing the profits of the partnership and are not expenses of the business. **A partnership salary is merely a device for calculating the division of profit; it is not a salary in the normal meaning of the term.**

1.5 ACCOUNTING FOR PARTNERSHIPS

Partnership accounts are largely the same as sole trader accounts. The notable differences are:

- The profit calculated in the statement of profit or loss must be allocated to partners. This is done using an additional statement of appropriation of profit or appropriation account.
- The statement of financial position is presented exactly as for a sole trader other than the capital section. Each partner generally has two separate accounts within this section: a current account and a capital account:

Current account: records the partners' drawings and allocated profit

Capital account: records the partners' long term capital investment

Sometimes only capital accounts are maintained. If this is the case, allocated profit and drawings are recorded in the capital accounts alongside the long-term capital investment.

2 THE APPROPRIATION ACCOUNT, CAPITAL AND CURRENT ACCOUNTS

2.1 THE APPROPRIATION ACCOUNT

Definition The **appropriation account** is a ledger account which is used to split the profit of the partnership amongst the individual partners.

The profit for the year from the statement of profit or loss is credited to the appropriation account. This is then split between the partners according to the partnership agreement and debited out of the appropriation account in order to be credited to the partners' current accounts.

Appropriation account			
	\$		\$
Salaries	X	Net profit b/d	X
Interest on capital	X		
Share of residual profit	X		
	X		X

2.2 PARTNERS' CAPITAL ACCOUNTS

The partners' capital account records the initial capital invested in the business by each partner. This could be in the form of cash or other assets. Whatever the form of assets introduced and debited to asset accounts, it is normal to make the credit entry to fixed capital accounts.

Transactions in this account are rare, being the injection of further capital or withdrawal of capital by a partner.

2.3 PARTNERS' CURRENT ACCOUNTS

These are used to deal with the regular transactions between the partners and the firm i.e. matters other than those sufficiently fundamental to be dealt with through the capital accounts.

Each partner is credited with their share of net profit (from the appropriation account) and debited with any drawings.

Example

Nab and Crag commenced business in partnership on 1 January 20X6, contributing as fixed capital \$5,000 and \$10,000 cash respectively. All profits and losses are shared equally. The profit for the year ended 31 December 20X6 amounted to \$10,000. Drawings for Nab and Crag amounted to \$3,000 and \$4,000 respectively.

You are required to prepare the capital and current accounts, appropriation account and statement of financial position (balance sheet) extracts.

Solution

Partners' capital accounts

	<i>Nab</i>	<i>Crag</i>		<i>Nab</i>	<i>Crag</i>
	\$	\$		\$	\$
			20X6		
			1 Jan Cash	5,000	10,000

Appropriation account

	\$		\$
20X6		20X6	
31 Dec Share of profit – current account		31 Dec Net profit b/d	10,000
Nab	5,000		
Crag	5,000		
	<u>10,000</u>		<u>10,000</u>

Partners' current accounts

	<i>Nab</i>	<i>Crag</i>		<i>Nab</i>	<i>Crag</i>
	\$	\$		\$	\$
20X6			20X6		
1 Dec Drawings	3,000	4,000	31 Dec Share of profits	5,000	5,000
Balance c/d	2,000	1,000			
	<u>5,000</u>	<u>5,000</u>		<u>5,000</u>	<u>5,000</u>
			20X7		
			1 Jan Balance b/d	2,000	1,000

Note: The above accounts are presented in a columnar format. This is quite common in a partnership set of books as each partner will have similar transactions during the year. A columnar format allows two (or more) separate accounts to be shown using the same narrative. It is important to remember though that each partner's account is separate from the other partner(s).

Statement of financial position at 31 December 20X6 (extract)

	<i>Capital accounts</i>	<i>Current accounts</i>	<i>Total</i>
	\$	\$	\$
Partners' accounts			
Nab	5,000	2,000	7,000
Crag	10,000	1,000	11,000
	<u>15,000</u>	<u>3,000</u>	<u>18,000</u>

One of the main differences between the capital section of the statement of financial position of a sole trader and a partnership is that the partnership version will often only give the closing balances whereas the sole trader's movements in capital are shown. The main reason for the difference is simply one of space. Movements in the capital and current accounts for a few partners cannot be easily accommodated on the face of the statement of financial position.

2.4 DEBIT BALANCES ON PARTNERS' CURRENT ACCOUNTS

If a partner takes more cash out of the business than he has been allocated by his profit share, then his account will become 'overdrawn'. This will be shown as a debit balance. Each partnership will have its own rules on whether or not to allow overdrawn partnership accounts.

Example

The information is the same as in the previous example, except that Nab's drawings are \$5,300. Rewrite the partners' current accounts.

Solution

Partners' current accounts					
	<i>Nab</i>	<i>Crag</i>		<i>Nab</i>	<i>Crag</i>
	\$	\$		\$	\$
20X6			20X6		
Drawings	5,300	4,000	Share of profits	5,000	5,000
31 Dec Balance c/d		1,000	31 Dec Balance c/d	300	
	<u>5,300</u>	<u>5,000</u>		<u>5,300</u>	<u>5,000</u>
20X7			20X7		
1 Jan Balance b/d	300		1 Jan Balance b/d		1,000

Note that Nab's current account is overdrawn. How do we present this in the statement of financial position?

Statement of financial position at 31 December 20X6 (extract)

	<i>Capital accounts</i>	<i>Current accounts</i>	<i>Total</i>
	\$	\$	\$
Partners' accounts			
Nab	5,000	(300)	4,700
Crag	10,000	1,000	11,000
	<u>15,000</u>	<u>700</u>	<u>15,700</u>

ACTIVITY 1

Tom, Dick and Harry trade in partnership. The balances on their current accounts at the start of the year were as follows:

<i>Tom</i>	<i>Dick</i>	<i>Harry</i>	<i>Total</i>
\$17,000 Cr	\$9,000 Cr	\$7,300 Cr	\$33,300 Cr

During the year their business made a profit of \$99,000, which is to be shared equally.

Their drawings during the year were as follows:

<i>Tom</i>	<i>Dick</i>	<i>Harry</i>	<i>Total</i>
\$45,000	\$22,000	\$18,000	\$85,000

Required:

Prepare the partnership current accounts for the year.

For a suggested answer, see the 'Answers' section at the end of the book.

3 PROFIT APPROPRIATION

3.1 STATEMENT OF APPROPRIATION OF PROFIT

As explained in the previous section, allocations of profits are made through the appropriation ledger account.

Within the financial statements, this information is normally presented as a separate statement after the statement of profit or loss – a statement of appropriation of profit.

The following example shows both an appropriation account and statement of appropriation.

Example

Pike and Scar are in partnership and have the following profit-sharing arrangements:

- (a) interest on capital is to be provided at a rate of 8% pa
- (b) Pike and Scar are to receive salaries of \$6,000 and \$8,000 pa respectively
- (c) the balance of profit or loss is to be divided between Pike and Scar in the ratio 3 : 2.

Net profit for the year amounts to \$20,000 and capital account balances are Pike \$12,000 and Scar \$9,000.

You are required to prepare:

- (a) a statement showing the allocation of profit between the partners; and
- (b) relevant entries in the appropriation account.

Solution

(a) Statement of appropriation of profit

	<i>Pike</i>		<i>Scar</i>		<i>Total</i>
	\$		\$		\$
Interest on capital ($8\% \times \$12,000/9,000$)	960		720		1,680
Salaries	6,000		8,000		14,000
					15,680
Balance of profits (\$20,000 – \$15,680) in ratio 3:2	2,592	(3/5)	1,728	(2/5)	4,320
Totals	9,552		10,448		20,000

Note that this is only a calculation of the allocation of profit and not part of the double-entry bookkeeping system, merely providing the figures for the appropriation account.

(b)

Appropriation account

	\$		\$
Pike – current account	9,552	Net profit b/d	20,000
Scar – current account	10,448		
	<u>20,000</u>		<u>20,000</u>

If the profit due to Pike and Scar had not been calculated in part (a), the appropriation account in part (b) would include more detail, being interest on capital for each partner, salaries for each partner and finally residual profit share for each partner.

ACTIVITY 2

Freddie and Roger have been trading in partnership for a number of years. This year their business made a net profit of \$150,000.

The trial balance for their business was as follows:

	<i>Dr</i>	<i>Cr</i>
	\$	\$
Net profit		150,000
Opening capital		
Freddie		35,000
Roger		25,000
Opening current accounts balances		
Freddie		18,000
Roger		12,000
Drawings		
Freddie	67,500	
Roger	32,500	
Net assets	140,000	
	<u>240,000</u>	<u>240,000</u>

The partnership agreement was as follows:

Interest on capital	9%	
Salaries	Freddie	\$24,000 pa
	Roger	\$36,000 pa
Profit sharing ratio	Freddie : Roger	3 : 2

Required:

- Share out the profits for the year according to the partnership agreement.
- Write up the capital and current accounts for the year.
- Draft a summary statement of financial position as at the year-end.

For a suggested answer, see the 'Answers' section at the end of the book.

3.2 INTEREST ON DRAWINGS

Partners will need to draw money out of the business in order to cover living expenses. This may be done at any stage in the financial year. Sometimes the partnership agreement requires that interest is charged on any drawings made by partners before the year end. Therefore those partners who draw out more cash than their colleagues in the early part of an accounting period suffer a cost.

This interest is dealt with in the appropriation account / appropriation statement. It is charged to the relevant partners and added to the profit available to share per the partnership agreement.

ACTIVITY 3

Dick and Dastardly are in partnership. The capital and current accounts as at 1 January 20X7 show

	<i>Capital</i>	<i>Current</i>
	\$	\$
Dick	50,000	2,500
Dastardly	20,000	3,000

The partnership agreement provides for the following:

- (a) profits and losses are shared between Dick and Dastardly in percentages 60 and 40
- (b) interest on capital at 10% per annum is allowed
- (c) interest on drawings is charged at 12% per annum.

Drawings for the year to 31 December 20X7 are:

	<i>Dick</i>	<i>Dastardly</i>
	\$	\$
1 February 20X7	5,000	2,000
30 September 20X7	2,000	5,000

The profit for the year is \$20,000.

You are required to prepare the appropriation statement and the current accounts for the year ended 31 December 20X7.

For a suggested answer, see the 'Answers' section at the end of the book.

3.3 PARTNERSHIP LOANS

Occasionally, one of the partners may make a loan to the partnership. This is distinct from an injection of capital.

Such a loan is dealt with as if it had been made by a third party, i.e. it is recorded as a liability in the statement of financial position and any interest on the loan is an expense of the partnership.

Interest is therefore charged to the statement of profit or loss in determining net profit for the period. The net profit is then shared between the partners as normal.

3.4 PROFITS AND LOSSES

It is entirely possible for a partnership to make such a small profit that this will not cover all of the agreed appropriations such as interest on capital and salaries. Nevertheless these appropriations must be carried out first as they are part of the partnership agreement. Then the remaining loss is split amongst the partners in the profit-sharing ratio.

Example

The facts are the same as in the example in section 3.2 except that net profit is now only \$3,680.

You are required to show the allocation of profit between the partners.

Solution

Allocation of net profit of \$3,680

	<i>Pike</i>	<i>Scar</i>	<i>Total</i>
	\$	\$	\$
Interest on capital	960	720	1,680
Salaries	6,000	8,000	14,000
Balance of loss (\$3,680 – \$15,680 = \$12,000) to be shared in ratio 3:2	(7,200)	(4,800)	(12,000)
Totals	(240)	3,920	3,680

The profit share is always carried out last after all other appropriations e.g. interest, salaries, even if this means that it becomes a loss share.

Pike has a negative overall share of the profit. The double entry in this case is:

Debit	Pike's current account (to reduce the balance)	\$240
Credit	Appropriation account	\$240

Scar has a positive overall share of the profit. The double entry is therefore:

Debit	Appropriation account	\$3,920
Credit	Scar's current account (to increase the balance)	\$3,920

The profit share may be shown at the end of the statement of profit or loss as:

	\$	\$
Net profit		3,680
Allocated to:		
Scar	3,920	
Pike	(240)	
Total		3,680

ACTIVITY 4

Brian and John have been trading in partnership for a number of years. Their capital and current accounts are as follows:

	<i>Capital</i>	<i>Current</i>	<i>Total</i>
	\$	\$	\$
Brian	100,000	12,000	112,000
John	140,000	32,000	172,000
	240,000	44,000	284,000

This year their business made a net profit of \$97,000. The partnership agreement was as follows:

Interest on capital		15%
Salaries	Brian	\$44,000 pa
	John	\$33,000 pa
Profit-sharing ratio	Brian : John	5 : 3

Required:

Share out the profits for the year according to the partnership agreement.

For a suggested answer, see the 'Answers' section at the end of the book.

3.5 PARTNERS' SALARIES

One point which regularly causes difficulties is the partners' salaries. The key is to remember at the outset that a partner's salary is an appropriation of profit, whereas a salary paid to an employee is an expense.

Accordingly a salary to which a partner is entitled is included as part of the appropriation statement. Questions sometimes state that a partner has withdrawn his salary. In this case:

- (a) include the salary in the appropriation statement as usual; and
- (b) quite separately treat the withdrawal of the salary as drawings:

Debit	Partner's current account	drawings
Credit	Cash at bank	drawings

3.6 GUARANTEED MINIMUM PROFIT SHARE

In certain partnership agreements a partner may be guaranteed a minimum share of profits. The appropriation of profit is calculated in the normal way. If the result shows that the relevant partner has less than the guaranteed minimum, the deficit will be made good by the other partners (normally in profit-sharing ratio).

Example

Tessa, Laura and Jane are in partnership and have the following profit-sharing arrangements:

- (a) Tessa and Laura are to receive salaries of \$20,000 and \$30,000 respectively
- (b) the balance of profit or loss is to be divided Tessa 1, Laura 2, Jane 3
- (c) Tessa is guaranteed a minimum profit share of \$25,000.

The net profit for the year is \$68,000.

You are required to show the appropriation statement for the year.

Solution**Appropriation statement**

	<i>Tessa</i> \$	<i>Laura</i> \$	<i>Jane</i> \$	<i>Total</i> \$
Net profit				68,000
Salaries	20,000	30,000	–	(50,000)
				18,000
Balance of profits in ratio 1 : 2 : 3	3,000	6,000	9,000	(18,000)
	23,000	36,000	9,000	
Laura $2/5 \times 2,000$	800	(800)		
Jane $3/5 \times 2,000$	1,200		(1,200)	
Totals	25,000	35,200	7,800	68,000

Conclusion The partner with the guaranteed minimum profit share must receive that amount. Any shortfall must be made up by the remaining partners.

4 PARTNERSHIP FINANCIAL STATEMENTS

4.1 INTRODUCTION

The statement of profit or loss and statement of financial position for a partnership are generally very similar to those for a sole trader. The differences are in the areas of appropriation and capital and current accounts dealt with earlier in this chapter.

Example

You are provided with the following information regarding the partnership of Dacre, Hutton and Tod.

The trial balance at 31 December 20X6 is as follows:

	<i>Dr</i>	<i>Cr</i>
	\$	\$
Sales		50,000
Inventory at 1 January 20X6	6,000	
Purchases	29,250	
Carriage inwards	250	
Carriage outwards	400	
Payables		4,000
Cash at bank	3,900	
Current accounts:		
Dacre		900
Hutton		750
Tod		1,350
Capital accounts:		
Dacre		4,000
Hutton		5,000
Tod		6,000
Drawings:		
Dacre	2,000	
Hutton	3,000	
Tod	5,000	
Sundry expenses	2,800	
Receivables	13,000	
Shop fittings:		
Cost	8,000	
Accumulated depreciation		1,600
	73,600	73,600

- (a) Closing inventory is valued for accounts purposes at \$5,500.
- (b) Depreciation of \$800 is to be charged on the shop fittings.
- (c) The profit-sharing arrangements are as follows:
 - (i) Interest on capital is to be charged at a rate of 10% per annum
 - (ii) Dacre and Tod are to receive salaries of \$3,000 and \$4,000 per annum respectively
 - (iii) the balance of profit or loss is to be divided between Dacre, Hutton and Tod in the ratio of 3 : 8 : 4.

You are required to prepare final accounts together with current accounts of the partners.

Solution

- Step 1** Prepare the statement of profit or loss as if it were for a sole trader.
- Step 2** Calculate the total appropriation of profit to each partner using an appropriation statement

Dacre, Hutton and Tod**Statement of profit or loss for the year ended 31 December 20X6**

	\$	\$
Sales		50,000
Opening inventory	6,000	
Purchases	29,250	
Carriage inwards	250	
	35,500	
Less: Closing inventory	(5,500)	
		(30,000)
Gross profit		20,000
Sundry expenses	2,800	
Carriage outwards	400	
Depreciation	800	
		(4,000)
Net profit		16,000
Allocated to:		
Dacre	4,900	
Hutton	4,500	
Tod	6,600	16,000

Profit appropriation

Having calculated the profit for the period, it has to be appropriated between Dacre, Hutton and Tod. To calculate their respective shares an appropriation statement is used:

	<i>Dacre</i>	<i>Hutton</i>	<i>Tod</i>	<i>Total</i>
	\$	\$	\$	\$
Interest on capital	400	500	600	1,500
Salaries	3,000	–	4,000	7,000
				8,500
Balance of profit (\$16,000 – \$8,500) in ratio 3 : 8 : 4	1,500	4,000	2,000	7,500
Total	4,900	4,500	6,600	16,000

This gives us the figures for the double entry:

Dr Statement of profit or loss appropriation

Cr Partners' current accounts

Step 3 Prepare partners' capital and current accounts.

Partners' current accounts

	<i>Dacre</i>	<i>Hutton</i>	<i>Tod</i>		<i>Dacre</i>	<i>Hutton</i>	<i>Tod</i>
	\$	\$	\$		\$	\$	\$
20X6:				20X6:			
Draw-ings	2,000	3,000	5,000	1 Jan Balance			
31 Dec Balance				b/d	900	750	1,350
c/d	3,800	2,250	2,950	IS app	4,900	4,500	6,600
	<u>5,800</u>	<u>5,250</u>	<u>7,950</u>		<u>5,800</u>	<u>5,250</u>	<u>7,950</u>
				20X7:			
				1 Jan Balance			
				b/d	3,800	2,250	2,950

Partners' accounts

	<i>Capital accounts</i>	<i>Current accounts</i>	<i>Total</i>
	\$	\$	\$
Dacre	4,000	3,800	7,800
Hutton	5,000	2,250	7,250
Tod	6,000	2,950	8,950
	<u>15,000</u>	<u>9,000</u>	<u>24,000</u>

Step 4 Prepare the statement of financial position.

Statement of financial position as at 31 December 20X6

	<i>Cost</i>	<i>Acc dep'n</i>	
	\$	\$	\$
Non-current assets			
Shop fittings	8,000	2,400	5,600
Current assets			
Inventory		5,500	
Receivables		13,000	
Cash		3,900	
		<u>22,400</u>	
			<u>28,000</u>
Capital accounts			
Dacre		4,000	
Hutton		5,000	
Tod		6,000	
		<u>15,000</u>	

Current accounts		
Dacre	3,800	
Hutton	2,250	
Tod	2,950	
		9,000
		24,000
Current liabilities		
Payables		4,000
		28,000

A final reminder: The majority of examination questions specify separate capital and current accounts. Occasionally you may be faced with a question specifying only one account for each partner. Such an account acts as a capital and current account combined.

To prepare a set of partnership accounts:

- 1 Draw up a proforma statement of financial position and statement of profit or loss and enter figures as soon as you calculate them.
- 2 Work through any adjustments required.
- 3 Complete the statement of profit or loss and appropriate the profit as per the partnership agreement.
- 4 Open up partners' current accounts; enter the opening balances, appropriation of profit and drawings.
- 5 Find the new balances on the partners' current accounts.
- 6 Complete the statement of financial position.

5 ADMISSION OF A NEW PARTNER

5.1 ADMISSION OF A PARTNER

When a new partner is admitted, a new agreement is needed to cover the appropriation of profits.

If a new partner introduces additional capital into the partnership, the total amount brought in by that partner must be credited to their capital account.

The value of the business may exceed its total net assets and this excess is called **goodwill**. It represents the value of the business's brand, reputation, staff expertise and customer base etc.

The partners are responsible for building the extra value in the business and the existing partners are entitled to the goodwill existing on the date the new partner enters the business. From this date onwards all partners are responsible for building further goodwill.

Therefore the existing partners' share of the partnership's goodwill at the date of admission is credited to them in the old profit sharing ratio (PSR) and then debited in the new PSR, assuming that a goodwill account is not included in the annual accounts of the partnership.

The result is that the new partner will be shown to have purchased a share of the goodwill by introducing cash into the business.

Example

Bob and Brian, equal partners in a plastering business, agree to Carl becoming a partner on 1 January 20X3. At that date Bob and Brian value the business' goodwill at \$10,000 and their capital accounts show Bob \$24,000; Brian \$18,000. Carl agrees to introduce \$4,000 capital. The partners agree to share profits in the ratio Bob 2: Brian 2: Carl 1 and not to retain any goodwill in the accounts.

The partners' capital accounts are as follows, showing that \$2,000 of Carl's cash introduced has actually been paid in equal shares to Bob and Brian in respect of their shares of the business' goodwill.

Partner's capital accounts

	<i>Bob</i>	<i>Brian</i>	<i>Carl</i>		<i>Bob</i>	<i>Brian</i>	<i>Carl</i>
	\$	\$	\$		\$	\$	\$
				Balance b/d	24,000	18,000	
Goodwill				Goodwill in			
in new PSR	4,000	4,000	2,000	old PSR	5,000	5,000	
Balance c/d	25,000	19,000	2,000	Cash introduced			4,000
	<u>29,000</u>	<u>23,000</u>	<u>4,000</u>		<u>29,000</u>	<u>23,000</u>	<u>4,000</u>
				Balance b/d	25,000	19,000	2,000

Note: You will not be expected to calculate the value of goodwill in the exam. You will be given the relevant information.

CONCLUSION

Accounting for partnerships is similar to accounting for sole traders. The two main differences are the need to share out profits and the use of current accounts as well as capital accounts.

Profits are shared out in an appropriation statement according to the partnership agreement, and may be allocated as salaries, interest on capital or profit share.

This profit share is then credited to the partners' current accounts (the corresponding debit being to an appropriation account). Any drawings are debited to the current accounts.

Partners also maintain capital accounts which are used for injections or withdrawals of long term capital, but not for day to day transactions.

KEY TERMS

Appropriation account – a general ledger account used to split the profit of the partnership amongst the individual partners.

Appropriation statement – a statement in the financial statements of the partnership detailing how the profits are split between the partners.

Partnership – two or more individuals jointly carrying on business with a view to profit.

Partnership agreement – a formal agreement governing the relationships between the partners.

Partners' capital accounts – accounts used to record changes in the partners' fixed capital.

Partners' current accounts – accounts used to record regular transactions between the partners and the firm (e.g. share of profits and drawings).

SELF TEST QUESTIONS

		<i>Paragraph</i>
1	What is a partnership?	1.1
2	What are the advantages of operating as a partnership, as compared with a sole trader?	1.2
3	What matters are addressed by a partnership agreement?	1.3
4	What is the name of the ledger account which is used to show the partners' shares of profits?	2.1
5	What are the differences between capital and current accounts?	2.2, 2.3
6	Is a partner's salary a business expense or an appropriation of profit?	3.5
7	What are the accounting entries if a new partner is admitted to the partnership?	5.1

EXAM-STYLE QUESTIONS

The following information is relevant to all the questions.

A partnership has three partners, Hill, Jack and Lim. The balances on their accounts as at 1 January were as follows:

	<i>Hill</i>	<i>Jack</i>	<i>Lim</i>
	\$	\$	\$
Capital account	20,000	40,000	20,000
Current account	10,000	10,000	20,000

Hill takes a salary of \$6,000 per annum. Interest on capital is paid at 10% per annum. Residual profits are shared between Hill, Jack and Lim in the proportion 30%: 40%: 30%. The partnership profit for the year to 31 December was \$56,000.

- 1 What is Hill's share of the partnership profit for the year?
 - A \$14,400
 - B \$14,600
 - C \$20,400
 - D \$20,600

- 2 How would Jack's profit share be recorded in the accounts?
 - A Debit Jack Capital account, Credit Statement of profit or loss
 - B Debit Jack Current account, Credit Statement of profit or loss
 - C Debit Statement of profit or loss, Credit Jack Capital account
 - D Debit Statement of profit or loss, Credit Jack Current account

- 3 Lim has taken \$17,000 out of the business during the year, and these drawings have been recorded in the Lim Drawings account. How should the drawings account be cleared at the year end?
 - A

Debit Statement of profit or loss	\$17,000
Credit Lim Drawings account	\$17,000
 - B

Debit Lim Current account	\$17,000
Credit Lim Drawings account	\$17,000
 - C

Debit Lim Drawings account	\$17,000
Credit Statement of profit or loss	\$17,000
 - D

Debit Lim Drawings account	\$17,000
Credit Lim Current account	\$17,000

PRACTICE QUESTION

RUTH AND RACHEL

A member of your team has been preparing accounts for a business which has two partners, Ruth and Rachel. The net profit has been calculated at \$104,400. No calculations have been carried out to share the profit between the partners. You have agreed to complete the accounts.

The partnership agreement provides for the following:

- (a) Salaries are due to the partners as follows:

Ruth \$11,200

Rachel \$4,500
- (b) Interest is paid to partners at a rate of 10% per annum, based on the balances on their capital accounts at the last reporting date.
- (c) Profits and losses are to be shared between Ruth and Rachel in the ratio 3:2 respectively.
- (d) The balances on the capital and current accounts at the last reporting date, and the value of drawings made during the year are:

	<i>Capital</i>	<i>Current</i>	<i>Drawings</i>
Ruth	\$65,000	\$17,250	\$30,000
Rachel	\$140,000	\$26,400	\$27,000

Required:

- (a) Prepare the appropriation account for the partnership.
- (b) Complete the partners' current accounts.

For suggested answers, see the 'Answers' section at the end of the book.

Chapter 17

INCOMPLETE RECORDS

In practice there are many occasions when accountants need to recreate a set of financial statements from incomplete records. This may be because proper records were not kept, or because the records have been destroyed by fire, flood or computer failure.

This chapter explains how to calculate the profit or loss for the year from incomplete records, and how to approach incomplete records questions in a structured and methodical manner.

This chapter covers syllabus area G2.

CONTENTS

- 1 The circumstances that lead to incomplete records
 - 2 Net asset approach
 - 3 Reconstruction of financial statements
 - 4 Using ledger accounts to find missing figures
 - 5 Using cost structures to find missing figures
 - 6 Comprehensive example
-

LEARNING OUTCOMES

At the end of this chapter, you should be able to:

- describe the circumstances which lead to incomplete records
- calculate the net assets and profit or loss for a sole trader who has incomplete records
- prepare and complete ledger accounts to derive missing figures
- calculate missing figures using margin or mark up percentages
- construct final accounts for a sole trader who has incomplete records.

1 THE CIRCUMSTANCES THAT LEAD TO INCOMPLETE RECORDS

Many smaller businesses keep very limited accounting information such as daily records of cash received, a file of invoices paid and wages paid. It is then left to the accountant to make sense of this information and prepare the annual financial statements.

In some cases the sole trader does not keep records, or loses all or part of them and therefore the information kept is incomplete. In these instances it is possible to reconstruct the financial statements from limited data.

There are three types of situations that may be encountered in examination questions:

- There are absolutely no accounting records for the year. The approach to this type of situation is to use the business's net assets to work out the profit or loss via the accounting equation (the 'net assets approach').
- The business has not kept proper records and it is necessary to prepare the financial accounts from the bank statements and some supporting information
- A business has kept proper records but some or all of them have been lost or destroyed, for example after a fire or other disaster. It is necessary to reconstruct the missing figures or accounts from the records and other information which have survived.

These types of questions will test a candidate's accounting knowledge to the limit as they usually require application of all aspects of accounting studied to date.

2 NET ASSET APPROACH

2.1 REVISION OF THE NET ASSET PRINCIPLE

The net assets approach uses the accounting equation in order to find the profit or loss figure for a year.

In the first chapter, the accounting equation was established:

$$\text{Capital} = \text{Net assets}$$

Movements in capital during the accounting period mean that the following is true:

$$\text{Opening capital} + \text{Capital injections} + \text{Profit} - \text{Drawings} = \text{Closing capital}$$

Since Capital = Net assets, the following is also true:

$$\text{Opening net assets} + \text{Capital injections} + \text{Profit} - \text{Drawings} = \text{Closing net assets}$$

Or

$$\text{Increase in net assets} = \text{Capital injections} + \text{Profit} - \text{Drawings}$$

Providing that a sole trader knows what assets he held at the start and end of the year, how much he put into the business in the year and how much he took out, this equation can be used to ascertain profit.

2.2 QUESTION TECHNIQUE

In this type of question scenario, the known information should be inserted into the following proforma:

	\$
Net assets at end of year	x
Less net assets at beginning of year	(x)
Increase/decrease in net assets	x
Less capital introduced in the year	(x)
Add drawings for the year	x
Profit/(loss) for the year	x

The net assets figures normally have to be calculated from a given list of assets and liabilities.

You may also be required to:

- adjust for a specific irrecoverable debt
- increase or decrease receivables allowances
- calculate depreciation
- working out the net realisable value of some inventory.

In each of these cases you should simply adjust the value of the relevant asset.

Suppose the inventory of \$3,200 in the example below has a net realisable value of \$2,900. Look at the effect on the profit calculation of this adjustment.

	<i>Without inventory write off</i>	<i>With inventory write off</i>
	\$	\$
Non-current assets	800	800
Inventory	3,200	2,900
Bank	14,000	14,000
Trade payables	(3,200)	(3,200)
Net assets at end of 20X4	14,800	14,500
Net assets at beginning of 20X4	(12,000)	(12,000)
Increase in net assets	2,800	2,500
Less capital introduced	(1,000)	(1,000)
Add drawings	1,200	1,200
Profit	3,000	2,700

The profit figure has automatically been adjusted for the \$300 write off.

Any modification to net assets will automatically affect the profit or loss.

2.3 EXAMPLE

The financial accounts of James Merchants at 31 December 20X1 showed net assets of \$41,500.

On the 29 December 20X2, a burst water pipe caused a flood destroying all the accounting records. However the following has been ascertained for 31 December 20X2:

The carrying value of non-current assets at 31 December 20X1 was \$15,000. During the year a new machine costing \$3,000 was purchased. Depreciation of \$4,000 for 20X2 is to be charged.

Unpaid customers' invoices amounted to \$12,300, including one debt of \$200 which is to be written off.

Inventories at cost were \$25,000 but the net realisable value was \$23,000.

The bank statements showed a balance of \$15,000 with no outstanding cheques or lodgements.

Outstanding purchases invoices were \$8,000.

There was a capital input of \$5,000 and drawings of \$14,000 during the year.

Find the profit for the year ending 31 December 20X2.

2.4 SOLUTION

Step 1 Produce a statement of financial position at the end of the year making all the adjustments.

	<i>Year end SFP \$</i>
Non-current assets ($15,000 + 3,000 - 4,000$)	14,000
Receivables ($12,300 - 200$)	12,100
Inventory (at net realisable value)	23,000
Bank	15,000
Trade payables	(8,000)
Net assets at end of 20X2	56,100

Step 2 Produce a statement of financial position (SFP) at the end of the previous year.

In this case it is not necessary because the net assets at the end of 20X1 have already been calculated at \$41,500.

Step 3 Insert these figures together with those given for capital injections and drawings into the profit calculation proforma.

	\$
Net assets at end of year	56,100
Less net assets at beginning of year	(41,500)
Increase in net assets	14,600
Less capital introduced in the year	(5,000)
Add drawings for the year	14,000
Profit for the year	23,600

ACTIVITY 1

On 1 January 20X5 Joan Updike started working as a freelance computer trainer and technician. She was not expecting her business to grow as rapidly as it did, and she kept on putting off installing any proper accounting systems.

You have been asked to calculate how much profit she has made in her first year of trade.

The following information is available and can be relied upon:

- 1 The business bank account shows transfers from Joan's private account, payments for capital items and for drawings. These can be summarised as follows:

Transfers from Joan's private account	\$13,000
Purchase of computer hardware and software	\$9,000
Drawings	\$18,000
- 2 There has been no proper control over cash sales and purchases. However, you are confident that there are no cash purchases for capital items or cash drawings.
- 3 The computer hardware and software should have a three year-life.
- 4 At the year-end there was \$37,247 in the business bank account. There were no unpresented cheques or outstanding lodgements.
- 5 Joan was owed \$2,500 from one customer, and owed \$157 to a supplier.
- 6 Sundry inventory amounted to \$54.

Required:

- (a) Calculate net assets at the end of the first year.
- (b) Using the accounting equation, calculate Joan's net profit for the period. This can be done as part of the movement on capital.

For a suggested answer, see the 'Answers' section at the end of the book.

3 RECONSTRUCTION OF FINANCIAL STATEMENTS

Where limited financial information has been kept, it is possible to reconstruct the financial statements in full.

This type of question is common in the exam as it requires a good understanding of all basic accounting principles as well as the ability to work under pressure.

The techniques used to identify missing figures are:

- use of ledger accounts to find a balancing figure
- use of cost structures (ratios) (see section 4)

4 USING LEDGER ACCOUNTS TO FIND MISSING FIGURES

4.1 CASH AND BANK ACCOUNTS

The central part to an incomplete records type of question is a build up of the business's cash account (cash in hand) and bank account (cash at bank) from the information given in the question.

The use of these accounts is one of the techniques which enables the calculation of figures required in the statement of financial position or statement of profit or loss. The technique involves the setting up of a cash account and a bank account and inserting all the entries given in the information in the question. Then, the accounts can be reviewed for missing figures, which may then be found as balancing figures on the accounts.

Recorded in the cash and bank accounts below are the typical entries that would be expected in a question.

Cash account			
	\$		\$
Balance b/d	X (note 4)	Cash expenses	X (note 2)
Cash receipts from customers	X (note 1)	Banking	X (note 3)
	<u>X</u>	Balance c/d	X (note 5)
			<u>X</u>

Notes:

- (1) The main assumption that must be made in doing the bank and cash accounts is that all monies received by the business are recorded first in the cash account. This reflects the cash and cheques coming into the business being placed in a till or box before being banked. Therefore any cash from cash sales will be recorded under this heading along with any cheques received in respect of credit sales. The double entries to record these items are

Debit	Cash account
Credit	Cash sales
Debit	Cash account
Credit	Sales ledger control account

- (2) The business will pay certain of its expenses in cash, for example wages or window cleaning. These expenses are entered on the credit side of the cash account, the other side of the double entry being a debit to the statement of profit or loss expenses section.
- (3) Having paid out cash expenses, the remaining money will be paid into the bank account ('banked'), the double entry being:
- Debit Bank account
- Credit Cash account
- (4) The balance at the start of the year will be shown in the question unless the business began in the current year, in which case there will be no opening balance.
- (5) The closing balance may be given in the question. If this is the case, one of the other figures in the cash account will be a balancing figure requiring calculation.

Bank account

	\$		\$
Balance b/d	X (note 5)	Payment of expenses from bank	X (note 2)
Bankings from cash	X (note 1)	Payments to suppliers	X (note 3)
		Drawings	X (note 4)
		Balance c/d	X (note 6)
	<u>XX</u>		<u>X</u>

Notes:

- (1) This is the other side of the double entry in note 3 above in the cash account. You should always perform this complete double entry in the cash account and bank account.
- (2) Some expenses will be paid for specifically out of the bank account by cheque or standing order, for example salaries, rent or rates. These expenses are credited as normal to the bank account and debited to the relevant expense category in the statement of profit or loss.
- (3) Payments to suppliers are usually made by cheque. The double entry is:
- Debit Purchase ledger control account
- Credit Bank account
- (4) Drawings would be a typical 'missing' figure requiring calculation in an exam question.
- (5) The balance at the start of the year will be shown in the question unless the business began in the current year, in which case there will be no opening entry. This could be a debit or credit balance.

- (6) The closing balance in the bank account may be given in the question, in which case one of the other figures in the bank account will be a balancing figure, or it will have to be worked out from the other figures. The only potential complication with the closing balance in the bank is that the figure given in the question may be the balance per the bank statement. In this instance there will be some information in respect of unpresented cheques and outstanding lodgements enabling the calculation of the closing bank account balance by means of a bank reconciliation. Again, as with the opening balance, this may be a debit or credit balance.

4.2 EXAMPLE

The accounting books of Stevens and Sons have not been kept up to date. The bank and cash accounts need to be created from the following information.

The balances on the accounts from the previous year's financial accounts are:

Bank \$33,000 Dr

Cash \$2,000

During the year \$40,000 was received from customers for sales. Cash expenses totalled \$1,000 and \$38,000 was paid into the bank.

Cheque payments for expenses were \$20,000 for salaries and \$5,000 for rent. Credit purchases paid for were \$25,000.

The closing balance on the bank statement was \$13,000 but there was a cheque not yet presented at the year end of \$2,000.

Stevens regularly wrote cheques to himself for drawings, but could not remember how much these were for.

4.3 SOLUTION

Step 1 Set up a proforma cash account.

Cash account			
	\$		\$
Balance b/d		Paid to bank	
Cash from customers		Cash expenses	
	_____	Balance c/d	_____
	_____		_____

Step 2 Set up a proforma bank account.

Bank account			
	\$		\$
Balance b/d		Salaries	
Cash paid into bank		Rent	
		Purchases	
		Balance c/d	
	_____		_____
	_____		_____

Step 3 Insert figures into the proformas from the question.

Conclusion Note at this point it is vital that all double entry is maintained. Apart from the opening and closing balances, every other figure has a double entry which should immediately be recorded in an appropriate place.

Cash account			
	\$		\$
Balance b/d	2,000	Paid to bank	38,000
Cash from customers	40,000	Cash expenses	1,000
		Balance c/d	
	_____		_____
	_____		_____

Bank account			
	\$		\$
Balance b/d	33,000	Salaries	20,000
Cash paid into bank	38,000	Rent	5,000
		Purchases	25,000
		Balance c/d	11,000
		(see note below)	
	_____		_____
	_____		_____

Note: The bank statement showed a figure of \$13,000 but there was still a cheque of \$2,000 to pass through the account. Therefore the 'real' bank balance is only \$11,000.

Step 4 Review the accounts for missing figures.

Conclusion At this point some assumptions have to be made. The note on drawings indicates that all drawings have been made via cheque and therefore come from the bank account. Any imbalance on the bank account must therefore be assumed to have come from drawings.

In the absence of any further information, it must be assumed that the balance remaining in the cash account is cash on hand at the year end.

Cash account

	\$		\$
Balance b/d	2,000	Paid to bank	38,000
Cash from customers	40,000	Cash expenses	1,000
		Balance c/d	3,000
	<u>42,000</u>		<u>42,000</u>

Bank account

	\$		\$
Balance b/d	33,000	Salaries	20,000
Cash paid into bank	38,000	Rent	5,000
		Purchases	25,000
		Drawings (balancing figure)	10,000
		Balance c/d	11,000
	<u>71,000</u>		<u>71,000</u>

4.4 SALES (RECEIVABLES) LEDGER CONTROL ACCOUNT

Having looked at the bank account and cash account, it is now necessary to piece together a sales ledger control account from the cash receipts information in the cash account and other information in the question. The construction of the sales ledger control account enables the calculation of figures such as total sales or receivables for the statement of profit or loss and statement of financial position respectively.

Proforma sales ledger control account:

Sales ledger control account			
Balance b/d	X (note 1)	Cash received from customers	X (note 2)
Sales (bal fig)	X (note 4)	Balance c/d	X (note 3)
	<u>XX</u>		<u>XX</u>

Notes:

- (1) This figure will be given in the question unless the business started in the current year in which case there will be no opening receivables.
- (2) The cash received from customers is the credit entry resulting from the debit to the cash account.
- (3) The balance carried down on the sales ledger control account will usually be indicated in the question.
- (4) The missing figure on the control account is usually sales which can be worked out by completing the T-account.

4.5 EXAMPLE

The balance on the sales ledger control account of Stevens and Sons at the end of last year was \$12,000.

The total cash received from customers during the year was \$40,000.

A review of outstanding sales invoices, unpaid at the year end showed a total of \$16,000.

Prepare the sales ledger control account.

4.6 SOLUTION

Step 1 Set up a proforma sales ledger control account.

Sales ledger control account			
	\$		\$
Balance b/d		Cash received from customers	
Sales (bal fig)		Balance c/d	
	<u> </u>		<u> </u>
	<u> </u>		<u> </u>

Step 2 Insert known figures into proforma.

Conclusion Note that the entry for cash received from customers would already have been made to this account when completing the cash account because every entry (apart from year end balances) written in any proforma should always have a double entry.

Sales ledger control account

	\$		\$
Balance b/d	12,000	Cash received from customers	40,000
Sales (bal fig)	?	Balance c/d	16,000
	<u>56,000</u>		<u>56,000</u>

Step 3 Find the missing figure.

Sales ledger control account

	\$		\$
Balance b/d	12,000	Cash received from customers	40,000
Sales (bal fig)	44,000	Balance c/d	16,000
	<u>56,000</u>		<u>56,000</u>

4.7 PURCHASE (PAYABLES) LEDGER CONTROL ACCOUNT

Finally, it is necessary to piece together a purchase ledger control account from the credit purchase payments information and, also, other information in the question. This construction of the purchase ledger control account is necessary to enable the credit purchases of the business to be calculated, or possibly the closing payables, depending upon the information given.

Proforma purchase ledger control account

Purchase ledger control account

	\$		\$
Payments made to suppliers X (note 2)		Balance b/d	X (note 1)
Balance c/d	X (note 3)	Purchases (bal fig)	X (note 4)
	<u>XX</u>		<u>XX</u>

Notes:

- (1) This figure will be given in the question unless the business started in the current year in which case there will be no opening payables.
- (2) The payments to suppliers is the debit entry resulting from the credit for purchase payments in the bank account.
- (3) The balance carried down on the purchase ledger control account will usually be indicated in the question.
- (4) The missing figure on the control account is usually credit purchases which can be worked out by completing the T-account.

4.8 EXAMPLE

The payments made in respect of credit purchases per the bank account totalled \$25,000 (see example above). Stevens says that the business currently owes about \$5,000 for building materials. At the same time last year the business owed \$7,000.

Work out the purchases for the year.

4.9 SOLUTION

Step 1 Set up a proforma purchase ledger control account.

Purchase ledger control account

	\$		\$
Payments made to suppliers		Balance b/d	
Balance c/d		Purchases (bal fig)	
	_____		_____
	_____		_____

Step 2 Insert the known figures.

Conclusion In a full question the payments made to suppliers would already have been posted to this account as part of the double entry of the bank account.

Purchase ledger control account

	\$		\$
Payments made to supplier	25,000	Balance b/d	7,000
Balance c/d	5,000	Purchases (bal fig)	?
	_____		_____
	30,000		30,000
	_____		_____

Step 3 Work out the missing purchases figure.

Purchase ledger control account

	\$		\$
Payments made to suppliers	25,000	Balance b/d	7,000
Balance c/d	5,000	Purchases (bal fig)	23,000
	<u>30,000</u>		<u>30,000</u>

5 USING COST STRUCTURES TO FIND MISSING FIGURES

5.1 INTRODUCTION

In the last few sections it has been shown how the sales and purchases figures can be calculated with knowledge of the bank and cash account and control accounts.

In some instances insufficient information is given to reconstruct both control accounts in full. If this is the case, you are likely to have to find either sales or purchases using the ledger account method and then find use a cost structure to find the other statement of profit or loss figure.

Two types of cost structure may be used:

- gross profit margin
- mark-up

5.2 GROSS PROFIT PERCENTAGE (MARGIN)

In the statement of profit or loss the relationship between sales and gross profit is measured in terms of gross profit percentage.

Definition **Gross profit percentage** is the profit made per \$100 of sales, expressed as a percentage.

For example, take the following statement of profit or loss:

	\$
Sales	100
Cost of sales	(80)
Gross profit	<u>20</u>

The business will make \$20 of gross profit from sales of \$100, therefore the gross profit percentage is 20%.

This figure can be worked out for any level of sales by dividing gross profit by sales and multiplying by 100. (The multiplication is to convert the figure to a percentage.)

So for the example above:

$$\text{Gross profit percentage} = \frac{20}{100} \times 100 = 20\%$$

5.3 MARK UP

When a business purchases goods for resale it will often add an amount on to the purchase price to get the selling price. For example, if goods are purchased for \$100 and the selling price is \$130, the mark up is \$30.

Definition **Mark-up** is the amount of profit added to cost to get the selling price.

This figure is often expressed as a percentage of purchase price:

$$\text{Mark-up on cost} = \frac{30}{100} \times 100 = 30\%$$

5.4 ESTABLISHING A COST STRUCTURE

For any calculations involving gross profit margins or mark-ups it is imperative to work out a cost structure linking cost and selling price in % terms before any attempt is made at the calculation. The golden rule with cost structures is that whatever profit is based on is 100%.

For example, the cost structure for a gross margin of 20%:

	%
Cost	80
Add profit	20
Selling price	100

A gross margin calculates profit as a percentage of sales, so profit is based on selling price. Therefore, selling price is 100%, profit is 20%, so cost must be the balancing figure of 80%.

In contrast, the cost structure for a mark-up of 30% on cost is:

	%
Cost	100
Add profit	30
Selling price	130

A mark-up is based on cost; it is the profit that is added on to cost and therefore cost is 100% this time.

The profit of 30% when added to cost gives a selling price of 130%.

Conclusion The cost structure is very important in calculating figures needed in incomplete records questions. To remember which figure is 100% in the cost structure learn these phrases:

- mark-up on cost
- gross margin on sales.

ACTIVITY 2

Jones applies a mark-up of 40% to his purchases. If his sales for the year are \$150,000 what will be his expected gross profit?

For a suggested answer, see the 'Answers' section at the end of the book.

ACTIVITY 3

Filbert consistently achieves a gross margin of 25%. What will his sales be to achieve a profit of \$50,000?

For a suggested answer, see the 'Answers' section at the end of the book.

5.5 USING COST STRUCTURES

The statement of profit or loss will contain the following figures:

	\$	\$
Sales		x
Opening inventory	x	
Purchases	x	
	x	
Less: Closing inventory	(x)	
Cost of sales		(x)
Gross profit		xx

When using cost structures in incomplete records situations, the impact of opening and closing inventory will need to be taken into account. In some cases closing inventory is actually the missing figure. This is best explained by way of an example.

5.6 EXAMPLE

Continuing the example in the previous activities, Stevens and Sons forgot to do a year-end inventory count so no closing inventory figure is available. However they do know that a mark-up of 100% is applied to building materials to get the final selling price. Inventory at the end of last year was \$5,000.

Using this and earlier information given/derived find the closing inventory figure that would appear in the statement of financial position.

5.7 SOLUTION

Step 1 Set up a proforma statement of profit or loss to see what figures are available.

Stevens and Sons statement of profit or loss

	\$	\$	
Sales		44,000	(from the sales ledger control account)
Opening inventory (given in the question)	5,000		
Purchases (from the purchase ledger control acc)	23,000		
	<u>28,000</u>		
Less: Closing inventory	?		
Cost of sales		<u>?</u>	
Gross profit		<u>??</u>	

Using cost structures and the sales figure, the cost of sales and gross profit can be found, so this will be the next step.

Step 2 Establish the cost structure.

	%
Cost	100
Add profit	100
	<u>200</u>
Sales	

Step 3 Use the cost structure to find cost of sales and gross profit from sales.

Sales	=	\$44,000
Cost of sales	=	$44,000 \times \frac{100}{200}$
	=	\$22,000
Gross profit	=	$44,000 \times \frac{100}{200}$
	=	\$22,000
or	=	$44,000 - 22,000$
	=	\$22,000

- Step 4** Complete the statement of profit or loss, with the closing inventory as the balancing figure.

Stevens and Sons statement of profit or loss

	\$	\$
Sales		44,000
Opening inventory	5,000	
Purchases	23,000	
	28,000	
Less: Closing inventory (bal fig see note 2)	(6,000)	
Cost of sales (bal fig see note 1)		22,000
Gross profit		22,000

Note 1 If sales are \$44,000 and gross profit is \$22,000 then cost of sales must be \$22,000

Note 2 If cost of sales are \$22,000 and opening inventory and purchases total \$28,000, then it must mean that closing inventory was \$6,000.

- Step 5** Insert the closing inventory figure in the statement of financial position.

5.8 A STRUCTURED APPROACH TO EXAM QUESTIONS

So far, the basic building blocks of the T-account approach have been demonstrated, namely cash and bank accounts, control accounts and cost structures. The next step is to use these within an overall approach to incomplete records questions in order to gain as many marks as possible within the relatively short timescale of an exam. The next section deals with this overall approach and will rely upon your understanding of the techniques covered in this chapter.

6 COMPREHENSIVE EXAMPLE

6.1 STEPS TO A GOOD ANSWER

- Step 1** Read the requirements.

This is an important first step. If the examiner only asks for extracts of a statement of profit or loss then it will be a waste of time drafting a statement of financial position as well. No marks will be given, even if it does balance!

- Step 2** Glance through the notes.

Before writing any part of the answer, very briefly read through the question to ascertain what type of question it is and what potential problems there are. At this stage of the answer, it is vital that nothing is read more than once and that no time is spent dwelling on difficult parts to the question. To do so at this point is very demoralising as the focus is immediately on the hard parts of the question, ignoring the many easy marks that are up for grabs.

Step 3 Set out proforma as required.

The next step is to write out the following proformas:

- statement of profit or loss
- statement of financial position
- cash account
- bank account
- sales ledger control account
- purchase ledger control account.

At this point you may wish to slot in some final figures if they are given in the question, such as opening and closing inventory, receivables, payables, bank and cash.

Step 4 Work through the cash/bank account.

Starting with the cash account, post all the information given in the question concerning the cash account to this account and also post the opposite side of each entry to the relevant place. Tick each figure on the face of the question paper as it is dealt with. The year-end cash balance will require insertion into the cash account and the statement of financial position.

So for example, when posting cash received from customers, write the entry in the cash account, and straight away put the credit into the sales ledger control account.

For cash expenses, post the credit to cash account and post the debit to the statement of profit or loss by writing the figure in brackets next to the category heading in expenses. For example:

Suppose wages were \$5,000 paid from the cash account. The credit is written in the cash account. The debit would be written like the following:

Statement of profit or loss extract – expenses

Rates

Wages and salaries (5,000)

Rent, etc.

This figure will be added to later on.

If there is a difficult figure to deal with that cannot be dealt with in about 10 seconds put a circle around the figure and go back to it later.

Having dealt with the cash account information, move on to the bank account and follow the same process with regard to posting the information in the question. So for example, suppose salary payments were \$15,000. Write this figure into the bank account proforma and immediately write it against the salary category in the margin of the statement of profit or loss as follows:

Statement of profit or loss extract – expenses

Rates

Wages and salaries (5,000 + 15,000)

Rent, etc.

Step 5 Complete sales ledger control account.

Find the opening and closing receivables from the question and insert the figures into the proforma. Find the balancing sales figure and put it into the statement of profit or loss proforma. The closing receivables figure may be put into the statement of financial position at this point.

Step 6 Complete purchase ledger control account.

Find the opening and closing payables from the question and insert the figures into the proforma. Find the balancing purchases figure and put it into the statement of profit or loss proforma. The closing payables figure may be put into the statement of financial position at this point.

Step 7 Balance up the cash account and bank account.

Until this point it is possible that some figures might be needed to finish the cash and bank accounts from the control accounts. Once these accounts are balanced it is probably safe to finish the cash and bank accounts and to put their closing balances into the statement of financial position.

Step 8 Finish the top half of the statement of profit or loss.

Use the cost structure technique to find any missing figures, for example, closing inventory. Post the closing inventory to the statement of financial position.

Step 9 Other accounting adjustments.

Other likely adjustments will be:

- depreciation
- accruals
- prepayments.

Deal with these in the normal double entry fashion

Step 10 Finish the statement of profit or loss.

Add up all the figures in the margin and put the final total of each expense category in the expenses column of the statement of profit or loss.

Total up the expenses and deduct them from gross profit to arrive at net profit.

Step 11 Finish the statement of financial position.

Find the opening capital balance by adding up the opening assets and taking away the opening liabilities in the same way as for a net assets approach question. The resulting figure will be the capital brought forward.

Ensure the balances given in the question are adjusted for the amounts noted in the margin.

Total up the statement of financial position.

ACTIVITY 4

The above structured approach can be demonstrated using Stevens and Sons. Most of the information has already been seen in the separate examples of the specific techniques. This is how the Stevens and Sons example would appear in an exam question.

The accounting books of Stevens and Sons are incomplete, however it was possible to find out the following information.

Last year's accounts showed the following balances:

Non-current assets	\$50,000
Inventory	\$5,000
Receivables	\$12,000
Cash at bank	\$33,000
Cash in hand	\$2,000
Payables	\$7,000

During the year \$40,000 was received from customers for sales.

Cash expenses totalled \$1,000 made up as follows:

Wages	\$800
Sundry expenses	\$200

\$38,000 was paid into the bank.

An analysis of the cheque book (including the unrepresented cheque below) revealed the following payments:

Salaries	\$20,000
Rent	\$5,000
Purchases on credit	\$25,000

The closing balance on the bank statement was \$13,000 but there was a cheque not yet presented at the year end of \$2,000.

Stevens regularly wrote monthly cheques to himself for drawings, but had not recorded their amounts.

A review of outstanding sales invoices, unpaid at the year end showed a total of \$16,000.

Stevens says that the business currently owes about \$5,000 for building materials.

Stevens forgot to do a year-end inventory count so no closing inventory figure is available. However, a mark-up of 100% is applied to building materials to get the final selling price.

There is a sundry expense accrual of \$50 and a rent prepayment of \$300.

Depreciation is to be provided at 20% on carrying value.

Required:

Prepare an statement of profit or loss for the year and a statement of financial position as at the year end.

For a suggested answer, see the 'Answers' section at the end of the book.

CONCLUSION

This chapter has outlined a variety of techniques for recreating financial statements from incomplete records. Some of the techniques (such as control accounts) will already have been familiar to you.

In an exam, and in real life, the choice of techniques will depend on the information available to you. The key thing is to be methodical.

Incomplete records are a favourite topic in exams because they test you on your understanding of accounting, and your ability to apply your knowledge and skills to unusual situations.

KEY TERMS

Cost structure – the relationship between the sales, cost of sales and gross profit figures. It may be a gross profit percentage or mark up.

Gross profit percentage – profit made per \$100 of sales, expressed as a percentage.

Mark-up – the amount of profit added to cost to get the selling price.

Net assets approach – the method used to find a missing profit or loss figure using the accounting equation.

SELF TEST QUESTIONS

	<i>Paragraph</i>
1 Complete this version of the accounting equation: Increase in net assets =	2.1
2 What is the double entry for bankings from cash?	4.1
3 What useful figures may be obtained by use of a sales ledger control account?	4.4
4 What does the term 'mark-up' mean?	5.3
5 What is the cost structure for a mark-up of 30%?	5.4
6 What is the cost structure for a gross margin of 20%?	5.4

EXAM-STYLE QUESTIONS

- 1** Harry's accounting records have been destroyed by a fire, but the following information has been gathered for 31 December.
- (a) The net assets as at 1 January were \$46,000.
 - (b) Harry's drawings during the year were \$18,000.
 - (c) The net assets of the business at 31 December are \$57,000.
 - (d) During the year, Harry introduced fresh capital of \$10,000.
- What was the profit for the year?
- A** \$3,000
 - B** \$17,000
 - C** \$19,000
 - D** \$21,000
- 2** Perry is a retailer. He applies a gross mark-up of 60% on cost to establish his selling prices. During the year just ended, his sales were \$224,000. What was his gross profit?
- A** \$64,000
 - B** \$84,000
 - C** \$134,400
 - D** \$140,000
- 3** Fiona charges a mark-up of 30% on cost. During the year she made purchases of \$490,000 and sales of \$663,000. Opening inventories were \$37,000. What was the value of closing inventory?
- A** \$11,100
 - B** \$17,000
 - C** \$57,000
 - D** \$62,900
- 4** A business marks up its goods by 60%. Sales are \$200,000 for the year. What is the gross profit?
- A** \$75,000
 - B** \$80,000
 - C** \$120,000
 - D** \$125,000

- 5 A business makes a 30% margin on its sales. Opening inventory is \$40,000, closing inventory is \$10,000 and purchases are \$180,000. What is the amount of sales?
- A \$195,000
- B \$234,000
- C \$273,000
- D \$300,000
-

PRACTICE QUESTION

JONES AND SONS

Jones and Sons is a firm of builders who have been trading for just over a year. The tax authorities have just raised a tax assessment on the firm based on profits of \$42,000. The owner David Jones does not believe that the firm has done that well because the business has an overdraft at the year end. He needs a profit figure with which to counter the claim by the tax authorities. Unfortunately proper accounting records have not been maintained.

However the following facts have been established in respect of the year end.

Van at cost \$12,000. This needs to be depreciated at 25% straight line. Sundry building tools purchased in the year cost \$4,000 of which \$1,000 is to be written off.

Inventory of cement and sand at cost \$1,000.

Owed by clients – \$26,000. A debt of \$1,000 is to be written off for work in dispute and an allowance for receivables of \$500 is required.

There is an overdraft of \$2,000.

Trade payables amount to \$7,000.

There are accrued expenses of \$150.

The Jones family introduced \$10,000 at the start of the year and have drawn out an average of \$2,000 per month.

Required:

Calculate the profit of Jones and Sons for the year, based upon the above information.

For a suggested answer, see the 'Answers' section at the end of the book.

ANSWERS TO ACTIVITIES AND END-OF-CHAPTER QUESTIONS

CHAPTER 1

ACTIVITY 1

	<i>Supplies</i>	<i>Tax element</i>
(a)	\$120 gross	Tax = \$20
(b)	\$480 gross	Tax = \$80
(c)	\$200.00 net	Tax = \$40
(d)	\$1,272 gross	Tax = \$212
(e)	\$17,484 gross	Tax = \$2,914

EXAM-STYLE QUESTIONS

- 1 **A**
- 2 **D**

PRACTICE QUESTION

GRACE

Cash at bank			
	\$		\$
Capital	5,000	Purchases	1,000
Sales	1,200	Fixtures and fittings	900
Tom	1,900	Wages	100
Sales	500	Eileen	1,350
Trevor	500	Purchases	700
Guy – Loan	1,000	Wages	150
		Eric	850
		Computer	4,000
		Wages	150
Car			
	\$		\$
Capital	4,500		

Capital			
	\$		\$
		Cash	5,000
		Car	4,500
Purchases			
	\$		\$
Cash	1,000		
Eileen	1,500		
Eric	850		
Cash	700		
Sales			
	\$		\$
		Cash	1,200
		Tom	900
		Trevor	800
		Tom	1,000
		Cash	500
Fixtures and fittings			
	\$		\$
Cash	900		
Eileen – Payable			
	\$		\$
Cash	1,350	Purchases	1,500
Tom – Receivable			
	\$		\$
Sales	900	Cash	1,900
Sales	1,000		
Eric – Payable			
	\$		\$
Cash	850	Purchases	850
Trevor – Receivable			
	\$		\$
Sales	800	Cash	500
Wages			
	\$		\$
Cash	100		
Cash	150		
Cash	150		

Guy – Loan

\$	Cash
	\$ 1,000

Computer

\$	Cash
4,000	\$

CHAPTER 2

ACTIVITY 1

Purchases day book

Date	Invoice number	Supplier	Payables ledger ref	Total \$	Sales tax \$	Inventory purchases \$	Repairs \$	Non-current assets \$	Electricity \$	Rent and rates \$	Motor expenses \$
6/6/X4	8	N Hudson	PLHud3	4,800	800	4,000					
10/6/X4	9	Doors Ltd	PLDor10	960	160		800				
20/6/X4	CN6	N Hudson	PLHud3	(480)	(80)	(400)					
30/6/X4	10	G Farr	PLFar8	2,400	400			2,000			
Totals				7,680	1,280	3,600	800	2,000			

Conclusion The sum of the tax and the net amounts **must** agree with the figure in the total column. This will ensure that the double entry accounting system remains intact, as the total will form one side of the double entry, whilst the tax and the net amount form the other side.

ACTIVITY 2

Payables ledger control account

\$	Purchases day book (PDB)
	\$ 7,680

Sales tax account

\$	PDB
1,280	\$

Purchases account

\$	PDB
3,600	\$

Repairs account			
	\$		\$
PDB	800		
Non-current assets account			
	\$		\$
PDB	2,000		

Note that the double entry balances.

Conclusion The purchase day book analyses all credit purchase invoices received during a period between appropriate expense headings. The totals are posted to the general ledger:

Debit	Sales tax
	Purchases
	Expenses . . .
Credit	Payables ledger control account

ACTIVITY 3

Analysed cheque payments day book

Date	Payee	Cheque number	Total \$	Payables ledger \$	Payables ledger ref	Sales tax \$	Insurance \$	Wages \$	Drawings \$	Petty cash \$	Sundry \$	Discount received \$
23/7/X4	N Hudson	1003	4,320	4,320*	PLHud3							
24/7/X4	G Farr	1004	2,400	2,400*	PLFar8							
28/7/X4	E.Lectra	1005	960			160					800	
30/7/X4	Wages	1006	2,500					2,500				
Totals			10,180	6,720		160		2,500			800	

* Note that there is no entry for tax as the tax on the invoices has already been accounted for in the purchases day book.

Conclusion The total column should agree to the sum of all the other columns except the memorandum discounts column. As in the purchases day book, these totals will form the basis of the double entry. If they do not agree with each other, then the double-entry will be incorrect.

ACTIVITY 4

Where applicable, figures posted to the accounts already (for the previous activity) are shown in *italics*.

Payables ledger control account

	\$		\$
Cheque payments day book (CPDB)	6,720	PDB	7,680

Sales tax account

	\$		\$
PDB	1,280		
CPDB	160		

Cash at bank account

	\$		\$
		CPDB	10,180

Sundry expenses

	\$		\$
PDB	800		

Wages account

	\$		\$
CPDB	2,500		

Conclusion The analysed cheque payments day book analyses all payments made from the bank during a period. The totals are posted to the general ledger:

Debit Payables ledger control account

Sales tax

Cash purchases

Cash expenses

Credit Cash at bank account

ACTIVITY 5**Sales day book**

Date	Invoice number	Customer	Receivables ledger ref	Total \$	Sales tax \$	North sales \$	South sales \$
15/9/X6	68	Forks Ltd	SLFor3	24,000	4,000	20,000	
18/9/X6	69	BL Lorries	SLBLL1	4,800	800		4,000
30/9/X6	70	MA Meters	SLMam2	2,880	480	2,400	
Total				31,680	5,280	22,400	4,000

Conclusion The sum of the tax and the net amount **must** agree with the figure in the total column. This will ensure that the double entry accounting system remains intact. The total will form one side of the double entry, whilst the tax and the net amount form the other side.

ACTIVITY 6

Receivables ledger control account

	\$		\$
Sales day book (SDB)	31,680		

Sales tax account

	\$		\$
		SDB	5,280

North sales account

	\$		\$
		SDB	22,400

South sales account

	\$		\$
		SDB	4,000

Conclusion The sales day book analyses all credit sales invoices issued during a period between appropriate income headings. The totals are posted to the general ledger:

Debit Receivables ledger control account

Credit Sales tax

Sales

Sundry income

ACTIVITY 7

Analysed cash received day book

Date	Receipt from	Total	Rec'ables ledger	Rec'ables ledger ref	Sales tax	Capital introduced	Cash sales	Deposit a/c interest
		\$	\$		\$	\$	\$	\$
18/10/X6	BL Lorries	4,800	4,800	SLBLL1				
28/10/X6	MA Meters	2,880	2,880	SLMam2				
31/10/X6	Cash sale	1,200			200		1,000	
Totals		8,880	7,680		200		1,000	

Conclusion The total column should agree to the sum of all the other columns mentioned above. As in the sales day book, these totals will form the basis of the double entry. If they do not agree with each other, the double-entry will be incorrect.

ACTIVITY 8

Note that where applicable, figures already posted to the accounts from the day books and cash payments both are shown in *italics*.

Receivables ledger control account

	\$		\$
<i>Sales day book (SDB)</i>	<i>31,680</i>	Cash received day book (CRDB)	<i>7,680</i>

Sales tax account

	\$		\$
		<i>SDB</i>	<i>5,280</i>
		CRDB	200

Cash at bank account

	\$		\$
CRDB	<i>8,880</i>		

Cash sales account

	\$		\$
		CRDB	<i>1,000</i>

Conclusion The cash received day book analyses all cash and cheques paid into the bank during a period. The totals are posted to the general ledger:

Debit	Cash at bank account
Credit	Receivables ledger control account
	Sales tax
	Cash sales
	Other cash receipts

ACTIVITY 9

Receivables ledger control account

	\$		\$
Sales	<i>1,000</i>	Cash at bank	<i>1,000</i>

Sales account

	\$		\$
		Receivables ledger control account	<i>1,000</i>

Cash at bank account

	\$		\$
Receivables ledger control account	1,000		

Remember to deduct trade discount at the point of sale before accounting for the sale. The net amount of the sale is therefore \$1,000 ($\$1,250 - (\$1,250 \times 20\%)$). The settlement discount is ignored as the customer was not expected to take advantage of the discount terms, and subsequent payment was received outwith the discount period.

ACTIVITY 10**Receivables ledger control account**

	\$		\$
Sales	975	Cash at bank	975

Sales account

	\$		\$
		Receivables ledger control account	975

Cash at bank account

	\$		\$
Receivables ledger control account	975		

Remember to deduct trade discount at the point of sale before accounting for the sale. The net amount of the sale is therefore \$1,000 ($\$1,250 - (\$1,250 \times 20\%)$). If the customer is expected to take advantage of the settlement discount terms, this is also deducted before accounting for the transaction. Therefore the transaction should be accounted for at \$975 ($\$1,000 - (\$1,250 \times 20\%)$).

ACTIVITY 11**Receivables ledger control account**

	\$		\$
Sales	975	Cash at bank	975

Sales account

	\$		\$
		Receivables ledger control account	975
		Cash	25

Cash at bank account

	\$		\$
Receivables ledger control account	1,000		

Remember to deduct trade discount at the point of sale before accounting for the sale. The net amount of the sale is therefore \$1,000 ($\$1,250 - (\$1,250 \times 20\%)$). If the customer is expected to take advantage of the settlement discount terms, this is also deducted before accounting for the transaction. Therefore the transaction should be accounted for at \$975 ($\$1,000 - (\$1,000 \times 2.5\%)$). However, if the customer does not take advantage of the settlement discount, the full amount of \$1,000 is due, with the 'excess cash' received treated as a cash sale.

ACTIVITY 12

Receivables ledger control account			
	\$		\$
Sales	1,000	Cash at bank	975
		Sales account	25
Sales account			
	\$		\$
Receivables ledger control account	25	Receivables ledger control account	1,000
Cash at bank account			
	\$		\$
Receivables ledger control account	975		

Remember to deduct trade discount at the point of sale before accounting for the sale. The net amount of the sale is therefore \$1,000 ($\$1,250 - (\$1,250 \times 20\%)$). The settlement discount is initially ignored as the customer is not expected to take advantage of the discount terms. However, when the customer subsequently pays promptly, revenue is reduced and receivables are reduced to reflect that fact that a reduced amount has been received in full settlement of the amount due. The final journal adjustment to clear the receivable balance and reduce sales revenue is as follows:

Debit: Sales account \$25

Credit Trade receivables control account \$25

ACTIVITY 13

Payables ledger control account			
	\$		\$
Cash at bank	490	Purchases	500
Discounts received	10		
Discounts received account			
	\$		\$
		Payables ledger control account	10

Notice how an extra double entry in addition to the cash at bank entry has to be made to account for the settlement discount received.

ACTIVITY 14

Forks Ltd (SLFor3)			
	\$		\$
15/9/X6 Invoice 68	24,000		
BL Lorries (SLBLL1)			
	\$		\$
18/9/X6 Invoice 69	4,800		
MA Meters (SLMam2)			
	\$		\$
30/9/X6 Invoice 70	2,880		

ACTIVITY 15

Note that where applicable, figures already posted to the accounts from the sales day book are shown in *italics*.

Forks Ltd (SLFor3)			
	\$		\$
15/9/X6 Invoice 68	24,000		
BL Lorries (SLBLL1)			
	\$		\$
18/9/X6 Invoice 69	4,800	18/10/X6 Cash received	4,800
MA Meters (SLMam2)			
	\$		\$
30/9/X6 Invoice 70	2,880	28/10/X6 Cash received	2,880

Conclusion The individual customers' accounts in the personal ledger are debited with the relevant invoices from the sales day book (there is no corresponding credit entry); the cash receipts book is used as the source for individual cash receipts from customers which are credited to the relevant receivable account (again, with no corresponding debit entry).

ACTIVITY 16

P Jones (PLJon1)			
	\$		\$
10/3/X4 Credit note CN3	235	3/3/X4 Invoice 6	2,415
21/4/X4 Paid	2,115		
Discount received	65		

Windows Ltd (PLWin5)

	\$		\$
		5/3/X4 Invoice 10	470

A Smith (PLSmi4)

	\$		\$
25/4/X4 Paid	4,700	25/3/X4 Invoice 15	4,700

Conclusion The individual suppliers' accounts in the personal ledger are credited with the relevant invoices from the purchase day book (there is no corresponding debit entry); the cash payments book is used as the source for individual payments to suppliers which are debited to the relevant payable account (again, with no corresponding credit entry).

Liabilities to suppliers may also be cleared by the debiting of credit notes (from the PDB) or discounts received (from the CPDB) to the appropriate supplier account in the payables ledger.

ACTIVITY 17

Adrian Plant		Journal		Date 25/9/20X4	
Number of journal	Details	General ledger account reference	Dr \$	Cr \$	
(i) 1	Motor repairs	GL10 (made up)	400		
	Sundry expenses	GL12 (made up)			400
	Being the correction of an incorrect posting of a motor repair expense to sundry expenses				
(ii) 2	Loan account	GL50	1,000		
	Capital	GL100			1,000
	Being monies paid in by A Plant, now to be treated as capital rather than a loan				
(iii) 3	Receivables ledger control	GL25	696		
	Sales (100/120)	GL2			580
	Sales tax (20/120)	GL35			116
	Being an invoice (to G Fox, DL1007) omitted from the sales day book				

Note: An entry would also need to be made in G Fox's account in the receivables ledger. This may also be journalised, as a one-sided entry, but only general ledger journals were required here. This is how the journals would look in the T accounts.

Sundry expenses account

	\$		\$
Cash at bank account	400	Journal 1 – motor repairs	400

Motor repairs account			
	\$		\$
Journal 1 – sundry expenses	400		
Loan account			
	\$		\$
Journal 2 – capital	1,000	Cash at bank	1,000
Capital			
	\$		\$
		Journal 2 – loan	1,000
Receivables ledger control			
	\$		\$
Journal 3	696		
Sales			
	\$		\$
		Journal 3	580
Sales tax			
	\$		\$
		Journal 3	116

Conclusion It is important that you get used to the idea of writing double-entry in journal form, as the examiner may use it as a less time consuming way than T accounts to test your knowledge of double-entry bookkeeping.

EXAM-STYLE QUESTIONS

- 1 **C** The sale has been agreed at \$1,900.
- 2 **A** Remember that the customer was expected to take the discount offered, so the initial sale and receivable is recorded after deducting settlement discount. When the amount is paid after the discount period the full amount is due and the 'excess cash' received is accounted for as a cash sale.

PRACTICE QUESTION 1**ELTON****Cash account**

20X9	\$	20X9	\$
1 Jan Balance b/d	2,801	5 Jan N	847
3 Jan G	536	24 Jan O	591
8 Jan F	723	31 Jan Balance c/d	5,222
19 Jan E	2,600		
	<u>6,660</u>		<u>6,660</u>
1 Feb Balance b/d	5,222		

Sales account

20X9	\$	20X9	\$
		12 Jan G	706

Sales returns account

20X9	\$	20X9	\$
8 Jan F	264		

Purchases account

20X9	\$	20X9	\$
18 Jan P	746		
28 Jan O	203		

Purchases returns account

20X9	\$	20X9	\$
		31 Jan P	76

Discount received account

20X9	\$	20X9	\$
		24 Jan O	9

Receivables ledger**E's account**

20X9	\$	20X9	\$
1 Jan Balance b/d	2,600	19 Jan Cash	2,600
	<u>2,600</u>		<u>2,600</u>

F's account

20X9	\$	20X9	\$
1 Jan Balance b/d	987	8 Jan Sales returns	264
		Cash	723
	<u>987</u>		<u>987</u>

G's account

20X9	\$	20X9	\$
1 Jan Balance b/d	536	3 Jan Cash	536
12 Jan Sales	706	31 Jan Balance c/d	706
	<u>1,242</u>		<u>1,242</u>
1 Feb Balance b/d	706		

H's account

20X9	\$	20X9	\$
1 Jan Balance b/d	381		

Payables ledger**M's account**

20X9	\$	20X9	\$
		1 Jan Balance b/d	2,840
31 Jan Balance c/d	2,840		<u>2,840</u>
	<u>2,840</u>		
		1 Feb Balance b/d	2,840

N's account

20X9	\$	20X9	\$
5 Jan Cash	847	1 Jan Balance b/d	1,990
31 Jan Balance c/d	1,143		<u>1,990</u>
	<u>1,990</u>		
		1 Feb Balance b/d	1,143

O's account

20X9	\$	20X9	\$
24 Jan Cash (98.5% × \$600)	591	1 Jan Balance b/d	600
Discount received	9	28 Jan Purchases	203
31 Jan Balance c/d	203		<u>803</u>
	<u>803</u>		
		1 Feb Balance b/d	203

P's account			
20X9	\$	20X9	\$
31 Jan Purchase returns	76	18 Jan Purchases	746
31 Jan Balance c/d	670		
	746		746
		1 Feb Balance b/d	670

PRACTICE QUESTION 2

JOSHUA JENKINS

		Journals	
Transaction number	Details	Dr \$	Cr \$
1	Purchases account	5,000	
	Sales tax account	1,000	
	Payables ledger control account		6,000
2	Receivables ledger control account	7,200	
	Sales tax account		1,200
	Sales account		6,000
3	Cash at bank account	1,200	
	Sales tax account		200
	Sales account		1,000
4	Payables ledger control account	3,000	
	Cash at bank account		3,000
5	Cash at bank account	8,000	
	Receivables ledger control account		8,000
	Note that no entry for sales tax is made in 4 and 5 as these transactions merely pay off the debt. The tax was accounted for when the original purchase and sale were made.		
6	Drawings account	900	
	Cash at bank account		900
7	Wages account	700	
	Cash at bank account		700
8	Motor expenses account	40	
	Sales tax account	8	
	Cash at bank account		48
9	Office furniture account	200	
	Sales tax account	40	
	Cash at bank account		240
10	Sales tax account	308	
	Cash at bank account		308
11	Loan account	250	
	Loan interest account	25	
	Bank account		275

CHAPTER 3

ACTIVITY 1

	<i>Debit</i>	<i>Credit</i>
	\$	\$
(a) The entry <i>should</i> have been:		
Drawings	150	
Cash		150
The <i>actual</i> entry was		
Sundry expenses	150	
Cash		150
The <i>correcting</i> entry required is therefore		
Drawings	150	
Sundry expenses		150
(b) Equipment cost	500	
Disposals		500
(c) Equipment cost	2,500	
Payables		2,500

The best approach in determining the appropriate correcting journal is to think what *should* have happened (write the double entry as it originally should have been) and compare this with what *did* happen (again in double entry) and thus determine the necessary entry to move from the wrong version to the right one.

ACTIVITY 2

	Classification and effect on the suspense account
1 A sales invoice for \$500 was entered as a credit note onto the purchase day book. On the same day a credit note for \$500 from a supplier was entered into the sales day book.	These are both errors of principle. Sales have been recorded as purchases and vice versa. Together, they form a compensating error. These errors will not affect the suspense account.
2 An invoice for \$950 in respect of repairs made to the office interior has been posted to cleaning by mistake.	This is an error of commission. Although this has been posted to the wrong account, it is at least to the correct type of account (an expense account). It will not affect the suspense account.
3 An invoice has been entered into the sales day book twice.	This is an error of original entry. The day book will still add up and cross casts, but the totals will be incorrect. Because the day book still cross-casts, it will not affect the suspense account.
4 A \$15,000 business loan received from a friend of the proprietor has been credited to capital.	This is an error of principle. A loan is a liability that must be repaid, whereas capital belongs to the owner and need never be repaid. This will not affect the suspense account because capital and loans are both credit balances in the statement of financial position.

- 5 The purchase day book has been correctly added-up and cross-cast. However, when the total of \$56,789 was posted to the purchase ledger control account the clerk accidentally entered \$57,689 in the PLCA.
- This is an error of original entry. It is also a transposition error.
- Because the sum of the debit entries (the analysis) will still add up to \$56,789, there will be a difference on the trial balance creating a suspense account balance.

ACTIVITY 3

<i>Account</i>	<i>Debit</i>	<i>Credit</i>
	\$	\$
Motor vehicles	15,000	
Office equipment	10,000	
Opening inventory	30,000	
Receivables	20,000	
Bank	12,000	
Payables		45,000
Loan		20,000
Capital		5,000
Sales		100,000
Purchases	45,000	
Expenses	23,000	
Drawings	10,000	
	165,000	170,000
Suspense account	5,000	
	170,000	170,000

Suspense account

	\$	\$
Balance b/d	5,000	

ACTIVITY 4

(a)	Suspense account			
	\$		\$	
Journal 1	46,912	From trial balance	49,628	
Journal 2	18,000	Journal 4	15,284	
	64,912		64,912	

Journals

	Should	Did	To correct
1	Debit Cash 23,456 Credit Sales 23,456	Debit Sales returns 23,456 Debit Cash 23,456 (Credit Suspense 46,912)	Debit: Suspense 46,912 Credit: Sales returns 23,456 (reversal of actual entry) Credit: Sales 23,456 (to record correct entry) With sales recorded as sales returns.
2	Debit Sundry expenses 35,124 Credit Purchase ledger control account 35,124	Debit Sundry expenses 53,124 Credit Purchase ledger control account 35,124 (Credit Suspense 18,000)	Debit Suspense 18,000 Credit Sundry expenses 18,000 To correct transposition error.
3	Debit Receivables ledger control account 10,000 Credit Sales 10,000	–	Debit Receivables ledger control account 10,000 Credit Sales 10,000 With missing invoices.
4	Debit Rent 15,284 Credit Cash 15,284	Credit Cash 15,284 (Debit Suspense 15,284)	Debit Rent 15,284 Credit Suspense 15,284 To complete one sided entry.

EXAM-STYLE QUESTIONS

- 1 **B**, until she knows for certain what the money was for.
- 2 **A**

PRACTICE QUESTION

GRIMAULT**(a) Uncorrected trial balance as at 30 June 20X6**

	\$	\$
Fixtures and fittings	7,500	
Motor vehicles	6,000	
Inventories	18,000	
Trade receivables	10,800	
Balance at bank	2,550	
Trade payables		10,350
Sales		198,000
Cost of sales	118,800	
Establishment and administrative expenses	17,700	
Sales and distribution expenses	50,250	
Drawings	14,550	
Capital		45,000
	246,150	
Suspense account (bal fig)	7,200	
	253,350	
		253,350

(b) Journal

	<i>Dr</i>	<i>Cr</i>
	\$	\$
Drawings	900	
Purchases		900
Goods withdrawn by proprietor for own use		
Fixtures and fittings	6,750	
Suspense		6,750
Assets purchased but not posted from cash book		
Receivables	450	
Suspense		450
Error in recording sale of \$7,500 to customers		

(c) Corrected trial balance as at 30 June 20X6

	\$	\$
Fixtures and fittings	14,250	
Motor vehicles	6,000	
Inventories	18,000	
Trade receivables	11,250	
Balance at bank	2,550	
Trade payables		10,350
Sales		198,000
Cost of sales	117,900	
Establishment and administrative expenses	17,700	
Sales and distribution expenses	50,250	
Drawings	15,450	
Capital		45,000
	<u>253,350</u>	<u>253,350</u>

CHAPTER 4

ACTIVITY 1

Step 1 Identify the revenue and expense ledger accounts

The classification of the T accounts is as follows; make sure you understand this classification:

<i>T accounts</i>	<i>Classification</i>
Sales	Revenue
Purchases account	Expense
Sundry expenses	Expense
Cash at bank	Asset
Owner's capital	Liability
Loan account	Liability
Property account	Asset
Trade payables	Liability
Trade receivables	Asset
Drawings	Drawings (reduction of liability)

So we need to look at three existing accounts (purchases, sales and sundry expenses) and also open and write up four more for the additional expenses given above.

Step 2 Balance off the accounts, transferring the balancing figure to the statement of profit or loss

Sales account			
	\$		\$
Bal fig		Cash at bank account	7,000
Transfer to statement of profit or loss	21,000	Receivables	14,000
	<u>21,000</u>		<u>21,000</u>

Purchases account

	\$		\$
Cash at bank account	5,000	Bal fig	
Trade payables account	10,000	Transfer to statement	
		of profit or loss	15,000
	<u>15,000</u>		<u>15,000</u>

Sundry expenses account

	\$		\$
Cash at bank account	100	Statement of profit or loss	100
	<u>100</u>		<u>100</u>

Rent expense account

	\$		\$
Cash at bank account	350	Statement of profit or loss	350
	<u>350</u>		<u>350</u>

Rates expense account

	\$		\$
Cash at bank account	600	Statement of profit or loss	600
	<u>600</u>		<u>600</u>

Electricity expense account

	\$		\$
Cash at bank account	150	Statement of profit or loss	150
	<u>150</u>		<u>150</u>

Repairs expense account

	\$		\$
Cash at bank account	100	Statement of profit or loss	100
	<u>100</u>		<u>100</u>

Step 3 Produce the statement of profit or loss**Swing Dancewear****Statement of profit or loss for the month ending X–X–20XX**

	\$	\$
Sales revenue		21,000
Cost of goods sold – purchases (Note)		(15,000)
Gross profit		6,000
Expenses		
Electricity	150	
Rent	350	
Rates	600	
Repairs	100	
Sundry expenses	100	
Total expenses		(1,300)
Net profit		\$4,700

Note: All of the inventory was sold in the period.

Conclusion The statement of profit or loss nets off the balances on the expense accounts against those on the revenue accounts to show the net profit (or loss) for the period which is used as a measure of financial performance of the business.

ACTIVITY 2

Step 1 Identify asset and liability accounts

We have identified the relevant accounts that will form the basis of the statement of financial position. These accounts, written up for all transactions, are shown as part of Step 2. Note that to complete the statement of financial position we also need to bring in the profit for the year, as shown in the statement of profit or loss prepared in activity 1

Step 2 Balance the accounts**Cash at bank account**

	\$		\$
Capital introduced	50,000	Property purchased	40,000
Loan received	30,000	Purchase of inventory	5,000
Sale of inventory	7,000	Sundry expense	100
Receivables	14,000	Drawings	600
		Payables	10,000
		Rent	350
		Rates	600
		Electricity	150
		Repairs	100
		Balance c/d	44,100
	<u>101,000</u>		<u>101,000</u>
Balance b/d	44,100		

Owner's capital account

	\$		\$
		Cash at bank account	50,000

Loan account

	\$		\$
		Cash at bank account	30,000

Property account

	\$		\$
Cash at bank account	40,000		

Payables account

	\$		\$
Cash at bank account	10,000	Purchases of inventory	10,000
Balance c/d	nil		
	<u>10,000</u>		<u>10,000</u>

Receivables account

	\$		\$
Sales	14,000	Cash at bank account	14,000
		Balance c/d	nil
	<u>14,000</u>		<u>14,000</u>

Drawings account			
	\$		\$
Cash at bank account	600	Balance c/d	600
	<u>600</u>		<u>600</u>
Balance b/d	600		

Step 3 Produce the statement of financial position

Swing Dancewear - Statement of financial position as at X-X-20XX

	\$	\$
Non-current assets		
Property		40,000
Current assets		
Inventory	nil *	
Receivables	nil *	
Bank	44,100	44,100
	<u> </u>	<u>84,100</u>
Capital introduced	50,000	
Add profit (from statement of profit or loss activity)	<u>4,700</u>	54,700
Less drawings		<u>(600)</u>
		54,100
Non-current liabilities		
Bank loan		30,000
Current liabilities		
Payables	nil *	
Sales tax owing	<u>nil *</u>	<u>nil *</u>
		84,100

In practice no heading is required for nil amounts; in this example inventory, receivables, payables and sales tax would not be included in the statement of financial position.

PRACTICE QUESTION

POTENTIAL USERS – *three from the following*

Investors and their advisers need information about the return on their investment and about the risk (uncertainty) inherent in the entity's operations. They are interested in current performance and in information that helps them to predict future performance.

Lenders are interested in information that helps them to predict whether their loans will be repaid and whether the loan interest will be paid when it falls due. This means that lenders are interested in the financial position of the company (particularly in the level of cash and current assets) and in its profitability.

Suppliers are interested in the financial position of the company and its ability to pay its accounts payable in the short term. Suppliers need information that helps them to decide whether to sell to the entity.

Employees are interested in information that helps them to assess the ability of their employer to provide wages and salaries, and continuing employment. Employees are also interested in information about the stability and profitability of their employers (for example, as a basis for wage negotiations).

Customers need to be able to predict the business's continued existence. This is especially so when the customer has a long-term trading relationship with the business.

Governments and their agencies need information that helps them to regulate the activities of businesses and to provide a basis for national statistics. Government includes the tax authorities, who need accurate information about the profit made by a business, so that government agencies can assess the tax payable by the business.

CHAPTER 5

ACTIVITY 1

- (a) Accruals or matching concept.
- (b) Historical cost accounting convention.
 - Prudence concept.
 - Going concern concept.
- (c) Materiality concept.
 - Consistency concept.

PRACTICE QUESTION

FOUR ENHANCING QUALITATIVE CHARACTERISTICS

Verifiability

If information has been verified, or is capable of being verified, this provides assurance to users of that information regarding its reliability.

Timeliness

Users of financial information should have information within a timescale that is likely to influence their decisions.

Comparability

Information in accounts needs to be prepared and presented in a way that enables users to appreciate and evaluate similarities in, and differences between, the nature and effects of transactions and other events across time and across different entities.

Understandability

Information is understandable if its significance can be appreciated by users that have a reasonable knowledge of business and economic activities and accounting and are willing to study the information provided with reasonable diligence.

CHAPTER 6

ACTIVITY 1

Revenue expenditure is expenditure that is classified as an expense in the statement of profit or loss.

Capital expenditure is expenditure on non-current assets. It is shown in the statement of financial position.

The purchase of the new motor vehicle is capital expenditure that has been incorrectly treated as revenue expenditure, while the repairs are revenue expenditure that has been incorrectly treated as capital expenditure.

In the statement of profit or loss, expenses are overstated by \$8,500, being the \$10,000 that has been expensed less the \$1,500 that should have been expensed. This reduces the profit for the year by the same amount.

In the statement of financial position, non-current assets are understated by \$8,500. This means that the owner's capital is also understated by \$8,500.

ACTIVITY 2

(a) New cars held by a motor dealership.	These cars will be classified as the current asset of inventory. The cars are held with the intention of resale. The cars should be sold within 12 months.
(b) A car owned by a driving school.	This car will be classified as property, plant and equipment, a non-current asset. The car is being held for use within the business, not for resale.
(c) Finished aeroplanes owned by an aircraft manufacturer.	These assets are held for sale and will be classified as inventory items.
(d) Aeroplanes owned by an airline.	These assets are classified as property, plant and equipment as they are held for use within the business.

ACTIVITY 3

Machine at cost

	\$	\$
Payables	4,000	

Payables account

\$	\$
	Machine cost
	4,000

ACTIVITY 4

Property, plant and equipment at cost

	\$	\$
Payables (PDB)	10,000	

Sales tax account

\$	\$
Non-current asset (PDB)	2,000

Payables account

\$	\$
	Machine cost (PDB)
	12,000

ACTIVITY 5

Asset register

Asset number	Description	Location	Supp. ref	Purch. date	Useful life	Dep method	Cost \$	Residual value \$	Acc dep b/d \$	Dep for year \$	CV \$	Date of disposal	Disposal proceeds \$
13465	IBM computer	Accounts	CS Ltd	30/11/X4	3	SL	1,500	300					
24536	Mixing machine	Fact 1	IS Ltd	4/10/X4	5	RB	4,000	nil					

Conclusion The asset register may carry a large volume of information for each asset, including some that needs to be updated annually, such as accumulated depreciation and carrying value. Some registers have a separate page for each asset to accommodate this. Alternatively, asset registers are often computerised.

EXAM-STYLE QUESTION

1 B

PRACTICE QUESTION

- (a) An asset count will reveal any assets recorded in the general ledger and asset register which are no longer being used by the business. The asset may be missing as a result of an unrecorded disposal or theft, or may be broken. Similarly, a count may reveal assets which the company has not recorded. The accounting records could then be updated to reflect these items.
- (b) Capital expenditure is debited to the cost of non-current assets in the statement of financial position. Expenditure to acquire or improve non-current assets is the most common form of capital expenditure.

Revenue expenditure is charged to the statement of profit or loss in the year in which it is incurred. In the context of non-current assets, revenue expenditure relates to running costs such as repairs and renewals that maintain the asset's effectiveness without improving it.

- (c) When a non-current asset is purchased, it is recorded at cost. Cost includes any costs incurred in bringing the asset to the location and condition necessary for its intended use. Costs may therefore include: the purchase price of the asset and any delivery, legal and installation costs.

In the case of some assets the intended location may need to be prepared ahead of installation, e.g. a floor may require levelling in order for a machine to be installed. Any site preparation costs may be included in the overall cost of the asset.

Where an asset is being constructed by a business, for its own use, the cost of the asset may include:

- Any direct costs of construction
- Any associated professional fees (such as architects)
- The interest incurred on any loan taken out to fund construction, during construction.

Where sales tax is not relevant, the total cost of the asset is recorded in the general ledger as follows:

Debit Non-current asset

Credit Cash/payable.

Where sales tax is relevant and recoverable, the correct double entry is:

Debit Non-current asset	net cost
Debit Sales tax	sales tax
Credit Cash / payable	gross cost.

CHAPTER 7

ACTIVITY 1

$$\text{Annual depreciation} = \frac{(14,000 - 4,000)}{5 \text{ years}} = \$2,000 \text{ pa}$$

Conclusion The straight line method results in a constant annual charge for depreciation over an asset's useful life.

ACTIVITY 2

Step 1 Set up a blank table.

Step 2 Record the original cost (purchase price).

Step 3 Calculate the depreciation for year 1 by multiplying the cost by 37%

$$\$20,000 \times 37\% = \$7,400.$$

Step 4 Take away the first year's depreciation charge from the cost of the asset to get the carrying value (CV) at the end of year 1.

	<i>Depreciation charge</i>	<i>Cost/Carrying value</i>
	\$	\$
Original cost		20,000
Year 1	7,400	20,000 – 7,400 = 12,600

Step 5 Calculate the year 2 depreciation charge by multiplying the CV at the end of year 1 by 37%.

$$\$12,600 \times 37\% = \$4,662$$

Step 6 Take away the year 2 depreciation charge from the year 1 CV to get the year 2 carrying value.

	<i>Depreciation charge</i>	<i>Cost/Carrying value</i>
	\$	\$
Original cost		20,000
Year 1	7,400	12,600
Year 2	4,662	12,600 – 4,662 = 7,938

Each year's depreciation calculation follows exactly the same steps as four and five. The completed table looks like this.

	<i>Depreciation charge</i>	<i>Cost/Carrying value</i>
	\$	\$
Original cost		20,000
Year 1	$20,000 \times 37\% = 7,400$	$20,000 - 7,400 = 12,600$
Year 2	$12,600 \times 37\% = 4,662$	$12,600 - 4,662 = 7,938$
Year 3	$7,938 \times 37\% = 2,937$	$7,938 - 2,937 = 5,001$
Year 4	$5,001 \times 37\% = 1,850$	$5,001 - 1,850 = 3,151$
Year 5	$3,151 \times 37\% = 1,166$	$3,151 - 1,166 = 1,985$

At the end of the asset's useful life of five years the annual depreciation charge has reduced the carrying value of the asset down to a residual value of \$1,985.

Conclusion The reducing balance method results in reducing annual charges for depreciation over an asset's useful life.

ACTIVITY 3

Annual depreciation will be:

<i>Year</i>	<i>Depreciation charge</i>
	\$
20X1	2,000
20X2	2,000
20X3	2,000
20X4	2,000
20X5	nil

ACTIVITY 4

The asset is only depreciated for the period when it was actually being used by the business. In this example, the asset is purchased on 1 October 20X1 therefore only three months' worth of depreciation is included in the financial accounts for 20X1. In the year of disposal, 20X5, the asset is only used for nine months of the year and therefore only nine months worth of depreciation will be shown in the financial accounts.

Annual depreciation will be:

<i>Year</i>	<i>Depreciation charge</i>	<i>Calculation</i>
	\$	
20X1	500	$\$2,000 \times 3/12$ months
20X2	2,000	
20X3	2,000	
20X4	2,000	
20X5	1,500	$\$2,000 \times 9/12$ months

Conclusion The pro-rata method is the more accurate of the two. However, the first policy is a widely acceptable, and easier, alternative, often used in examinations.

ACTIVITY 5

Step 1 Work out the depreciation charge each year.

$$\text{Depreciation} \quad \frac{\$10,000}{5 \text{ years}} = \$2,000 \text{ per annum}$$

Step 2 Account for the depreciation.

Accumulated depreciation account

	\$		\$
Year 1			
Balance c/d	2,000	Journal (year 1 dep)	2,000
	<u>2,000</u>		<u>2,000</u>
		Year 2	
		Balance b/d	2,000

Depreciation expense account

	\$		\$
Journal (year 1 dep)	2,000	Statement of profit or loss	2,000
	<u>2,000</u>		<u>2,000</u>

Step 3 Show how the figures would appear in the financial accounts.

Statement of financial position**ASSETS**

	Cost	Accumulated depreciation	Carrying value
	\$	\$	\$
Non-current assets			
Property, plant and equipment	10,000	(2,000)	8,000

Statement of profit or loss

	\$
Sales	x
Cost of sales	(x)
	<u> </u>
Gross profit	x
Expenses	(x)
Depreciation for year	(2,000)
etc	(x)
	<u> </u>
Net profit	xx

Conclusion The annual depreciation charge has the effect of reducing an asset in the statement of financial position (credit) and increasing an expense in the statement of profit or loss (debit).

ACTIVITY 6

- (a) Prepare the T accounts to record the disposal of this asset.

Property, plant and equipment at cost

	\$		\$
Balance b/d	39,000	Disposal a/c	a 39,000
	<u>39,000</u>		<u>39,000</u>

Accumulated depreciation

		\$			\$
Disposal a/c	b	21,000	Balance b/d	<i>W1</i>	21,000
		<u>21,000</u>			<u>21,000</u>

Cash at bank account

		\$		\$
Proceeds of disposal	c	12,300		

Disposal of property, plant and equipment

		\$			\$
Asset at cost	a	39,000	Accumulated depreciation	b	21,000
		<u>39,000</u>	Proceeds	c	12,300
					<u>33,300</u>
			Loss on disposal		5,700
		<u>39,000</u>			<u>39,000</u>

(W1) *Opening depreciation*

The annual charge was (\$39,000 cost – \$4,000 residual value)/five years = \$7,000 per annum.

Depreciation will have been charged in 20X1, X2 and X3. This totals \$21,000.

- (b) Draft the journal to record this transaction.

<i>Account</i>	<i>Dr</i>	<i>Cr</i>
PPE disposals account	\$39,000	
Machine at cost		\$39,000
PPE disposals account		\$21,000
Machine: accumulated depreciation	\$21,000	
Cash at bank	\$12,300	
PPE disposals account		\$12,300
PPE disposals account		\$5,700
Statement of profit or loss: Loss on disposal	\$5,700	

ACTIVITY 7

Asset register

Asset no.	Description	Useful life yrs	Dep method	Cost \$	Acc dep \$	CV \$	Date of disposal	Disposal proceeds \$
15687	Delivery van	3	SL	8,000	2,000	6,000		
26587	Machine 1	10	SL	20,000	10,000	10,000		
36978	Machine 2	10	RB	30,000	22,000	8,000		
23675	Car	5	SL	10,000	9,000	1,000	31/5/X4	300
15987	Desk	8	SL	300	100	200		

ACTIVITY 8

Van cost account

	\$		\$
Balance b/d	7,500	Disposal a/c	7,500
Disposal – part exch value	2,000		
Cash at bank a/c (money paid)	7,000	Balance c/d	9,000
	<u>16,500</u>		<u>16,500</u>
Balance b/d	9,000		

Accumulated depreciation account

	\$		\$
Disposal a/c	6,000	Balance b/d	6,000

Disposal account

	\$		\$
Van cost	7,500	Van accumulated dep'n a/c	6,000
	<u>7,500</u>	Balance c/d	1,500
			<u>7,500</u>
Balance b/d	1,500		
Profit on disposal	500	Disposal proceeds – part exchange value	2,000
	<u>2,000</u>		<u>2,000</u>

Cash at bank account

	\$		\$
		Non-current asset cost	7,000

EXAM-STYLE QUESTIONS

- 1 **A** \$84,000/6
- 2 **B** 20% of \$55,000
- 3 **D** The profit is the sale price of \$10,000 minus the carrying value (\$15,000 – \$9,000 = \$6,000) at the date of disposal.

PRACTICE QUESTION 1

SAPLEY

Requirement 1

Machine number	Date of purchase	Original cost	Residual value (10%)	Depreciation rate	Annual charge	Expired life 31.10.20X5 years	Accumulated depreciation 31.10.20X5
		\$	\$	%	\$		\$
10	1.11.20X1	1,000	100	10	90	4	360
12	1.4.20X3	6,000	600	15	810	3	2,430
14	31.10.20X4	5,000	500	5	225	2	450
16	1.8.20X5	10,000	1,000	20	1,800	1	1,800
							5,040

Requirement 2

Statement of financial position as at 31 October 20X5

ASSETS	Cost \$	Acc'd Dep'n \$	CV \$
Non-current assets			
Property, plant and equipment	22,000	(5,040)	16,960

Tutorial note: The asset acquired on 31.10.20X4 has a full year's depreciation for the year ended 31.10.20X4 as it was acquired in that year.

PRACTICE QUESTION 2**LIGHT ENGINEERING****Motor vehicles cost account**

	\$		\$
20X3		20X3	
1 June Cash at bank	17,000	31 Dec Balance c/d	17,000
	<u> </u>		<u> </u>
20X4		20X4	
1 Jan Balance b/d	17,000	31 Dec Balance c/d	29,500
1 Aug Cash at bank	12,500		<u> </u>
	<u> </u>		<u> </u>
	29,500		29,500
	<u> </u>		<u> </u>
20X5		20X5	
1 Jan Balance b/d	29,500	5 Sept Disposals	12,500
2 Feb Cash at bank	19,400	31 Dec Balance c/d	36,400
	<u> </u>		<u> </u>
	48,900		<u> </u>
	<u> </u>		<u> </u>
20X6			
1 Jan Balance b/d	36,400		

Motor vehicles – Accumulated depreciation account

	\$		\$
20X3		20X3	
31 Dec Balance c/d	3,825	31 Dec Depreciation expense	3,825
	<u> </u>	$\left(\frac{17,000 - 1,700}{4} \right)$	<u> </u>
20X4		20X4	
31 Dec Balance c/d	10,463	1 Jan Balance b/d	3,825
	<u> </u>	31 Dec Depreciation expense	6,638
	10,463	$\left(\frac{29,500 - 2,950}{4} \right)$	<u> </u>
	<u> </u>		<u> </u>
20X5			10,463
5 Sep Disposals $\left(\frac{12,500 - 1,250}{4} \right)$	2,813	20X5	
31 Dec Balance c/d	15,840	1 Jan Balance b/d	10,463
	<u> </u>	31 Dec Depreciation expense	8,190
	18,653	$\left(\frac{36,400 - 3,640}{4} \right)$	<u> </u>
	<u> </u>		<u> </u>
			18,653
		20X6	
		1 Jan Balance b/d	15,840

Disposals			
	\$		\$
20X5		20X5	
5 Sept Motor vehicle cost	12,500	5 Sept Motor vehicles	2,813
		accumulated dep'n	
		5 Sept Cash at bank	7,600
		31 Dec Statement of profit or loss (loss)	2,087
	<u>12,500</u>		<u>12,500</u>

CHAPTER 8

ACTIVITY 1

N Hudson (PLHud3)			
	\$		\$
10/6/X4 CN6	480	6/6/X4 Invoice 8	4,800
23/7/X4 Cash paid	4,320		
Balance c/d	—		
	<u>4,800</u>		<u>4,800</u>

Doors Ltd (PLDor10)			
	\$		\$
Balance c/d	960	10/6/X4 Invoice 9	960
	<u>960</u>		<u>960</u>
		Balance b/d	960

G Farr (PLFar8)			
	\$		\$
24/7/X4 Cash paid	2,400	30/6/X4 Invoice 10	2,400
Balance c/d	—		
	<u>2,400</u>		<u>2,400</u>

List of balances

	Balance (\$)
N Hudson	—
Doors Ltd	960
G Farr	—
	<u>960</u>

The total of the payables ledger personal account balances agrees to the balance of the control account.

Conclusion Provided all the transactions that have been included in the totals posted to the control account are similarly recorded individually in a personal account, the total of the list of balances extracted from the personal ledger should agree with the total balance on the control account.

ACTIVITY 2

Step 1 Read through the errors and decide how each one affects the control account and/or the list of balances

(a) Total posted to the ledger is \$80 too high. Corrective action:

Dr	Payables ledger control account	\$80
Cr	Purchases of inventory	\$80

(b) Such an error means that double entry has not been upheld. It is assumed that the 'total' column credited to cash at bank is correct, however the amount debited to the payables ledger control account is too low by \$27. A suspense account would arise due to the unequal debit and credit, however we are not concerned with that here.

Dr	Payables ledger control account	\$27
----	---------------------------------	------

(c) Add the omitted payables balance of \$48 to the list of payables ledger balances.

Step 2 Open up a control account and bring down the balance given, before adjustment. Put through any adjustments noted in step 1 which affect the control account, and find the amended balance

Payables ledger control account

	\$		\$
(a) Overcast PDB	80	Balance b/d	1,885
(b) Cash error	27		
Balance c/d	1,778		
	<u>1,885</u>		<u>1,885</u>
		Balance b/d	1,778

Step 3 Produce a reconciliation. Start with the total of the list of balances originally extracted, put through any adjustments noted in step 1 which affect the list of balances and find the amended total which should agree with the new control account balance.

Reconciliation of payables ledger control account and list of payables ledger balances at 30 June 20X5

	\$
Total of list of balances originally extracted	1,730
Add: Balance omitted	48
	<u>1,778</u>
Adjusted list of balances/control account balance	<u>1,778</u>

Whilst learning a general set of rules may help with reconciliations, there is no substitute for question practice for getting to grips with this topic. It is essential that you have a thorough understanding of the way that day books, cash books, control accounts and personal ledgers inter-relate if you are to be able to work out why an error has occurred and how to correct it.

EXAM-STYLE QUESTIONS

- 1 **C** The adjustments are to add \$1,000 for the undercast total of credit sales in the sales day book, and to make a reduction of \$90 because actual cash receipts from customers have been \$90 more than originally recorded.
- 2 **A** The adjustments are to reduce the total of payables by \$100 to correct the overcast amount in the purchases day book, and to increase the total of payables by \$90 to adjust for the error in recording payments to suppliers by \$90 too much. The error in the payables ledger does not affect the control account total in the main (general) ledger.

PRACTICE QUESTION 1

CONTROL ACCOUNTS

The advantages of using control accounts include the fact that they provide a control and check on the ledger entries and can highlight areas where errors need to be investigated.

Control accounts also provide a summary of the different types of transactions taking place in a ledger which are used to produce a statement of financial position figure with relative ease and speed.

PRACTICE QUESTION 2

EFG – RECEIVABLES LEDGER

(a)

Receivables ledger control account

	\$		\$
30.9.X8 Balance b/d	12,814	30.9.X8 Balance b/d	592
		Sales overstated (1)	850
		Returns understated (2)	90
30.9.X8 Balance c/d	158	30.9.X8 Balance c/d	11,440
	<u>12,972</u>		<u>12,972</u>
1.10.X8 Balance b/d	11,440	1.10.X8 Balance b/d	158

Note: Net balance \$11,282 (\$11,440 – 158 re J Jones).

(b) Receivables ledger control report – 30 Sept 20X8

		\$	
Balance brought forward		15,438	
Add:	Sales (74,691 – 354)	74,337	(3)
	Repayments made (1,249 + 217)	1,466	(4)
	Adjustments	23	
Less:	Sales returns (2,347 + 354)	2,701	(3)
	Payments received (77,440 – 217)	77,223	(4)
	Adjustments	58	
Balance carried forward		11,282	

Note: Part (b) is a variation on the normal theme of questions set. Normally the amendments are shown rather than the corrected totals.

- (c) (1) The sales figure in the accounting system is overstated by \$850.
- (2) The sales returns figure in the accounting system is understated by \$90.
- (3) The individual account is overstated by $\$354 \times 2 = \708 .
- (4) The individual account is understated by $\$217 \times 2 = \434 . B Green credit balance of \$434 is eliminated when this correction is made.
- (5) There is no effect on the sales ledger control account as the error affects the purchase ledger control account.

CHAPTER 9**ACTIVITY 1**

	\$
Balance per bank statement	1,450
Less: Unpresented cheques	(200)
Add: Outstanding deposits	350
Balance per cash ledger account	1,600

ACTIVITY 2

Cash at bank ledger account			
	\$		\$
Balance b/d	270	Cash payments	4,800
Cash receipts	4,600	Standing order	40
		Balance c/d	30
	4,870		4,870
Balance b/d	30		

Bank reconciliation statement

	\$
Balance per bank statement	(400) O/D
Less: Unpresented cheques	(60)
	(460) O/D
Add: Outstanding lodgements	490
Balance per ledger account	30

ACTIVITY 3**Cash at bank ledger account**

	\$		\$
		Balance b/d	399
Cash receipts	3,845	Cash payments	5,672
		Bank charge	85
Balance c/d	2,311		
	6,156		6,156
		Balance b/d	2,311

Bank reconciliation statement

	\$
Balance per bank statement	(1,430) O/D
Less: Unpresented cheques	(1,848)
	(3,278)
Add: Outstanding lodgements	967
Balance per ledger account (credit)	(2,311)

ACTIVITY 4

- Step 1** Draw up petty cash book
- Step 2** Record the transactions for the month
- Step 3** Total the columns
- Step 4** Perform the cash replenishment reconciliation
- Step 5** Post the petty cashbook totals to the general ledger

Petty cash book – September

<i>Date</i>	<i>Details</i>	<i>Voucher reference</i>	<i>Total</i> \$	<i>Sales tax</i> \$	<i>Cleaning</i> \$	<i>Repairs</i> \$	<i>Sundry</i> \$
02 Sep	Coffee	9-1	1.89				1.89
04 Sep	Light switch	9-2	12.00	2.00		10.00	
10 Sep	Taxi	9-3	5.00				5.00
15 Sep	Cleaner	9-4	15.00		15.00		
25 Sep	Repairs	9-5	6.00	1.00		5.00	
			<u>39.89</u>	<u>3.00</u>	<u>15.00</u>	<u>15.00</u>	<u>6.89</u>

	\$
Balance brought down	50.00
Less total expenses	(39.89)
Add cash replenishment (bal fig.)	<u>39.89</u>
Balance carried down	<u>50.00</u>

Petty cash account

	\$		\$
Balance b/d	50.00	Petty cash book (expenses paid)	39.89
Cash at bank account	<u>39.89</u>	Balance c/d	<u>50.00</u>
	<u>89.89</u>		<u>89.89</u>

Cash at bank account

	\$		\$
Balance b/d	x	Petty cash account	39.89

Sales tax account

	\$		\$
Petty cash book	3.00	Balance b/d	x

Cleaning account

	\$		\$
Balance b/d	x		
Petty cash book	15.00		

Repairs account

	\$		\$
Balance b/d	x		
Petty cash book	15.00		

Staff catering account		
	\$	\$
Balance b/d	x	
Petty cash book	1.89	
Travel account		
	\$	\$
Balance b/d	x	
Petty cash book	5.00	

EXAM-STYLE QUESTIONS

1 **B**

2 **B** $(565) - 92 = \$657$

The \$57 cheque will already have been correctly charged against the cash book balance, so no adjustment is necessary.

The \$92 cheque will be included in cash at present, though it should be reversed out and included in receivables instead.

PRACTICE QUESTION 1

DISCUSSION WITH A CLIENT

There are two main reasons for differences between the bank statement and the business' bookkeeping records. The most obvious is that one or other of the parties has made an error. Indeed, one of the reasons for banks issuing such statements is to enable any errors to be spotted as quickly as possible and put right.

The second reason for differences arises because of delays inherent in the banking system. If a customer writes a cheque then it has to go through the postal system, be physically presented at the payee's bank and then work through the bank's clearing system before the payment is finally deducted from the customer's account. There are similar, but shorter, delays between making a deposit and the entry being added to the customer's balance. This means that the bank's records will usually lag several transactions behind the customer's at any point in time. Customers must prepare bank reconciliation statements to ensure that the differences have arisen because of such lags and not because there has been an error.

PRACTICE QUESTION 2

SPANNERS

(a) Cash ledger account adjustments

Cash at bank ledger account			
	\$		\$
Balance b/d	960	(1) Bank charges	35
(4) Correction of balance b/d	63	(2) Reversal of error	
		2 × \$47	94
		(3) Returned cheque	18
		Balance c/d	876
	<u>1,023</u>		<u>1,023</u>
Balance b/d	876		

(b) Bank reconciliation at 31 October

	\$	\$
Balance per bank statement (overdrawn)		(124) o/d
Add: Unpresented cheques (5) \$(214 + 370 + 30)		(614)
		<u>(738) o/d</u>
Less: Outstanding lodgement (6)	1,542	
Cheque charged in error (7)	72	
	<u></u>	1,614
Balance per cash at bank ledger account		<u>876</u>

CHAPTER 10

ACTIVITY 1

- (a) The annual charge will be $4 \times \$5,000 = \$20,000$, regardless of when it is paid.
- (b) The expense incurred by the business for the year is $\$1,000 + \$300 = \$1,300$.
- (c) An estimate of the expense for the year is $\$820 + (1/3 \times \$240) = \$900$.
- (d) The insurance charge for the year ended 31 December 20X1 is estimated from the two bills, incorporating three months of the first bill and nine months of the second:
- $$(3/12 \times \$3,000) + (9/12 \times 4,200) = \$3,900$$

A best estimate must be made of the expense that was incurred during the year, regardless of when the invoice was received or the cash paid.

ACTIVITY 2

- (a) This bill covers June to August 20X8, and so June's electricity needs to be accrued for. $\$900 \times 1/3 = \mathbf{\$300}$.
- (b) This bill covers May to July 20X8 and so two months (May and June) need to be accrued for. $\$780 \times 2/3 = \mathbf{\$520}$.
- (c) The sewerage bill for June needs to be estimated on the basis of past usage. If the quarterly bill is for \$642, then the bill for one month will be about **\$214**.
- (d) 453 units of gas have been used but not yet invoiced. At 10 cents per unit the accrual is **\$45.30**.

ACTIVITY 3

(a) Electricity			
	\$		\$
PDB Invoices	697	Opening accrual	172
Closing accrual	238	Statement of profit or loss charge	763
	<u>935</u>		<u>935</u>
(b) Rates			
	\$		\$
PDB Invoices	756	Opening accrual	365
Closing accrual	28	Statement of profit or loss charge	419
	<u>784</u>		<u>784</u>

ACTIVITY 4

- (a) This insurance is prepaid for the eight months from July 20X8 through to February 20X9. The prepayment is $\$2,136 \times 8/12 = \mathbf{\$1,424}$.
- (b) This rent is prepaid for the month of July. $\$7,800 \times 1/3 = \mathbf{\$2,600}$.

ACTIVITY 5

(a) Insurance			
	\$		\$
Opening prepayment	3,672	Closing prepayment	4,107
Invoices received	7,295	Statement of profit or loss charge	6,860
	<u>10,967</u>		<u>10,967</u>

(b) Rent			
	\$		\$
Opening prepayment	3,908	Closing prepayment	2,798
Invoices received	19,540	Statement of profit or loss charge	20,650
	<u>23,448</u>		<u>23,448</u>

ACTIVITY 6

(a) Franchise income			
	\$		\$
Opening income receivable	14,726	Income received in 20X6	56,364
Franchise income	70,283	Closing income receivable	28,645
	<u>85,009</u>		<u>85,009</u>

(b) Rent			
	\$		\$
Closing rents invoiced in advance	23,985	Opening rents invoiced in advance	17,625
Rental income	68,576	Rental invoices issued in 20X6	74,936
	<u>92,561</u>		<u>92,561</u>

EXAM-STYLE QUESTIONS

- 1 **D** Rent for July and August is prepaid.
- 2 **D**

PRACTICE QUESTION

RATES AND RENTALS

(a)

Rates account			
20X7	\$	20X7	\$
8 Mar Purchases day book	160	31 Dec Statement of profit or loss (bal fig)	850
8 Apr Purchases day book	920	31 Dec Balance c/d	
		(920 × $\frac{3}{12}$)	230
	<u>1,080</u>		<u>1,080</u>
20X8			
1 Jan Balance b/d	230		

(b) 20X3

As \$250 cash is received in 20X3, this will be recorded (upon receipt) in the ledger accounts of the farmer.

At the year end, this amount must be removed from the accounts as it does not relate to the current year. Income has been received in advance and therefore to remove it, a debit must be made to the statement of profit or loss. The corresponding credit creates a liability in the statement of financial position, known as deferred income.

20X4

The deferred income should be included in the 20X4 accounts, as it is related to January 20X4, when the car park and field are used by the local organisation. The deferred income is a brought down balance on the credit side of the farmer's income ledger account at the start of 20X4 and therefore is automatically included in the year's income.

CHAPTER 11

ACTIVITY 1

Step 1 Enter the opening balance in the sales ledger control account. As receivables are an asset then this will be on the debit side of the ledger account.

Sales ledger control			
	\$		\$
Opening balance	45,000		

- Step 2** As the two debts are considered to be irrecoverable then they must be removed from receivables by a credit entry to the sales ledger control account and a corresponding debit entry to the irrecoverable debts expense account.

Sales ledger control

	\$		\$
Opening balance	45,000	Irrecoverable debts expense – J Scott	790
		Irrecoverable debts expense – P Campbell	1,240

Irrecoverable debts expense

	\$		\$
Receivables – J Scott	790		
Receivables – P Campbell	1,240		

- Step 3** The Sales ledger control account must now be balanced and the closing balance (of \$42,970 in this case) would appear in the statement of financial position as the receivables figure at the end of the period.

Sales ledger control

	\$		\$
Opening balance	45,000	Irrecoverable – J Scott	790
		Irrecoverable – P Campbell	1,240
		Balance c/d	42,970
	<u>45,000</u>		<u>45,000</u>
Balance b/d	42,970		

- Step 4** Finally the irrecoverable debts expense account should be balanced and the balance written off to the statement of profit or loss as an expense of the period.

Irrecoverable debts expense

	\$		\$
Receivables – J Scott	790	Statement of profit or loss	2,030
Receivables – P Campbell	1,240		
	<u>2,030</u>		<u>2,030</u>

- Conclusion** When a debt is considered to be irrecoverable then it is written out of the accounts completely by removing it from the sales ledger control account and charging the amount as an expense to the statement of profit or loss in the period in which the debt was determined to be irrecoverable.

ACTIVITY 2

Step 1 Write up the sales ledger control account and irrecoverable debts expense account at 31 December 20X7.

Sales ledger control

20X7	\$	20X7	\$
31 Dec Bal b/d	3,655	31 Dec Irrecoverable	699
		31 Dec Bal c/d	2,956
	3,655		3,655
20X8			
1 Jan Bal b/d	2,956		

Irrecoverable debts expense

20X7	\$	20X7	\$
31 Dec Sales ledger control	699	31 Dec Statement of profit or loss	699
	699		699

Step 2 Write up the Sales ledger control account for 20X8 showing the credit sales and cash received from receivables.

Sales ledger control

20X8	\$	20X8	\$
1 Jan Bal b/d	2,956	31 Dec Cash	16,936
31 Dec Sales	17,832		

Step 3 Put through the entry for the irrecoverable debt recovered.

Irrecoverable debts expense

20X8	\$	20X8	\$
		31 Dec Cash at bank	699

Step 4 Balance the sales ledger control account and transfer the balance on the irrecoverable debts expense account to the statement of profit or loss.

Sales ledger control

20X8	\$	20X8	\$
1 Jan Bal b/d	2,956	31 Dec Cash	16,936
31 Dec Sales	17,832	31 Dec Bal c/d	3,852
	20,788		20,788
20X9			
1 Jan Bal b/d	3,852		

Irrecoverable debts expense

20X8	\$	20X8	\$
31 Dec Statement of profit or loss	699	31 Dec Cash at bank	699
	<u>699</u>		<u>699</u>

ACTIVITY 3

(a)

Sales ledger control account

20X8	\$	20X8	\$
30 Jun Bal b/d	78,635	30 Jun Irrecoverable debts	2,385
	<u>78,635</u>	30 Jun Bal c/d	76,250
			<u>78,635</u>
20X8			
1 Jul Bal b/d	76,250		

(b) Calculate the change in the allowance for receivables required at 30 June 20X9.

	\$
Allowance required at 1 July 20X8	4,300
Allowance required at 30 June 20X9	<u>3,250</u>
Reduction in allowance for the year	<u>1,050</u>

Allowance for receivables

20X8	\$	20X8	\$
30 Jun Irrecoverable debts	1,050	30 Jun Bal b/d	4,300
20X9			
30 Jun Bal c/d	<u>3,250</u>		<u>4,300</u>
	<u>4,300</u>		
		20X9	
		1 Jul Bal b/d	3,250

(c)

Irrecoverable debts

20X9	\$	20X9	\$
30 Jun Sales ledger control w/off	2,634	30 Jun Allowance for receivables	1,050
30 Jun Sales ledger control w/off	<u>2,385</u>	30 Jun P&L a/c	<u>3,969</u>
	<u>5,019</u>		<u>5,019</u>

Note that the irrecoverable debt written off earlier in the year is included. It has already been removed from the sales ledger control account

- (d) Statement of financial position extract at 30 June 20X9:

Trade receivables \$76,250, less allowance for receivables \$3,250 = \$73,000

EXAM-STYLE QUESTIONS

- 1 **B** The irrecoverable debts written off minus the decrease in the receivables allowance.
- 2 **A** The increase in the allowance is \$1,500, although the full cost of irrecoverable and doubtful debts charged to the statement of profit or loss for the year will be \$3,600 + \$1,500 = \$5,100

PRACTICE QUESTION 1

NEED FOR AN ALLOWANCE

- (a) The allowance for receivables is required in the interest of prudence. Trade receivables are recognised in the accounts because in most cases it is reasonably certain that the cash will eventually be received. However, selling goods on credit always involves a small risk that the customer will default. Most businesses find that a fairly constant proportion of receivables do not pay. A cautious approach should be taken when estimating the amount that will be received, so that receivables are not overstated.
- (b) The irrecoverable debts account is used to write off customer balances that are no longer considered collectable. This normally occurs when there are serious doubts about whether the customer will pay anything. The allowance for receivables account is used to adjust the receivables balance in the statement of financial position to reflect the fact that the recoverable value of receivables' balances may be less than the total amount that is owed. The balance on the allowance for receivables account is offset against the gross value of receivables in the statement of financial position to show an estimate of the amount that the business is likely to collect.

PRACTICE QUESTION 2

ROBERT BEE

(1) Sales ledger control account

20X4	\$	20X4	\$
30 June Balance b/d	18,793	30 June Irrecoverable debts expense	371
		30 June Balance c/d	18,422
	<u>18,793</u>		<u>18,793</u>
1 July Balance b/d	18,422		

Irrecoverable debts expense account

20X4	\$	20X4	\$
30 June Sales ledger control a/c	371	30 June Cash at bank	120
30 June Receivables allowance (from task 3)	449	30 June Statement of profit or loss	700
	<u>820</u>		<u>820</u>

(2) Receivables allowance at 30 June 20X4

	\$
Specific allowances	
Felix Jones	130
Edward Wallace	620
	<u>750</u>

(3) Allowance for receivables

20X4	\$	20X3	\$
30 June Balance c/d	750	1 July Balance b/d	301
		20X4	
		30 June Irrecoverable debts expense	449
	<u>750</u>		<u>750</u>
		1 July Balance b/d	750

(4) Extract from the statement of financial position of Robert Bee at 30 June 20X4

	\$	\$
Receivables	18,422	
Less: Allowance for receivables	(750)	
	<u>17,672</u>	

CHAPTER 12**ACTIVITY 1**

Range	Number of boxes	Cost	Expected selling price	Lower of cost & NRV	Valuation \$
Venus	35	\$5.30	\$4	\$4	140.00
Earth	54	\$5.70	\$6	\$5.70	307.80
Saturn	85	\$7.80	\$8	\$7.80	663.00
Pluto	47	\$9.90	\$8	\$8	376.00
Jupiter	72	\$8.50	\$8	\$8	576.00
					<u>2,062.80</u>

The value of these inventory items in the statement of financial position is \$2,062.80.

ACTIVITY 2

<i>Date of purchase</i>	<i>Number of boxes</i>	<i>Cost per box</i>	<i>\$</i>
31 December	65	\$34	2,210
17 December	99	\$40	3,960
3 December	Balance	\$38	2,736
	236		8,906

The cost of the inventory is \$8,906.

ACTIVITY 3

Step 1 Record the purchases during the year.

Purchases account

	\$		\$
Cash at bank	90,000		

Cash at bank account

	\$		\$
		Purchases	90,000

Step 2 Record the closing inventory at the year end.

Inventory account (statement of financial position)

	\$		\$
Closing inventory	20,000		

Inventory account (statement of profit or loss)

	\$		\$
		Closing inventory	20,000

Step 3 Transfer purchases and closing inventory to the statement of profit or loss.

Purchases account

	\$		\$
Cash at bank	90,000	Statement of profit or loss	90,000

Inventory account (statement of profit or loss)

	\$		\$
Statement of profit or loss	20,000	Closing inventory	20,000

Step 4 Prepare the statement of profit or loss (assuming a sales figure of \$180,000).

Statement of profit or loss

	\$	\$
Sales		180,000
Less: Cost of goods sold		
Purchases	90,000	
Less: Closing inventory	(20,000)	
	70,000	
Gross profit		110,000

ACTIVITY 4

Step 1 Record the purchases during the year.

Purchases account

	\$	\$
Payables	110,000	

Step 2 At the year end transfer opening inventory from inventory (statement of financial position) to inventory (statement of profit or loss) and clear this to the statement of profit or loss.

Inventory account (statement of financial position)

	\$		\$
Balance b/d (opening inventory)	20,000	Transfer to inventory (statement of profit or loss)	20,000

Inventory account (statement of profit or loss)

	\$		\$
Transfer from inventory (sfp)	20,000	Statement of profit or loss (opening inventory)	20,000

Purchase ledger control account

	\$		\$
		Purchases in year	110,000

Step 3 Record the closing inventory.

Inventory account (statement of financial position)

	\$		\$
Balance b/d	20,000	Transfer to inventory (statement of profit or loss)	20,000
Closing inventory	40,000		

Inventory account (statement of profit or loss)

	\$		\$
Transfer from inventory (sfp)	20,000	Statement of profit or loss (opening inventory)	20,000
		Closing inventory	40,000

Step 4 Balance the accounts and make the remaining transfers to the statement of profit or loss.

Inventory account (statement of profit or loss)

	\$		\$
Transfer from inventory (sfp)	20,000	Statement of profit or loss (opening inventory)	20,000
Statement of profit or loss (closing inventory)	40,000	Closing inventory	40,000
	<u>60,000</u>		<u>60,000</u>

Purchases account

	\$		\$
PLCA	110,000	Statement of profit or loss	110,000
	<u>110,000</u>		<u>110,000</u>

Purchase ledger control account

	\$		\$
Balance c/d	110,000	Purchases	110,000
	<u>110,000</u>		<u>110,000</u>
		Balance b/d	110,000

Inventory account (statement of financial position)

	\$		\$
Balance b/d	20,000	Transfer to Statement of profit or loss	20,000
Closing inventory	40,000	Balance c/d	40,000
	<u>60,000</u>		<u>60,000</u>
Balance b/d	40,000		

Step 5 Prepare the statement of profit or loss (assume a sales figure of \$150,000)

	\$	\$
Sales		150,000
Less: Cost of goods sold		
Opening inventory	20,000	
Purchases	110,000	
	<u>130,000</u>	
Less closing inventory	(40,000)	
	<u></u>	(90,000)
Gross profit		<u>60,000</u>

EXAM-STYLE QUESTIONS

1 **A**2 **C**

PRACTICE QUESTION

VALUING INVENTORY**(a) Valuing inventory**

Selling price is not used for the valuation of inventory as this will reflect an element of profit in its value which has not yet been earned. Inventory should be valued at the lower of cost or net realisable value (selling price less any further costs).

This rule ensures the application of the accounting concept of prudence. This concept requires losses to be recognised as soon as they are foreseen, but only allows profits to be included when they have been earned. In general, inventory will be included in the accounts at cost. However, if there is any doubt as to whether the cost can be recouped when the inventory is sold, perhaps because it is damaged or obsolete, the inventory should be valued at its net realisable value. Thus the possible loss is recognised immediately.

The valuation method used will have a short term effect on profit: the higher the value of inventory, the greater the profit in the first year. However, in the long term, there will be no difference as the higher value of closing inventory that reduces cost and increases profits this year will increase costs and reduce profits in the following year when the inventory is sold.

(b) Cost or NRV?

	<i>Cost</i>	<i>Selling costs</i>	<i>Selling price</i>	<i>NRV</i>	<i>Valuation</i>
	\$	\$	\$	\$	\$
Item 1	1,000	50	1,500	1,450	1,000
Item 2	2,000	600	2,400	1,800	1,800
Item 3	3,000	1,000	3,800	2,800	2,800
					5,600

(c) Valuation of inventory

Units purchased (5 × 3)	15
Units sold	(7)
Closing inventory	8
FIFO	\$
3 units at \$5	15.00
5 units at \$5.50	27.50
	42.50

AVCO

$$\text{Average cost per unit: } \frac{(5 \times \$4) + (5 \times \$5) + (5 \times \$5.50)}{15} = \$4.83$$

$$\text{Closing inventory} = 8 \times \$4.83 = \$38.64$$

CHAPTER 13**ACTIVITY 1**

Assuming that the bank loan is for more than one year, then it is a non-current liability. If it is payable in instalments, then part of it might be due within 12 months and part after 12 months. A bank loan (**not** an overdraft) is usually made for a term of several years with a fixed repayment date.

All the other items are current liabilities:

- A bank overdraft is repayable on demand (although in practice banks often allow an overdraft provided the business has agreed in advance not to exceed a certain amount).
- Trade payables normally fall due within one to three months.
- Accruals are recognised for amounts that the business will pay within a few months of the reporting date.

ACTIVITY 2

Loan (principal only)					
		\$		\$	
			1 Jan	Initial loan	15,000
1 Apr	Bank	1,875			
1 Jul	Bank	1,875			
1 Oct	Bank	1,875			
31 Dec	Balance c/d	9,375			
		15,000			15,000

Interest expense				
		\$		\$
1 Apr	Bank	225		
1 Jul	Bank	225		
1 Oct	Bank	225		

Bank and cash					
		\$			\$
1 Jan	Loan	15,000	1 Apr	First instalment	2,100
			1 Jul	Second instalment	2,100
			1 Oct	Third instalment	2,100

ACTIVITY 3

- (a) Strong and Co may only make a provision if all of the conditions are met:

- There is a present obligation as the result of a past event
- There is a probable outflow of economic benefits
- The amount can be reliably measured.

Before the year end, Strong and Co announces the plan to close a factory and make staff redundant. By announcing the plan and its main features, the company has raised a valid expectation that the restructuring will be carried out, and so created a constructive obligation at the year end. The outflow of economic benefits is probable and can be reliably estimated at \$150,000.

Conclusion – a provision should be made for \$150,000

- (b) Again, Bright Windows may only make a provision if the three conditions listed above are met.

The obligation in this case is legal as the case is to be heard in court.

The chance of the claim succeeding is estimated at 40%, which suggests that the outflow is possible, however not probable.

Therefore, although the damages can be reliably estimated, the fact that the outflow is not probable means that no provision can be made.

Conclusion – no provision is recognised.

EXAM-STYLE QUESTIONS

1 **A**

2 **D**

PRACTICE QUESTION

KAREN JONES

- (a) The accruals concept states that an expense should be recognised in the accounts when the expense is incurred, not when it is paid and that expenses should be matched with the revenue to which they relate. The potential expense of replacing parts is a cost incurred as a result of Karen's sales for the year, even if no claims are made until after the year end.

The prudence concept is also relevant. Karen should take a cautious approach to estimating her profit for the year, so it is not overstated. She should recognise losses and expenses as soon as they are known.

- (b) Karen has guaranteed to replace faulty items and will not be able to avoid doing so if there are claims. Although the chance of an individual item becoming defective is remote, Karen's past experience suggests that there will be probably be some claims relating to sales for the current year. Therefore she should provide for her best estimate of the expense of meeting the terms of the guarantee.

This will create a liability. Because the timing and amount of the liability is uncertain, this is a provision, rather than a normal trade payable. It falls due within one year, so it separately reported as a current liability in the statement of financial position.

Karen will also report an additional expense in the statement of profit or loss. This is treated as an overhead, rather than as a direct cost of sales. Her profit for the year will be reduced by the amount of the provision.

CHAPTER 14

ACTIVITY 1

See the ETB in section 1.2 of chapter 14.

ACTIVITY 2

Step 1 Draw up a proforma extended trial balance using the account names given.

Extended trial balance at 31 December 20X2

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account										
Opening inventory										
Sales										
Purchases										
Rent and rates										
Drawings										
Electricity										
Motor van cost										
Motor van accumulated depreciation										
Bank balance										
Trade receivables										
Trade payables										
Sundry expenses										
Wages and salaries										
Accrued/prepaid										
Totals										
Profit for year										

Step 2 Put in the figures from the trial balance.

Extended trial balance at 31 December 20X2

Account	Trial balance		Adjustment s		Accrue d	Prepai d	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		12,000								
Opening inventory	15,000									
Sales		100,000								
Purchases	40,000									
Rent and rates	10,000									
Drawings	12,000									
Electricity	2,000									
Motor van cost	8,000									
Motor van accumulated depreciation		4,000								
Bank balance	4,500									
Trade receivables	20,000									
Trade payables		21,000								
Sundry expenses	500									
Wages and salaries	25,000									
	_____	_____								
	137,000	137,000								
	_____	_____								
Accrued/prepaid										
Totals										
Profit for year										

ACTIVITY 3

Step 1 Produce the journals.

		<i>Dr</i>	<i>Cr</i>
		\$	\$
(a)	Depreciation expense	500	
	Accumulated depreciation		500
	Being depreciation for the year		
(b)	Irrecoverable debts expense	1,000	
	Trade receivables		1,000
	Being the write off of an irrecoverable debt		
(c)	Drawings	200	
	Sundry expenses		200
	Being the transfer of an incorrect posting		

Step 2 Enter the adjustments on to the extended trial balance.

Step 3 Check the debit and credit columns balance.**Extended trial balance at 31 December 20X2**

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		12,000								
Opening inventory	15,000									
Sales		100,000								
Purchases	40,000									
Rent and rates	10,000									
Drawings	12,000		200 (c)							
Electricity	2,000									
Motor van cost	8,000									
Motor van Accumulated depreciation		4,000		500 (a)						
Bank balance	4,500									
Trade receivables	20,000			1,000 (b)						
Trade payables		21,000								
Sundry expenses	500			200 (c)						
Wages and salaries	25,000									
Depreciation expenses			500 (a)							
Irrecoverable debt expense			1,000 (b)							
Accrued/prepaid										
	_____	_____	_____	_____						
Totals	137,000	137,000	1,700	1,700						
	_____	_____	_____	_____						
Profit for year										

Note that the total of the debit and credit columns must balance, that is, the double entry has been maintained. If the column totals are not checked at this point and the columns do not balance there are two main effects. Firstly, the extended trial balance will not balance and secondly, it can be very time consuming to try to find out what has gone wrong at a later stage. Whilst it appears a little slower working through methodically, it will be a lot quicker than having to go back through the whole extended trial balance to find errors when it does not balance at the final stage.

ACTIVITY 4

Step 1 Write in the accruals in the accrued column on the appropriate account line.

Step 2 Total up the accruals and enter the amount in the totals box at the bottom of the column.

Extended trial balance at 31 December 20X2

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		12,000								
Opening inventory	15,000									
Sales		100,000								
Purchases	40,000									
Rent and rates	10,000									
Drawings	12,000		200							
Electricity	2,000				150					
Motor van cost	8,000									
Motor van accumulated depreciation		4,000		500						
Bank balance	4,500									
Trade receivables	20,000			1,000						
Trade payables		21,000								
Sundry expenses	500			200	50					
Wages and salaries	25,000									
Depreciation expenses			500							
Irrecoverable debt expense			1,000							
Accruals/prepaid										
	_____	_____	_____	_____						
Totals	137,000	137,000	1,700	1,700	200					
	_____	_____	_____	_____	_____					
Profit of year										

ACTIVITY 5

Extended trial balance at 31 December 20X2

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		12,000								
Opening inventory	15,000									
Sales		100,000								
Purchases	40,000									
Rent and rates	10,000					800				
Drawings	12,000		200							
Electricity	2,000				150					
Motor van cost	8,000									
Motor van accumulated depreciation		4,000		500						
Bank balance	4,500									
Trade receivables	20,000			1,000						
Trade payables		21,000								
Sundry expenses	500			200	50					
Wages and salaries	25,000									
Depreciation expenses			500							
Irrecoverable debt expense			1,000							
Accruals/prepaid										
	_____	_____	_____	_____	_____	_____				
Totals	137,000	137,000	1,700	1,700	200	800				
	_____	_____	_____	_____	_____	_____				
Profit for year										

When all the accruals and prepayments have been entered, total up the columns.

ACTIVITY 6

Step 1 Write the new inventory (closing) account in the account column.

Step 2 Make the closing inventory entries in the adjustment columns.

Extended trial balance at 31 December 20X2

<i>Account</i>	<i>Trial balance</i>		<i>Adjustments</i>		<i>Accrued</i>	<i>Prepaid</i>	<i>Statement of profit or loss</i>		<i>Statement of financial position</i>	
	<i>Dr</i>	<i>Cr</i>	<i>Dr</i>	<i>Cr</i>			<i>Dr</i>	<i>Cr</i>	<i>Dr</i>	<i>Cr</i>
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		12,000								
Opening inventory	15,000									
Sales		100,000								
Purchases	40,000									
Rent and rates	10,000					800				
Drawings	12,000		200							
Electricity	2,000				150					
Motor van cost	8,000									
Motor van accumulated depreciation		4,000		500						
Bank balance	4,500									
Trade receivables	20,000			1,000						
Trade payables		21,000								
Sundry expenses	500			200	50					
Wages and salaries	25,000									
Depreciation expenses			500							
Irrecoverable debt expense			1,000							
Closing inventory			17,000	17,000						
Accruals/prepaid										
	_____	_____	_____	_____	_____	_____				
Totals	137,000	137,000	18,700	18,700	200	800				
	_____	_____	_____	_____	_____	_____				
Profit for year										

ACTIVITY 7

Extended trial balance at 31 December 20X2

(see steps below for explanation)

Account	Trial balance		Adjustments		Accruals	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		12,000								12,000
Inventory	15,000						15,000			
Sales		100,000						100,000		
Purchases	40,000						40,000			
Rent and rates	10,000					800	9,200			
Drawings	12,000		200						12,200	
Electricity	2,000				150		2,150			
Motor van cost	8,000								8,000	
Motor van accumulated depreciation		4,000		500						4,500
Bank balance	4,500								4,500	
Trade receivables	20,000			1,000					19,000	
Trade payables		21,000								21,000
Sundry expenses	500			200	50		350			
Wages and salaries	25,000						25,000			
Depreciation Expenses			500				500			
Irrecoverable debt expense			1,000				1,000			
Accruals										200
Prepayment									800	
Inventory			17,000	17,000				17,000	17,000	
Totals	137,000	137,000	18,700	18,700	200	800				
Profit for year										

Step 1 Capital account

A statement of financial position account with only one credit entry (in the trial balance column), therefore carry that figure across to the credit column of the statement of financial position section.

Step 2 Inventory

Opening inventory – this is to become part of the cost of sales for this year, so simply carry the figure across to the debit column of the statement of profit or loss section.

Closing inventory – created at the bottom of the TB, with a debit and credit in the adjustments columns:

Debit adjustment – represents asset in the statement of financial position, so carry it into the debit column of the statement of financial position.

Credit adjustment – represents the reduction in the cost of sales, so carry it into the credit column of the statement of profit or loss.

- Step 3** Sales and purchases
- Single figure statement of profit or loss figures
- Step 4** Rent and rates
- This is an statement of profit or loss item with more than one figure. The debit in the trial balance is reduced by the prepayment in the 'prepaid' column.
- $$10,000 - 800 = \$9,200$$
- Step 5** Drawings
- This is a statement of financial position item, with an original debit balance of \$12,000 in the TB, along with a debit adjustment. This needs to be added together, with the resulting total being shown in the debit column of the statement of financial position.
- Step 6** Electricity
- This is an statement of profit or loss item, with a debit balance in the trial balance that needs to be increased by the accrual in the 'accrued' column.
- Step 7** Continue down the trial balance, deciding in which column each amount should end up, and cross-casting along the line to determine the amount.
- You may find it helpful to label the first six columns '+' and '-' alternatively. As you add across, treat each figure as a plus or minus according to its column heading. If the net result is positive, it represents a debit; if negative, a credit. You then just have to decide which debit or credit column it goes into!
- Step 8** Total up the 'accrued' and 'prepaid' columns.
- Step 9** Carry these totals across into the boxes at the bottom of the statement of financial position columns. Don't forget – accruals are liabilities (thus go in the credit column) and prepayments are assets (debit column).

ACTIVITY 8

Extended trial balance at 31 December 20X2

Account	Trial balance		Adjustments		Accruals	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		12,000								12,000
Inventory	15,000						15,000			
Sales		100,000						100,000		
Purchases	40,000						40,000			
Rent and rates	10,000					800	9,200			
Drawings	12,000		200						12,200	
Electricity	2,000				150		2,150			
Motor van cost	8,000								8,000	
Motor van accumulated depreciation		4,000		500						4,500
Bank balance	4,500								4,500	
Trade receivables	20,000			1,000					19,000	
Trade payables		21,000								21,000
Sundry expenses	500			200	50		350			
Wages and salaries	25,000						25,000			
Depreciation expenses			500				500			
Irrecoverable debt expense			1,000				1,000			
Accruals										200
Prepayment									800	
Inventory			17,000	17,000				17,000	17,000	
Totals	137,000	137,000	18,700	18,700	200	800	93,200	117,000	61,500	37,700
Profit for year							23,800			23,800
							117,000	117,000	61,500	61,500

The preparation of an extended trial balance is a technique with which you must become familiar. It is quite an efficient way for the examiner to test your double entry and your understanding of how everything comes together to produce the financial statements.

PRACTICE QUESTION

ELMDALE

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr					Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Capital account		7,802								7,802
Inventory	2,700						2,700			
Sales		21,417						21,417		
Purchases	9,856						9,856			
Rates	1,490					315	1,175			
Drawings	4,206								4,206	
Electricity	379				44		423			
Freehold shop	7,605								7,605	
Freehold shop depreciation		500		190						690
Receivables	2,742			200					2,542	
Receivables allowance		300	173							127
Payables		3,617								3,617
Cash at bank		1,212								1,212
Cash in hand	66								66	
Sundry expenses	2,100		750				2,850			
Wages and salaries	3,704						3,704			
Depreciation			190				190			
Irrecoverable debts			200	173			27			
Inventory			3,060	3,060				3,060	3,060	
Shop fittings					500				500	
Provision				750						750
Accruals/prepayments									315	544
Profit/loss for the year							3,552			3,552
Totals	34,848	34,848	4,373	4,373	544	315	24,477	24,477	18,294	18,294

Working – receivables allowance

	\$
Receivables	2,742
Less: Written off	200
	2,542
Allowance required	127
Opening allowance	300
Reduction in allowance	173

CHAPTER 15

ACTIVITY 1

Sally

Statement of profit or loss for the year ended 30 November 20X9

	\$	\$
Sales		756,293
Cost of sales		
Opening inventory	21,645	
Add: purchases	285,365	
Less: closing inventory	(24,680)	
		(282,330)
Gross profit		473,963
Expenses		
Wages and salaries	163,996	
Rent and rates	72,000	
Motor expenses	35,947	
Certification costs	7,354	
Training	14,987	
Insurance	12,690	
Sundry expenses	21,310	
Depreciation: Equipment	23,693	
Motors	4,374	
Irrecoverable debt expense	132	
		(356,483)
Operating profit		117,480
Interest payable		(15,000)
Profit for the year		102,480

Sally**Statement of financial position as at 30 November 20X9**

	<i>Cost</i>	<i>Depreciation</i>	<i>Net book value</i>
	\$	\$	\$
Non-current assets			
Equipment	157,954	69,180	88,774
Motor vehicles	45,999	37,250	8,749
	203,953	106,430	97,523
Current assets			
Inventory		24,680	
Trade receivables		2,253	
Prepayments		29,608	
Bank and cash (145,923 + 5,750)		151,673	
			208,214
			305,737
Capital			
Opening capital			250,000
Add: profit for the year			102,480
Less: drawings			(254,999)
Closing capital			97,481
Non-current liabilities			
15% Loan repayable 20Y9			100,000
Current liabilities			
Trade payables		32,756	
Accruals		75,500	
			108,256
			305,737

Extended trial balance for Sally at 30 November 2009

	Trial balance		Adjustments		Accruals		Prepaid		Statement of profit or loss		Statement of financial position	
	Dr \$	Cr \$	Dr \$	Cr \$	Dr to IS \$	Cr to IS \$	Dr \$	Cr \$	Dr \$	Cr \$	Dr \$	Cr \$
Sales		756,293						756,293				
Opening inventory	21,645						21,645					
Purchases	285,365						285,365					
N-CA: Cost												
Equipment	157,954									157,954		
Motor vehicle	45,999									45,999		
N-CA: Dep'n												
Equipment		45,487		23,693							69,180	
Motor vehicles		32,876		4,374							37,250	
Rent	8,000				64,000		72,000					
Salaries and wages	163,996						163,996					
Motor expenses	35,947						35,947					
Certification costs	7,354						7,354					
Training	14,987						14,987					
Trade receivables	2,253									2,253		
Trade payables		32,756									32,756	
Insurance	14,298					1,608	12,690					
Irrecoverable debts written off	132						132					
Petty cash	5,750									5,750		
Sundry expenditure	49,310					28,000	21,310					
Capital account 1-12-X8		250,000									250,000	
Drawings	254,999									254,999		
15% Loan repayable (20Y9)		100,000									100,000	
Loan interest paid and payable	3,500				11,500		15,000					
Bank balance	145,923									145,923		
Closing inventory (SFP, SPL)	1,217,412	1,217,412	24,680	24,680					24,680	24,680		
Dep'n charge:												
Equipment			23,693				23,693					
Motors			4,374				4,374					
Total accruals & prepayments to B/S					75,500	29,608				29,608	75,500	
Sub-total							678,493	780,973	667,166		564,686	
Profit/loss transferred to SFP							102,480				102,480	
			52,747	52,747			780,973	780,973	667,166		667,166	

ACTIVITY 2**Step 1** Clear net profit and drawings to the capital account**Capital account**

	\$		\$
Drawings	5,970	Balance b/d	15,258
Balance c/d	16,270	Net profit	6,982
	<u>22,240</u>		<u>22,240</u>
		Balance b/d	16,270

Step 2 Draw up the trial balance. Remember that all the statement of profit or loss items and drawings have been cleared to the capital account. The opening trial balance contains items from the **statement of financial position only**.

	\$	\$
Capital		16,270
Allowance for receivables		538
Inventory at 1 June 20X6	8,490	
Receivables	10,760	
Payables		7,411
Cash at bank	2,534	
Cash in hand	75	
Furniture and equipment:		
Cost	8,000	
Depreciation at 1 June 20X6		3,200
Delivery van:		
Cost	3,200	
Depreciation at 1 June 20X6		640
Loan account at 9% (repayable in five years)		5,000
	<u>33,059</u>	<u>33,059</u>

PRACTICE QUESTION

K KONG

Requirement 1

Extended trial balance for the year ended 31 December 20X6

Account	Trial balance		Adjustments		Accrued	Prepaid	Statement of profit or loss		Statement of financial position	
	Dr	Cr	Dr	Cr			Dr	Cr	Dr	Cr
	\$	\$	\$	\$	\$	\$	\$	\$	\$	\$
Sales		9,000						9,000		
Purchases	6,900						6,900			
Rent	300				100		400			
Stationery	70						70			
Insurance	50					10	40			
Fixtures and fittings, cost	700								700	
Receivables	2,500								2,500	
Payables		900								900
Cash at bank	1,100								1,100	
Drawings	1,020								1,020	
Capital introduced		2,740								2,740
Inventory			750	750				750	750	
Depreciation expense			65				65			
Acc depreciation				65						65
Allowance for receivables				100						100
Irrecoverable debts			100				100			
Accruals/ prepayments									10	100
Profit/loss for period							2,175			2,175
	—	—	—	—	—	—	—	—	—	—
Totals	12,640	12,640	915	915	100	10	9,750	9,750	6,080	6,080
	—	—	—	—	—	—	—	—	—	—

Requirement 2**Statement of profit or loss for year ended 31 December 20X6**

	\$	\$
Sales		9,000
Purchases	6,900	
Less: Closing inventory	(750)	
Cost of sales		(6,150)
Gross profit		2,850
Rent	400	
Stationery	70	
Insurance	40	
Depreciation	65	
Irrecoverable debts	100	
		(675)
Net profit, transferred to capital account		2,175

Workings

$$\begin{aligned} \text{Depreciation expense} &= \frac{700 - 50}{10} \\ &= \$65 \end{aligned}$$

Statement of financial position as at 31 December 20X6

	Cost \$	Dep'n \$	\$
Non-current assets			
Fixtures and fittings	700	65	635
Current assets			
Inventory		750	
Receivables	2,500		
Less: Allowance for receivables	(100)		
		2,400	
Prepayments		10	
Cash at bank		1,100	
			4,260
			4,895
Capital account			
Capital introduced			2,740
Add: Net profit			2,175
			4,915
Less: Drawings			(1,020)
			3,895
Current liabilities			
Payables		900	
Accrued expenses		100	
			1,000
			4,895

CHAPTER 16

ACTIVITY 1

Current accounts

	<i>Tom</i> \$	<i>Dick</i> \$	<i>Harry</i> \$	<i>Total</i> \$		<i>Tom</i> \$	<i>Dick</i> \$	<i>Harry</i> \$	<i>Total</i> \$
					B/f	17,000	9,000	7,300	33,300
					Profits	33,000	33,000	33,000	99,000
Drawings	45,000	22,000	18,000	85,000					
C/d	5,000	20,000	22,300	47,300					
	<u>50,000</u>	<u>42,000</u>	<u>40,300</u>	<u>132,300</u>		<u>50,000</u>	<u>42,000</u>	<u>40,300</u>	<u>132,300</u>

ACTIVITY 2

(a) Appropriation statement

	<i>Freddie</i> \$	<i>Roger</i> \$	<i>Total</i> \$
Net profit for the year			150,000
Interest on capital @ 9%	3,150	2,250	(5,400)
Salaries	24,000	36,000	(60,000)
			<u>84,600</u>
Residual profit			84,600
Shared 3 : 2	50,760	33,840	(84,600)
	<u>77,910</u>	<u>72,090</u>	<u>—</u>
Total profit shares			

(b) Capital accounts

	<i>Freddie</i> \$	<i>Roger</i> \$	<i>Total</i> \$		<i>Freddie</i> \$	<i>Roger</i> \$	<i>Total</i> \$
				B/f	35,000	25,000	60,000
C/d	35,000	25,000	60,000				
	<u>35,000</u>	<u>25,000</u>	<u>60,000</u>		<u>35,000</u>	<u>25,000</u>	<u>60,000</u>

Current accounts

	<i>Freddie</i> \$	<i>Roger</i> \$	<i>Total</i> \$		<i>Freddie</i> \$	<i>Roger</i> \$	<i>Total</i> \$
				B/f	18,000	12,000	30,000
Drawings	67,500	32,500	100,000	Profits	77,910	72,090	150,000
C/d	28,410	51,590	80,000				
	<u>95,910</u>	<u>84,090</u>	<u>180,000</u>		<u>95,910</u>	<u>84,090</u>	<u>180,000</u>

(c)		Statement of financial position	
		\$	\$
Net assets			140,000
Financed by			
Capital accounts	Freddie	35,000	
	Roger	25,000	
			60,000
Current accounts	Freddie	28,410	
	Roger	51,590	
			80,000
			140,000

ACTIVITY 3

Appropriation statement for the year ended 31 December 20X7

	Dick \$	Dastardly \$	\$
Profit for the year			20,000
Add: Interest on drawings (see working)	(610)	(370)	980
			20,980
Less: Interest on capital:			
50,000 × 10%	5,000		
20,000 × 10%		2,000	(7,000)
			13,980
Balance in profit-sharing ratio:			
13,980 × 60%	8,388		
13,980 × 40%		5,592	(13,980)
Total allocation	12,778	7,222	20,000

Current accounts

	Dick \$	Dastardly \$		Dick \$	Dastardly \$
20X7:			20X7:		
1 Feb Drawings	5,000	2,000	Balance b/d	2,500	3,000
30 Sep Drawings	2,000	5,000	31 Dec Share of		
Balance c/d	8,278	3,222	profits	12,778	7,222
	15,278	10,222		15,278	10,222

Working

		<i>Dick</i> \$	<i>Dastardly</i> \$
Interest on drawings:			
1 February 20X7	$5,000 \times 12\% \times 11/12$	550	
	$2,000 \times 12\% \times 11/12$		220
30 September 20X7	$2,000 \times 12\% \times 3/12$	60	
	$5,000 \times 12\% \times 3/12$		150
		<u>610</u>	<u>370</u>

ACTIVITY 4**Appropriation statement**

	<i>Brian</i> \$	<i>John</i> \$	<i>Total</i> \$
Net profit for the year			97,000
Interest on capital @ 15%	15,000	21,000	(36,000)
Salaries	44,000	33,000	(77,000)
Residual loss			(16,000)
Shared 5 : 3	(10,000)	(6,000)	16,000
Total profit shares	<u>49,000</u>	<u>48,000</u>	<u>97,000</u>

EXAM-STYLE QUESTIONS

	<i>Hill</i> \$	<i>Jack</i> \$	<i>Lim</i> \$	<i>Total</i> \$
Salary	6,000			6,000
Interest on capital	2,000	4,000	2,000	8,000
Residual profit	12,600	16,800	12,600	42,000
Total profit share	<u>20,600</u>	<u>20,800</u>	<u>14,600</u>	<u>56,000</u>

- 1 **D**
- 2 **D**
- 3 **B**

PRACTICE QUESTION

RUTH AND RACHEL

(a)		Appropriation account	
	\$	\$	\$
Salaries			Profit per statement of
Ruth	11,200		profit or loss
Rachel	4,500		104,400
	<u> </u>	15,700	
Interest on capital			
Ruth	6,500		
Rachel	14,000		
	<u> </u>	20,500	
Share of profit			
Ruth (3/5)	40,920		
Rachel (2/5)	27,280		
	<u> </u>	68,200	
		<u> </u>	
		104,400	
		<u> </u>	<u> </u>
			104,400
			<u> </u>

(b)	Current accounts					
	<i>Ruth Rachel</i>			<i>Ruth Rachel</i>		
	\$	\$		\$	\$	
Drawings	30,000	27,000	Opening balance	17,250	26,400	
Closing balance	45,870	45,180	Salary	11,200	4,500	
			Interest on capital	6,500	14,000	
			Share of profit	40,920	27,280	
	<u> </u>	<u> </u>		<u> </u>	<u> </u>	
	75,870	72,180		75,870	72,180	
	<u> </u>	<u> </u>		<u> </u>	<u> </u>	

CHAPTER 17

ACTIVITY 1

(a) Joan Updike – Net assets as at 31 December 20X5

	\$	\$
Non-current assets		
Computer software and hardware	Cost	9,000
	Depreciation (1/3)	(3,000)
		<u>6,000</u>
Current assets		
Inventory	54	
Trade receivables	2,500	
Bank and cash	37,247	
		<u>39,801</u>
Current liabilities		
Trade payables		(157)
		<u></u>
Net assets		<u>45,644</u>

(b) Movement of capital

Opening capital	—
Add: Capital introduced	13,000
Less: Drawings	(18,000)
	<u>(5,000)</u>
Profit for the year (balancing figure)	<u>50,644</u>
	<u></u>
Closing capital (net assets)	<u>45,644</u>

ACTIVITY 2

Step 1 Establish the cost structure.

	%	
Cost	100	
Add profit	40	(mark-up on cost)
	<u></u>	
Sales	140	
	<u></u>	

Step 2 Use the cost structure to find the profit from the sales figure given.

$$\text{Sales} = \$150,000 \text{ (140\%)}$$

$$\text{Profit} = \frac{40}{140} \times \$150,000$$

$$= \$42,857$$

If you find the mathematics a little confusing, just look at the cost structure and you will see that we need to scale down the sales figure from 140% to 40%, so the appropriate fraction is $\frac{40}{140}$.

ACTIVITY 3

Step 1 Establish the cost structure.

	%
Cost	75
Add profit	25
	—
Sales	100 (gross margin on sales)
	—

Step 2 Use the cost structure to find sales from the profit figure.

$$\text{Profit} = 50,000 \text{ (25\%)}$$

$$\text{Sales} = \frac{100}{25} \times \$50,000$$

$$= \$200,000$$

This time we needed to scale up the profit figure from 25% to 100% to find the sales figure. The fraction required is $\frac{100}{25}$, giving us a larger figure than we started with.

ACTIVITY 4

Step 1 Read the requirements and glance through the notes.

Step 2 An statement of profit or loss and statement of financial position are required, whilst a glance through the question reveals that it is an incomplete records type of question with a bank and cash account.

Potential problems appear to surround drawings and closing inventory as there is some information but no figures (which is always a good indication that some calculations are needed).

Step 3 Set out proformas.

Draft out blank proformas for both financial statements and the necessary accounts.

Note that only the statement of profit or loss and statement of financial position are shown here to save repeating the proformas in the steps below:

Stevens and Sons – statement of profit or loss

	\$	\$
Sales		
Opening inventory		
Purchases	_____	

Less: Closing inventory		
Cost of sales		_____
Gross profit		
Wages and salaries		
Rent		
Sundry expenses	_____	

Net profit		_____

Stevens and Sons – statement of financial position

	<i>Cost</i> \$	<i>Accumulated depreciation</i> \$	\$
Non-current assets	_____	_____	
Current assets			
Inventory			
Receivables			
Bank			
Cash		_____	

Capital			
Profit for the year			_____
Drawings			_____
Current liabilities			
Payables			_____

Step 4 Work through the cash/bank account.

Cash account			
	\$		\$
Balance b/d	2,000	Bankings	38,000
Cash from customers	40,000	Wages	800
		Sundry expenses	200
		Balance c/d	
		(balancing figure)	
	<u> </u>		<u> </u>
	<u> </u>		<u> </u>

Bank account			
	\$		\$
Balance b/d	33,000	Salaries	20,000
Bankings from cash	38,000	Rent	5,000
		Credit purchases	25,000
		Balance c/d	
		(13,000 – 2,000)	11,000
	<u> </u>		<u> </u>
	<u> </u>		<u> </u>

Step 5 Complete sales ledger control account.

Sales ledger control account			
	\$		\$
Balance b/d	12,000	Cash received from customers	40,000
Sales (bal fig)	44,000	Balance c/d	16,000
	<u> </u>		<u> </u>
	56,000		56,000
	<u> </u>		<u> </u>

Step 6 Complete purchase ledger control account.

Purchase ledger control account			
	\$		\$
Payments made to suppliers	25,000	Balance b/d	7,000
Balance c/d	5,000	Purchases (bal fig)	23,000
	<u> </u>		<u> </u>
	30,000		30,000
	<u> </u>		<u> </u>

After these accounts have been finished the statement of profit or loss would include further items, as follows:

	\$	\$
Sales		44,000
Opening inventory		
Purchases	23,000	
Less: Closing inventory		
Cost of sales		
Gross profit		
Wages and salaries		
(800 + 20,000)		
Rent (5,000)		
Sundry expenses (200)		
Net profit		

Step 7 Balance the cash account and bank account.

Cash account

	\$		\$
Balance b/d	2,000	Bankings	38,000
Cash from customers	40,000	Wages	800
		Sundry expenses	200
		Balance c/d	3,000
		(balancing figure)	
	42,000		42,000

Bank account

	\$		\$
Balance b/d	33,000	Salaries	20,000
Bankings from cash	38,000	Rent	5,000
		Credit purchases	25,000
		Drawings (bal fig)	10,000
		Balance c/d	11,000
		(13,000 – 2,000)	
	71,000		71,000

The completion of the control accounts and the cash and bank account enable the following balances to be established in the statement of financial position at this point:

	<i>Cost</i> \$	<i>Accumulated depreciation</i> \$	\$
Non-current assets	_____	_____	
Current assets			
Inventory			
Receivables		16,000	
Cash at bank		11,000	
Cash in hand		3,000	
		_____	_____
Capital			_____
Profit for the year			
Drawings			_____
			(10,000)
Current liabilities			
Payables			_____
			5,000

Step 8 Finish the trading account using the cost structures.

	<i>Cost structure</i> %
Cost	100
Add profit	100

Sales	200

Sales	= \$44,000
Cost of sales	= $44,000 \times \frac{100}{200}$
	= \$22,000
Gross profit	= $44,000 \times \frac{100}{200}$
	= \$22,000

	\$	\$	
Sales			44,000
Opening inventory		5,000	
Purchases		23,000	
		<u>28,000</u>	
Less: Closing inventory (bal fig)		<u>(6,000)</u>	
Cost of sales			<u>(22,000)</u>
Gross profit			<u>22,000</u>

The statement of financial position would now include the closing inventory found as the balancing figure in the cost of sales calculation.

	<i>Cost</i>	<i>Accumulated depreciation</i>	
	\$	\$	\$
Non-current assets	<u> </u>	<u> </u>	
Current assets			
Inventory		6,000	
Receivables		16,000	
Cash at bank		11,000	
Cash in hand		<u>3,000</u>	
			<u> </u>
Capital			<u> </u>
Profit for the year			<u> </u>
Drawings			<u>(10,000)</u>
Current liabilities			
Payables			<u>5,000</u>
			<u> </u>

Step 9 Other accounting adjustments.

Perform the double entry for depreciation, accruals and prepayments directly on the face of the financial accounts if you feel confident enough. Otherwise, use T accounts as workings.

Depreciation charge $(50,000 \times 20\%) = \$10,000$

Debit	Depreciation expense (statement of profit or loss)	
	\$10,000	
Credit	Accumulated depreciation (SFP (BS))	\$10,000

Rent account

	\$		\$
Bank account	5,000	Balance c/d	300
		Statement of profit or loss	4,700
	<u>5,000</u>		<u>5,000</u>
Balance b/d	300		

Sundry expenses

	\$		\$
Cash account	200	Statement of profit or loss	250
Balance c/d	50		
	<u>250</u>		<u>250</u>
		Balance b/d	50

Stevens and Sons – statement of profit or loss

	\$	\$
Sales		44,000
Opening inventory	5,000	
Purchases	23,000	
	<u>28,000</u>	
Less: Closing inventory	(6,000)	
	<u></u>	
Cost of sales		(22,000)
		<u>22,000</u>
Gross profit (50%)		
Wages and salaries (800 + 20,000)		
Rent (5,000 – 300)		
Sundry expenses (200 + 50)		
Depreciation	(10,000)	
	<u></u>	
Net profit		<u></u>

Stevens and Sons – statement of financial position

	<i>Cost</i> \$	<i>Accumulated depreciation</i> \$	\$
Non-current assets		(10,000)	
Current assets			
Inventory		6,000	
Receivables		16,000	
Prepayments		300	
Bank		11,000	
Cash		3,000	
			36,300
Capital			
Profit for the year			
Drawings			(10,000)
Current liabilities			
Payables		5,000	
Accruals		50	
			5,050

Step 10 Finish the statement of profit or loss.

Stevens and Sons
Statement of profit or loss for the year

	\$	\$
Sales		44,000
Opening inventory	5,000	
Purchases	23,000	
	28,000	
Less: Closing inventory	(6,000)	
Cost of sales		(22,000)
Gross profit (50%)		22,000
Wages and salaries (800 + 20,000)	(20,800)	
Rent (5,000 – 300)	(4,700)	
Sundry expenses (200 + 50)	(250)	
Depreciation	(10,000)	
		(35,750)
Net profit/(loss)		(13,750)

Step 11 Finish the statement of financial position.

This will mean:

- working out the opening capital
- inserting balances where they have not already been used in workings, for example, non-current asset cost
- inserting the year-end balances from the workings if not already done.

Stevens and Sons – Statement of financial position as at the year end

	<i>Cost</i> \$	<i>Accumulated depreciation</i> \$	\$
Non-current assets	50,000	(10,000)	40,000
Current assets			
Inventory		6,000	
Receivables		16,000	
Prepayments		300	
Bank		11,000	
Cash		3,000	
			36,300
			76,300
Capital (see below)			95,000
Loss for the year			(13,750)
Drawings			(10,000)
			71,250
Current liabilities			
Payables		5,000	
Accruals		50	
			5,050
			76,300

Note the opening capital figure is calculated by reference to last year-end's net assets:

	\$
Non-current assets	50,000
Inventory	5,000
Receivables	12,000
Bank account	33,000
Cash account	2,000
Payables	(7,000)
Opening capital	95,000

Conclusion Whilst you may not be required to work through a whole question like this yourself at this stage, you should be conversant with the individual techniques that have been used and appreciate how they fit together within the overall picture.

EXAM-STYLE QUESTIONS

- 1 **C** Profit = Increase in net assets + Drawings – New capital introduced.
- 2 **B** Gross profit = $\$224,000 \times 60/160 = \$84,000$. Cost of sales = $\$140,000$.
- 3 **B** Cost of sales = $\$663,000 \times 100/130 = \$510,000$. Cost of sales = Opening inventory ($\$37,000$) + Purchases ($\$490,000$) – Closing inventory. Closing inventory is therefore $\$17,000$.

4 **A**

	\$	%
Sales	200,000	160
Cost of sales		100
Gross profit ($60/160 \times 200,000$)	75,000	60

5 **D**

	\$	%
Sales	300,000	100
($100/70 \times 210,000$)		
Cost of sales (see below)	210,000	70
Gross profit		30
Cost of sales		
Opening inventory	40,000	
Purchases	180,000	
Closing inventory	(10,000)	
	210,000	

PRACTICE QUESTION

JONES AND SONS

	<i>Year end SFP</i>
	\$
Van (12,000 – (12,000 × 25%))	9,000
Tools (4,000 – 1,000)	3,000
Cement and sand	1,000
Receivables (26,000 – 1,000)	25,000
Less allowance for receivables	(500)
Overdraft (remember this is negative)	(2,000)
Trade payables	(7,000)
Accrued expenses	(150)
Net assets at year end	28,350

Profit calculation

	\$
Net assets at end of year	28,350
Less net assets at beginning of year	(nil)
Increase in net assets	28,350
Less capital introduced in the year	(10,000)
Add drawings for the year (12 months × \$2,000)	24,000
Profit for the year	42,350

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